Vardhman Textiles Ltd. (VTL)

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q4 FY'23
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith transcript of the earnings conference call of the Company held on 09th May, 2023 to discuss Q4 FY'23 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY

"Vardhman Textiles Limited 4Q FY'23 Earnings
Conference Call "

May 0 9, 202 3

MANAGEMENT : MR. NEERAJ JAIN – JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILES LIMITED .
MR. SUSHIL JHAMB – DIRECTOR OF RAW MATERIALS ,
VARDHMAN TEXTILES LIMITED .
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER ,
VARDHMAN TEXTILES LIMITED .
MR. MUKESH BANSAL – HEAD OF FABRIC
MARKETING , VARDHMAN TEXTILES LIMITED .
MR. VARUN MALHOTRA – HEAD OF FINANCE ,
VARDHMAN TEXTILES LIMITED .
MODERATOR : MR. ABHISHEK NIGAM – BATLIWALA & KARANI
SECURITIES PRIVATE LIMITED .

Moderator : Ladies and gentlemen , good day and welcome to the Vardhman Textiles 4Q FY'23 Earnings Conference Call , hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, pl ease signal an operator by pressing '*' then '0', on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhi shek Nigam from Batlivala & Karani Securities India Private Limited . Thank you , and ove r to you, sir.

Abhi shek Nigam : Hi, everyone, good evening, and thank you so much for joining us today. From management we are joined today by Mr. Neeraj Jain – Joint Managing Director; Mr. Sushil Jhamb – Director of Raw Materials; Mr. Rajeev Thapar – CFO; Mr. Mukesh Bansal – Head of Fabric Marketing; and Mr. Varun Malhotra – Head of Finance. And now without any further delay I will hand over to Mr. Neeraj Jain for opening remarks. Thanks.

Neeraj Jain : So, this quarter has been better than the previous quart er, you would have seen the results. So, in terms of utilization on the sp inning business, we were better. 3rd Quarter ha d been one of our worst quarter because of the utilization, very high cotton prices, slow demand and so and so on. Definitely there was a little bit betterment and the sp inning utilization was almost full for us. Country as a whole also, I think the 3rd Quarter we were estimating the utilization of sp inning in the range of about 60% to 65% , which as of now our feeling is would be higher t han 90%. So, one is the overall demand in the utilization, second is the mar gin which I will talk a little later. So, in terms of utilizations, definitely things have improved for India.

And in terms of fabric utilization this period was where our utilizat ion has been in the range of about 80% to 85% still not reaching the 100% level , as the overall textile has been under somewhat concerns, the overall scheme of things.

This is a period where after seeing a very negative period of October, November, December where everyone in th e system wanted to reduce the stocks so there was a destocking going on with every brand, whether it's a domestic or exports. As a result of that, people were not demanding at all.

Also, the 3rd Quarter was a period where cotto n prices went to as high as Rs. 100,000 a candy , they were coming down. So, everyone in this system wanted to wait to buy, so that the inventory losses are not there. So, practically the four months starting somewhere in September, August, September last y ear till November, December has been a very difficult period. From that perspective definitely there is an improvement.

Coming to the cotton prices, the international prices also during that period had gone to as high as $140 cents to $150 cents per pound. And most of this period , in fact March, they have been in the range of about $78 cents to $85 cents. So, I mean the average could be around $82 cents or $83 cents or $84 cents in this period. And commensurate to that, the Indian prices also readjusted to almost Rs. 63,000 to Rs. 62,000 to Rs. 63,000 to Rs. 64,000 a candy, which was much higher before.

Also, this was a period where the, because of a crop damage in Pakistan their capacity utilization was much less. And Pakistan is one of the biggest supplier of coarser counts in the world market especially to the China since they were not operating fully, so there w ere, been a part of the orders which came to India also, though margins maybe there or not there, but at least in terms of utilization definitely it helped.

Another optimism in this period was the opening up of China. So, after the COVID restrictions which were too stringent there, the Government of China decided to open it up. And slowly the markets were opening and definitely there has been a more optimism for that market also. And there has been a buying of y arn from Chinese market also which practically for before that six months was not there at all.

Last call also I mentioned there were three scenarios:

I) The overall demand was less because of the high inflation, interest rates going up, EMIs increasing, energy prices going to a different level so people were , all the discretionary demands were less. And in this period, I think definitely there has been an improvement in that. And more and more people started looking at it, because the worst of risks, it looks like i t's over .

II) Most of the brands were destocking in the earlier period and they were full of with the inventories , where they were reducing their inventories . And as a result of that they were not buying at all. I think definitely there has been an improvement, and brand by brand whosoever wherever the destocking was done, they started buying slowly in this period also.

III) The supply chain also improve d, so earlier people were havin g concerns on supply chain, so they were still feeling that by the time material reaches them it will be again the devaluation of goods, that part was also over. So, the normalcy of business surely started happening in this

period. And in addition to that, the optimism of China , and non -availability of yarn from Pakistan also helped the Indian spinner to do a little bit better in terms of utilizations.
The cotton rate continues to be high in India in comparison to what it used to be earlier. We are talking of the U.S. cents, the cotton which is available in India over and above New York future . So, if you look at the historic prices it used to be in the range of about $0.4 cents to $0.6 cents, which in this period most of the time was in the range of about $0.12 cents to $0.15 cents. Even today also, it would be close to about $0.12 cents to $0.13 cents only.

So, definitely the Indian spinners margin has got a hit. So, we had two issues :
1) One issue is the overall demand is less , the world and still people a re expecting overall spinning utilization of only about 80%. So, that's one impact, because the demand is less, so the prices are not really commensurate to the cost.
2) The Indian spinner margin is less, because of our higher cotton prices compare d to wha t we used to have earlier. And that disadvantage still continues, of course it's a little lower than what it used to be but definitely that disadvantage is there even as on today also.
The fabric utilization , I think are almost in the range of about 80% to 85%, the situation remain s same over there also. Overall demand has been less, people have not been buying , most of the brands were destocking , so as a result of that they were not buying. So, we were in a position to utilize this much capacity. And even as on today also, the situation remain s same.
Another silver lining in last couple of weeks is definitely -- if you look at all these segments, we talk about spinning, we talk of knitting, weaving, home textiles, garmenting, practically 20% to 25% utilizat ion has been lower in last four months, five months. So, the first silver lining which we started looking at, looking like is the home textile, definitely the ir capacity utilization has improved in last couple of weeks and they are reaching almost dependin g upon the company, they are reaching almost 90% to 95% utilization, which is one signal where we can say definitely the demand has started coming in, or maybe the de -stockings are over and people have started buying again. And if one segment has started w orking, I am sure, the other may also coming in next maybe in the ne

ar future over a period of time.
So, our company also the utilization total spinning , almost running full capacities. The margins in this period has been generally in the range of about U.S. $0. 70 cents, if you go by the market prices of yarn vis -à-vis the cotton, not more than $0.70 cents. Whereas in India many at times it was in the range of about maybe $0.60 cents also, because of the crisis of cotton which I mentioned earlier.
The fabric margin relatively whenever the yarn comes down , the fabric margins improve . So, as a result of that the integrated player like us, we had the advantage compare d to the standalone spinners, where the margins are a little better in terms of the overall EBITDA margins.
So, that's a situation till now. I think the remaining things we can discuss , and we can explain along with the Q&A session.
Moderator : We will now begin the question -and-answer session. The first question is from the line of Awanish Chandra from SMIFS . Please go ahead.

Awanish Chandra : First very obvious question in your opening remarks you have mention ed that you are working at now 100% capacity utilization in spinning division and we ar e holding our CAPEX plan for long. Any new thought on your CAPEX plan, anything you can guide on that?
Neeraj Jain : There are two issues which I mentioned in the last call also and I am repeating that. So, one is the overall demand is less in the world mar kets because of the various uncertainties. So, I think there is a concern on that, but I think that's not really that big a concern because if the overall ultimate markets will improve it's a matter of time. We are really not much bothered about th e same . And I think that's not really a big concern.
The second is the India specific, if our cotton price continues to be higher than the world markets, probably th an the concern could be a little longer, even if the things improves worldwide, but if our cotton p rices continues to be higher which are as of now then probably whether the kind of margins which are expected whether they would be back or not, in next two to three years . Because ultimately what will happen if the margins are not good, expansions doesn't happen, some of the spinning plants , whoever is a weaker plant, will be stopping the capacity.
So, eventually the margins will improve , but all the questions and concern s is when does th ese correction of cotton prices happens, when does the normalcy in ou r own deal happens. And unless that happens, I think we are still waiting or we still want to wait maybe for next , some more time, before we make up our mind and we start looking at the big expansion. So, it's better

looking at the broad situation, in our view, in our management 's view i t's better to wait for some more time, before the clarity is there, and we start expanding. And in any case we have just completed our 100,000 spindles which we have started utilizing on a fully basis now. So, I think we als o like to consolidate maybe till the time we take finally on this.

Awanish Chandra : And you highlighted this international and domestic cotton prices, so internationally $0.84 cent and we are at $0.63 cent to $0.64 cent, so still we are not having parity o r it is now very close to parity in your view.

Neeraj Jain : So, you know the way we measure the Indian cotton is always whatever is the New York future, and how much is the premium on that. So, if you look at the New York future today, let's say $0.83 cents to $0.84 cents. The American cotton is available, $0.15 cents over and above the New York future . So, the cost of American cotton to let's say Vietnam is about $0.14 cents to $0.15 cents higher than that. So, if it is $0.83 cents and $0.14 cents m eans $0.97 cents the Vietnamese spinner we will be getting it imported cotton or the American cotton. Whereas the Indian cotton

today is close to about $0.95 cents to $0.96 cents . So, the yarn made out of American cotton will always have a premium of $0.15 cents to $0.20 cents. So, whatever is the Vietnamese spinner selling our yarns will be sold $0.15 cents to $0. 20 cents lower than that. But if our cotton prices are same then we cannot make money.

So, the way in India people look at whatever is the New York future $0.4 cents, $0.5 cents, $0.6 cents higher than that has been our historic cost. We never look at the New York future is higher or lower, because ultimately if the New York future is higher, the yarn prices will also increase worldwide. But if c otton price are higher in India, we alone will not be in a position to increase the price in the world markets. That's where I am saying the Indian prices are still higher on the basis compared to what it used to be earlier and that's what is giving us a c oncern today.

Awanish Chandra : One bookkeeping things, how much cotton inventory today we have , and is there any situation of cotton arrival in mandi improved?

Neeraj Jain : So, the overall arrival in India till now is close to about 235, 237 lakh bales or I mean anything people are, maybe it could be 24 million ba les as well. The crop size there has been a different estimate of the crop size so the CAI which started with almost 34 million bales today has come down to 30 million bales , this year PC they were at 337 lakh, so they are still 337 lakh bales and 240 is come here. The daily arrival even today also is in the range of 125,000 bales to about 140,000 b ales.

So, it looks like maybe that doesn't seems to be much of concern on the overall availability and arrival of cotton. Of course, it is unprecedented that we get this much cotton in the month of April and May which has never happened . But yes, it's coming regularly and it doesn't seems to be really a shortage o f cotton, it's only the farmers are in a position to bring it slowly so that they can maintain the parity , which is a kind of a different experience India had for the first time. Because we cannot import it as of now, because of this duty component, so we have to be dependent upon the Indian cotton. And somehow it looks like the farmer could understand this need and they are bringing it slowly. But otherwise in terms of availability etc ., that doesn't seems to be that kind of a concern that cotton will not be there or what happened last year. I don't think that's a situation really.

Moderator : Thank you. The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala : I would like to understand the demand from the Chinese market. Now that you were saying that the demand in Chinese market is better. And we are also seeing that Indian cotton prices versus Vietnamese cotton which it imports from America are also similar. And anyways they command a premium of $0.20 cents . And Indian cotton will also be available at the same levels then why, we are not able to make margins?

Neeraj Jain : Because our cotton price is same at the Vietnamese getting the American cotton. So, if my yarn is sold in $0.20 cents lower than them, how will I make money?

Prerna Jhunjhunwala : Okay, I thought that Vietnamese yarn is higher, I mean --

Neeraj Jain : No, whatever is the yarn based out of American cotton which Vietnam is one of the big player. Whatever yarn they sell from the cotton which is produced in USA whatever is the ir yarn price, our yarn price will be $0.15 cents to $0.20 cents lower than that. And if my cotton price is same what Vietnam is getting as American cotton and I am getting Indian cotton at that price then to that ex tent I will lose money.

Prerna Jhunjhunwala : At current spread s what would be the industry margin?

Neeraj Jain : $2.6

0 cents to $2.70 cents for Indian spinner .
Prerna Jhunjhunwala : And this is gross margin or EBITDA ?
Neeraj Jain : Yes.
Prerna Jhunjhunwala : What is the hurdle in higher utilization of woven fabric, because the demand for woven apparel definitely is better than knit apparel in the market. So, what is the reason for not being able to sell, utilize our capacities to the fullest?
Neeraj Jain : I think if you look at all segments whether its denim, whether it's weaving, whether it's knitting, whether it's home textile the demand has been very dull in this period. So, that's the reason it is less, I mean if you look at even the knitting also, even the denim is still running at about 60% capacity utilization , the knitting would be running at about 65% to 70%. So, to that extent woven is in the range of about 80% to 85%. But it's not that the woven is having, is running at a 100% utilization. So, I am tal king about the world markets. Every year the demand is slower whether it's woven or it's knit or its denim, everything I think there is definitely some reduction in the overall consumptions.
Prerna Jhunjhunwala : And what should we be looking at if we want to understand that there are green shoots in improvement in demand?
Neeraj Jain : So, one is the home textile, which is one signal for sure. And the two is the spinning capacity utilization because of the Chinese demand or the other demand. So, definitely w e they have improved. So, these are the signal sign. And if you look at even the denim also, I think four months back their utilization ha d come down to about 40% to 45% which is now in the range of about 65% or so. So, definitely there is an improvement in every segment, but whether to the desired or to the 100% level, you know, but surely it looks like, we have definitely improved in every segment in the textile , in last three, four months.
Prerna Jhunjhunwala : What will be your expectation for FY'24 as a year, because still we are not seeing any major improvement in demand to the fullest, and margins remain under threat --?

Neeraj Jain : Yes so it looks like first six months and still I mean on one hand though we are saying things are better compare d to what it used to be and I still maintain the same , but at the same time, next couple of months it will be a roller coaster in any case. So, I don't think the next six months we are likely to have any major trend or a major improvement in one direction.
And t he '23, '24 should be or could be better than '22, '23, but whether we will really come back to the normal margins, for six months it doesn't look like, because if you look at now we are already in the m onths of May. The cotton prices, the next cotton seas on will start somewhere in the month of September. So, going by the arrival pa ce and the way cotton prices are behaving, I don't think there is likely to be any major drop in the cotton price in the next two months, three months time and then we will have to buy for this season. So, any major improvement or hope which is there, it will be beyond September only.
Prerna Jhunjhunwala : And we have cotton inventory holding for this season and what has been the procurement strategy and are you going to use any he dges?
Neeraj Jain : So, we are, first of all, we are not doing any hedging as of now, because most of the hedging we do whenever we import in a bigger ways, this year we are not doing any hedging first of all .
Two, if I look at the overall inventory with the mil l sector our estimate is it would be in the range of about 60 days or so as of now, that's our estimate going by, I mean considering the total arrivals , consumptions happen , exports and imports, it would be in the range of maybe about 60 days or so.
So, for us, it will be, I think we are in the range of maybe about 90 days or 95 days or so. But definitely, I mean we are also a li

ttle conscious because once the new arrival comes in, probably there could be a possibility of lower prices also.
So, three we also want to look at how, because the business is also very hand to mouth on a daily basis. So, we are also being a little conservative as of now in cotton buying.
Prerna Jhunjhunwala : One question just in my mind, how do we look at growth then, w hen we are not expanding over the next two to three years are we looking at any other opportunities in the textile segment apart from spinning and woven fabrics because -- woven have taken a longer time to utilize fully and spinning margins continue to rem ain volatile like this, and import duty is a government call, so we cannot wait for government to change --
Neeraj Jain : So, definitely, so I agree with you, one area of improvement could be only the moment we start utilizing our full capacity or the weavi ng division, so t here could be some improvement on the top-line or margins coming from that. Two, I think till the time we are very sure of the future of the industry and we are very sure of our cost factors whether the concern will be, whether we should l ook at the top -line and keep growing or we should be concerned about the bottom -line

also and wait for some more time. So, today anytime we want to put up a spinning project, because now the kind of thing which was there with the machinery manufacturers th at's not there today you can get machinery in six months, eight months' time . So, once again, the spinning project expansion could be completed in about 12 months or so. So, we haven't decided that we wait for one year and we want to wait for another one or two years before we start the project, I am only saying we want to have the comfort before we relo ok at these project s. And as of now we are not really, really comfortable going by the overall cost factors in the system. So, that's what we think it's be tter to wait for some more time. So, I am not saying two years, three years but definitely we will wait for the right or an appropriate time. And whenever we think there is a consistent demand or there is any concern on our servicing to the customers, probably th at is the time we might take a view as well.

Moderator : Thank you. The next question is from the line of Amit Khetan from Laburnum Capital. Please go ahead.

Amit Khetan : Could you share some perspective on how much spindle capacity addition has take n place globally as well as in India , and this is in the last two or three years post -COVID ?
And besides India where have most of these capacity addition tak en place?

Neeraj Jain : So, if we look at first let's look at the Indian scenario, Indian scenario, the overall spinning expansion or the overall spindles supplied in Indian market will be close to about 2.5 to 3 million spindles in last one year. And out of that about 70% is the exp ansion and about 30% goes for the modernization. So, if we go by 2.5 to 3 million spindles that means close to about 1.7, 1.8 million spindles would have been added into the Indian system , new spindle. And also, there is always some mills which will be sto pping production . So, we estimate maybe about half a million spindles would be going off from the system, the older system . So, which means the net -net addition to the Indian spinning could be in the range of about 1.2, 1.3 million spindles, which is about 2% to 2.5% of our installed spinning capacity.

If we look at the world market, the total world market today is close to about 240 to 245 million spindles. And the net -net addition i n the entire world is in the range of about 4 to 4.5 million spindles, bec ause a total of about 7 million spindles are supplied everywhere. And almost out of that, again 30% goes for the modernization that means the 5 million spindles which are the new capacity, and maybe another one million s

pindles is going off from the variou s countries. So,
the net addition could be in the range of about 4 million spindles or so.

So, this is a period where all these 13 to 15 lakh spindles which would have come to India is not that one house is there, so most of the places, I think the expansions are in the range of about 40,000 spindles to maybe one or two factories would have added about 100,000 spindles. For

example, Vardhman added 100,000 spindles equal line . So, this is a very scattered kind of expansions which have happened.

And third, I think there is no Greenfield project which is coming. Most of the expansions which have come in the existing players have added some capacities to their existing locations or maybe the existing gro ups has taken a new location , but as such no new gro up has come in, in a big way for adding the capacity into this system. So, we earlier thought two year s back where everyone wanted to expand on this spinning business, probably that' s not the scenario today.

Amit Khetan : Outside of India where have most of these capacity addition s taken place?

Neeraj Jain : So, most of this capacity expansion other than India was the Uzbekistan, Bangladesh, Turkey, these are three bigger players where the capacity, China is not adding their net -net, they are reducing also , only Pakistan is not adding, Indonesia is not adding. So, the bigger capacities are coming in and maybe some capacities coming into the Central American zone also where they have the advantage of cost price etc.

Amit Khetan: And lastly, given that we are not doing any kind of expansion CAPEX for FY'24, what woul d be our normal maintenance CAPEX for this year?

Neeraj Jain: In the range of almost about Rs. 300 crore or so.

Moderator: Thank you. The next question is from the line of Falguni Dutta from Jet Age Securities. Please go ahead.

Falguni Dutta : Just a repeti tion, what is the premium at which Indian cotton quotes versus the New York cotton and why is there a premium?

Neeraj Jain : So, American cotton is the contamination free cotton. It's all machine pit , so there is no contamination in that cotton. So, that is why the yarn made out of American cotton sells at a premium. Indian cotton in terms of other characteristics which is the length, strength, touch is

very good or maybe comparable to the American cotton. But it is only a nd only contamination
where our cott on is sold at a discount.
Falguni Dutta : I miss ed the last part, what did you say, why is our cotton normally at a premium to American?
Neeraj Jain : I said in terms of length, strength, touch, our cotton is comparable or even better than American cotton. The only disadvantage is our cotton is all manually pit so it is very contaminated , there are lots of contamination in the Indian cotton. That's why the yarn made out of American or Australian or Brazilian cotton sells at a premium.

Falguni Dutta : So, that's why you said Vietnamese yarn will also sell at a premium because it's made from American cotton?
Neeraj Jain : Generally, they use the American or the Australian so that's why they have the advantage.
Falguni Dutta : Normally how have our cotton prices be ing compared to the American cotton prices?
Neeraj Jain : So, as I said the American cotton is available at $0.15 cents, $0.16 cents, $0.15 cents over New York future. Our cotton historically has been about $0.5 cents over New York future, so will always be about $0.8 cents to $0.10 cents lower than American cotton. And if we translate into the yarn , it will be almost about $0.20 cents to $0.25 cents for the yarn. But in this period our cotton is almost comparable to American cotton.
Falguni Dutta : And that's the reason which is creating a problem. So, correct me if I am wrong , so currently as we seek our cotto

n is at par with American cotton and hence the problem of lower margins.
Neeraj Jain : Correct.
Falguni Dutta : And last question is on the othe r expenses part, why has it been quite a bit lower YoY for the quarter ?
Management : You are comparing with the corresponding quarter ?
Falguni Dutta : Same time, yes last year, Q4 of FY'22.
Management : Last year there was the extraordinary item of hedging lo ss on cotton derivatives.
Moderator : Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Private Limited. Please go ahead.
Niraj Mansingka : Just one small query on the replacement cost. Can you share what the cost of putting up a Greenfield capacity in rupees per spindle , and the Brownfield capacity, in the --?
Neeraj Jain : No, it doesn't make much of a difference nowadays between Greenfield or the Brownfield unless there is some cost in terms of land acquisition etc. is required. So, today the cost of putting up a new spinning capacity is almost in the range of about Rs. 80,000 or so per spindle.
Niraj Mansingka : And please share what was it say five years back or six years back around this number ?
Neeraj Jain : So, five years back would not be more than Rs. 50,000 or so, Rs. 50,000 to Rs. 55,000.
Niraj Mansingka : And what has caused this price to go up because there has been some correction in the commodities also . So, do you think it is sustainable or will the c ost of making will come down ?

Neeraj Jain : There are a couple of factors one is if we look at the cost of all building material, it has gone up substantially in last five, six years. So, I think every two, three years, I mean every year there is some autom ation which would be improved by the vendors also. And whenever they come up with new models, they will keep improving their pricing also, because they will be bringing in more and more features also in the system. Now whether you will really be benefitted by those features significantly or not but definitely their cost of the machine will keep increasing.
Third, I think slowly people are going for more and more automation in general also. So, for example, roving stock, ro ving transportation, five, six years back it was really a kind of a hardly someone would be going, but today all projects are conceived with this only. If you look at 10 years back, people were thinking whether we should go in for auto doffing or not. Today it' s a given situation you will go with the auto doffing only because there is no other way you can maintain that. So, I mean few things , technology there, which was an optional couple of years back today has become a basic technology and the cost is --
Niraj Mansingka : Then, do you see these margins go up and then only will the players be adding capacity?
Neeraj Jain : Definitely, I mean we have to have the right margins because whatever margin on a $0.60 cent to $0. 70 cents gross margin, industry cannot make money. So, to make us right money we have to go to maybe about $0.90 cents to $1 kind of a mar gin.
Niraj Mansingka : Which means that until the industry reports an average EBITDA of what they did last year --
Neeraj Jain : No, that was much higher , that was also an exception . So, EBITDA of 15%, 16% on the sales, 15% to 18% o n the sales I think generally suffice the purpose.
Niraj Mansingka : Is it right to put that number at Rs. 60 kilo over my EBITDA on the yarn side?
Neeraj Jain : No, 60 will be much higher, so you will have to look at it I mean generally the concept is about

Rs. 8, Rs. 9, a spindle, so on a five spindles maybe about Rs. 45 to Rs. 50.
Niraj Mansingka : And the current would be how much sir, in rupees per kg?
Neeraj Jain : Current would be what m aybe about Rs. 15 to Rs. 20, in the best-case scenario or many places it will be even almost the margin al or much le ss than that also.

Niraj Mangsingka : That's what I was saying, basically I was saying at Rs. 30 to Rs. 35 or Rs. 25 or Rs. 35 rupees range i ncrease in EBITDA required for the industry to think of adding more capacity.
Neeraj Jain : That is true, so as I mentioned our average EBITDA today with the gross margin is $0.60 cent which has to go to $0.90 cents. So, if we look at a $0.30 cent, Rs. 25 t o Rs. 30 kg improvement is required minimum.

Moderator : Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.
Resham Jain : So, my question is, one is on the overall inventory levels compared to last year the cotton prices have come down meaningfully I am saying March end. And if you look at the inventory it is just Rs. 500 crores lower at consolidated level. So, as compared to last year are we carrying slightly higher inventory in terms of number of months?
Neeraj Jain : No, last year also, if you look at the February, March, the prices were much lower. The prices have increased around March only, April, May it started going up. So, if we are comparing with 31st March figures prices of cotton were in the range of Rs. 55,000 to Rs. 57,000 only or Rs. 60,000 only. So, it is only in the month of April where the government gave a relaxation on the duty part, the international prices went up and the Indian prices also align ed to that. So, it was only April, May where we have seen the peak of cotton prices.
Resham Jain : And the second question is more on the balance sheet side. The debt of close to Rs. 1,800 crore odd at the consolidated levels versus Rs. 2,700 crore of cash, are the interest rates quite different betw een the two and that's why we have more cash and at the same time we have debt as well?
Neeraj Jain : No the debt is generally a long term debt so there we have some subsidies also from the government. And the cash availability is one of the offshoot is, be cause we didn't buy enough cotton so the cash improvement was there. We do not have any working capital debt as such, so it's most of the debt which is there in the book is the long term debt which is the debenture as well as some long terms loans from the bank or maybe the working capital would be under the export packing credit which is definitely at a much lower price.
Resham Jain : So, most of the de bt one can assume will be at a lower interest cost than a normal level or a normalized debt --?
Neeraj Jain: Maybe for the term loans, yes, but for the debentures would be at the market price.
Resham Jain : And just one related question here is that because '24, we don't have a very CAPEX as of today and I could see almost 33% of your net worth is in cash ri ght now and that to o in the March ; September this will be further higher given that the inventory level may not be very large at that point of time. So, how do you think because your ROEs are getting depressed significantly because of this , one -third of yo ur net worth in cash, not into earning anything into from a business perspective, how do you think about this?
Neeraj Jain : Two things, on the second part, I am also, I am in agreement with you that one -third of the net worth is not into the business, so t he earning will keep depressing for sure. But the concern or the question is whether we should keep investing without having a comfort on the business scenario, which I am sure it's only, it's not that we are not going to expand, it's only matter of

time a nd we want to wait and pause for a little better time . And I think definitely there are plans. So, the expansion could happen, if not in '24 maybe '25 or so.
Second , our March numbers and September numbers there is not going to be any reduction in the September numbers from this , because in any case March also we have one of the lowest

inventories. Normally March inventory is much higher, this year our inventory is so low that September or March is not going to make any much of different to us.
Resham J ain: Because, you will keep adding profitability to th is number next year as well. So, how would you think about , because even if you do CAPEX let's say in the next two years the amount of CAPEX will not be like Rs. 3,000 crore to Rs. 5,000 crore. And your early cash generation itself will be like closer to more than whatever number it might be Rs. 1 ,000 to Rs. 1 ,300 crore , Rs. 1 ,400 crore, whatever that number might be. But will you be doing CAPEX beyond that number also in future and that's why you are ke eping such a high level of cash?
Neeraj Jain : I mean it all depends upon the opportunities for example last year we were very comfortable

with the opportunities and we already announced almost 300,00 spindles together. So, I think once the business model b ecomes normal or maybe we have comfort , why not look at whatever we have announced we may implement it also in a one go.
Number two, w hatever extra cash is available, part of that cash has to be utilized for the purchase of raw cotton as well. Because this year our inventory has really at a very marginal so that's why this is showing this kind of cash position, but if you look at our normal years, probably Rs. 1 ,000 or mayb e Rs. 1 ,200 crore of additional raw material would have been ther e so the cash position would not have been that kind of situation which is showing today. But yes your question is valid, concern is valid, we are also concerned about the same. And I feel pe rsonally maybe once this situation becomes normal, there could be a little better or a little aggressive expansion won't happen in our company as well.
Moderator : Thank you. The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.
Akshay Kothari : Regarding the farmer thin g, just wanted to know that yield per hectare of cotton in India is very low. So, what are the main reasons for it and could there be some sort of arrangements wherein we procure seeds for farmers and the n we get the output some sort of arrangement like that. So, it would solve both of the problems, because throughput will increase and at the same point of time we are also supporting the cotton ecosystem.
Neeraj Jain : If we look at the reason for the cotto n lower yield 1) farms are very fragmented, it's a very, very small size of the farming. I mean there to give you an idea, if India has 34 million bales there are almost more than 6 million farmers who are doing the farming of cotton. So, on an average, one farmer has only 5 b ales, so that's the kind of size we are talking about.

2) Our seed which is available in the system is very old, and the new seeds are not available in India. As a result of that the yields are also low.
3) We still not have an entir e irrigated area, so there is lots of area which are still rain fed so that's also a reason where if the rain is insufficient or higher, the crop gets damage d.
So, the biggest season would be th e very small fa rm size , as a result of that the crop cultivation and the second is the seed , because of which we are not in a position to do that. Having said that procuring seeds and I mean for us our annual consumption is almost 15 lakh b ales. If I want to look at that we buy seed and we get a farming done , probably I require to work with 300,000 farmers , three lakh farmers which w on't be possible for any company to do that.
Akshay Kothari : But that is on average, three lakh famers which you have come up with the figure --?
Neeraj Jain : Even if it is 1 000, 2000 , 5,000, 10,000 that is not our cup of tea.
Akshay Kothari : Is there any plan for the government where they will, they are trying to replace th ese old seeds meaning what is the

status?
Neeraj Jain : They have already constituted a committee under Mr. Su resh Kotak who is working on all these ideas. So, I think those discussions they already have a couple of meetings with the government. But I think whenever the final move will be taken by the Textile Ministry then it will go to the Ministry of Agriculture , if they approved and normally it is said, whenever a new seed is approved they will be doing the experimentation and it generally takes about three years for the commercialization of a new seed, whenever they decide.
Moderator : Thank you. The next questi on is from the line of Sarad from Indian Institute of Management, Kozhikode. Please go ahead.
Sarad : I just wanted to understand what has been our realization per kg of yarn for this quarter as well as on a year -on-year basis?
Neeraj Jain : So, in this period the average market price has been in the range of about $3.30 for 30s combed . Last year was almost $4.50 cents.
Sarad : Do you see any improvement in this average realization over the next quarters?
Neeraj Jain : Very difficult to say, first w e have to continue utilizing the full capacity, once that happen s the margin improvement can happen only after that . And this has been a period where all the mills are aiming to utilize the capacity only. So, I mean if the overall demand improves in terms of all these segments definitely the yarn would also start improving , but till the time we are looking at knitting as I had mentioned earlier also, the knitting , denim, weaving every segment is working

only at about 70% utilization. In that scenario is won 't be possible for improve or increase the yarn prices alone.
Moderator : Thank you. The next question is from the line of Abhineet Anand from Emkay Global Financial Service . Please go ahead.

Abhineet Anand : I just wanted to understand today if we have to put up a capacity what could be the lead time for that?
Neeraj Jain : Normally it is about 12 months or so.
Abhineet Anand : So, in between there was issues around supply constraints right so all those are eased out today ?
Neeraj Jain : As of now it's totally ease out, because there is no one was who is giving any new orders so most of the machinery vendors they are just supplying the older orders they had booked. But as of now th ere is definitely, they haven't got any orders in last six months or so, till the time since this situation has deter iorated . So, as of now it's quite eased out.
Abhineet Anand : Secondly, I mean as you have been highlight that the margin is not that -- to put the plants and all. And you did adhere to two other sentences, one was that we might go for expansion in year of '25 and '26, I mean is it cursory remark or something one should read into it?
Neeraj Jain : I think I have been very consistent in my saying earlier also, till the time we are very sure of the raw cotton prices are align ed to the world market, it doesn't make sense for any Indian spinner to expand on a commercial basis. The moment we are comfortable that our problem or the overall demand is less there is no issue. We are also facing the same, the other fellow is also facing the same, no problems at all. But if our cotton prices are higher in India, then we can't compete. So, I would like to wait till the time the resolution happens on those things and the moment we are comfortable then we will expand it, right. If that doesn't happen, then we are not going to expand in a big way, because that will be having a basic question mark on the viability of the business.
Abhineet Anand : And today also we think there is a 10% to 15% differential in premium Indian cotton -- today also --
Neeraj Jain : Yes, at least $0.10 cents.
Abhineet Anand : And the other sentence that you used during the talk was, once the se concerns are addressed, I mean we might have an aggressive CAPE

X plan. If you can just, let's assume, it's a hypothetical thing, let's assume this the whole differential goes to just 2% to 3% which has been earlier there, so from here, 1.3 million spindle s do you think that in the medium term we will add very large number to it, I am just talking about 3 years perspective.

Neeraj Jain : So, what I mentioned the aggressiveness would be and we have already announced 300,000 spindles expansion. We might start looking at why not to expand in two years time and all those things.
Abhineet Anand : The three lakh that you talked about one lakh we have already done right?
Neeraj Jain : No, another 2.5 lakh was announced so maybe 2.5 to 3 lakhs would be another expansio n which could be undertaken.
Abhineet Anand : So, when things ease out, this can be a plan that one can --?
Neeraj Jain : This could be a plan in my person view, but of course the company has to take a view, but definitely I feel if the opportunity is there we are having the right margin, company is having lots of cash and the opportunities are there, why not to expand it.
Moderator : Thank you. The next question is from the Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala : Just wan ted to understand the demand in the blended yarn so how is the profitability in cotton versus blended yarn ? And is there a long-term demand for blended being better, because of cotton being volatile like this?
Neeraj Jain : Surely the blended demand is bett er. People are moving towards more and more polyester based or viscose based products as well. And if we look at the consumption pattern of both viscose and polyester it's increasing in India. As of now the margins are comparable whether its cotton yarn or blended yarn, because the same spindles can produce anything we want to. And the moment someone looks at, oh there is a slightly better margin in a particular segment everyone will start producing that and again the margin in that segment will also be com ing down.
So, as of now whether it's blended yarn or its cotton yarn, the margins are comparable, but definitely I feel or I find the overall improvement increase in terms of demand on the blended is improving.
Prerna Jhunjhunwala : And profitability is better in blended is what you are saying right now?
Neeraj Jain : No, as of now I said, it's totally comparable. And even in the best of the times it will be comparable only, because the moment people find cotton yarn is better, they will start producing cotton yarn; the moment they find blended is better they start to divert more capacity on that.
So, in terms of profitability there is not going to be much difference between cotton yarn and blended yarn, because the same spindle, same capacity can produce a nything you want to.
Prerna Jhunjhunwala : Oh, is that fungible?

Neeraj Jain : Yes.
Moderator : Thank you. The next question is from the line of Falguni Dutta from Jet Age Securities. Please go ahead.
Falguni Dutta : Another question on the same line, why do y ou think that our cotton prices are not getting aligned with the international cotton prices as they should?
Neeraj Jain : For a simple reason, we can't import today and the farmer is starved because of the import duty on cotton and the farmer is holding on to this.
Falguni Dutta : But this duty, I am not aware of that, so just pardon me for that. Is this duty a new one or it was there already?
Neeraj Jain : So, this duty was put in, in the budget of 2021, so there is a 11% custom duty on import of cotton so this was put in, in 2021.
Falguni Dutta : Then this situation doesn't seem like to be resolving , right, how will it resolve itself?
Neeraj Jain : The only way to resolve is the government takes it back, if they want to.
Moderator : Thank you. The next question is

from the line of Manish Dhariwal from Fiducia Capital Advisors Pvt. Ltd. Please go ahead.
Manish Dhariwal : Taking the cue from one of the participants earlier, given the fact that this year we are --; go ahead on our CAPEX plan and that is also causing us to like maintain some high levels of cash, even after assuming the working capital situation improving by getting to higher inventory. Why can't we look at improving our balance sheet by looking at a buyback which we last did in 2016/2017. Basically, I think that will rate over business on a balance sheet basis far more robust and so that improvement will be there at least for the shareholders. So, what's your view on that?
Neeraj Jain : I think I am not the right person to answer on that, definitely I can relate your feeling to the Board of Directors, but probably on the operational side I can only answer those questions and this question I can discuss or I can maybe convey to the Board, what about your view on this.
Manish Dhariwal : And secondly -- Rs. 1000 odd crores of increase, cotton could have been bought. I was observing that -- already, obviously our size has increased, but still our inventory is at some Rs. 2400 crores odd, is not really less, but you still feel that higher inventory levels woul d be required.
Neeraj Jain : Yes, of course yes, because normally 31st March our inventory is for about 7 months to 8 months period. So, as of now we only had I think about 60 days or so. So, maybe another Rs. 1000 crores, had it been a normal year, I would have added another Rs. 1000 crores of inventory.

Manish Dhariwal : Any possibility of further improvement in our debtor management system? The debtor days which had actually gone up earlier, but that was obviously because of the COVID and other issues --; so we have like further improved. But any possibilities of further improvement there?
Neeraj Jain : We do all the exports under letter of credit and normally in the spinning business, the terms of the letter of credit are 90 days to 120 days usance though i t is covered by the letter of credit, but still technically it is shown as debtor till the time finally money, though we may get it discounted also but at the same time the accounting entry will get readjusted only once we get the final payment through our Nostro account. So, technically that is debtors only because it's a 120 days of LC .
Manish Dhariwal : I was thinking that given the fact that this year the organization's focus would actually not be occupied by the expansion which typically we do. So, how else could the efficiencies or improvements be brought in any thoughts on that, because I am sure you must be thinking on those lines. So, if something of that sort would be shared with us that will be very useful.
Neeraj Jain : First and foremost our priority is to keep running the full capacities. Situation is not normal, most of the value added segments are running at about 70%, which means the spinning should run at about 70% to 75%. So, whosoever is aggressive, whosoever find s the customer, whosoever is in a position to deliver products to the customers in the right time and give right service, with the variety of products, I think that's the key to success.
So, this is the time where the entire focus is i) first to run the ca pacities.
ii) Within the system whatever is the efficiency, productivity or any improvement possibilities to do that.
iii) Whenever the segments and markets are bad, the customer becomes very choosy. So, in terms of servicing them because they want immedia te orders, nobody gives, normally most of the times normal --; I have lots of orders which are good for 6 months or 8 months, today is the time where no customer wants to place an order more than 30 days or 40 days. How do you make those changes and keep supplying them.
So, those are very different challenges

, because nobody is comfortable with the business model, nobody knows what is happening tomorrow so everyone wants just in time. I think it's a different

word as of now.
Manish Dhariwal : Last question, I was looking at our production and sales data we observed that our fabric production sales were like significantly lower compared to the last year, and during the call you also mentioned that the margin on the fabric side is actually higher and anyone who instead of mélange sales the fabric, will make better margins. So, nobody is better than our company in efficiency and in this thing, then why is there a drop in fabric sales and production?

Neeraj Jain : Yes so I think this has been a period where definit ely because of the lull in the market, the volumes have come down . So, it’s not only that we were looking at a higher margins only so that’s why the capacity utilization we couldn’t do . Capacity utilization in any case has been on a lower side because of t he lower demand. The margins improved by default because the yarn prices kept coming down so their margins improved in this period.
If you look at increasing yarn prices, always the fabric margin comes down because we had booked the orders and by the time they deliver it, the yarn prices have gone up. And this is a reversal of the case, where the margins have improved better, because the yarn prices kept coming down, wherever they book it for 3 or 4 months, and by the time they deliver the market prices of yarn are on a lower side.
Moderator : Thank you. The next question is from the line of Varun Gajaria from Systematix Group . Please go ahead.
Varun Gajaria : The revenue, just wanted to check, what is the revenue split for yarn and fabric segment for FY23?
Neeraj Jain : Sorry, we do not share that separately.
Moderator : Thank you. The next question is from the line of Anil Kumar Sharma, individual investor. Please go ahead.
Anil Kumar Sharma : My question is, how much we are exporting to China and Bangladesh?
Second question is under Textile PLI Scheme, are we thinking on those lines and what are the guidelines, any light on that, PLI scheme for Textile?
Neeraj Jain : So, Bangladesh, China are significant markets for India. Of course China past 6 months has been very silent, but they have started coming back again. So, China in the overall volume of things is almost 25% of the Indian consumption, which of course in this per iod has been less.
Bangladesh is definitely bigger, almost 35% capacity of spinning goes to Bangladesh only. So, our ratios would also be aligned to that.
Two, on the PLI, PLI is basically for the 100% synthetic products, there we haven’t applied anything under this PLI schemes so there is no plan for us to go in for a 100% synthetic fabric base business. So, we will not have any advantage of PLI.
Anil Kumar Sharma : Technical textile we are not thinking on those lines?
Neeraj Jain : We are not in the technic al textile, so our fabric business is only apparel fabric.

Anil Kumar Sharma : Yes, we are not thinking on those lines, okay.
Neeraj Jain : We are not thinking and in case for the PLI you have to have separate company, because you can’t do it in the same company so there are different conditions that the government has put in and we did not find it really suitable from our perspective.
Anil Kumar Sharma : My last question is, do you think that in the second half, after October, what is, though it is not clear now, but do you think that our margins will be in the range of, we can think of this 18% or say 15% to 18% margin in the second half?
Neeraj Jain : See my personal feeling is, going by what is happening today the demand has slowly started coming back to the bulk markets. As I mentioned some segment are showing improvement and also every segment fr

om the worst is better . So, as things pass, I think we will be stocking with whatever, whosoever has, we will also keep finishing and people will start coming fo r the buying. Third, if we look at the U.S. interest rates, it’s almost like, it looks like it’s peaked up and now it’s only the stability or the traction will happen. If you look at the energy prices in Europe it is definitely lower than the peak which it touched and slowly it is also readjusting to the current prices.
Having said all these things, it looks like definitely once the demand starts coming in the normalcy in business happens, surely the improvement in every segment of the business would happen , which is kind of an exception in this period of last 6 months. So, if you ask me personally, I am definitely buoyant, during September/October our wool cotton will also be coming in so I hope at that time the prices will also get readjusted and once the demand is there, then why not the improvement happen, should happen.

Moderator : Thank you. The next question is from the line of Anik Mitra from Finartha. Please go ahead.
Anik Mitra : Like in the system we are exporting yarn globally mainly China or Bangla desh, whatever. Now my question is, during the period, when Indian cotton prices are quoting higher than international prices or maybe in line with the international prices and when the consumer is getting better quality U.S. cotton, better quality U.S. ya rn, cotton yarn along with Indian cotton than why international consumers are procuring Indian cotton, Indian yarn, because one thing here, that Indian spinners are still making some money out of it. So, my question is, why then Indian cottons are procured by international consumers .
Neeraj Jain : The customer has all kind of products where some products where the customer doesn't want contamination at all. So, their preference will be to buy the yarn made out of Australian or American cotton only, because t here is no contamination. And customer generally fix a price for that based on the international prices of New York future or the American cotton . The same customer has lots of products which will be used for the darker colors products or where the contamination could be acceptable. So, he is buying the Indian yarn, but at the same time, his

price benchmark is lower than the contamination free yarn , that's what he is doing. So, why would he pay a premium on something where he can use the contaminated cotton, he will not buy the American cotton for that. So, for American cotton whatever is the price there will be a discount compared to that for the c ontaminated cotton , cotton yarn made out of contaminated cotton, that's what it is.
Moderator : Thank you. Ladies and gentlemen this was the last question. I now hand the conference over to the management for the closing remarks.
Neeraj Jain : So, I think de finitely there is an improvement in the numbers in the business compared to where we were 3rd Quarter. But as I mentioned next 3 to 5 months could be again a rollercoaster where all our efforts are to utilize the full capacity and keep serving the customer because whatever is happening today maybe our cotton prices are higher or lower but it's only a temporary phase and eventually I think the readjustment would happen, if not today maybe 6 months down the line or so and so on. In the meantime we can't lose our customers so we have to really ensure the long term viability or the long term advantages which we have created should not be compromised with. So, that's where our thought is to keep delivering or to keep serving our customers with whatever products t hey require so that we can retain them or we can continue to build our better relations.
So, as I mentioned, our first efforts was to keep using the almost full capacity, which we are doing it as of now and all efforts are on that.

Secondly is also in term s of increasing fabric
utilization also. And third is that whatever ideas we have for improvement in the internal efficiencies and all --.
i) So, whatever one is the retaining the customers which is a long term kind of thing.
ii) We are also not compromisi ng anything on our modernization base, you know that's something which is advantage which the organization create for a longer period of time. So, even in the worst of the times our modernization process is continuing. And I am sure whatever advantages we have created over this last many years will continue to do the same. And as the business will keep improving, as the things becomes stable I am sure the business will also improve.
So, I thank everyone of you for having the patience remaining with the comp any. And I can ensure you from the management's perspective we are doing our level best and I am sure as the situation improves our company number would also be aligned or will be improving accordingly.
So, thank you very much and good day to all of you.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of Batli vala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES D:gM
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
ogth August, 2023 to discuss Q1 FY'24 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTI LES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY

"Vardhman Textile Limited's First Quarter FY24
Earnings Conference Call "

August 0 9, 2023

MANAGEMENT : MR. NEERAJ JAIN – JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILE LIMITED
MR. SUSHIL KUMAR JHAMB – DIRECTOR (RAW
MATERIALS), VARDHMAN TEXTILE LIMITED
MR. MUKESH BANSAL – HEAD (FABRIC MARKETING ,
VARDHMAN TEXTILE LIMITED
MR. VARUN MALHOTRA – HEAD (FINANCE),
VARDHMAN TEXTILE LIMITED
MODERATORS : MR. ABHISHEK NIGAM – B&K SECU RITIES

Abhishek Nigam : Everyone, this is Abhishek Nigam from B&K Securities. I am the Textile Analyst at B&K. Hi, everyone and than k you so much for joining Vardh man Textile Limited 's First Q uarter FY24 Earnings Conference C all.

Today, we are joined by Mr. Neeraj Jain – Joint Managing Director, Mr. Sushil Jhamb – Director (Raw M aterials), Mr. Mukesh B ansal – Head of Fabric M arketing and Mr. Varun Malhotra – Head of F inance.

And now without any further delay, I will hand it over to management for opening comments.

Neeraj Jain : Good afternoon, everyone. So, I'm sure everyone would have seen the results. So, this quarter as expected has not been very good and there has been a continuous pressure on the textile industry, w hich started about a couple of months back and I think some pain is still there even as of now also . So, keeping in view the same, the results are declared which is showing EBITDA of about 13% -14% for the company and in this period, of course, the utilization, the spinning side has been almos t full. The fabric side has been a little lower, which slowly started improving now. So, I think two factors which have been mentioning earlier also that one , the demand at the retail style which still continues to be low. If you look at the import data of USA , Europe, the garmenting etc., there's been a drop of about 20 %-25%. So, that's one concern or there's been one fact that the retail demand is less starting from all these political or the issues related with inflation and high gas prices and all and a ll and all. Second was the supply chain mismanagement, which happened about a year back where most of the brands collected lots of material and they wanted to destock the things. And by and large, that situation is over now, and the day -to-day demand of th e brands has started happening for most , I'll say almost 80%-90% brands. There are a few still which want to reduce it further, so eventually that means the 80% demand has started coming back for most of the products , which is some sign of relief for most of the industry. Of course, till the time the entire utilization is not happening fully, the margins cannot improve because there's a pressure of th e utilization through everyone.

The third factor , in India, the demand has been relatively less in last couple of months and there's been again some small improvement which we have seen in last couple of weeks, but we are yet to establish whether that's kind of a permanent or there's still only for a small period of time the demand is coming. Though the overall industry the pressure is there, but there are some small silver linings which have started appearing. So, the first silver lining was the better demand of home textile products . Last year when the things have gone bad , home textile was the first one to die down or to where the capacity utilization had come down. But fortunately for last 3 -4 months or 2 months, the utilizations and margins are one part . First, we are talking of the demand supply only. So, apparently , the home textile started doing good, both sheeting and towel, t he utilizations are far better than what it used to be before.

The second segment where we have seen some improvement last couple of week is the woven fabric. So, again the woven fabric , if you loo k at most of the industry, the utilization has come down to about 70% or so. As of now, we understand or we estimated close to be about 80% and I hope in next one month, 1.5 month s, it will be reaching almost 90% plus, w hich is the normal kind of utilizati on for the weaving also. On the knitting side also, our estimate is from a worst of about 50%, today we are operating in the range of about 65 %-70%. So, there's some improvement, but yes, there is still more scope . And the

fourth segment which is still in a bigger problem as of now, it looks like is the denim where the utilization is not more than 50 %-55% even today also. But another silver lining is India , the festive season is ahead of us . Next 3 months, 4 months are this festive and the Western world als o the festive or the year end is coming in, which is ahead of their festive season. So, hopefully things should be better next couple of months. And so this is in general on the textile demand side .

On the raw material side, this has been again the pressur e or the struggle on the raw material side continues. We've seen lower cotton p rices in India on the New York F uture basis. So, it had come down to a lower side of about 300 to 500 basis points, which again has now increased to 600-700 points as of now. Wh enever there has been a lower price of about Rs. 55,000 – Rs. 56,000 rupees a candy, which is kind of almost minimum support price going by the 10% decrease which the government has done. So, practically, the cotton price s, it looks difficult tha t they'll be coming down below Rs. 55,000 or so. A t the moment they start coming to that level, people start moving onto the bottom, so the prices start going up once again. So, we're seeing this quarter the price is moving from 61 ,000-62,000, coming down to a lower of 56,000 and again now back to about 59 ,000-60,000 as of now.

The overall crop , there has been a major seesaw in the overall crop numbers for India in this year. So, the original estimate started coming somewhere about 330 lakh bales in between the government agencies or the private agencies , they kept reducing that number, and it was estimated by some of the agencies that the crop may not be more than 290 lakh bales or so, which was putting kind of a huge pressure on the system because imports cou ld not be done because of the 11 % duty on the system. But now slowly we are still finding some arrivals coming in from the last season and as of now , it is expected 305 lakh bales have already come in. So, maybe this year crop could be in the range of about 315 to maybe 320 lakh bales, which will be coming to the market because Indian cotton year is from 1st of October to 30th of September, so we're left with about 50 days. So, I expect maybe 320 lakh would be the numbers where this year the arrival could be there. The next year, s owing seems to be good , most part of the world. And definitely, of course, there are some areas where the s owing is a little lower, but at the same time the US is likely to show better numbers because last year there was a huge abandonment of the c rop, which may not happen this year. Of course, it's too early to say as of now, but it is only going by the today's situation. The India s owing numbers are good, so the rains have been reasonably good. Whatever excess rains have happened, apparently that hasn't impacted the cotton area in a bigger way. So, probably this year crop could also be good and we can hope

maybe the crop size could be in the range of maybe about 320 to 340 lakh bales or so, again going by the today's situation.

The only one area the Pakistani crop seems to be good. So, last year they were there. There has been floods , so they had to import lots of cotton and as a result of that, the overall cotton prices kept rising up. The only area where there seems to be a little lower crop expected till now is the China where the s owing is less and maybe they will be lesser by about 10 %-15% from their normal crop s ize in this year.

If you go by the demand supply, there are various agencies which have shown, includi ng the ICAC, USDA, which has shown some improvement in the consumption numbers for the next year, which can happen also . At the same time, even in spite of that , the overall closing stock of cotton is likely to be higher than even this year clos

ing stock , so which means whatever are the production numbers and whatever is the consumption numbers , net -net there could be a possibility of a little increase in the stocks because international cotton season starts from 1st of August. As of now, situation is not very good. So, maybe first 1, 2, 3 months , the consumption could be lower . As a result of that , there could be some addition on the raw cotton side in the world markets overall whether it is in A country or in B country . So, that's the sit uation on the raw cotton.

In terms of the supply chain, things are quite good. Nowhere there's any issue of the su pply chain or the cost increase . So, most of the trades have come down to the norma l, the availability of the cargo etc. is absolutely no issu es and the demand supply and the supply side in terms of reaching the goods in a particular time, whatever was the normal time, I think that's happening in a normal way. So, there's no issue and concern to that extent only.

So, that's in general my initial comments, I think there could be many more questions. So, let's go along with the question -answer session . Before that , I'll request Mukesh to give a little more idea on the fabric because that's one of our important and the bigger business. So, Mukesh, i f you could just give a couple of your more views and the market situation as of now.

Mukesh Bansal: Yes, Neerajji. G ood afternoon, everyone. If you look at last about two quarters, the demand from the international markets was quite muted. There were about 3 reasons for that we can quote . One, of course was the carried over inventory that the brand had. Second was the fear of recession and increasing cost of living because of interest rates and other commodity prices. Third, of course was as the demand was low and the commodity prices were expected to fall down , so everyone is skeptical of valuation losses. So, the order placement was also lower as compared to what they may have otherwise done. So, as a result, the inventory in the supply chain as we es timate is quite near normal now. Even if you look at the numbers declared by some of the brands in the US and we compare their inventory level as compared to their last financial year. So, now, barring few brands , most likely in most of the brands, the inv entory numbers are near their long term normal or in some cases they are lower also. And the brands

are temporarily willing to live with the lower inventory to take care of concerns of the future recession or the prices fa lling in on the commodity side.

So, out of the three concerns, one was the inventory, which seems to be settled . Second was the bottoming out of the commodity prices. So, that also seems that the commodity prices have bottomed out, whether it is cotton or yarn. And from here on , there is a possibility if the demand picks up, the prices may only go up. So, now after two quarters of muted demand, now the demand is coming up. From the US , it is we will say near normal . Europe is still subdued . UK, the demand is good and other bigger markets for us like Japan and India, they are also we are

seeing the demand revival happening . Particularly India , the period from end of August till December , it is particularly festive season and also the marriages. So, that is the peak time when India retail happens. So, all the brands are geared up with new inventory, new styles to take on the consumer demand, which everybody is expecting the demand is likely to be good . And now with the prices also being near normal , there is no fear that if they place demand today, they place orders today , the prices may fall tomorrow. So, it looks like the worst is behind us and as compared to Q1 , the capacity utilization is also improving. So, hopefully things will turn out t o be better. That's from my side, Neerajji .
Neeraj

Jain: Thanks , Mukesh. So, can we start the question answer please?
Abhishek Nigam : Sure, Sir. Thank you so much for the opening commentary, Mr. Ja in and Mr. Bansal and now we wil l open the floor for questions.
Abhishek Nigam: So, maybe I can ask the first question. So, there has been an FTA with Australia now and you know I'm just wondering if people are now starting to import cotton from Australia, which will be without duty to sort of lower the raw material prices . So, is that happening in a big way now?
Neeraj Jain: There is a limitation of 50,000 tons du ty free cotton which can come to India, which is barely about 300,000 bales only. So, since this quantity is limited and the quota system was implemented by the government of Australia, wher e they had given it to their shippers to decide, they have given this quota to their shippers. So, eventually the shippers in Australia, they have increased the basis for India. So, practically, the advantage of duty-free cotton to India is not available b ecause it's only 300,000 b ales and they have increased the prices to almost the same level where we will not get any advantage of the duty free, but practically the cotton remains same what you have , otherwise you can import to India and by paying the duty, so practically zero advantage to India even if the FT A happened.
Abhishek Nigam: That's very interesting. So, we have the first question from the line of Abhineet Anand. Abhineet , I've unmuted your line. Please go ahead.
Abhineet Anand: On this sprea d, what has been our cotton yarn spread for the quarter, sir ?

Neeraj Jain: Almost in the range of about $0.55 to $0. 60 only, and that continues even now also because as I mentioned, since the downstream industries are not doing very good and still everyone is trying to ramp the capacity with the higher cotton prices. So, the spread continue to be in the range of about $0.55 to $0. 60 only .
Abhineet Anand: Second thing is that I think 2 things you had highlighted in your earlier calls also one was the differential in Indian and international cotton and second was that improved duty which was the reasons why apart from the demand part which is obviously there , reasons why you were not expanding beyond the current expansion that had happened, right . So, with present scenario where the differential has come down to mid-single digit, any thoughts on that s ir?
Neeraj Jain : Whenever we are expanding, I think the call has to be taken for a longer period of time that what is the likely scenario for next couple of years, it can't be on a quarter -on-quarter basis because you are spending the money for next 15 -20 years. I still have two co ncerns in my mind. One concern is the import duty , which will always force us to have a higher basis for the Indian cotton compared to the international because there you can't import. So, even if a crop is not good or things are not good, you can't import because by paying 11% duty , you're virtually out of the system. So, that's been one concern. Second concern comes from the minimum support price . The minimum support price as of now has become almost Rs. 55,000 – Rs. 56,000 per candy for the Indian market , which is like. So, in case the New York F uture remains abo ut $0. 80-$0.82, I think it may still not hurt us, but anywhere it starts coming down to $0.75, $0.70, then Indians will have a huge disadvantage compared to the rest of the world because then we will be caught up with the minimum support price. Now these are the two challenges, unless the minimum support price is now , so nothing much could be done to that extent, but unless we have a flexibility on the import duties, I still feel the permanent sol utions are not there and suppose tomorrow this duty continues for a longer period of time , that always be a concern for us why to spend how t

o spend I think that concern is still there in our mind. We're still waiting and watching till the time the final d esign is taken on the seat.
Abhineet Anand: And so in the meantime, if we are largely full on the spinning side, as you said , can there be small bottlenecking etc. which can help us in slightly higher?
Neeraj Jain: That's being done everywhere. So, whereve r there's a possibility by doing some modernization or some debottlenecking, that's always been done. So, that's one area where in spite of whatever difficu lt time we had in the last year, so rather my modernization budget for the year is one of the best. So, over there , we have no issues because whatever capacities we have, we want to run it as efficiently as good as the best spirit we can. So, over there, modernization, debottlenecking,

or augmenting it , absolutely, we're not even thinking it even for a s econd.
Abhineet Anand: So, for ‘24, if one has to see ‘23, you added around that 1 lakh spindle s. So, on average , if one has to assume one is that addition of around the lakh spindles plus this modernization, how much volume can increase in 24, assuming there is demand?

Neeraj Jain: So, I mean two factor s, one is that we have added this capacity and second also last year there was some partial capacity which was stopped on the spinning side. So, my belief, both things taken together, there could be a poss ibility on the spinning side 15 % to 16% top line growth.
Abhineet Anand: In volume terms ?
Neeraj Jain: The value has been coming down, so I can't predict on that, but I'm only talking on the volume side. So, 10% to 15% would be possible to do in this partic ular year.
Abhineet Anand: And on the fabric side, s ir, how do we see? You obviously did highlight that the utilization is improving there. So, any thoughts on there, what was the utilization now and over the next two quarters where it can go?
Mukesh Bansa l: During the Q1, our utilization was about 70% and Q2 will be in the range of about 88 % to 90% and Q3 should be 90% plus.
Abhishek Nigam : Thank you, Abhineet . We have the n ext question from the line of Falguni Dutta.
Falguni Dutta: How do you see the spreads compared to Q1 in Q2 and Q3? I mean directionally how much higher do you see them to be?
Neeraj Jain: So, actually, this spreads Q2 would be if I talk of the spinning could be even a little lower than Q1 because in this period if we look at the yar n prices , that kept on coming down. So, we started last year from a price of about $4.5 for a pound . And slowly, as of now, the price is $3.10, so the price has been coming down only. And whenever the prices are coming down, you have the advantage or disad vantage that you have booked something at a little better prices which will keep coming down on month -on-month basis. We talk of these spreads for the Q1. That may be almost comparable to the fourth quarter of last year and Q2 would either be comparable or little lower only. Because the prices of yarn ha ve been continuously coming down, there is no instance of any improvement in the yarn prices till now. So, it's only one way direction because the downstream industries were not doing well. It's only last co uple of days where we started finding some small demand improvement in the domestic market. The prices have not improved, but once I'm sure once everyone is booked on the y arn side, probably it's only that the prices could improve. So, if you look at Quart er 1 or we are looking at even quarter 2 as of now I'm saying , these spreads are not likely to improve. It is only coming down at all.
Falguni Dutta: Sir this is just for my understanding, assuming the cotton prices remain where they are. If we see an overall improvement in garment demand, then can we assume that the yarn prices could go up and so the spreads?
Neeraj Jain: Of course

, yes because it's only as of now spinning is trying to run the full utilization in India, they are exporting reasonably we ll. They are trying to sell it in India. So, their margins are under

pressure because downstream is not working on 100% capacity utilization. The moment we start finding the downstream industry also in the normal utilization spread is surely likely to impr ove. But at the same time, it is not as of now, that's not the situation.
Abhishek Nigam : So, the next question is from the line of Awanish Chandra. Awanish , can you go ahead?
Awanish Chandra: I will just build on the same question . Sir, y ou mentioned that spread remains the same what we had in quarter four and then yarn prices is also coming down. So, mathematically our margins would improve rather than going down. And so that mathematics, if you can just detail for us ?
Neeraj Jain: How will the margins im prove if the yarn prices are coming down?
Awanish Chandra: Spread is same, right more or less quarter four and Quarter 1 and my realization is going down. So, spread by realization mathematically some optics ?
Neeraj Jain: So, when we talk of spreads, we ta lk of the spread means the difference between the cotton prices and the yarn prices. That's the spread. It is generally talked on the textile or on the spinning side. I'm not saying in terms of spread means the margins on the sales, I was not saying that. So, the spread is the difference between cotton and yarn prices. So, it is coming down only because the yarn prices are coming down. So, suppose earlier I've sold yarn at $3.30, then I've sold at $3.20, then $3.10. My cotton remains almost similar cost , then practically my spread is coming down only on a every month basis. And till the time the prices of yarn are going down , so now the yarn prices are stable. So, once it starts going up, then only the spread will improve. So, in this period, whenever the pr ices are going down, the spread every month will keep coming down only assuming same raw material prices.

Awanish Chandra: And the situation is continuing the same thing what we have seen in first quarter?
Neeraj Jain: As of now, yes.
Awanish Chandra: So, practically though, no chance of margin improvement till half of the quarter 2?
Neeraj Jain: I can't say that , I'm saying it's a today's situation. As Mukesh mentioned last 2 -3-4 weeks, we are finding good demand on fabric side. So, if things start improving, it can improve. But yes, today's situation not really show any substantial improvement in the system.
Awanish Chandra: And s ir, you have already explained everything related to your thought process on CAPEX and you highlighted your two concerns. But if these two concerns on MSP side and import duty side remains as its , then we will decide not to grow from here ?
Neeraj Jain: No, that's not the answer. But yes, it may take some time because there are two factor s looking at it. One, the overall things look good. I forgot to mention which I mentioned earlier also. The

thought process of most of the Western world on China Plus O ne continues. I have visited USA 3 weeks, 4 weeks back met lots of big brands and that there thought process seems to be quite good and quite consist ent. They are looking at China Plus O ne. So, they want to come to India. The only concern will be your question will be whether the country will be in a position to give them what they want or not, one. Number two , if they continue to come to India, there could be a situation for maybe a year or two where the things are continuously bad for Indian markets. Maybe some of the capacity will go off, unfortunately right or wrong if the things are not improving and if 7%-8%-10% capacity is under question mark or goes down, probably there'll be again. This is a

situation where our concerns are legitimate as of now, in our view, and having said that, it's not that we will not be expand ing. And we being a v ery conservative company, we have been a little more extra conscious and we want to wait for a couple of quarters before we start expanding in a big way so that we are very sure of what we are doing. That's all. So, it's nowhere we are saying we'll not be expanding at all.
Awanish Chandra: Understood. And s ir, last b it you talked about Australia FT A thing and there is no advantage as far as RM is concerned. But when we export , there we have advantage, right?
Neeraj Jain: So, eventually Australia is not a country which will be buying ya rn or which will be buying fabric. They'll be buying g arments only. So, our advantage will come in directly to us whenever the g arment starts export ing. So, the garment will require good fabric or good yarn, so which we will b e in a position to supply to them in India. So, that's the advantage, which surely should come in, but I think slowly as those businesses start coming in will take some time and that advantage will come slowly. But on the raw material side , unfortunately because of very small quantity and the quotas being given to their shippers, that advantage couldn't be passed on to India.
Abhishek Nigam : Thank you, A wanish . The next question is from the line of Yash Tanna . Yash , can you go ahead please?
Yash Tanna: So, my first question is related to the spreads. So, if we see downstream, our garment players are indicating towards H2 recovery in demand and I think even you mentioned some bit of it. So, my question is what are the spreads that is required for us to go bac k to the historical range ? And let's say if demand revives in H2 , do we expect even our margins to improve with the revival?
Neeraj Jain: Generally, the spread for the cotton spinning are always in the range of about $1 , so $0.90 to $1 and definitely if the demand improves not only in India worldwide, there could be a possibility because this has been a long -term kind of a spread. So, $0.90 to $1 can be done easily if things become normalized.
Yash Tanna: And s ir, at those spreads, what will our margins b e?

Neeraj Jain: Historically, our guidance has always been about 18 % to 20% EBITDA margin. If we start achieving $1 , probably we will be reaching close to that.
Yash Tanna: And my second question is relating , so you mentioned in the opening comments about home textile revival, I missed that part. Can you please give an overview of how home textiles have been improving and their capacity utilization and what is the reason why home textile is improving versus the other subsegments?
Neeraj Jain: So, if you look at it, there are two ways of looking at improvement. One is the margin improvement , second is the capacity utilization and my belief, any commodity business if the utilizations are improving, eventually margins will also improve because your co sts come down and as you are full , your capacity to negotiate better prices also improves. There is definitely an improvement in the overall utilization of home textile in last 2 months or so. And if you look at

their results also, most of the companies wh ich have declared they've shown decent results and there's definitely an improvement from their corresponding periods for most of the companies. There are two r easons I think in my view. One, as I mentioned up here also if you look at the travelling data, if you look at the overall flight data, there are definitely improvements. So, which means home textile is directly related with tourism as well. So, if things are better, so it's a better too. Most of the brands which would have exhausted the stocks , they started giving the orders again so that that could be one area where the improvement is happening. Third sp

ecifically in
my view , if you look at , Pakistan is also one of the big player in the home textiles and last year, last couple of months Pakistan, bo th politically and the textile industry is not doing very good. So, eventually that advantage also coming to India and to the rest of the world where people want to have more say for supply chain management, so probably that would be also one of the possib le reasons where these orders are started coming to India. Fourth, if you look at the last year chain, home textile was the first one where their capacity utilization has started dropping last year. And the remaining downstream industry, whether that's knitting, fabric , it was almost two months, three months later we started finding the same pressure. So, eventually I think the cycle is almost kind of 8 months , 9 months where their utilizations were bad and they started improving. And if I look at the woven fabric, almost similar time, so we were good till about two months after the home tex tile was down. Probably now we have started improving, so I don't know whether it's a correlation or it's a coincidence or whatever it is. But practically, I think as the destocking process is over , they started ordering more goods from the vendors.
Yash Tanna: Right, s ir. Thank you. And one last question if I may. So, in your experience, do you think that these spreads that we're operating on $0.55 - $0.60, below this spread, it will be unviable for a lot of us to operate and we might be near the bottom and even the raw material prices are stabilized, So, what are your views going ahead on the spinning side?
Neeraj Jain: So, your idea is absolutely right , below $0.50-$0.55, it may s tart making sense for this spinner to reduce the capacity rather than keep producing. So, because the design is only that spread including your fixed cost, whether you are in position to cover part of the fixed cost or full fixed

cost or not. So, eventually, if the prices of raw material increases or the yarn prices go below this, it will be difficult for the spinner to continue the operation and once there is a cut on the production side, probably again, some dispute could come in , one. Number two, it is also to be related with international market. Today, New York F uture is at about $0.84 - $0.85 and the cheapest cotton will be available to Vietnam. I'm talking of the big spinning countries, so they'll be getting cotton at close to about US $0 .98 - $0.99 or so. There, c lean cost will be in the range of about $2.70 - $2.75 and today they are selling the yarn at about $3.30, which is made out of the American cotton , so practically getting a spread of about $0.65 only, which is also very less. The moment prices goes up or the yarn prices come down, so it's not only India which will be unviable , the other parts of the world also will stop dropping the productions. So, practically, this is kind of one of the lowest margins. And if let's say the price of cotton goes up by another Rs. 3,000 – Rs. 4,000 a candy or the yarn prices come down by another $0.20 - $0.25 , probably people will start looking at stopping part of the capacity to reduce the losses.
Abhishek Nigam : Great. Thank you , Yash . The next question is from the line of Roshan .
Roshan: So, I just wanted to understand the volumes that shifted to India from Pakistan. Are they sustaining right now?
Neeraj Jain: As of now, yes. So, Pakistan had two problems last year. One was there were floods, so their cotton crop got damaged . As a result of that , they were hit very badly because they had to import cotton, which was at very expensive prices. Two is a political turmoil. So, the first problem is relatively over where the new crop is started coming in and their prices are aligned to the wor ld markets as of now. But the second part continues to be concerned where it

's not my view I'm
saying , when we talk to our customers, probably lots of them or many of them feel that they want more of a stability i n terms of the political environment also because these are all brands which takes longer period of time to adjust or to decide on their supply chain management. So, I think that part still continues to be in favor of the deal.
Roshan: And another question was, has there been any spindle capacity addition domestically or globally? If yes, is that a cause of concern for us?
Neeraj Jain: The s pindle capacity increase , every year happens in the range of about 4% to 5%, and that has happened last year also. Rather last year , the expansion because of the good margins was relatively higher , so both short spindles as well as open -end converted on the ring spinning , the overall expansion as per the ITMR data is in the range of, maybe about 6.5% -7% of the installe d capacity, w hich normally happens in the range of about 4%-4.5%. So, practically we have added

about 2%-2.5% additional capacity, which has definitely given one concern . On the top of that, the demand was less. So, I think whatever excess capacity which g ot created has definitely given some issue, at least the year gone. So, till the time the demand normalize s, this is a concern too. And this year, also because most of these projects were announced 2 years back where the advances were given, construction w as started. So, if I have my own experience talking to or

working with most of the machinery manufacturers , they are likely to give reasonably good quantities of machinery even this year also. So, these guys, if you look at Laksh mi, Rieter, Truetzschler , all these vendors during ‘21-22 they sold whatever their production manufacturing capacity, so they booked the advance orders for about 2.5 years at that stage , which they have been supplying. So, they had a very healthy order book at that stage for about 2.5 or 3 years, which has slowly been coming down. So, if we look at this particular year , my belief the 4%-4.5% expansion will happen even this year also, but yes if this situation continues, the next year there are no new orders are coming to them as per the verbal discussion we had with them from time to time. So, practically, the next year the drop will start happening, but whatever projects were conceived 2 years back, I think by and large, for example, we also added about 100,000 spindles in March or April this year. This was all conceived 2 years back where the work was going on. So, this year I believe maybe the normal expansion will happen even this year also.
Roshan : That was helpful. One final question from m y end. So, any color on the UK FT A time line?
Neeraj Jain: No idea.
Abhishek Nigam: Thank you, Roshan. Meanwhile, s ir, if I can just slip in one or two questions. So, starting off with the quality control order which has been in the news for a while and what I'm seeing now is about what the government has done is they've probably postponed this by three months or so, but overall, what are your thoughts in terms of how will this be implemented and is this practical at all or not?
Neeraj Jain: Sushilji , can I request you to answer this please?
Sushil Kumar Jhamb: The Government of India has deferred this for another three months. The way the objections are coming out , probably it will be further extended by next three months , then after that the government would take a decision.
Abhishek Nigam: Fair enough. So, but how practical is it, given how unorganized we are, how do we really implement this on the ground ?
Sushil Kumar Jhamb: No, as far as the ginning mill is concerned, they can definitely do it, but at the moment we do not have the requisit e number of labs which would test that material. That's why the government has deferred it. Probably it

will take more than a year or so to those labs and then maybe it gets implemented.
Abhishek Nigam: So, my question is that it's a very valid concern that the i mport duty on cotton has to go away before you are able to sort of take that decision of expanding capacity. Now the problem is we have elections in India next year, which is another 10 months or so to go and the import duty may not go away for another 8 to 10 months or so ?

Neeraj Jain: We have to live with that then.
Abhishek Nigam: So, is there something that could change and that sort of helps you go towards that space where you can make that decision in in terms of a higher level of demand or lower machine ry?
Neeraj Jain: Of course, yes. These are all dynamic words. So, I mean in this kind of scenario where the overall pessimism is there, that's one part. So, which is not really a big concern for me because eventually, whatever is happening wit h everyone in the entire world, things will get sorted out. It's a matter of three months, six months, nine months. So, I'm really not worried on the same. Our concern is if things are better and still India is not doing good because of the challenges we are creating for ourselves, then what happens. But in spite of that, I think wherever the demand is good or there are the commitment s from the customers or the customer wants to come in , there is a possibility for us to do a better margin business. We're st ill open to that idea.
Abhishek Nigam: Fair enough. That's very helpful. We have the next question from the line of Abhineet Anand. Abhineet, if you can go ahead please.
Abhineet Anand: So, just a small clarification sir. Cotton must be at an average of 57 -58 last quarter, which implies around Rs. 160 per KG, right? And you are saying that your spread was around $0.55 , which is Rs. 50 . So, just trying to understand the math s that, I mean yarn m ust be more than must be in 250-245 range , right?
Neeraj Jain: Yes.
Abhineet Anand: So, that spread would have been higher. Correct me if I'm wrong , 160-165 at cotton and yar n

must be 250, so that number should be on a gross number should be 90-95, right?
Neeraj Jain: Yes, but a gain, whenever we are talking of this spreads and the cotton spinning , one has to look at the cotton cost net of all the wast ages b ecause to make one K g of yarn , you require about 1.38 Kg of cotton.
Abhineet Anand: So, you are saying adjusted to that?
Neeraj Jain: Yes, it is always adjusted to that. Adjusted to that and reducing the cost of sale of whatever wastage s could be sold. So, there's always net of type.
Abhineet Anand: And second is that when you have given example of Vietnam, you said around that $0.84 in US becomes 98 -99 which is bas ically the shipping cost etc. you are trying to b aking it , right?
Neeraj Jain: Yes.

Abhineet Anand: And lastly, since we had another income of almost Rs. 92 crores this quarter, can we have a breakup of that?
Neeraj Jain: Other income of Rs. 92 crores?
Varun: Varun, this side. So, out of Rs. 93 crores, s o 47 is basically the other operating income which includes the FX gain and other than that , the remaining part is basically the investment income.
Abhineet Anand: So, there is a 4x gain of Rs. 47 crores, but that is an open. .
Varun: Not entirely Rs. 47 crores, almost Rs. 20 crores of FX gain. But there are other elements like government grants and subsidies.
Abhineet Anand: So, that is in line with what we sell and all right, the benefits that we get?
Varu n: Yes.
Abhineet Anand: So, the only incremental or one-off thing is the 4x gain of 20 crores. And what this related to directly?
Neeraj Jain: So, whenever every quarter there has to be a mark -to-market or whatever forward contract we have done because we keep se

lling at that time based upon our selling of yarn, the Forex position is taken. But every month , we are supposed to do the mark -to-market of that. So, depending upon at what price the US dollar or the rupee is closing on a particular quarter, there could be some gain or loss to that extent .
Abhineet Anand: And for ‘24-25, what could be the average maintenance C APEX sir ?
Neeraj Jain: In my view, ‘23-24.
Abhineet Anand: Yeah, I'm saying for the two years , 24 and then 25.
Neeraj Jain: Our earlier thought was that it should be in the range of about Rs. 250 crores per year. But now looking at the possibilities of a deep bottlenecking or the obsolescence or the improvements happening in the system, I feel personally it could go in the range of about Rs. 350 crores to Rs. 400 crores for both the businesses together on a yearly basis.
Abhishek Nigam: I have a question from the line of Falguni Dutta. Falguni, g o ahead please .
Falguni Dutta: So, we have mentioned hedges in the notes to accounts. So, these are what ? Do we sell yarns ? Is this selling of yarn the hedges?

Neeraj Jain: No, this is the forward contract. It just means whenever we sell yarn simultaneously depending upon our view, we try to cover the foreign exchange also. So, these are thos e hedges .
Falguni Dutta: So, these are just Forex hedges?
Neeraj Jain: Yes.
Falguni Dutta: We don't do any hedging. There is no possibility of like let's say selling yarn no like suppose if we are in a situation where we are seeing yarn prices falling, there's no possibility of selling the yarn in futures against the ...
Neeraj Jain: No, there is no yarn future , so we can hedge either foreign exchange or cotton . So, in this period the cotton was not there. O f course , we keep taking those positions from ti me to time, but there's no way you can hedge the yarn.
Falguni Dutta: So, I missed you on the cotton. So, what can you do in cotton, I mean Forex you hedged but..
Neeraj Jain: So, cotton you can sell your future or you can buy on the New York F uture , so yo u can do. The MCX is also there, but unfortunately the volumes are not there, so nobody can hedge actually practically on the M CX, but you can do t hat on New York F uture.
Falguni Dutta: And do we generally do that?
Neeraj Jain: We sometimes, if we have a very strong view or we take a larger position , sometimes we do that.
Falguni Dutta: So, s ir, just if you can pardon my not understanding if you can just explain how does this become a hedge in that case because we as it is have cotton stocks, So, what do w e do against that?
Neeraj Jain: So, suppose I want to buy cotton today because cotton is seasonal and most of the cotton has to be bought in the next 3 to 4 months ’ time. If I'm bullish on the cotton prices , then probably I

may not do the he dge, but at the same time, if I'm buying cotton and I feel the prices can go down, but at the same time I still have to buy it because this season is available only in this , then the only choice is either I buy a quote or I sell the New York future . On New York Future th ere may not be 100% correlated, but directionally it will be same. Which means if the cotton prices goes up, I have an advantage on my physical inventory and I have a disadvantage on the future which I have sold or vice versa.
Abhishek Nigam: Anil, I have unmuted your line. Can you go ahead please?
Anil: Sir, I want to ask what is the present capacity utilization of spinning and fabric and what do you understand , any color on the future , second half ? What do you think about the capacity utilization in the coming quarters?

Neeraj Jain: Our capacity utilization on the spinning side is almost full . On the fabric side , it used to be 70%. We are hoping by the end of this quarter it will be

90% plus.
Anil: Right. And what do you think about this in the second half?
Neeraj Jain: I hope this should continue on a better utilization basis.
Abhishek Nigam: So, I'll just slip in one last question before we close this call. Just wondering and 6 months back there was a lot of noise around what all the government is doing in terms of MITRA P arks. There was a PLI scheme for government thing and the UK FTA and all those things. Now what we're hearing is that the progress on most of these has been fairly slow. So, for example, even where MITRA P arks have been announced, there has not really been land allocation and the process is not really underway in a big way. So, overall, is that impression correct and what are you hearing in terms of these developments , whatever you can share with us ?
Neeraj Jain: I think since my view, whatever decisions the central government has to take, probably that happens on a faster basis compared to whenever you have to involve the state governments because they have their own processes. So, it's not that they are not doing or they are going slow, but I think it's only the processional issue where you have to involve the state governments and they have their own issues , formalities, land acquisition is not very easy today and that's the kind of thought or the delays which ar e happening. But in terms of thought process , looks difficult for me to say the thought process is gone, undergone a change or it's a slow from the government side. I don't think so, but yes, whatever the formality of the states, they have to do, probably that's in India , the land acquisition, those th ings have always been a concern . So, which is a time-consuming kind of a thing , so which the various state governments are working.
Abhishek Nigam: Fair enough. So, overall, very informative discussion today. Any closing comments you want to leave us with in terms of how things look over the next 2 to 3 quarters ?
Neeraj Jain: So, I think this quarter seems to be or continues to be under pressure. But as we are looking at some improvement on the downstream industries, I can only hope things will start becoming better from third quarter onward s. But that's only my hope as of now. So, we have to keep watching this situation very carefully and whatever is happening , we have to really accept that, but it's a har d part of life, but at the same time, it's a fact ually t rue, but only I can say that whatever internally could be done, we are really working hard to look at that this difficult time should be passed through in a better way so that whenever the good time c omes in , the organization is ready to take advantage of that as well. So, I'm thankful to all our investors, all our friends who have faith in the company and I'm sure it's a matter of time as the thing starts improving , the overall situation or the business will also improve.

Abhishek Nigam: Great. Brilliant. So, that brings us to the end of this call. Thank you so much to the management for this insightful discussion and thank you so much everyone else for joining us to day for Vardhman Limited’s First Quarter FY24 Earnings Conference C all.
Neeraj Jain: Thanks guys. Thanks B&K to organize this.
Abhishek Nigam: Thank you.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

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Dalal Street, MUMBAI-400001. MUMBAI-400 051
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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q3 FY2024
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule II of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
25t January, 2024 to discuss Q3 FY2024 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY

"Vardhman Textiles Limited
3Q FY '24 Post Results Earnings Conference Call "
January 25 , 202 4

MANAGEMENT : MR. NEERAJ JAIN -- JOINT MANAGING DIRECTOR --
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR , RAW MATERIALS --
VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR -- CHIEF FINANCIAL OFFICER --
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL -- HEAD OF FABRIC
MARKETING -- VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA -- HEAD OF FINANCE --
VARDHMAN TEXTILES LIMITED

MODERATOR : MR. ARCHIT JOSHI -- BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Vardhman Textiles 3Q FY '24 Post Results Earnings Conference Call, hosted by Batlivala & Karani Securities of India Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Archit Joshi from Batlivala & Karani Securities I ndia Private Limited. Thank you, and over to you, sir.
Archit Joshi: Thank you. Good evening, and welcome to all participants on the 3Q FY '24 earnings conference

call of Vardhman Textiles. I welcome you all on behalf of B&K Securities. We thank the manage ment for the opportunity to host this call. We have with us today from the management, Mr. Neeraj Jain; [Vice] Managing Director, Mr. Sushil Jhamb; Director for Raw Materials, Sir Rajeev Thapar; Chief Financial Officer; Mr. Mukesh Bansal, Head of Fabric Ma rketing; Mr. Varun Malhotra, Head of Finance.

Without further ado, I would like to hand over the call to Mr. Neeraj Jain, Joint Managing Director of Vardhman Textile s for his opening remarks, post which we can have a round for a question -and-answer session . Over to you, sir. Thank you.

Neeraj Jain: Thank you, Archit. Good afternoon, everyone. The results are already announced. There is some improvement in the results, which we can discuss in a couple of minutes. But primarily, the challenge of textile conti nues to be there. Of course, there is some improvement happening in demand -- on the demand side.

But at the same time, the overall demand is still much less, the capacity utilization across the globe is much less on the spinning side and even in India, even as of now, the estimated capacity utilization on the spinning side is only around 75% to 80% against the normal utilization of 90% plus.

The second business, on the woven fabric side, things are better. And as of now, the capacity utilization not only for us, but for the other also is definitely far better compared to what it used to be. And that's the reason there is some improvement happened on the overall -- on the fabric side, which is helping the overall improvement of the company side as well.

In this period, on the demand side, I think the export continues to be from India, almost about 100 and 105 million kg per month, which is the normal exports from India. The domestic demand seems to be still not to be marked, which is required or desired. As a result of that, the overall pressure is still there on the margin side.

The improvement on the results have happened, but not because of the price increases happen on the spinning side, but basically for the 2 reasons ; One, some improvement on the capac ity

utilization of value -added products like Melanges or coarse spun etc etera ; Two, the reduction on the raw material prices.

So, on the basic products, cotton yarn, PC, I don't think there's an improvement on the yarn that has happened and whatever improvement we have seen is only on account of the reduction in the raw material price.

Starting with the cotton prices. The cotton pri ces this year -- I mean, we started the new season starting somewhere in the month of October, and the prices started coming low. And as of now, the prices are ranging almost about INR55,000 of [candy] in India, which is equivalent to $0.84 per pound. The newer future as of now is almost close to about $0.85, which was about $0.80 a week back.

So even if you look at a $0.80 mark, which was there for a long period of time, the American cotton availabilit

y in India would be on a 1,500 basis points, which in c lose to about $0.95. And against that, the Indian cotton is $0.84, $0.85 as of now. So definitely, the disadvantage of prices of Indian cotton, which happened continuously for the last 2 years is not there as of now, rather it's a favourable and it is one of the lowest cost cotton as of now in the world.

The season started and we have also started buying. And since we started utilizing the lower cost cotton, definitely there was some despite on the raw material costs, which has helped us to improve a little bit on the margin side.

As I mentioned, the cotton yarn prices continues to be in the range of about $3 as of now, and no increase at all in these prices, the domestic prices, which is almost comparable in equilibrium is almost about INR250 a kg. And again, since the export prices have not increased the prices in the domestic market also does not increase.

The other products, definitely, as we added or as we started utilizing the capacity inflation on some value -added products. So, we came out of lots of l oss-making products like 100% viscose or maybe 100% poly, which we were making earlier to run the capacity. And to that extent there definitely an improvement happened on the margins.

The gross margins on a 30-point basis continues to be almost in the rang e of about $0.50, $0.55 only, and the normalized margin is always in the range of at least $0.85 to $0.90. So, the delta available as of now to the spinner is not more than $0.50, $0.55 as of now. And I think this is a range we are seeing almost for the la st now 1 year, where no improvement on the delta is happening.

And I think on the demand side, if you look at all the 4 segments, as I mentioned last time also, the home textile was the first one to improve, they're running almost full capacity utilization and the utilization over there are better as of that, all the home textile companies margins and the overall working is quite good.

The second segment, which started improving was the woven segment. And if you look at last couple of months, even our capac ity utilization, we are running almost 100% utilization and because the demand was better and the company also worked with the all the brands, all the customers very aggressively to send the products. And as a result of that, the margins are better because of the full capacity utilization started happening.
The third segment, which is the denim , I think the worst is over in the denim also and the capacity utilization, which had come down to about 50% of which was about 50% 3, 4 months back, today, I think, would be in the range of about 70% in India. So, to some extent, they are also, I think, the worst is over and both the denim demand for India as well as outside, it is improved.
Knitting is still somewhat under pressure, but I think definitely on the knitting side also, the things are improving and the utilization on the knitting is also has improved in this period. We are sure the way things are moving, if this demand continues, probably we'll start looking at the better times very soon, hopefully as the segment by segment, the demand is improving.
And once we are -- we see a little more demand on any of these segments, especially if it happens on the denim or on the knitting side, I'm sure whatever capacity -- extra capacity the spinning has that will get consumed and the normalized margins will start to happen.
Before we talk on the expansion --- in the meantime, we have also announced the extension of Melange business. So, we have a plant in Punjab, where we are producing th e 100% cotton melange and the polyester cotton melanges. So, we are adding some capacity over there. So total capital outlays in the range of about INR200-plus crores, which will take -- which will give us additional production of 8, 9 tons per day a

nd thi s is one business which is clearly related with
the fashion and most of our customers are the direct brands, where I think the business is good. Margins are good. So, we are expanding this business as well.
So, this is the first expansion we have announced in the last 1.5 years after the crisis started happening. And I'm hopeful if these things continue to improve, we might look at revising either the earlier projects or taking us something new, but I think it's too early for me to announce it as of now.
So, before we move on to the other things, I'll request Mukesh to give a brief on the fabric side. So then after that, we can discuss on the remaining part of this.
Mukesh Bansal: Thank you, Neeraj ji, and good afternoon, everyone. As far as fabric business is concerned, Q3 and Q4 for Indian textiles in any way better than Q1 and Q2 because we have a lot of demand for the spring summer season, which predominantly is cotton -based clothing. That is how it has behaved this year as well. And to some extent, this quarter, this time, this season was better than the corresponding one on account of better demand from especially US and the Japan market.
In the U.S. market and that so in the Japan and also the Europe, people were struggling with the higher inventories a nd inflation and fear of recession.

As we shared in the last call also, the inventory level with the brands have started coming down to normal level. If we track the numbers of some high -ticket brands in the U.S., their inventory had gone up in the range o f from 70 days to 90 days, which is now coming down to the range of 50 to 60 days, which seems to be a normal level for them. So that is why the demand has started coming back from the time because in any case they need clothing for the Indian fashion cycl e.
And second phenomena that we are seeing now because of disturbance in the Suez Canal, Red Sea area, the transit time have become longer. Now the brands are asking for early delivery for all the order that they have placed before. They're asking for 2 w eeks early delivery. So, it is kind of the total amount of order remains the same, but it is a little pull forward for the order that they have already placed. So that has helped Indian woven textile segment to a great extent. And as Neeraj ji mentioned th at it changed that from as far as demand is concerned, the worst seems to be over, and we are likely to see better demand in the coming quarters.
Similarly, Japan was -- demand from Japan was quiet from quite a long time. After the COVID, the restrictions were longer. And anyway, there were -- even though the government had lifted the restriction, but people themselves were very cautious about going to the malls, going to the shops. That has -- so the brands were buying less. They were -- may be they were selling, but the buying was lower than what they were selling.
So there also the impact of inventory has reduced, and they are coming back with the demand.

Similar to the, as I mentioned before, the U.S. also, if you see that the American import of textil es
is 15% to 17% lower, but if you look at America's -- macro data, their retail sales as compared
to corresponding period is 5% to 6% higher. So that shows that they have been reducing the
inventory, and they have the curtailing the demand, which is now c oming back.
That's all from my side, Neeraj ji.
Neeraj Jain: Yes, we can start the Q&A. The remaining thing we can discuss along.
Moderator: Thank you very much. The first question is from the line of Awanish Chandra from SMIFS.
Please go ahead.
Awanish Chandra: Congratulation management team on improved performance. Sir, you did announce some bit of
capex for next year. But sir, it is too small. So can we expect a few other announcements during
FY '25 because the addition of 22,000 spindle would be very low as comp

ared to our overall
capacity.
Neeraj Jain: Yes, I agree with you. It's very small. So, with my purpose of announcing it was only that at
least it looks like we are coming back to the normalization, and we have started announcing the
capex. And so, because it's all a factor of the profitability and the right margins. And I'm sure as
the things improve, definitely, we have a couple of plants on the drawing board. And as we start
finding either a good demand or a good profitability, we'll definitely start looking at it and start
implementing that.

Awanish Chandra: Okay. And sir, just for clarity purpose, you did announce that INR350 crores capex would be
there in FY '24, which was modernization plus maintenance. So that INR350 crores is separate
than this INR200 crores announcement?
Neeraj Jain: Yes. That's true.
Awanish Chandra: Okay. And this INR200 crores will come next year?
Neeraj Jain: No, we will be completing it within, I think, calendar year '24.
Awanish Chandra: Okay. And si r, this maintenance capex of like INR350 crores what we are having in FY '24, that
will be continued even in the next year.
Neeraj Jain: That's true, that's true. Because the maintenance capex was whenever we are producing things,
I think there is always s ome debottlenecking, which keeps coming both on the spinning side on
the fabric side. So, to enhance the production or enhance the capability to produce some
specialized products, we have to keep adding some of the technologies. So, this INR350 crores
when we say the maintenance capex, it includes the debottlenecking as well.
Awanish Chandra: So that will be continued over an above of new capacity extension?
Neeraj Jain: Correct, that's true.
Awanish Chandra: And sir, you did highlight some bit of factors w hich will lead to normalization of margins. So
today, if you can have some guess, maybe 2, 3 quarters onward, can we reach the 14%, 15%?
Neeraj Jain: No. So, the quarterly numbers, which we have shown, I think the EBITDA margin has already
improved to abou t 14%.
Awanish Chandra: Correct.
Neeraj Jain: It then depends upon when the yarn prices start improving because normally, whenever the
downtime comes, I've seen historically, it was almost 2, 3, 4 months and then this thing starts
improving. The first time probably we're finding it's more than a year, things have not started
improving.
So, it's very difficult for me to say when the yarn prices will start going up because Fabric is
running at the full capacity and the margins are also okay. So, I don't thin k that's really any major
possibility for that to improve significantly higher than what we are earning as of now. But
spinning, which is, again, another larger business of the company, it can improve only once the
yarn price starts improving. Very difficu lt for me to comment when that will happen.
Awanish Chandra: Okay. And sir, one last question before I stop. Sir, our capacity utilized in all the segment is now
near 100%, correct?
Neeraj Jain: Yes.

Moderator: Thank you. The next question is from the line of Riya from Aequitas Investments. Please go
ahead.
Riya: Sir I wanted to ask what are the -- how does the freight arrangement -- like are we bearing the
freight cost? And what kind of incremental freight costs are you l ooking at?
Neeraj Jain: So, the all trade negotiations happen on a contract -to-contract on a month -to-month basis. So,

there are no long -term contracts with any shipping companies. So, I mean whatever is -- when we are quoting a business at that time, what ever the freight, we generally take that into the costing, but the actual negotiation happens on a contract -to-contract on a month -to-month basis only.
Riya: Okay. So basically, part on the entire freight cost to our customers, is it

right?
Neeraj Jain: No, not really. So, the existing business, which is already done. Is the freight cost increase or decrease that has to be borne by the company only.
Riya: And what kind of incremental freight are you looking at currently because of the geopolitical tension?
Neeraj Jain: So, it's only, I think, a couple of markets like Europe or Egypt, where the freight has increased. As of now, the other markets remains almost at the same price. But because the transit time has increased for Egypt and for Europe as of now. Go ing forward, if the things do not improve and because of the Red Sea, the overall time taken is much higher, the overall availability of the shipping come down, then there would be a definite increase happening across the globe, which has not happened as o f now. So, our part of business to Europe and Egypt is miniscule as of now. So, it's not really significant as on today.
Riya: So, for us -- and exports, how much will be U.S.? And could you give us geographical distribution?
Neeraj Jain: On the yarn side, there's hardly anything which goes to the U.S. or to the Europe directly, but these are all the centres . Most of the yarn and fabric would go to the Asian countries where the garmenting would happen and the friendly garment would go to the U.S. or to the Europe.
Riya: And for Fabric?
Neeraj Jain: Fabric also, I think wherever the garment will go, the fabric will go to that side. In U.S. and Europe, they don't do the garmenting. They don't do this action.
Riya: Got it. And in terms of what would be your cur rent export growth in last quarter?
Neeraj Jain: For company or for us?
Riya: For us, for us.

Neeraj Jain: So, we generally do almost 30%, 35% of our manufacturing. We do the exports, and that continues for us. Whatever is our capacity utilization, almost 1/3 goes for the export, both fabric and yarn together.
Riya: Do we see this increasing going forward since do mestic demand is little bit sluggish?
Neeraj Jain: No. Again, one is the demand is sluggish or second is the whatever the customer -- because when I'm saying the export, it is a direct export then whatever we are selling to the domestic market, again, a ma jor part of that goes for the export as by way of a garment or by way of the value - added products from India. So, it's not really that the demand is less so we can export more. Wherever we get the opportunity, we keep doing the same. So, it's not any strat egy that we have to increase the exports, depending upon the opportunity at the right prices, we take a decision.
Riya: And what would be the yarn -- cotton yarn spread as of now?
Neeraj Jain: $0.55, $0.60.
Riya: $0.55 to $0.60. I think in the peak, it went up 110 or so. What was your breakeven spread?
Neeraj Jain: So generally, for a right margin, we've always said that about $1 should be a good spread. The breakeven would happen in most of the cases in the range of about $0.75 or so.
Riya: $0.75, got i t. And for cotton, what is your outlook on the commodity as a whole? Like what is the output like -- raising the output of like 7% to 8% higher this year. So, do we see the raw material prices going down further in the premium as compared to the U.S. cotto n going down?
Neeraj Jain: So, it’s very difficult to predict what will happen to the New York future and what will be the changes happening there? I can't really comment on that. So, assuming this is a price, $0.85 is the in price in USA, then we have to look at what would be the Indian prices. Indian prices will get determined by two things. One, how much should be the discount from the American cotton, which normally is in range of $0.07 to $0.08 per pound. So as of now, that discount is higher. So as of now, the discount is almost like $0.13, $0.14. So, what is the -- in India, we are also driven by the minimum support pr

ice.
So that if the Narma prices goes below INR7,000, then the government is committed to buy the crop from the partner through the Cot ton Corporation of India. So CCI already doing those operations. So, possibility of prices going below these prices in India is not possible at all. Because then the CCI can buy the entire cotton. So practically, whatever is the prices ruling in India toda y, that’s what should be the kind of lowest prices.
Riya: So currently, ……………. prices is at INR55,000, if I'm not wrong.

Neeraj Jain: Correct.

Riya: And you think that this would be a fair enough consolidated or sustainable level. It cannot go lower than t his?
Neeraj Jain: It can't go lower than that. It can increase depending on -- as I mentioned, because Indian cotton is at a discount today, it can increase, but the possibility of going below this doesn't seem to be there.
Riya: Got it. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Anik Mitra from Finnomics Solution Private Limited. Please go ahead.
Anik Mitra: Good afternoon, sir. Am I audible?
Neeraj Jain: Yes.
Anik Mitra: Congratulations for a good set of numbers, sir. Sir, the yarn price, as you said, it is hovering around INR250 per kg. And sir, cotton spread you mentioned, Indian cotton and yarn spread in the domestic market is around INR60. Is it the right information?
Neeraj Jain: Yes.
Anik Mitra: Okay. Sir, in the international market, Indian cotton and yarn spread is $0.55 to $0.60. Am I correct?
Neeraj Jain: No. Even India also, this is almost $0.60 equivalent only.
Anik Mitra: $0.60, okay. So that is in the domestic market as well as in the interna tional market.
Neeraj Jain: In the export and Indian market, the prices of yarn are almost in equilibrium. There's always a gap of only INR1 or INR2 here and there.
Anik Mitra: Okay. And sir, what is the spread of US cotton and yarn at this point of time?
Neeraj Jain: That's also same. Because normally, whatever is the yarn made out of the US cotton that gets at a premium of $0.15, $0.20 on the yarn side. So, the spread for cotton will also be same. Not in India, because in India we have to pay duty. So, I'm talking of a US cotton someone using outside India, maybe, let's say, from Sri Lanka or in Indonesia, so they will also be having the same spread. India, it is less because we have to pay 10%, 11% duty on imported cotton.
Anik Mitra: Okay. So, in the int ernational market, US cotton and yarn spread, and Indian cotton and yarn spread are same?
Neeraj Jain: Correct.
Anik Mitra: Okay. Great. And sir, what is your EBITDA margin guidance?

Neeraj Jain: So as of now, I’m not in the position to give guidance. For the last couple of quarters, we are not in the position to give any guidance on these numbers because you've seen all these kind of disruptions where the capacity utilizations are not improving and the price of cotton has really, really varied too much. So, for the last couple of quarters, till the time to normalcy, we are not in a position to give any guidance because it could be really, really difficult for me to predict what will happen next quarter.
Anik Mitra: Okay. Sir, your EBITDA margin -- EBITDA ha s improved up to a certain extent this quarter. So, what actually factored -- like there was some improvement in the gross margin also this quarter. So, sir, like is there any other expenses? Like what is the -- like what made this improvement?
Neeraj Jain : Basically, the two biggest advantages which have come where this has improved. One, the full capacity utilization on the fabric side where definitely the margins -- where all costs are already absorbed. Two, the prices of cotton have come down. So, once we are using the cotton, which is much le

sser, or which is at the right price today, so the margins have improved.
Anik Mitra: Okay. And sir, any plan for capacity -- increasing capacity for the facilities which are running at 100% utilization at this poin t in time?
Neeraj Jain: I think as of now, of course, we are working on various ideas, but we have announced a small capex of INR200 crores yesterday...
Anik Mitra: Okay.
Neeraj Jain: For the remaining, we are still evaluating.
Anik Mitra: Okay. Thank you. That was from my side, sir. Thank you so much. Best of luck.
Moderator: Thank you. The next question is from the line of Mr. Abhineet Anand from 3P Investments. Please go ahead.
Abhineet Anand : Yes. So, thanks for the opportunity. First, I just wanted to understand this EBITDA margin, 14%

that you're talking about, it includes the other income, right?
Neeraj Jain: Yes.
Abhineet Anand : So, what part of other income is a bit operational in nature out of the INR80 crores , INR90 crores that we earn?
Neeraj Jai n: It's having two, three components. One is that investment income is there, then forex gains are there. So, these are the main components out of this. And dividend also includes the dividend from group companies which is being received in this quarter.

Abhineet Anand : Okay. Secondly, this INR200 crores capex that we talked about, what is the revenue potential for that, sir?
Neeraj Jain: Generally, in the spending side, I think it's only about 1:1 capital output ratio.
Abhineet Anand : Okay. So INR200 -odd c rores at 90%, 100% utilization.
Neeraj Jain: Yes.
Abhineet Anand : Sir, one of the other things that we have been investing in our debottlenecking and maintenance, etcetera, over years and annually, we see INR200 crores , INR300 crores investment. Just tryi ng to understand, while we have been investing and we are at global standards. If you can talk from an industry perspective, while we keep talking that India has a large spinning base, is the industry also putting a similar type of money on capex. Otherwis e, the number of 50 million spindles that we talk about is actually just a number rather than the output being there, right?
Neeraj Jain: So, if you look at the Indian spinning industry, the total supply of spindles in India in a normal year is in the rang e of about 2.5 million spindles per year. And out of that, it's generally about 30% or 40% will be the new expansion and -- 50% will be the new expansion, 50% will be the replacement happening. So practically, I think the overall modernization in India wil l not be happening more than 1 million, 1.25 million spindles a year. That too happened in last seven, eight, nine years only.
So, we try to estimate the overall machine pack of India, as a large number of mills, which are very small in size and having an average spindles of about 20,000, 25,000 spindles only, and it's a pretty large number. I don't think there really major monetizat ion has happened in those machines -- in those factories. So maybe the larger groups or the organized players [inaudible]
Moderator: Sir, I believe that was from the line of the current questioner, Mr. Abhineet Anand . I had to mute his line. So, we'll as o f now remove him from the question queue, and we'll ask him to join back in case if he has a question.
The next question is from the line of Mr. Varun Gajaria from Omkara Capital. Please go ahead.
Varun Gajaria: Thank you for the opportunity. So, I just ha d a question on how is the demand faring in China and Bangladesh market? It seems like there was a wage hike and plus demand was a little slowish in Bangladesh in the last 2 months. How are things looking there? Consequently, there's been a slow ...
Neeraj Jain: So, the China demand is definitely on a lower level from the normalized levels. The Bangladesh has been up and on, though some months are good, so

me months are bad. But the overall demand from the Bangladesh is okay. There's no issue at all. China, d efinitely, the demand is much lower.
Varun Gajaria: Okay. So, the factories and everything, all issues have been sorted out, right? In Bangladesh?

Neeraj Jain: Sorry. Yes that is sorted out.
Varun Gajaria: Okay. Okay. All those issues are -- sir, due to th at and due to the wage hike and everything, has there been any impact on the demand or probably on realization.
Mukesh Bansal: Neerajji may I answer?
Neeraj Jain: Yes, please.
Mukesh Bansal: Yes. So, the wage increase issue is settled between the credit un ion and the manufacturers union and that got settled about 3 to 4 months back. And the good part is that the many customers in the US and Europe, which are the major markets for them, those customers are taking cognizance of the increased wage cost and it leads to about 2% to 3% increase in the price of the finished product, which customers are accommodating. So that issue more or less is settled.
Varun Gajaria: Okay. So more or less the hike has been passed down right to the customers -- the customers seem comfortable then in this case?
Mukesh Bansal: Yes. So, we are not directly impacted by that, but this is the information that we see from our customers.
Moderator: Thank you. The next question is from the line of Sanak Kumar from Value Research. Please go

ahead.
Sanak Kumar: This is Sanak Kumar; can you hear me?
Moderator: Yes, sir. But your voice is sounding a bit echoing, could you please use the handset just in case?
Sanak Kumar Yes. Can you hear me now?
Moderator: Yes.
Sanak Kumar: So, my name is an Sa nak Kumar, not Janak Kumar.
Moderator: I'm sorry for that. I'll make the changes, sir.
Sanak Kumar: Thank you so much. Last time in the con call, I asked about the aspect of -- that the business at this moment is growing if the cotton prices go down, and i f they go up, the volumes go down or the margins -- and the margins go down. So, what are the plans of the company to have market penetration or market development or product development or any kind of diversification strategy that Vardhman is looking at t o expand the existing business?
Neeraj Jain: So, there are two ways we have to look at it. One is a diversification on the customer side. Second is the diversification on the product side. And we are working on both the ideas. So, more and more customers are joining us, more and more brands, we are working with them, so that our overall diversification on the customer side will improve.

At the same time, there are different sections within the spinning as well as within the fabric region, which are working on the various new ideas, new fabrics, new brands. And that's a regular process where we are developing those products, showing it to the customers, showing it to their designers and in collaboration with them, the new products ar e being developed on a regular basis. It's an ongoing process for years together.
Sanak Kumar: Okay. But there is no announcement as such about you entering a new market or...
Neeraj Jain: No, no, no. Since we're all part and parcel of the existing busines s is only because sometimes this customer will buy, sometimes not, sometimes A product we will sell, some time B product. So, I don't think that's really that has so significant at any stage that it has to be announced. It's an ongoing process for years, s o that we will be continuing for years.
Sanak Kumar: Okay. And the last question is related to technical textiles. So, do you see any traction for the company to enter it on a larger scale?
Neeraj Jain: I mean as of now, frankly, no.
Moderator: The next qu estion is from the line of Naman Jain, who is Individual investor.
Naman Jain: Hi, thanks f

or the opportunity. Can you hear me?
Moderator: Sir, may we request you to use the handset mode in case if you're using the speaker mode, please?
Naman Jain: All rig ht. Is it better now?
Moderator: Yes.
Naman Jain: Okay, okay. Great. Okay, first of all, yes, congrats for the good results. And we're all aware that no doubt the company has done quite well in last 5, 6 years and 4 generation is going on now. But I look f or the macro factors, like I remember in earlier discussions we used to discuss China Plus One thing or competition from Bangladesh or Vietnam. What's the situation now? I mean, is it a risk? Because specifically China, which is on a big term slowdown and the metros are quite bad these days. So, it's still opportunity or a risk for the company? And number two, are we looking for -- I mean on the singular line, are we looking for extra -- exporting if it's another opportunity for us? Thanks.
Neeraj Jain: So, this definitely it looks like an opportunity only if the China Plus continues because if they slow down, they are very strong on the spinning side. They're very strong on the other products also. If the China doesn't do the garmenting, this garmenting wou ld go to some different countries, maybe Vietnam, maybe Sri Lanka, maybe Bangladesh or maybe India and so and so on.
So, as we as a textile product manufacture -- as a textile market of products of both spinning and fabric, we have the opportunity or we ha ve the possibility to sell to those markets. And in case

the garmenting happens in India, in any case, it's a great opportunity for all the textile mills in India to supply that material to the Indian garmenters. So, there is definitely an opportunity here .
Moderator: The next question is from the line of Ankit, who is an Investor. Please go ahead.
Ankit: Hello?
Moderator: Yes, sir. You line is audible.
Ankit: Yes. Thank you for taking up my question. I want to understand the value chain of experiments.

So how much cotton you required to manufacture yarn, and how much yarn is required to manufacture fabrics, just broad understanding about the value chain?
Neeraj Jain: So generally, the realization for cotton yarn, it's about 70%. So, you have to use 1.4 kg o f cotton to produce 1 kg of yarn.
Ankit: Okay.
Neeraj Jain: And from the yarn to fabric, the wastage is in the range of about 7%, 8% only.
Ankit: Okay. If you can give an example of how much is required to manufacture fabric from 1 kg of yarn.
Neeraj Jain: For the -- I mean, generally, the fabric 3 meters is equivalent to 1 kg. So, to produce 3 -meter fabric, you require 1.1 kg of yarn.
Ankit: Okay. Thank you so much. And actually, in your opening remarks, so what is the capex yield which you have planned?
Neeraj Jain: We have announced INR220 crores of capex, specifically for an expansion. In addition to that, our normal or maintenance capex is always in the range of about INR300 crores, INR350 crores a year.
Ankit: So how much spindle capacity that will be. ..
Neeraj Jain: Adding about 15,000 spindles.
Ankit: Okay. And what is the current realization for gray and processed fabric?
Neeraj Jain: Mukesh?
Mukesh Bansal: What do you want?
Ankit: What is the realization -- current realization for gray and processed fabric?
Mukesh Bansal: Realization means price realization?

Ankit: Yes, price realization.
Mukesh Bansal: Yes, we largely sell finished fabric, and finished fabric is about INR180, INR185 per meter. So, our gray selling is very low, and that depends upon what is the product mix at that time . But still, if you want to take an average for the same fabric that we signed as finished, the grade should be in the range of about 100, 110, 115.
Ankit: Okay. And how much is internally consumed or yarn is internal

ly to consume for fabric?
Mukesh Bansal: It's about one -third of the yarn we consume in -house.
Ankit: Okay. One -third of yarn, okay.
Mukesh Bansal: Or little lower, yes.
Ankit: Little lower, okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead.
Nikhil Agrawal: Good evening. And thank you for the opportunity. Sir my question was on the exports, on the export side. You said that there aren't any issues currently because of the Red Se a crisis because we primarily export to Southeast Asian countries and Bangladesh. But they ultimately export to the US and the European countries. So, because of the Red Sea crisis, it might be -- aren't they currently taking a new slowdown in orders, whic h is ticking down to us as well?
Neeraj Jain: Mukesh, can you answer?
Mukesh Bansal: Yes. So, you want to know that this Red Sea issue, how is that impacting business?
Nikhil Agrawal: Yes.
Mukesh Bansal: So actually, what has happened is that -- because th e transit time is now increased, the customers in US and Europe, they are wanting to ex -mill the goods, two weeks in advance.
Nikhil Agrawal: Sorry? I think it's my headphone.
Mukesh Bansal: So, if the -- let us say, if the original planned date for the go ods to be shipped was, say, end of February, now they are asking the suppliers to ex -mill the goods by 15th of February. So, they are wanting two weeks advanced delivery.
Nikhil Agrawal: Okay.
Mukesh Bansal: Number one. Number two, for the garment shipment s, whether it is from India or from Bangladesh, Normally, the freight cost is borne by the buyer only. So, no impact on the exporters as much -- as far as the garments are concerned.

Nikhil Agrawal: Okay. So ultimately, there's no impact on the business fo r us at all.
Mukesh Bansal: No, no, no.
Nikhil Agrawal: Okay. Got it. That’s it for me. Thank you.

Moderator: Thank you. The next follow -up question is from the line of Vineet Anand from 3P Investments. Please go ahead.
Vineet Anand : Just two data points. I think the employee expense seems to be -- earlier used to be in the range of INR190 crores, INR200 crores, that is like INR225 crores. So, is this the new normal, or is there some extraordinary there?
Neeraj Jain: It's almost new no rmal. I think if I look at on a nine months to nine days per month basis, increase is around 10% only, so it's a new normal one.
Vineet Anand : Okay. And other expense had some hedging gains, right?
Neeraj Jain: Yes. So, there is some commodity derivatives losses which we had provided in the first six months, so there is a partial reversal of that.
Vineet Anand : Okay. And last was that, this Bangladesh had its revision in the labour cost or something. I mean, is there any material change in the competitivene ss of that country with us or it's irrelevant?
Neeraj Jain: With the new agreement they have done, it continues to be lower than us. Their cost has increased, but at the same time, they're still better compared to us on the overall labour cost.
Vineet Anand : Okay, sir. Thanks. Those are my questions.
Moderator: Thank you. The next question is from the line of Amit Kumar from Determind Investments. Please go ahead.
Amit Kumar: Yes. j ust one question almost 1.5 years, a year, 1.5 years back, we had this F TAs with UAE and Australia. So, any sort of impact that we're starting to see from these geographies and our business. Especially, Australia, we then need to understand imports majority of their yarn and fabric in the government for that matter. Any sort o f traction coming in from these markets?
Neeraj Jain: There is no government except Australia. So, they only buy the garments only. So frankly, from our business perspective, there is no direct impact because we cannot -- we don't explore the yarn,

or we d on't explore the fabric in a big way to that country. So -- there's no – because garmenting happens in that country.
Only the -- all these advantages comes to our company only in an indirect way, they start buying more governments or home textile or those kind of things from India or from the other countries, where we supply our material. But directly, there is no impact on us at all.

Amit Kumar: Okay. And anything on the UAE side? Is supposed to be a gateway to middle east, so to speak, but I don't know.
Neeraj Jain: No, no. Again, for us, we are only a textile material manufacturer. So, wherever the garmenting is happening, we'll be selling only to those countries.
Amit Kumar: Okay. Understood. Thank you. That’s it from my side.
Moderator: Thank you. The n ext question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.
Resham Jain: Yes. So just a broader question on the overall -- the capacity which we have and how much incremental revenue can come from that. So, if an assumed cycle to improve, let's say, with a 10% kind of price increase across yarn and fabric, should one assume that your revenue should also overall increase by 10%, given that your capacity utilization is closer to 85%, 90%, or do you have spare capacity to sell more?
Neeraj Jain: No, no. So, I think it will only be price improvements, which can improve the top line. Otherwise, I don't think in terms of capacity utilization...
Resham Jain: So, the Q3 run rate, is that whatever almost peak utilization?
Neeraj Jain: Corre ct.
Resham Jain: Okay. Sir, the second question is from the overall strategy perspective, if I look at, let's say, next year, given your initial commentary and your colleagues also mentioned about it that we are seeing some green shoots in terms of demand improvement, De -stocking related stuff also is gradually coming down. So, let's assume that next year's cycle is going to improve and you decide to set up a capacity now, how much time will you take to set up capacity, whether it is in spinning or whether it is in fabric?
Neeraj Jain: So, from planning to the commercial production, either on a fabric side or in time, it's generally in the range of about 12 months.
Resham Jain: So, the question, sir, is that, obviously, whenever scenario is not that good. It may not look like one should do capex. But given that there is always cycles. And cycle, if it is going to improve, let's say, next three months, six months, whatever no one knows. And we already have a decent amount of cash generation from the existing b usiness itself.
I'm not including the cash which we are holding. Then how should we think about growth?
Because as a company, we are then curtailing our growth because again, there will cycle a year after two years later. So, whenever cycle comes back, we will not be there with our capacity. So how should one think about the overall strategy from the growth perspective?

Neeraj Jain: Resham, your first assumption is correct. And I also agree with you that whenever we are in a position to utilize full capacity, we should start looking at even if the business is not good because it's all cyclical business, one or the other way it will get corrected. So, there's no issue to that extent.
I think this year, this particular time, our major concern comes from the policy in terms of the possibility of import of cotton or not. Because in case we do not -- last year has been a very bad year, where the -- nothing happened by most of the farmers and they could bring the crop in a way where -- they were getting the prices based upon the landed price of cotton, which was including the duty.
This year, there's a reversal of that and these kind of holdings have not happened. So, area where you are not there b

ecause if the local prices increases, and you can't import or even a crop failure,
I mean those kind of things, then there's a concern. So, I think it's more related with the thought process on the raw material availability at the right prices, unless that's ensured,
I think it could be actual ly not prudent to going for a very, very big execution. That's our view as of now.
Resham Jain: So, sir, let's say, now given that cash is not a problem with you and if you see -- because we have not done any acquisitions in the past. Is there any acquisit ion opportunity to utilize cash? Because anyways, you are not doing buybacks and giving large dividends you are just keeping cash. And you explained that in the last call about it, that you will -- this is a safety capital, which is needed, but there is no definition of how much is that safety capital amount being.
So how should one think about -- because ultimately, growth is suffering. I understand there are growth -- there are policy related challenges and which are important things, so how are you think ing about the same?
Neeraj Jain: So, we are very clear that this is an normally which has happened, which has to get corrected. So sooner it happens, it will be better for the entire industry. So, I -- we are hopeful that the government will be looking at it passionately. And definitely, there should be or could be some policy vision to remove this anomaly.
But unless that happens, then I think a bigger capacity would be a bigger issue or a bigger concern going forward. At the same time, I think definitely, I mean, this is purely on the spending side. But when it comes to the fabric, the risk of cotton prices to the proportion of cotton prices to the final product is much less and the impact is also much less.
So definitely, we are looking at some potential possibilities of improving or increasing that business where because the utilized part of the cash we could actually improved our market penetration as well as the capacity. So, there are ideas both on the spending on the fabric side, where we are consider ing it very actively. Maybe it's a matter of time when we start implementing it, start announcing it.

Resham Jain: Okay. Sir, just a couple of bookkeeping questions. If you can help with the consolidated gross debt and consolidated gross cash? Not stand -alone, consolidated.
Mukesh Bansal: Resham, as of now, we are having long -term debt of about INR1,100 crores on our books. And short -term debts are in the range of INR600, INR700 as of now. Investment side, we are carrying investment of about INR1,100 crores as of now.
Resham Jain: INR1,100 crores, you mentioned, sir? Okay. Sorry, I couldn't hear, but I'll maybe talk separately. Thanks.
Moderator: Thank you. The next follow -up question is from the line of Anik Mitra from Finnomics Solution Private Limited. Pl ease go ahead.
Anik Mitra: Thanks for taking my repeat question. Sir, what is the average life of spindle. Hello? Am I audible? Hello?
Neeraj Jain: Yes, please.
Anik Mitra: What is the average life of spindle?
Bharat Sheth: Spindle?
Anik Mitra: Yes, sir.
Neeraj Jain: So, the spindle can live about 25 years.
Moderator: Excuse me, there has been a bit of disturbance coming from the management line -- from the line of Ms. Poorva Bhatia.
Neeraj Jain: Is it okay now?

Moderator: It is okay, but whenever you're about to speak, the disturbance comes.
Neeraj Jain: So, the average life of a spindle is about 25 years.
Anik Mitra: Sir, you are not audible.
Moderator: Your voice is breaking.
Anik Mitra: Your voice is breaking. Hello?
Poorva Bhatia: Hello?
Anik Mitra: Yes.
Poorva Bhatia: Am I audible?

Anik Mitra: Yes, now it's better.
Poorva Bhatia: It's fine now?
Anik Mitra: It's better

now. Okay. So, I was asking life of a spindle, sir, can you please repeat it.
Neeraj Jain: Spindle's life is almost 25 years.
Anik Mit ra: 5 years?
Neeraj Jain: 25.
Anik Mitra: 25, years. Okay, okay. And sir, in the home textile division, like volumes, which was shifting from Pakistan to India during crop loss in Pakistan, so what is the current situation? Like is it -- like does it susta in to India now, or like it again went back to Pakistan?
Neeraj Jain: No, I understand they are running full capacity utilization, the Home Textile people, so that volume continues in India as well now.
Anik Mitra: Okay. Again, like there is a disturbance.
Moderator: Sir, what I'll do is, I'll disconnect you and then I'll reconnect you back in the call, sir. Just give me a moment.
Neeraj Jain: Mr. Mitra, you can please repeat your question.
Anik Mitra: Sir, if you can repeat the Home Textile volume -related question?
Neeraj Jain: So, the whatever volume ………….. Now we are in a position to sustain and all the Home Textile markets are running almost full.
Anik Mitra: Hello. Hello?
Neeraj Jain: Yes.
Anik Mitra: Sir, you are not audible at all.
Neeraj Jain: Hello, can you hear me?
Anik Mitra: Yes, yes. Now it's better.
Neeraj Jain: So, on your question I can answer that the home textile people as of now in India, they are running full. So, we can reasonably assume that the business is here only.
Anik Mitra: Sir, another one question like I will take it from the transcript. It was not audible. There's one another question regarding the employee cost. As you mentioned, you've been going up employee costs from 13% of the top line, a year back to 10% of the top l ine at -- in the recent

quarter. So, you were saying it is a – my question is when another INR200 crores of capex is done, what would be the including cost addition we can see. Like it will be in the same range or any further addition in percentage term wi ll be witnessed.
Neeraj Jain: No, no. It will be authentic capacity ……… existing location. So, the -- for the any existing locations, the further -- the marginal employee cost will always be lower.
Anik Mitra: It will be in the same range in percentage te rm -- percentage of the top line term?
Neeraj Jain: No, it will be lower than the ……………..
Anik Mitra: Okay. Fine, sir. It's a severe problem in the audio. So, I will get the answer hopefully from the transcript. Thank you so much.
Moderator: Thank you. Lad ies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing remarks.
Neeraj Jain: Yes. So, thank you very much all for the joining this call. And as we have mentioned that there are industry -related challenges because of the demand and other concerns. But definitely, internally, whatever we can do as management in terms of making best use of this situation and looking at cost optimization or maybe the further possibility to sell products or maybe the customer diversification, the new products, etcetera. There are lots of work going on in the company and both the businesses.
And I'm sure the result of the same, whatever we are showing the margins, I think is a part in that. And in the times to come, it will keep improve -- it should keep improving only. So as

management, whatever transparently we can do, we can share, we are always there to share our thoughts on the industry side as well as the company side. And definitely, it looks like as of now, the overall, it looks like the worst is over, and maybe we could look at a better time in the times to come.
And as the demand has slowly -- started slowly improving, of course, as I mentioned earlier, also still lots of capacities on utilized the entire globe . But I'm sure the things are improving, and we hope to see definitely a far better next year. So, let's h

ope for the best. And thank you very
much for your patronage and all the -- and your commitment to our company, and we are definitely very, very thank ful to all the investing community for the same.
Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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Dalal Street, MUMBAI-400001. MUMBAI-400 051
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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q4 FY'24
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
10" May, 2024 to discuss Q4 FY'24 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
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"Vardhman Textiles Limited Q4 FY24 Post Result
Earnings Conference Call "

May 10, 2024

MANAGEMENT : MR. NEERAJ JAIN – JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN – EXECUTIVE DIRECTOR,
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR (RAW MATERIALS),
VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER ,
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL – HEAD (FABRIC MARKETING),
VARDHMAN TEXTILES LIMITED
MR. VARUN MALHO TRA -- HEAD (FINANCE),
VARDHMAN TEXTILES LIMITED

MODERATOR : MR. ROSHAN NAIR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Vardhman Textile Limited Q4 FY '24

Earnings Conference Call, hosted by Batlivala & Karani Securities India Private Limited.
As a reminder , all participant s' lines will be in listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded .
I now hand the conference over to Mr. Roshan Nair from Batli vala & Karani Securities India Private Limited. Thank you, and over to you, sir.
Roshan Nair: Thank you, Sejal. Good evening, everyone, and welcome to the Q4 FY '24 Earnings Conference Call of Vardhman Textiles Limited. On behalf of B&K Securities, I welco me all participants and the management of Vardhman Textiles Limited to the call.
We have with us today , Mr. Neeraj Jain - Joint Managing Director ; Mr. Sushil Jhamb - Director, Raw Materials; Mr. Rajeev Thapar - CFO; Mr. Mukesh Bansal - Head , Fabric Marketing; and Mr. Varun Malhotra - Head of Finance.
Without further ado, I would like to hand over the floor to Mr. Neeraj Jain for his opening remarks, post which we can have a Q&A session. Thank you, and over to you, sir.
Neeraj Jain: Thank you, Roshan. Good afternoon, everyone. So , the Results are before all of you. There is some improvement in the Results , but I think those uncertainties are still continuing. This was a period where we saw a huge variation or huge sink in the cotton prices, bot h in India as well as outside, so majority of the cotton co mes in the period October, November, December to February, March in India, and this was a period where the peak arriv als were there .
So, if you first look at the international prices of cotton, it was stable at about US $0.83, US $0.84 per pound. And in the period, it increased to almost $0.97, $0.98, then came down to $0.74, $0.75 and as of March, $0.77, $0.78 or so and so on. So, which mea ns there is a huge thing happening on the international cotton prices because of various factors that it's not related only to the cotton . It's related with the , I think, overall interest rate cycle, overall commodity cycle and the overall issues which are beyond cotton. But of course, since cotton is a part of that, we have to understand, and we have to look at what could be our best strategy for coverage of change.
In this period, the Indian prices started at a lower tone. The effective MSP for Indian co tton as of now is in the range of about Rs. 56,000, Rs. 57,000 a candy, and then the cotton started coming in because of the lower demand and because of the pressure on the overall system, the cotton prices were lower compared to even the minimum support price.

As a result of that, the CC I started operating in India. India a ccumulated almost 32 lakh, 33 lakh bales this year in the initial period, especially in Telangana and the down South . Of course, they did some operations in Maharashtra and Gujarat also, but majority of the ir operations were in south where they have accumu lated almost 32 lakh, 33 lakh bales of cotton.
The prices was lower in the rest of the market. So , I think they start recovering and trade also started recovering cotton at those prices. Looking at the cotton prices because most part of the season, it wa s ranging in the range of about Rs. 56,000 or so, which is almost US $0.85, US $0.86 delivered in India compared to, at that stage, the New York Future was $0.83, $0.84. So , that meant the Indian cotton was available only at about $0.01 or $0.02 on, which seems to be quite a reasonable level when it comes to the overall risk strategy to that extent.

So, Vardhman also started cutting the cotton and recovered most of our cott on in this period. Last few years, we have seen very different scenarios where we did n't cover the cotton because of quality, because of the pricing . And this year, I think our normal buying started happening. We recovered most part of the cotton as usuall y we do in the normal time, both because of the commercial as well as the quality customers. So , that's one part that we covered it.
And immediately after that, the New York Future started going up. As a result of that, India cotton also from Rs. 56,000, Rs. 57,000 went up to almost Rs. 64,000, Rs. 65,000 also. But again, once the New York Future started coming down, the Indian prices also realigned. And as of now, if you look at the New York Future at $0.77, $0.78 and the availability of cotton internatio nally with 1,000 or 900 on, it is close to about $0.88.
Indian cotton, also, as of now, the market is available at $0.87, $0.88 only, which means there is some disadvantage for the Indian cotton without looking at a duty component on that. But if you add the duty component, then maybe the Indian cotton is cheaper by about $0.02, $0.03 only.
So, that's on 1 and 2, the change of price of cotton was increasing both international and in India. There was some improvement in the yarn prices also in this period. Prices, which are usually in the range of about $2.90 or $3, went up to $3.20, $3.25 also. But of course, as the cotton started coming down, the prices also were aligned and started coming down and as of now, I think international prices would be in the range of about $3.10 or so on a cotton bas e of $0.77, $0.78, cotton base of $0.88.

So, of co urse, this helped us and there is some improvement of our overall margins on the spinning side. In terms of utilization of the spinning in India, our expectation or our feeling estimation is that it's in the range of about 70%, 72%, and there is still abou t 18% to 20% capacity unutilized , especially the smaller segments where I think maybe because of the margins or maybe because of lesser demand in domestic market, there seems to be some issues and challenges.

When it comes to the export of yarn, the India is doing almost 105 million, 110 million kg per month which is the normal export, which we were doing pre -COVID also. So , I think in terms of the , of course, the prices are challenged. But in terms of export of yarn , there doesn't seem to be any question mark or a concern. So , the normal quantities are going, which means still there is a pressure on the yarn prices which the domestic segment, the demand is a little lower, which is not allowing the prices to go up.

On the fabric side, things continue to be better, and we are still utilizing all our 100% utilization. As we mentioned in last two, three calls, once the people started going to the offices or the workplace started happening, I think that there is definite ly an improvement in the overall weaving consumption and our weaving division is doing well, and we are running all the 100% capacity utilization on that consume.

The third is we have announced now some CAPEX . I woul d like to give the details of the same. There were two announcements which were done before in 2021 and '22, where we have announced increase in the spinning capacity price, but I think we have withdrawn that. And now we have looked at a fresh investment, which is both in terms of the expansion and modernization on the spinning side as well as on the fabric side as well.

On the spinning side, we intend to put up a component. I think that's one expansion, where, in addition to that, we are also looking at major modernization in the spinning sect or. So , normally, we do almost about 150 crores of modernization every year in the spinning.

But this year, there is a special project taken

where we are looking at productivity improvement.

We are also looking at tendering of our shop floor where more and more number of products could be produced at a right quality. And also, I think it's our policy to keep investing and modernizing our machine parts so that the customer doesn't have a disadvantage at any stage. So, this year we have taken a special p roject where we are looking at modernizing spinning in a bigger way. I think the overall CAPEX on the spinning side, including the expansion, could be in the range of 1,000 crores or so, which is estimated. And we expect most of the spinning modernization of the project should be completed, I think, by March, April '25 , April, May '25 , so one year from today .

On fabric side, there are two major products which are undertaken. One is the modernization as usual, which we always keep looking at . This moderniza tion includes debottlenecking also so that we could increase or enhance some of the capacity.

And also one manmade fiber -based project has been taken for the manmade fabrics, which is India, I think , we are very, very weak on the manmade -based products, since most of the consumption of the world is going on the manmade now.

So, I think to support industry, we have decided to go for the manmade fabric. And I think this project will also be completed in the next 1.5 years or so. So , I think the CAPEX on this plant would be in the range of about 300 odd crores, the first phase. And then looking at the success or looking at the optimization of this, we would be looking at the next phase of expansion only after that.

In addition to that, this year, we a re taking a special project on our green power also. So , today, our green power is only about 2.5%, 3% of our consumption. And as this is both commercially viable as well as most of the world is talking of now the sustainability, we are taking some special measures where we intend to spend our money both on the solar as well as wind parks so that our green could be increased. And it looks like maybe our first target is to complete and to reach our green power from 2%, 2.5% to about 25%, 30%.

So, that's th e intention this year. So, there are some small steps already taken . And we are negotiating, and we are discussing with the various service providers where we could enhance this, and we are hopeful that within the next 1, 1.5 years, we should be in a posit ion to complete this as well.

So, with this, our total CAPEX , which has been estimated for about one year, I woul d say practically one year and maybe 2, 3 or 4 months, in addition to that, we are estimating it to be in

the range of about Rs. 2,000 crores, I think , which will definitely give a good stimulus to the organization in terms of strengthening our shop floor , in terms of our capability, in terms of debottlenecking , and also in terms of improving the overall quality and reduction in the utility , etc.
I think this is my initial remarks. We can move on to the question -answer , so that whatever are your specific queries, we can address , or we can discuss it along with that. Thank you.
Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Aditi Loharuka from CD Equisearch . Please go ahead.
Aditi Loharuka : Sir, my question to you is that your inventory is almost doubled from FY '23. So , could you please tell us the reason behind this?
Neeraj Jain: So, as I mentioned earlier also, last 2 years, our cotton inventory has been much less. Because of the prices, we were not very confident to store it or not. But this year is our normal inventory balance. And since the season ends practically towards the end of March, we could cover most of our cotton. So , that's why the inventory is on a higher side.
Aditi Loharuka: So, you see the demand als

o to get back to normal?

Neeraj Jain: Yes, for us , I think on the spinning side also, we are running all our 100% capac ity utilization. So, one is the pricing factor , which has to be aligned to the market , but in terms of demand, I don't think there is any issue for a company like Vardhman. We are doing reasonably well to that extent.
Moderator: Thank you. The next questio n is from the line of Himanshu Upadhyay from Buglerock PMS. Please go ahead.
Himanshu Upadhyay: So, my first question was , see, in the last quarter, we announced a small CAPEX , but even then we have had much more skepticism, okay, on how the industry will play out and especially with the cotton prices and the narrowing gap between the Indian cotton and U.S. cotton and what will be the government policies and all those things , and hence we wanted to be more cautious. But what has changed so dramatically that we are taking a 2,000 -crore CAPEX within one year? Can you just give your thoughts on how the change of thought has happened o r evaluation of thought has happened? And what was the reason for that?
Neeraj Jain: I think whenever we have shown that skeptici sm, we were also very clear. T here are lots of plans we have on the ground where we want to implement as confidence improves. There are a couple of things where we feel confidence is improving.
One would be we have been talking last 2, 3 years, that the trend of China plus 1 is there and lots of brands are coming to India where they want to have the second source in addition to China. That trend continues for the organized sector. And I think we are also finding th at trend to be very, very positive, where more and more brands want to come, and they want to source from India.
Two, I think it was a factor we wanted to look at and understand what the timings could be where we should announce a bigger modernization and expansion. And we were also looking at , so, one thing which has happened in this period, the government has announced a RoDTEP under the advanced license.
So, the disadvantage of cotton import with the duty is relatively much less today compared to what it is used to be. If there was a duty on India and they do not get the RoDTEP also, it was impossible to work on with imported cotton without any RoDTEP on that .
But I think definitely, the government has responded to the industry needs where under even advanced license, we are allowed the RoDTEP , which is definitely one of a big step because even if now the import is where it should not be, but you want to import , I think the relative disadvantage has come down. So , that is one big step there, which is boost ing industry's confidence.
Two, as I mentioned, the customer requirement helps.

I think profitability is one part . Margin is one part . Price is one pa rt. But having said that, the kind of orders which are coming in and every customer wants a delivery within 30 days, 45 days, we require to relook at our entire thought process as well as the organization, how do we cater to these demands.
All these custo mers which intend to come to India, there are two requirements . One, the variety of products, especially the new products, etc .; two, the variety of fibers. Now , to cater to both and both things should happen within 30 to 45 days around delivery expectatio n, I think cateri ng to that or thinking about that, we took one special efforts to look at how do we reorganize

ourselves and how do we look at c atering to these customers.
So, there was a comprehensive plan, which will not only deliver on these, but was also related with the productivity improvement in terms of the overall machine productivity as well as manpower productivity.
So, that's where I think this project has been taken. Last two, three years,

we didn't do much. At the same time, we have always been mentioning there are issues on the government policies, in our view, as per the cottons are imported, etc .
But there is some relief, or some thought process which has given probably that fe eling is that the disadvantages which have been created may be less or eventually, it may go also. So , I think to that extent, we were much more confident in the announce d expenditure .
Himanshu Upadhyay: And on the technical textile producing this 15 lakh meters, can you specify what type of products you would like to produce because it's a very…
Neeraj Jain: I will ask , incidentally , our Fabric business where Sagrika has also just joined us . So, I will request her to reply you on this.
Sagrika Jain: So, this is regarding technical textile. So , our first phase is going to involve a capacity of about 15 lakhs meters per month and 80%, 70% to 80% of this will make polyester, and 2 0% to 30% would be nylon.
So, the applications would be varied . There will be sportswear, activewear. But then there is also industrial applications such as tent, parachute fabric, defense application is also there. So , the customer base would be varied . It would be some of our existing customers, like Colombia , Decathlon, but then there would also be other sports customers. And then, as I mentioned earlier, defense and industrial applications.
Just to give you a sense that he re we felt that there was a big opportunity that was available for Vardhman , because as Mr. Neeraj Jain alr eady mentioned, there was a China plus 1 vibe that we feel that a lot of brands, a lot of customers want to look at alternatives other than China.

And then in the Indian market itself, there was a vacuum in the market due to maybe not as many organized es tablished here present. And we also felt, as Mr. Neeraj Jain again mentioned, that if you look at world versus India , so India, we have 70% to 80% cotton and 20% to 30% manmade. In the world, this trend is exactly the opposite . So, we wanted to capture all these trends.
Do you have any follow -up questions?
Himanshu Upadhyay: So, one follow -up. So , do we in the existing capacities are catering to any technical fibers? And how big are those capacities? And have you already got the cu stomers? And how different would be the mo ods or, let's say, the challenges in this business versus the cotton -based fibers?
Sagrika Jain: So, currently, we do not have technical textiles. So , this would be our first foray into technical textiles. If we co mpare it to what w e have previously done, so if we compare it to cotton, I wouldn't say it would be more difficult. It would just be different. So , we have to build up internal capability.
And also, sourcing will be different because some portion , like it's no longer a natural raw material that we would be sourcing. It would be manmade. So, there would be certain differences, and we would be building up in ternal capabilities in order to meet the same.
Moderator: Thank you. The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Thank you for the detailed brief on technical textiles. I would also like to understand the level of integration that you are building in this segment, as in is this also fiber, yarn, from what level? And are these capacities , you know, had you already spoken to some of the customers who would be interested in this capacity? And what are the technical , technological collaboration that would be needed , if at all required?
Sagrika Jain: So, currently, we are not looking at the manufacturing filament on our own. We would see sourcing th e fila ment , and then we are planning to have weaving capacity and processing capacity in -house.
And if you are asking about what the synergi es would be with

existing customers, we have kept a few of our customers in the loop, and they are enthusiastic about it. But like I mentioned earlier, while we would be catering to some of our existing customers, we also want to diversify and grab new mar kets and new customers.
Prerna Jhunjhunwala: And what will be the approximate cost of setting this technical textile business?
Sagrika Jain: So, in the first phase, we are looking at about 320 crores, 330 crores. And once we are able to establish this, then we will think of setting up Phase -2.

Prerna Jhunjhunwala: And will it be getting PLI benefit as well? Any government incentives that you are l ooking forward to in this ?
Sagrika Jain: No, we would not be getting that. I think the PLI scheme is no longer available.
Neeraj Jain: It's not available to us because that's for a smaller company and this project is going to be a part of Vardhman Textiles only.
Prerna Jhunjhunwala: And the overall demand scenario in fabric, is it much better today as compared to in the past 6 months? How are you looking at the outlook of the fabric business , your existing fabric business in the near to medium term? And are there any capacity expansions lined in the existing business as well ?
Sagrika Jain: So, if we compare it to last year, it has been a very difficult year, and the team has done a fantastic job in trying to grab new customers and enter new territories in order to maintain a certain volume. If we think about the demand outlook, then it seems that the worst is over.
However, recovery is still going to take s ome time. There are some headwinds and there are some tailwinds. If we look at tailwinds, then we can see that a lot of the lead brands, their inventory levels, which were very high after COVID and even last year, that inventory level has come down.
So, at the retail level also, it is supporting, which means that now the supply chain is relatively dry, and they are starting to replenish. So , that will be taken. But if we look at headwinds, the interest rate, the inflation and also the propensity of the co nsumer to spend on apparel, that continues to be a challenge. So , I think we can say that the worst is definitely over, and we can look for a better future.
Apart from that, we are also looking at new customers and new products. So , we are working towards more innovative fabrics, whether it is more blend so that we can compensate the lack of demand.
You also asked about whether we are planning to enhance capacity in our conventional fabric. So, as of now, yes, we are looking into certain debottlenecking o perations because if we look at this financial year, our utilization was about , if we look at the full year, 88%, 90%. So , which does mean that we are looking to debottleneck in certain areas. This debottlenecking will allow us to enhance capacity while al so improving serviceability to our customer. So , that's what we plan to achieve.
Prerna Jhunjhunwala: 5% capacity enhancement would be there on this, with debottlenecking?

Unknown Executive: It will be very small, actually. Some of it would be normal CAPEX as well. I think we can let you know in the next Q call.
Moderator: Thank you. The next question is from the line of Awanish Chandra from SMIFS Limited. Please go ahead.
Awanish Chandra : Sir, first thing, last time we have talked about 200 crores small CAPEX . That is separate than what we have announced today.
Management : Yes, that was CAPEX .
Awanish Chandra: So, that was a very small project of 15,000 , 16,000 spindle. So , that is still going on or that capacity is already added?
Management: No, that's still going on. All that capacity will be available, I think, by December, January this year.
Neeraj Jain: This 2,000 is over and above 200.
Awanish

Chandra: So, that small capacity addition will be completed by December this year?
Neeraj Jain: Correct.
Awanish Chandra: And the new 50,000 spindles that we have talked about in new CAPEX , that it will take another year from here to get commissioned?
Neeraj Jain: Correct.
Awanish Chandra: And sir, you talked about around 1,000 crore CAPEX , which includes 50, 000 spindle and modernization project. So , this 50,000 -equivalent spindle, how much that CAPEX would be, separately?
Neeraj Jain: So, there are 2 ways. One is like a new open -end project is coming, which is equivalent to about 35,000 spindles. That project cost will be 300 odd crores or so. In addition to that, the remaining 17,000 spindle is a modernization of existing spindles , where we will be putting up the new spindles instead of the old spindles. And as a result of that, we are adding net -net 17,000 spindles.
So, it's not only a cost of 17,000. So , we are replacing almost 60,000 spindles and we will be adding close to about 77,000, 78,000 spindles new. So , the net addition will be 17,000.
Awanish Chandra: That's why total is huge, 1,000 crores.
Neeraj Jain: Correct.

Awanish Chandra: And ma'am was talking about the 300 crores CAPEX on this first phase. So , 15 lakh meters per month is your first phase or there is a Phase -1, Phase -2 in this 15-lakh meter fabric technical textile?
Sagrika Jain: So, I was talking about Phase -1. You are absolutely right. Phase -1 would be 15 lakh meters per month, and that entails a CAPEX of about 3 30 crores, 340 crores, around that.
Awanish Chandra: And then one more thing . What would be the asset turnover in this business, in technical textile ?
Sagrika Jain: What would be a?
Awanish Chandra: Asset turnover. How much revenue we can generate after the 1 st Phase get completed? So , we are putting 300 crores CAPEX . How much revenue we are expecting when this new project of 15 lakh meter fabric gets commissioned in a year?
Sagrika Jain: So, we can expect a sales revenue of about 200 crores.
Awanish Chandra: So, in this business, asset turnover is less than 1?
Neeraj Jain: Yes. It will be less than 1 because we are adding lots of rooms where the advantage doesn't come in, but once we go for the second phase, probably the asset turnover, we might touch about 1:1 in total project.
Awanish Chandra: And margin wise, it will be similar to our company margin? Or this will have a better margin?
Sagrika Jain: Similar.
Awanish Chandra: So, again, the margin would be what we always guide, 16%, 18%, this kind of margin will be generated?
Sagrika Jain: Yes.
Awanish Chandra: And sir, one last question on the margin side. We are still far away from our guided or earlier year's margin. So , what is the expectation there? It will take another year to reach that. What is your outlook on that?
Neeraj Jain: My feeling is if we look at the US A and Europe, almost a 20% drop is there in the import s. Every time normalization happens , in the entire work, the margins won't improve. On the spinning side, still I think most part of the world, it is running about 70%, 75% spinning utilization. Of course, it has improved 8%, 10% in the last 6 months.
So, I can only hope the improvement i n the margin in a big way once the normal utilization starts happening. It's slowly building up, slowly picking up, but it may take maybe another 6, 9 months.

So, I am hopeful by the time we complete all our expansion and modernization, things should be fa r better than what it is today.
Awanish Chandra: But all these projects , this year, we won't get anything from this new CAPEX , right , as far as capacity is concerned ?
Neeraj Jain: No, no.
Awanish Chandra: Everything will come into the picture in FY '26, yes?
Neeraj Jain: Correc

t.
Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.
Pritesh Chheda: Just your audio was weak , so capacity utilization in spinning for us, for Vardhman, in FY '24 and quarter four FY '24 was what, sir?
Neeraj Jain: Almost 100%.
Pritesh Chheda: Almost 100% , okay .
Moderator: Thank you. The next question is from the line of Rahul Jain from Credence Wealth. Please go ahead.
Rahul Jain: Sir, pardon me in case you have covered this in your initial 2, 3 minutes of commentary. So, typically, sir, given the current situation on demand and spreads of yarn, cotton yarn and the exports and the domestic, how are this behaving?
Two, three questions aligned. One is the demand on the cotton yarn side, both export and domestic, and also the spreads on cotton yarn, how are they behaving? And what is your expectation going ahead?
Neeraj Jain: So, the demand, both domestic and export s for Vardhma n is normal. And in terms of prices also are comparable between these two markets. There is , I mean, generally, the gap of Rs. 2, Rs. 3 here and there. But , by and large, the prices and the margins are aligned both in exports and domestic and the demand is reasonably okay in both the segments. The gross margin as of now is in the range of about US $0.70, US $0.75, which normally the benchmark is always in the range of about $0.90 to $1.
Rahul Jain: So, given the scenario today , and also there are currency iss ues in some of the countries in the

globe, so has the situation eased now? And are you seeing some better inquiries or demand from the export side?

Neeraj Jain: Definitely, there is an improvement. And I mentioned in my initial comments also , that from India, the export is almost in the range of about 105 million kg, 110 million kg per month, which has been a normal export even with pre -COVID levels also. So , that means the overall demand from the export market is okay.

Of course, since the o verall utilization in the entire world is still less, so that is where the margins are not improving, but as far as the exports from India is concerned, we are starting to see our normal volumes.

Rahul Jain: For my last bit, you mentioned in your commentar y about China plus 1. You mentioned that we have been talking about China plus 1 for last 3 years and some of the customers are surely looking for additional source.

So, sir, given your understanding and the experience in this industry, you being a leade r in the industry, in your assessment in last 2, 3 years, what is that structural change which the industry and Vardhman both are going through?

Because in general, cotton yarn has been a very cyclical business. We have 1 or 2 good years followed by 2, 3 years of issues on the demand or cotton prices going up, the margin is going down. So , typically, the changes which have happened in the last 2, 3 years, how do we perceive the change in the industry today and going ahead?

Neeraj Jain: So, there are very clear trends and changes which have happened in the last couple of years. To start with , one, most of the products' demand is today for 30 days delivery, 45 days delivery. Earlier, someone will book me down for 60 days, 90 days. That time i s over. So , everyone wants a delivery in 30 to 45 days because everyone wants to reduce their inventories and they are looking at a better turn around of their products. So , their first need is that the product has to be delivered in the se number of days.

Two, the number of fibers that started increasing, both manmade and different cottons, whether it's organic, for example, the organic cotton, there needs to be one kind of organic. Today, there are 8 kinds of organics.

Similarly, if you look at polyeste r. There are 20 types of polyester today available. You talk of cellulose . There ar

e 20 kind of cellulose available in cotton . So, every customer, and then they want a mixture of the particular cellulose , the particular cotton. So , which means the overall variety has improve d or increase d in a big, big, big way. So , that's another thing which has happened where we are posed to, one, deliver it well in time; two, at the same time, have to have the differentiated products.

Third, as the brands are coming to India, their the requirement of the new product is also very high. So , which means they will get some ideas . We will have to generate some ideas. So , both

customer and vendor together, you have to keep generating new ideas so that new and new things for the customer could be provided.

So, that's yet another change which has happened, which generally was not there in the normal gray products, but we are finding also mixture of A to B, B to C, C to D so that something new and something different could be created. These are the three changes or fundamentals from the customer side.

In addition to that, there are two major changes. One is on capability . Second is on sustainability. Now , there is lots of passion on recycling products. There are lots of requirement of customer on reduction of carbon footprint. There are lots of requirements for them to stop using the fossil fuels , etc. So, that's on one hand.

On the other hand, the y want a total capability up to , given a choice up to farmers, if not farmers, at least up to ginners . So, the entire chain has to work on the ir logistics has to be work ed out so that you are in a position to give them visibility on the capability or on the entire supply chain.

Now these are very, very big changes. And last, not the least, the social compliances. As these brands are moving more and more to India, the requirement of social audit, social requirement is huge. And their expectation is also that all the organization, wherever they are working, they should be compliant to that extent.

So, I think that's, in a way, a natural advantage, which will go to the larger organization who can organize all these things. And all these customers which come from outside, another requirement is they want to consolidate their vendor practice . So, they are not interested to go to 20 vendors for every different product. They want one product, one factory where most of their products

should be available.
And they also want their pickin g to be managed by the factory. So , someone is buying 5 tons of, let's say ……….. from me which they want 7 tons, 8 tons, 10 tons . So, I have to deliver them well in time.
So, we serve as the largest capacity and the capability to fill the product. I think that's an advantage, which naturally going from the customer to the ir side . These are all changes where all these customers or all these brands, which are looking at India as a serious destination, this is the basic requirement, and this is the reason we are rethinking of the entire model.
And this is the reason we have taken up this kind of modernization so that we already have lots of flexibility and capacity available to us, but I t hink we are relooking at it entirely from a different angle and preparing ourselves for next couple of years.
Moderator: Thank you. The next question is from the line of Akshay Kothari from JH D. Please go ahead.

Akshay Kothari : Sir, how do you foresee the demand from China?
Neeraj Jain: It's relatively less as of now.
Akshay Kothari : And when do we expect it to , your views on the same?
Neeraj Jain: They keep coming to us. So , whenever the prices go down, they buy from us. But I think one big change which ha s happened, if you look at an article, there was an article 3, 4 da ys back only.
In U.S., they have drawn samples from various brands

or the various retail shops, and they have tested it for the ban ned cotton of China. And they found almost 90% cotton samples getting filled . I was given the name of the brand as well as the shop, but it looks like as the stringency of U.S. would keep increasing of these ideas, the demand for Indian yarn will definitely keep increasing even from China al so.
So, I think till the time these issues are there, definitely I look forward because as of now, though there is all these requirements, legal requirements are there, but still it looks like the people from China are managing it . But I think as the stri ngency increases, there could be or would be a larger demand of yarn from India which is made out of the Indian or any other cotton other than China.
Akshay Kothari : And what would be the debt taken for this CAPEX , which you have announced?
Neeraj Jain: I think we are likely to take the debt in the range of about 50% to 60% overall long -term debt for this . In addition to that , whatever the working capital, that generally will take about 50%, 60% of that as well.
Akshay Kothari : And sir, I missed , there wa s some disturbance. This is a brownfield CAPEX , right?
Neeraj Jain: This is all brownfield.
Akshay Kothari : And sir, lastly, what is the application of this technical textile fabric? I understand 80% is polyester and 20% would be nylon. But where would it go?
Sagrika Jain: So, there are different applications. So , one would be sportswear or activewear. So, if we look at the raincoats that we wear, the down jacket, so the fabric that goes on the outer side of it, that would be one functionality. Then there are two industrial applications like belting , luggage . Then there are also defense applications. So, there are different segments. And this is an area that we are going to enter into. So , some would be existing customers, b ut a lot would be new segments and new customers.

Moderator: Thank you. The next question is from the line of Ridhhesh Gandhi from Discovery Capital. Please go ahead.
Ridhhesh Gandhi : Just to get an understanding, how are spreads actually , like currently in the cotton spinning compared to the Q4 and Q3 of last year? And if you could give us a view going ahead, if you see further normalizations happening in the spread?
Neeraj Jain: Sorry, I am still not clear on your entire question.
Ridhhes h Gandhi : So, I was asking about how the spreads are currently.
Neeraj Jain: Spreads. So , spread s in the third quarter have been a little less . Fourth quarter , spreads were better. But again, I will not say it happens because of the yarn prices improved. It happened only because the cotton prices came down. So , the spread was a little better in the fourth quarter compared to third quarter.
Ridhhesh Gandhi : And any outlook going ahead as to what can you expect a normalization to actually happen in the sprea ds and what's going to drive that?
Neeraj Jain: As I mentioned, still the time the utilization of spinning doesn't grow to about 85%, 90%, the improvement will not happen. So , we have seen last one year, the slow improvement has started happening as the consumptions are improving, increasing.

One thing is very clear, and I mentioned in the last call also, all the brands, there is no brand now who is talking about still the destocking. So , this I think is over . Brands are buying their day-to-day purchases on a regular basis. So , which means this much of demand, which is there today should continue, and it is to improve only. It may take maybe next 2, 3, 4 quarters , 2 or 3 quarters in my view personally for the nor malization of demand, but definitely, things are improving quarter -by-quarter.
Ridhhesh Gandhi : And the current levels of utilization across the industry would be how much?
Neeraj Jain: 72%, 75%.
Moderator: Thank you. The next ques

tion is from the line of Akshat from N iveshaay. Please go ahead.
Akshat : I want to just ask that at what capacity technical textile can be run in future when it is ready?
Neeraj Jain: It all depends upon how our product goes, what kind of demand, what kind of margins are we looking at. We feel, for the domestic market, since the synthetic has to increase only, so there is a vacuum available as of now.

So, we are putting ourselves and project in hope that it should be commercially viable, and we should be in a position to make money also with the right product. And once we are in a position to establish the product and the margins are normal, then I don't think we have any limitation or any thought process that we will not be expanding. So, we will keep evaluating and looking at it in the future.
Akshat: And is it that it can produce extraordinary margins in comparison to cotton yarns?
Neeraj Jain: It can, depending upon what products because slowly a part of this will be going in towards more and more technical textile, maybe the fire redundant and those kind of products. In case we are in a position to establish that and make that, maybe not in 100 % capacity, but a part of that capacity going in for the very, very specialized application can definitely or will definitely give us much better margins.
Moderator: Thank you. The next question is from the line of Ritvik Seth from One-up Finance . Please g o ahead.
Ritvik Seth : Sir, just one clarification. Earlier in the call, you mentioned that the spread yarn cotton price is \$0.70 to \$0.75 per kg. Did I hear it right?
Neeraj Jain: Correct.
Ritvik Seth : And this is mainly because of increase in cotton prices, which has led to increase in yarn price and which has reversed to some extent in the current quarter, right?
Neeraj Jain: Yes, so the margins were lower, but as the cotton prices came down, the yarn prices were stable, the margin, to some extent, i mproved.
Moderator: Thank you. The next question is from the line of Nirav Savai from Abakkus. Please go ahead.
Nirav Savai: My question is regarding this power capacity, which we are putting. And am I right in understanding that you are increasing your power, green power share from 2% to 25%?
Neeraj Jain: Correct.
Nirav Savai: So, what is the incremental capacity which we are putting? And what will be the CAPEX behind that?
Neeraj Jain: So, the CAPEX , I think there are , we haven't figured out the total CAPEX because it's a different change we are evaluating, maybe in solar, maybe the wind, or maybe the hybrid or a mixture of both. So , tentatively , we have kept the provision of about 300 crores, 400 crores , 350 crores to 400 crores would be for this power for this particular year.

Nirav Savai: And what would be the cost savings and this would be done in 18 months ?
Neeraj Jain: 18 months max.
Nirav Savai: And what would be the cost saving on the power side, which we will have?
Management: ………… whether i t is the …………………. it would not be fair for me to comment what would be the advantage , But I think in most cases, we are looking at whatever we are investing, a payback of about maximum 4 years or so.
Nirav Savai: Sorry, sir, yes, I didn't get you right. Can you just repeat it again?
Neeraj Jain: Whatever is the investment, our idea is to get a maximum payback of 4 years on solar power or on green power.
Nirav Savai: And on this new spinning capacity, you were adding, what, about 50,000 spi ndles? Or you were adding 70,000 and some part of the existing spinning capacity will be scrapped? I didn't get it right. Can you please repeat it again?
Neeraj Jain: So, there are 2 projects. One is the open -end project, which is equivalent to about 35,000 spindles. It's a new project. And second, we are puttin

g up about 70 odd thousand spindles and
some 16,000 spindles will be scrapped. So, the net -net, there would be an addition of 17,000 spindles, making it a total of ………………..

Nirav Savai : And technical textile is another 300 crores? So, I am just asking the technical textile part is 300 crores. New spin ning is about 1,000 crores. And about 300 crores to 400 crores would be on power, right?

Neeraj Jain: Correct . And plus, some debottlenecking as well as the modernization in our fabric division close to about 150 crores, 200 crores.

Moderator: Thank you. The next question is from the line of Abhineet Anand from 3P Investment Managers. Please go ahead.

Abhineet Anand: So, just on the CAPEX , good to hear new round of CAPEX coming for the company. Just trying to understand because it's not totally greenfield, some of them is modernization. In terms of asset turns, obviously, spinning is less than 1 and the manmade fiber that was talked about is also less than 1. So , I mean , this 2,000 crores in terms of financial numbers, let's assume, over the next 2 years and the ROC on that, any color on that, if you can highlight?

Neeraj Jain: I think on the top line, as you mentioned, be cause lot s of modernization, which is happening, which may not increase the overall top line , and if you look at the expansion of 50,000 equ ivalent

spindles and the fabric, the overall top line may increase by about 500 crores , 700 crores only, so which me ans on a CAPEX of 2,000 crores, we are talking of maybe 0.3 or 0.4 at best capital turnover ratio. But it will be more in terms of bottom line.

For example, solar power, we are not going to increase any top line , but I think it's an improvement in the or reduction in our cost of electricity. So , the margins may improve , but the top line numbers may not increase.

Abhineet Anand: I mean , that is the reason I said modernization will probably end up , green power will reduce that.

Secondly sir, if you can provide the broader breakup in terms of yarn and fabric, which typically we get from the annual report, but if it is 4Q, probably if you can give those numbers?

Management: As a matter of policy you will have to derive from the balance sheet.

Abhineet Anand: Or else, if Thapar sir can provide the average fabric and average yarn realization for the year, that would help.

Rajeev Thapar : We are not doing it separately. So , the data cannot be provided as of now. So, EBITDA, we are just monitoring at company level only , textile as a whole.

Abhineet Anand: Last bit, sir , this debt that we will be taking , will it be normal debt or some lower -cost of debt will be there?

Rajeev T hapar : Part of that could be the lower cost as well, but some of the pro jects will be coming in in Madhya Pradesh that will be open -end project. So , there could be a possibility a part of the debt could be some subsidized also, but that is a very, very small part. Most part of the debt will be the normal debt.

Moderator: Thank you. The next question is from the line of Rahul Sony from ICICI Bank Limited. Please go ahead.

Rahul Sony : Just one question. What kind of freight increase we have witnessed due to this Red Sea crisis?

Neeraj Jain: Definitely, the freight increase has happened especially to Europe and Latin America. But fortunately, our overall shipment in that region is much less as a company, but most of the shipment of yarn as wel l as fabric that goes within the Asia only, whether that's China, Sri Lanka, Bangladesh, etc ., etc., Vietnam, Thailand, those countries.

So, I think though there is an absolute increase in those freights , but our overall kitty of product s went through Red Sea is relatively very less. So , it's not really had a big impact on us.

Rahul Sony : So, what percentage goes to E

urope as a direct export?

Neeraj Jain: 10%.

Rahul Sony : Just want one more thing. So , you are saying that you have witnessed in terms of absolute numbers. So, for that particular shipments compared to previous charges earlier than this issue escalated, so what was the percentage change there?

Neeraj Jain: For the freight?

Rahul Sony : Yes.

Neeraj Jain: Double d.

Rahul Sony : Okay, it's doubled.

Moderator: Thank you. The next question is from the line of Monish Ghodke from HDFC AMC. Please go ahead.

Monish Ghodke: So, this 2,000 crores CAPEX , which we are doing, if I consider cost savings as my earnings, margin expansion as well as electricity cost save d, then what kind of ROC we have in our mind over a long -term period?
Neeraj Jain: Primarily, as I mentioned earlier also , so primarily, the idea was not only the cost savings. The idea was to create the capability to produce the diffe rentiated products or to improve the overall delivery. That was the idea that we started looking at this.
But having said that, all these modernization should definitely bring in the improvement in the overall system. I mean, if I look at only the cost savings potential and look at all these modernization, none of this will make sense.
But if I include that with this, I should in a position to get a much better business from a much better customer. Probably it's very difficult for me to put it in as a number that this is a return I am going to expect from this modernization. But definitely, as we have seen la st 1 year has been very tough.
In spite of that, at any stage, if I look at my 30 to 40 days delivery, there is always a challenge because huge pressure from every customer to deliver the products, which means the trend is changing or it's increasing whe re there are lots of opportunities where we are missing the business because we are not in a position to deliver.

So, I think that was the idea where all these modernization started happening , but if you ask me that what is the payback of this , or what i s the improvement in the numbers only because of this , probably it will not make any sense to us.
Monish Ghodke: And sir, since our fabric capacity is also operating at almost full utilization. So , will we be planning CAPEX in that also going forward once demand improves?
Sagrika Jain: Yes, we are. As mentioned earlier, there are some debottlenecking activities that we are planning to do. So, we also understand that we are at a good capacity utilization. And this year itself, we would be looking at certain investment.
Moderator: Thank you. The next question is from the line of Apurva Sharma from Buglerock . Please go ahead.
Apurva Sharma: My questions are on the technical, the manmade side of the business. So , you have announced the CAPEX . Just wanted to understand in terms of , I know it's a bit early, but in terms of customers where we plan to sell, is there any initial sort of set of orders or inquiries that we have been working on and what part of it? Or is it we are building , there is a vacuum and then we will just set up and then we will see? If there might be some traction initially? And I have a follow -up on the same.
Sagrika Jain: So, as mentioned earlier, there are some synergies with existing customers. We have been in touch with those customers i n order to get some insight, product specifications , and what products we are also looking for. So , that would be some portion. It would be difficult to give you a black or white at what percentage would be existing and what percentage would be new.
But rest assured, we also feel that there would , because the existing customers are present and are enthusiastic about this product, that we would be able to gain traction maybe sooner than what would have been , if we didn't have any customers.
Apurva Sharma: And so j

ust what sort of time frame are we looking at to stabilize? Again, it's too early, but just wanted your sense on the same based on the conversations that you are seeing.
Sagrika Jain: It will take us 1, 1.5 years to commission and then , let's assum e 1 year from that. So , I think we take a guidance of 2.5 years for us to fully establish the product.
Moderator: Thank you. The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: On this fabric technical extend foray , I understand that you were looking at expanding the target audience for the business and the company . Just wanted to understand why the asset turnover

will be lower in this business? And why the margins will be lower ? These are special product. Not many people make it . So, why the margins and the asset turnover…
Neeraj Jain: So, we didn't say the margins will be lower. We only said the asset turnover ratio will be lower because most of , lots of these products will be polyester based or be filament based. So, the prices of that will be determined by the polyester or the filament prices only. So , asset turnover could be less, but we are not saying the margins could be less on this .
Prerna J hunjhunwala: So, margins could be for our company average margins can be eventually when you establish?
Neeraj Jain: Of course, here, from the overall company 's margin, it will be better because in any case, the fabric margins are better than the overall c ompany's margin. So , it will also be better.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing remarks.
Neeraj Jain: So, thank you very much on behalf of the company. I think we have seen a very, very difficult time, and we have made all the earnest efforts to come through or to pass through this time successfully. Of course the margins are less, we have issues and challeng es in terms of overall profitability but definitely, in terms of customer satisfaction, in terms of developing new products , and in terms of shop floor manufacture, in terms of the cost saving potential for the ideas, we have been working continuously in t his difficult time so that because at all these difficult times, there was lots of energy or lots of ideas to sell these , lots of conviction to sell these ideas to our people. And the entire management is working day in day out to look at what more improve ments we could bring in in our overall system.
I am sure that the overall demand started improving last 2 or 3 quarters and that trend should continue. And hopefully, maybe next 2 -3 quarters, I think once the business becomes normalized, we are geared up and we prepare ourselves for the next phase of improvement. And so at the moment things start improving, we will definitely look at a much better margin from today's level.
So, I thank all the investment community who have always been with us and have th e faith on us. And I am sure as management, I assure you that whatever is possible in our hands, we are working day in day out , and we are always looking at improvements internally, whichever area it is.
So, thank you very much once again, and look forwar d, maybe the next call after a quarter also.
Moderator: On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q1 FY"25
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule II of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
15t August, 2024 to discuss Q1 FY'25 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
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"Vardhman Textiles
Q1 FY '25 Earnings Conference Call "
August 01, 202 4

MANAGEMENT : MR. NEERAJ JAIN – JOIN T MANAGING DIRECTOR –
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN – EXECUTIVE DIRECTOR –
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR FOR RAW
MATERIALS – VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER --
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MR. MUKESH BANSAL – HEAD OF FABRIC MARKETING
– VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA -- HEAD OF FINANCE --
VARDHMAN TEXTILES LIMITED

MODERATOR : MR. ROSHAN NAIR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Vardhman Textiles Limited Q1 FY '25 Conference Call hosted by Batlivala & Karani Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. As a reminder, all partic ipant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your tou chtone phone. Please note that this conference is
being recorded.
I now hand the conference over to Mr. Roshan Nair from Batlivala & Karani Securities. Thank
you, and over to you, sir.
Roshan Nair : Thank you. Good evening, everyone, and welcome to Q1 FY '25 Earnings Conference Call of
Vardhman Textiles Limited. On behalf of B&K Securities, I welcome all the participants and
the management of Vardhman Textiles Limited to the call. We have with us Mr. Neeraj Jain ,
Joint Managing Director; Ms. Sagrika Jain, Executive Director; Mr. Sushil Jhamb, Director or
Materials; Mr. Rajeev Thapar, CFO; Mr. Mukesh Bansal, Head, Fabric Marketing; and Mr.
Varun Malhotra, Head of Finance.
Without further ado, I would l ike to hand over the floor to Mr. Neeraj Jain for his opening
remarks, post which we can have a Q&A session. Thank you, and over to you.
Neeraj Jain: Thank you, Roshan. Good afternoon, everyone, ladies and gentlemen. So welcome to all of you
for this early call of Vardhman Textiles. The numbers you would have seen yesterday, there has
been some improvement in the business of the company, especially for the companies where
being raw material was covered during the season at the right prices. The deal of futu re when
we started the quarter was at a reasonable level of -- and the yarn prices were also formed
accordingly.
But I think over the period of last two months or so, slowly the view of future has been coming
down and the prices of yarn also kept coming d own. So as a result of that, though we think we
have always sold sometimes for the future business for 2, 3 months, I think the realization in this
period has been relatively better, which is a little down as of now on the current basis.
On the raw materi al side, since that was that the full season was where the New York Future
was at about $0.80, $0.82 and the available of imported cotton across the world was in the range
of $0.90, $0.92 or so. And whereas the reason in India, the cotton was available at INR54,000
INR55,000, which in terms of US cents was relatively okay and in the range of about $0.82,
$0.83 or $0.084. The company cover ed most of the raw material at those prices.

And as a result of that, I think and immediately after the cotton season wa s over, the pricing
went up to almost INR58,000, INR59,000 a candy from INR55,000. So that was the traditional
advantage which the company was getting or still is getting.
In the meantime, the New York Future target coming down because of a better crop es timation
in USA and the better value condition in Texas and as the entire world looked at the New York
Future s, the yarn prices are also starting coming down, which is definitely giving a content as of
now to the Indian spinners because the pricing in India definitely higher compared to the market
as of now.
The second important issue for the industry is the minimum support price. The Government of
India announced the support price -- minimum support price of cotton also for the ne

xt year,
where they enhanced it by almost 7%. And the price for the Kapas was fixed at INR7,521 per -
- and if we look at per quintal .
And if you look at converted in terms of candy, it will be close to about INR60,000 or so on the
minimum support price. And I think that's definitely giving us a concern at INR59,000 a candy
-- I think we will be very close to about ---(inaudible) in the range of $0.70 -$0.71 how the Indian
industry will play in the next three to six months' time. So that's definitely a con cern as of now.
In terms of the overall business, we can say, I think the company has done decent, both in terms
of the cost efficiency, in terms of the product, in terms of the internal cost saving initiatives.
We've been looking at all those ideas and w orking very hard on that. Two, we've been discussing
last three years the issue of China Plus One, and our belief is and have been repeating it in every
call, our belief is there seems to be a reality today where more and more brands are looking at
India a s one of the important vendor -based country for their product. And we are looking more
and more business coming to India from those vendors.
The only choice will be one, wh ether we can deliver them in two to three, four weeks' time is
the one to the numbe r of fibers are going to be much more than better as well as cotton. So how
do we prepare ourselves for the flexibility, both in terms of the product as well as the number of
days, the delivery time?
And in case we are in a position to do that, I think that business is improving, increasing
dramatically in India. And definitely, V ardhman, being one of the large player and having all
kinds of technologies, all kind of products, we have that option available to us where the
customer wants to deal with the better companies -- better organized companies and we
definitely fall into that. The only choice will be whether we can continue to deliver them all
these things. And for that, what more is required to be done internally so that we can continue

to grab that business, which is a profitable business and it is sufficient in terms of volume as well. So those are the opportunities as well as some issues and concerns on the economies side. In terms of customer , product efficiency costs, I think company is bei ng really good. But definitely, the raw material prices are higher. That's going to give some concern to us for the

overall India textile industry for which we are requesting government also to look at, and we might have to look at how the next season goes in.

In the meantime, it looks like since the international price of cotton has lowered, it may -- and though the India direct import is not there, b ut we can import under advanced --- (inaudible) where the duty incidents will be relatively l esser.

It loo ks like India is ready to impose lots of cotton this year and already that import started contracting and it may be possible that India may import a larger volume to ensure the availabil ity of raw material at right prices which is -- and to that extent, th e pressure on Indian cotton will be lower in terms of the buying or the cost, but we do not know ultimately what happened to whatever stocks are left there, either with the farmers or with the CCI or with the mill owner so how will it look like at the end of next cotton season. That's something we have to really watch and look at how do the entire market scenario behave in this manner .

So that's on the s pinning side. And also in terms of the -- or the monetization and the expansion projects, which were ann ounced last time, I think the work has started happening on most of the projects. We are on -track and we are expecting it to be completed by this deal, which are decided internally. Most of these projects should be completed in this financial year as well as next financial year. Of course, majority in this financial year itself.

We are all on track, all orders, majority of the orders have been placed lot of constructions has started and things are working well. And sure once these projects are completed, i t will reduce. It will give us lots of advantages, both in terms of cost as well as improvement in flexibility and some production increase as well, which will further develop the optimization to our overall operations of the company.

So that's on the selling side, relative to the many things we can discuss during the QA. And before that, I request Sagrika to give some idea -- to start with , Mukesh if you could give some idea on the fabric marketing and then if there are QAs then Sagrika could take that. S o over to you, Mukesh.

Mukesh Bansal Yes. Thank you, Neeraj -jee and good evening, everyone. As far as fabric is concerned, generally the period of quarter one is a all -holiday season period, wherein the demand for cotton textile is anyway lower than yearly averages I would say. So that is why the Q1 is generally lower for the Indian textile companies.

But this year, it was an exception due to a couple of reasons. One, of course, is the China Plus One which Neeraj -jee has also elaborated. Second is due to th e Red Sea condition, the transit times are longer , so all the buyers wanted to pull forward their already placed orders or they also preponed some of the orders so that they can make up for some of the lead time that in transit will be higher. So there was a flow of higher orders during this period as compared to last year , same time.

Third is that in the past, we have invested into some capacity building and capability building in terms of handling more number of fibers and also doing some cotton products , which are specific to the fall holiday season.

And fourth reason was that, as we mentioned in the last call also, the inventories with the international retailers, especially in the US, they are continuously coming down to a reasonable level, which were higher three quarters, four quarters ago. And the retail sale is also better. So there is more demand coming back to us, which has led to a good quarter last quarter, and same is continuing in this quarter as well.

As far as the other markets are concerned, Europe, not as good as the U.S., but still some recovery has started happening. Some brands which could not bear the pressure of high inflation and lower sales, their business share has gone to some brands who could be better. So somebody's loss is somebody's win. So likely, we are well positioned with the and our businesses, more or less stable. I will not say it will be robust but it is stable and so in the other markets.

The third biggest market for us is the Indian market. Indian market in Q 1, it was not very robust but not very low also. The retail sale was not as good because of very severe decrease. And these sales channels were also disrupted because of the election and other kind of activity. But we are hopeful that Indian market also wi ll have a good demand in Q3 and Q4 because of these activities and also the various sales, which is the main reason for the consumers to buy. So demand is coming back in Q2 from the Indian market as well. That's it from my side. Rajeev, you can take it fro m there.

Rajeev Thapar So we can start with the QA portion, and I think all the business queries from resolved or can be answered there only.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Aryan Oswal from Finterest Capital. Please go ahead.

Aryan Oswal: Yes. Okay. Sir, my question was on the -- like say the last call, you mentioned that about expansion and utilization rate of 72% to 75%. Have you seen any changes in this metric in Q 2?

Neeraj Jain: So the overall country's u

tilization is still in the same range of about 75% only and I think slowly that utilization has come down only. So there is no change in the utilization of sp inning industry as such till now?

Aryan Oswal: Okay, sir. And sir, last quarter, you guided for INR2,000 crores of capex. But since then you increased to INR2.5 crores. So I just wanted to understand what is the additional INR500 crores going to be used for?

Neeraj Jain: So out of this INR500 crore, about INR100 crores is the expansion, which we're doing in the open end. I think we are increasing that capacity, and another INR400 crores for the biomass

boilers, along with the power systems where we want to look at the green part. So the existing coal base or husk base boiler for a be gained along with some addition for power condition.

Aryan Oswal: Okay, sir. And sir, last question from my side. How has the progress been in increasing our green power consumption to 25% to 30%?

Neeraj Jain: So as I mentioned, I think we are within the target was taken because we have allocated almost to INR40 crores for this to be done in the next two years. We are progressing well and I'm almost confident that within next 1.5 years, we would have a provision to achieve the same .

Aryan Oswal: Okay, sir. Thank you, sir. That’s all from my side.

Moderator: Thank you. Our next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: Congratulations on the marked improvement scenario and good performance. Sir, I wanted to understand now that Indian cotton is expanding to international cotton as you mentioned in your opening remarks, how is the industry going to have a better margin going forward? Or how is the margin -- how are you thi nking about margins right now in the spinning business?

Neeraj Jain: Yes. So definitely, there is a concern today because if you go by the today's cotton prices and the margins, which is based upon the international cotton prices, that's definitely a conc ern. So going forward, a couple of things can happen, a couple of scenarios may develop. The conditions like this. So to that extent, that will be the Indian industry will pass through relatively more disadvantage.

Two, the Indian industry will also start importing cotton in big ways. And maybe because in the advantaged lines, the overall impact of bits only about the duty impact is about 3.5%. So maybe to that extent, we will import more and more cotton compared to using the domestic cotton.

Third, the India, the textile appreciation has been talking to the government to look at some policy where to decide the -- even if they prepare large quantities of cotton, will be their sale policy. So the industry doesn't cover but the government is yet to respond on to that because it has been – and the fourth in the near future goes by, it goes up by $0.07, $0.08 in the next couple of months, then probably that disadvantage will be relatively much less or the Indian cotton may also be aligned to the word market.

So if you go by the overall cost of the farmers internationally, I think this is a very exceptionally low cost. They're not making any money so that could be a possibility. We are hoping that New York Future exports may go back to $0.75, $0.77. And to that extent then, that disadvantage today may be reduced or may not be there at all. But these are all various scenarios putting our let's see what happens.

Prerna Jhunjhunwala: So then achieving normal margins of 18% to 22% as your ranges looks distant even t oday?

Neeraj Jain: It is, Again, Prerna, there are two factors there: one is a normal margin; second, the utilization of the industry. Since the time industry is utilizing 75% capacity only the moment margin starts improving, the rest of the will also

star t coming in. So unless we look at the utilization of industry, which is north of 90%, the overall margins may not improve on a consistent basis. Whenever we look at the margins are improving, a lot of those players who are stuck today, they'll also start c oming back to the system. I think we'll have to wait for some more time.
Prerna Jhunjhunwala: Understood. And what are you saying for fabric? Have the margins for fabric also started improving largely because the -- yarn is continuously under pressure? May be margins are not normalized. So is fabric able to get a little higher margin because of transfer pricing? I mean, as an industry on a basis? Or there also, we take issues on margin front?
Sagrika Jain: There has been a slight improvement in margins but t hat would not be as Mr. Mukesh Bansal had also said. That is because of our diversified customer base and also diversified cotton market. So you can also say for margins to improve on a consistent basis, the industry dynamics should improve.
Prerna Jhunjhu nwala: Okay. So which means capacity expansion in fabric business may also not happen in near term? You're almost running full utilization in fabric business?
Sagrika Jain: Yes, we are at a maximum capacity utilization but we are progressing well towards o ur expansion plans, and we are underway as we had discussed last time as well.
Prerna Jhunjhunwala: Okay. I'm just saying in fabric, you haven't announced anything on normal -- the existing fabric business capex?
Sagrika Jain: So in the normal fabric busin ess, we are planning to expand our solid dye by around 8%, 9% and yarn by around 15% to 20%. This was also considered the solid dye was part of demand part of product mix changes. And we saw certain segments where we wanted to enter. That would be our capa city expansion of normal fabric business.
Neeraj Jain: So this was the part of the announcement, which was made last quarter where the INR2,000 crores included the debottlenecking and some marginal improvement also in terms of production.
Prerna Jhunjhunwa la: Okay. So this will increase our capacity from 170 millimeters to 180 millimeters to how much now then?
Neeraj Jain : About 200 millimeters.
Prerna Jhunjhunwala: Okay. Understood, sir. Understood. Thank you, sir. I will come back to the question queue.
Neeraj Jain: Thank you.

Moderator: Thank you. Our next question is from the line of Awanish Chandra from SMIFS Limited. Please go ahead.
Awanish Chandra: Sir, congratulations management team on reaching 15% margin after a long, long time. And sir, my ques tion from this only , in your earlier remarks, you talked about that China Plus One has become reality. Though you have soon concern over margin continuing, but it's still 15% margin look like a good margin to think about adding spend there.
You have already announced INR2,500 crores capex but very few capacity in reality we are adding on the spinning side. So any thought, any change in the difference in thought towards the spinning capacity beyond this 56,000 that's in there?
Neeraj Jain: No. As of now, I think most of the capex which is happening other than this open -end project is on the monetization where we feel that all the debottlenecking as well as the monetization of our plant and machinery will help us to reduce costs as well as enhan ce our flexibility to give this differentiated product. So as of now, there's no plan to expand the capacity because this itself is a huge expenditure for us going by our conservatism. And I think we'd like to do this and maybe we can wait for a year or so before we start taking up any bigger project after that.
Awanish Chandra: Okay. So for the number point of view, with this capacity expansion, our fabric will become 200 and yarn capacity will -- spindle capacity will enhance by 56,000 and this will be co mpleted by F

Y'26 or mid of '26?
Neeraj Jain: On the stock exchange, we have mentioned two years, which is the current financial year and the next financial year. But I hope most of these things will be applicable or implemented maximum by September next ye ar, which will be about 1.5 years , one this full year, six months for the next financial year.
Awanish Chandra: Is there any issues we have faced due to this recent Bangladesh issue? Any demand slowdown in that region or do we have very less exposure there ?
Neeraj Jain: Bangladesh is the biggest customer for the yarn export as of now. So out of India, almost 25%, 30% goes to Bangladesh only. And any disruption over there will have the issues here also. But since it's a small kind of a thing, so I mean it's not really very big. And as of now, there is no

impact on the demand . But unless it is resolved or it continues for a long period, then there could be a concern. But as of now, there doesn't seem to be an issue.
Awanish Chandra: Okay. And sir, one more thi ng on this PLI scheme or FDA, any developments you have heard? I mean, we keep reading in the media all these positive news. But in reality, anything you think that PLI , something will come and it will help cotton textile industry?
Neeraj Jain: Government is announcing it. I mean, they are talking to it on various forums. So last couple of meetings we have attended with them, they've been only saying that the next PLI is likely to come very soon, which will include the PLI for the garmenting also. So we'll have to wait and much only when they announce it.

Awanish Chandra: And sir, one very quick thing, that 15% margin, it is very far from 18% to 20%, but considering we are doing so many value addition and projects. And also can you think that at least this m argin will be sustained, if not this goes towards 18% any time soon, at least we can maintain this level?
Neeraj Jain: All efforts are , but I think, again, we'll have to look at the raw material prices also because if the raw material prices in India are h igher compared to the world market s, I think then it's going to be difficult at least on the spinning side . At the same time, fabric definitely can sustain these kind of margins. So it's going to be very challenging and frankly going by cotton prices in India, it may be difficult to sustain that for sure.
But let's look at in case government also supports by taking some steps, then there is a possibility to sustain it . And by the time we complete all our modernization and expansion, definitely with the cost reduction and increase in production, we'll definitely look at how to improve upon this. But the question I think I'm afraid of answering that we -- if we can maintain it at these levels in the given current situation.
Awanish Chandra: Okay, sir. Thank y ou very much for answering my question s. All the best, sir.
Neeraj Jain: Yes.
Moderator: Thank you. Our next question is from the line of Resham Jain from DSP Asset Manage rs. Please go ahead.
Resham Jain : Yes. Hi. Good evening, sir. So two, three questions. S ir, the first one is I think you have mentioned about China Plus One strategy showing some positive traction in your business. I presume this is for fabric business?
Neeraj Jain: Both spinning and fabric they're finding -- overall textiles we a re finding people are interested to look at China Plus One.
Resham Jain : Okay. And what kind of inquiries -- if you can just share more thoughts around it, what kind of inquiries, what kind of size because I presume this will be all large -sized customers ? So what are their expectations? And you have explained some of those aspects, but how can Vardhman as a company can leverage out of it?
Neeraj Jain: So their expectations are very clear . The prices have to be competitive compared to the Chinese and the del ivery has to be wit

hin three to four weeks for the spinning and maybe about six weeks from the fabric. So both these things are -- the quality is given, the prices are given and it's only the fabric which can make a difference. And there too you have to ma nage their entire --- (inaudible), the immediate orders as well as the smaller orders. Any company, any country which can do that, I think there's enough business available .
Resham Jain : Understood. And are these more profitable business than, let's say, yo ur av erage kind of margins currently? Are the margins better?

Neeraj Jain: Once we are running the basic products like 20s, 30s, I think compared to that, all these businesses which are relatively lower in volume but more in flexibility and fashion, defini tely the margin there would be better, provided we can produce it at the right cost. In case because of the smaller or very discontinued kind of a product , in case the cost increase, then probably you don't take advantage of that. But the entire game will be whether we can produce these products keeping the costs in control, then definitely it's better margin products.
Resham Jain : Understood. Sir, my second question is with respect to the profitability between spinning and fabric. If you can help with the rough cut, what would be the profitability coming from the fabric business, including processing? Out of your total, let's say, profit during Q1, 60 -70, whatever rough cut, if you can help, that would be helpful.
Neeraj Jain: Very difficult because the reason we have never given the separate numbers for these two businesses, so I can only say generally -- I mean, the spinning margin, you can calculate it

usually with a 7 0%, 75% conversion cost what would be the margin and then you have to do
that math yourself. From company's perspective, we generally do not share these numbers.
Resham Jain : Okay. Because seven, eight years like you used to give separate margins, you have discontinued that. But given that the current spinning situation is not good, is it fair to assume that 75% --
70%, 75% profitability must be coming from fabric?
Neeraj Jain: Not really.
Resham Jain : Okay.
Neeraj Jain: Spinning will be better than that, definitely better than that .
Resham Jain : Okay, understood. And sir, my last question is with respect to the overall business model. Last three, four years, we have seen spinning facing more challenges than the fabric business overall. And you have more of an integrated business. But a lot of companies have built business model whereby they can buy yarn from outside as well, some kind of yarn so that they can scale up the fabric business much faster. Are you thinking on those lines or that's something which is farfetched?
Neeraj Jain: So one, whether we are not expanding the business of fabric because of any constraint or financial, that's not an issue o r a concern. So whatever are the opportunities we have in the fabric business, we are expanding it without looking at where the yarn comes from. So it's not that there is any constraint on the resources that you don't expand the spinning capacity and you expand the fabric business. Both the businesses are independent running and looking at their own opportunit ies, where both the business want to expand this type.
So on the fabric side, we're very clear that whatever are the opportunities, we are actually looking at that and we are expanding into that business. So there is no financial constraint or a restrain that the fabric is not being expanded because that money is being utilized the spinning . Both businesses are looking at their own options, own opportunities and both businesses are going.

Two, in any state, whether it's an outsourcing of the yarn or within the company , the fabric business gets the yar

n at the market prices only. Margins are less or higher , that's a separate issue. Third, in any case, there are some advantages of internal spinning also in terms of quality, in terms of flexibility, in t erms of the overall consolidation and vertical integrations. A lot of customers are common where they want to buy both yarn as well as fabric. So those are the differen t advantages and disadvantages, b ut I can only assure you that the fabric growth is not less because there are not resources available whatever has the options, opportunities available we are doing that.
Resham Jain : Okay great. Thank you so much and all the best.
Moderator: Thank you. Our next question is from the line of Nikhil Agr awal from Kotak AMC. Please go ahead.
Nikhil Ag rawal: Good evening sir and thanks for the opportunity. Sir you had mentioned that y ou have purchased cotton at INR54,000, INR 55,000 per candy. So for how -- like have you covered -- are you covered for the entire year or is it just for a few months?
Neeraj Jain: No, it's only for the season because most of the -- the Indian cotton season will start somewhere in the month of October or so. So generally the entire bottom buying happens only up to the season. The next sea son will have to buy it again .
Nikhil Ag rawal: Okay. So this year, you -- I believe last year also you had procured for the whole year in October, right?
Neeraj Jain: No, not October. October we start buying and I think buying continues until February or M arch. So by the end of March we generall y have the stock for about 7 months , 8 months a nd that's our general – generally this is what we do unless we find different ways in terms or we have a --- (inaudible) of the pricing going forward. So most of the time our endeavour is to buy the cotton in the season so that we can secure the right quality of cotton as well.
Nikhil Agarwal: Understood. So the reason why the margins went up this quarter we can attribute it to the lower price we bought cotton like that can be the sole reason for that, right?
Neeraj Jain: No, that's not the sole reason in between because the near future was also firm so the price of yarn were a lso better. So our cotton even for second quarter of the cost is going to be the same, but the margins may or may not be the same depending about the yarn prices which are today depressed bec ause of today's near future.
Nikhil Ag rawal: Understood. Can you help me with the yarn prices that were there in Q 4 FY 2024, Q1 FY 2025 and currently?
Neeraj Jain: So, the prices in the las t year was in the rage of aboutUSD 3 I'm talking of ---(inaudible) China base USD10 and USD15 and in between it went as high as USD3 USD25 to USD30 also and today it will again be ba ck to USD3 and USD10.

Nikhil Agr awal: All right understood. And lastly sir about the U.K. FT A. So is the industry still hoping for it or it's a thing of the past?
Neeraj Jain: Sorry come again.
Nikhil Agrawal: The U.K, FTA.
Neeraj Jain: Yes why not. So the government is working, they have been accounting it and any FTA which happens definitely it is going to be of advantage to India. So we are hopeful and anything which happens in favour of the industry. We can export the garment and I am sure it will be a overall advantage for the entire textile industry.
Nikhil Agrawal: All right. That's it from me. Thank you so much sir.
Moderator: Thank you. Our next question is from the line of from Aman from Augmen ta Research Private Limited.
Aman : Hi sir, t hanks for the opportunity. Sir first of all if you can help me like for example as compared to FY 2023 we have increased our inventory significantly by approximately 75 percentage. So out of this inventory what percentage of that would be raw mate rial? Why I'm asking this question is because given that we have increased our inventory subst

antially to INR4,000 crores
to INR4, 100 crores as of FY 24. And given that the international projected prices a re around 10% to 15% lower from the current level. S o as a company will we be at a disadvantage as compared to a company which has not secured cotton inventory? Ju st wanted to know on that thing?
Neeraj Jain: I'm sorry, I couldn't understand your question.
Aman : Sir as compared to FY 2023 we have increased o ur inventory on books by approximately 75 percentage. If you look at the numbers that you have reported the inventory as of FY2024 is around…
Neeraj Jain: Compared to what?
Aman : As compared to FY 23 last year. So out of that first of all I wanted to unders tand what percentage of that would be the raw material portion? Because given that you procure your inventory, the cotton start from October so I b elieve that you would have 7 months to 8 months of cotton inventory. And now given that the international cot ton prices are 10% to 15% lower, so as a company wil l we be at a disadvantage or what. Just wanted to understand on that?
Neeraj Jain: So one whatever the inventory increase that's primarily on account of cotton only. That's for sure compared to the last year quarter 2. India the dis advantage is still not there because the Indian prices are still higher than that. So the international prices have come down which has given disadvantage in terms of the lower yarn prices. But when it comes to India, our pricing because of the MSP or bigger inventory held by Cotton Corporation of India. Indian prices of cotton are still much higher than t he price s at which we have bought the cotto n.

Aman: Okay. So now sir for example as we compare to let's say if there's another spinning company who was not procured cotton and if they are importing cotton. So as compared to them will be - as compared to a peer or someone, will we be at a disadvantage because they will be getting a cheap er cotton as compared to us ?
Neeraj Jain: No. So whenever you import co tton because the cotton prices have come down only in about last one month only. And at the moment you want to contract any cotton I will be available to us, the shipment will happen a fter one month minimum one to three month a nd then another two months for the delivery of those cotton also. So you can't use the imported cotton if the New York Future goes down today you can't start using i t from tomorrow itself.
So there is a minimum time lag of three to four months' time where we have to plan and import the cotton and it's only after that you can use that cotton. So most of the Indian mills in spite of a new --- (inaudible) they are relyi ng only and only on the Indian cotton because the import will take its own time.
Aman: And also sir given that we have increased our inventory substantially, I'm talking as of March '24 as compared to March '23, so what was the strategy behind the same bec ause the operations were at the same level we didn't expand the capacity and we have increased our inventory by approximately INR1,600 crores to INR 1,700 crores. So w hat is the reason for the same l ike how are we looking at the scenario a nd what is the str ategy going forward?
Neeraj Jain: So there are two things happened together. One this year was a normal period where we wanted to cover our full season and we covered the cotton for the full season by 31st March. So because we were expecting the prices to go up because the MSP prices are still higher --- (inaudible) and the other traders are buying in a big way and the export was also happening in the season.

So our expectation thus caused that the cotton prices will start going up in India which actually happened. So to that extent we got the advantage and our strategy both for the quality buying as well a s the cost were definitely well increase in this year. Wh y the quantity

is increased or the
volume is increased. L ast year the prices of cotton was very high so we did not stop it in the normal way.
So it's not only that this year we have done something exceptional. Last few years has been exceptional that the prices were so high given the reason that we decided not to store the inventory for the full year. So this year whate ver has happen ed that was a normal behavior if you look at last 20 years ba lance sheet of the company, most or 80% of the time this is the behaviour which we have shown in this behaviour. Last year was an exception because of high prices we did not cover the cotton on a full basis.
Aman: Okay. So given that the inventory also will last until October only you are trying to say that over the next 6 months, 7 months and from October we'll start again acquiring them next year?
Neeraj Jai n: Yes definitely sir because when season starts we 'll have to start buying it again .

Aman: Thank you so much.
Moderator: Thank you. Our next question is from the line of Riddhesh Gandhi from Discovery Capital. Please go ahead.
Riddhesh Gandhi: Sir, I just wanted to understand from you how do you expect this discrepancy between the Indian and international prices to ultimately actually play out, given sort of MSPs are high, given global prices are low? I mean how does this get resolved?
Neeraj Jain: No. Aga in, we have to look at the MSP is one where the government wants to support the farmer, but that doesn't mean they'll give the same prices to the industry. There could be a possibility or which the industry wants even if you want to support the farmer whic h is a good thing. So the disadvantage should not be to the industries and e ventually the loss if there is any has to be taken by the government. That's one proposition.
The second,I think going by the cost of farmers internationally also the price of USD 69, USD 70, USD 71 is unthinkable. And eventually it can't be remained at these levels because we understand because the cost outside India also USD 75, USD 76, USD 77 is the lowest cost bare minimum cost for the farmer there. So, in case the prices do not go up, next year the crop will come down in a big way and then the prices will start shooting up big, big way. So, I think eventually, it's all demand and supply equilibrium where the international prices, if they are close to Indian price then there is no pr oblem on the MSP in India also.
And $0.69, $0.70 definitely seems to be an exception today, where in spite of because the crop size certainly is very good. Demand is as of now relatively lower. So, prices have gone down. But eventually, these prices remai n. I'm not very sure how much India will come down in the world next time and next year. And to that extent, the prices will again start rising.
Riddhesh Gandhi: Sir, given we have sort of revised our capex slightly higher is that an indication of how we a re seeing the overall industry pan out over the next couple of years or so?
Neeraj Jain: So, definitely, we are looking at all the options and opportunities. To us, going by the overall business sentiment and scenario the margins could be lower. But defini tely, opportunity looks to be very good for India as well as Vardhman as of now. So, we are enhancing our capex.
And I'm sure if this continues this trend continues then we continue to get better service, better products. We will not hesitate to expand fu rther in the business. There's one bold step we have taken where in spite of the business condition, we are so confident about the overall business scenario for Vardhman or for all the opportunities which I mentioned earlier. So, we are expanding our busin ess. And I'm sure if those opportunities are there in future also, we'll keep looking at that.
Riddhesh Gandhi: And lastly, are there any potential inorganic opportunities given sm

aller players?

Neeraj Jain: We keep looking at it. But I think as Vardhman, our size has become so big that for any small unit will not make a sense, small site will not make any sense to us. So, theoretically, yes, we are open to the idea. But practically, it looks very difficult that we'll be in a position to find some alternate to this.
Moderator: Thank you. Our next question is from the line of Monish Ghodke from HDFC Mutual Funds.

Please go ahead.
Monish Ghodke: Hello. Thank you sir for the opportunity. Sir, do we plan to import cotton under advanced authorization given prices are so low? Even if we receive delivery after, say, three, four months, I think we will still be getting cheaper cotton, right?
Neeraj Jain : Yes. So most of the good spinning mills in India are looking at that option, so Vardhman definitely is one of them .
Monish Ghodke: Okay. And sir, last time, you had announced INR2,000 crore capex in that, around INR400 crores, you had said was for green power. And now I think for boiler, we are setting -- we are spending another INR400 crores. So would this INR800 cro res be sufficient to increase our green mix to 25%?
Neeraj Jain : Yes, because again in this, whenever we are creating an SPV for the green power. That SPV will be taking their own loans as well as we will be participating a part of nearly 26% also in the equity. So from our capex this 400 plus should be sufficient. But for 25%, it may not be sufficient because that SPV or whosever is the partner for that they will also be investing into this.
Monish Ghodke: Okay. And sir, one question on strategy side. So our debt is quite low and our debt -to-equity ratio is quite comfortable. And many state governments offer interest of pension scheme if you are setting up spending capacities. So are we exploring that opportunity? I mean after subvention the interest cost would be pretty low.
Neeraj Jain: Our first concern is alway s the business model has to be there if we want to expand the company or the business. Is there opportunity there? Anything over and above in terms of subsidy, it should be nice to have but it should not be a compulsion that because of subsidy we are expan ding the business. So whenever we find or we feels there's a business case for expanding the business, we will definitely do that and look at whatever are the incentives available, we take advantage of them. But as of now, we have never expanded the capaci ties only because of the incentives.
Monish Ghodke: Okay. Thank you, sir.
Moderator: Thank you. Our next question is from the line of Resham Jain from DSP Asset Manager. Please go ahead.
Resham Jain: Yes. Hi. Just one bookkeeping question. What is the gros s debt and the cash at the consolidated level?

Rajeev Thapar: As of June, it is around INR1,150 crores, so out of this around INR900 crores of long -term debt and remaining is the working capital debt.
Resham Jain: And cash, sir?
Rajeev Thapar: Cash book is also, as of June 15 it is close to INR1,800 crores.
Resham Jain: Including long -term investments and everything else, everything altogether?
Rajeev Thapar: Everything including, yes.
Resham Jain: Okay. Understood, sir. And sir, what is the cost of debt fo r us and what is the yield on cash for us average?
Neeraj Jain: That's why if you see that the rates are different for short -term and long -term because clearly the EPC subvention was able to us, which we are using in the month of June. So, 2% subvention was there, which has gone out for us. And long -term debt, of course the rate is around, let's say, 8% around 8% or so on --
Resham Jain: I'm just asking what is the average cost of debt and what is the average yield on investment?
Neeraj Jain : See, what we s ee the cost of our investment from a s

hort -term basis on or liquid fund, then they've taken that disadvantage which was there earlier. So, it could be opening around 8% in this quarter and last quarter also.
Resham Jain: Okay. I understood sir. Thank you so much.
Moderator: Thank you. Our next question is from the line of Apurva, an individual investor.
Apurva: Yes. This is Apurva from BugleRock Capital. Just wanted -- last time we spoke about technical exit. I just wanted some more color on -- where are w e on that? I think, 15 lakh meters capacity that we have some more --?
Sagrika Jain: Yes. Hi. So we are -- the work is progressing well. We are currently in the process of ordering machinery. We've ordered some machinery and we expect to close this process by another four to five weeks. We are also waiting for rain to subside and then we will officially start civil construction. I'm happy to share that we've gotten all our legal compliances out of the way. And we are confident that by next year, September t his project should be up and running.
Apurva Sharma: Okay. And maybe you had answered it last time, but just on customers and any tie -ups are we looking at? Or is it too early to -- or how?
Sagrika Jain: Yes. Right now, we're open to opportunities and if s omething comes up, we will be sure to let you know.

Apurva Sharma: And this also is, as you have mentioned, this was a varied sector, right? So any particular sector that you would want to concentrate given the opportunity for China Plus One, if at all?
Sagrika Jain: So the opportunity is there for multiple segments. So the most obvious for us is obviously active sports verticals. There are some brands which we are already doing business with. Apart from that, there is also big fans and industrial. They wou ld be more complex, so perhaps we would be taking them up once we are more confident and once we've established ourselves in the relatively basic products.
Apurva Sharma: Okay. Yes. Thank you.
Sagrika Jain: Thank you.
Moderator: Thank you. Our next questio n is from the line of Falguni Dutta from Mansarovar Financial. Please go ahead.
Falguni Dutta: I just have a basic question on yarn, domestic yarn prices. Do they always match import parity? I just wanted to know how are yarn prices? Directionally, obvious ly, they'll follow U.S., bu t otherwise. I mean, are they?
Neeraj Jain: India is a net exporter of yarn. We are not importer of yarn, so the domestic prices and the export prices generally could be matching plus/minus INR 1 or INR 2 most of the time.
Falguni Dutta: Domestic and export prices would be matching, but now if suppose the international prices come off, then obviously, we'll have to...
Neeraj Jain: Then the matching prices will also come down.
Falguni Dutta: Okay. Fine, sir. To the same extent?
Neera j Jain: Yes
Falguni Dutta: Thank you, sir. That's all for me.
Moderator: Thank you. Our next question is from the line of Manas , an Individual Investor. Please go ahead.
Manas : Good evening, sir. Thanks for the opportunity. Sir, would you be comfortable wi th giving guidance on the sales side? W ould you be able to achieve 10,000 mark for this financial year?
Neeraj Jain: Yes, going by the volume and the, I mean, we feel there could b e a possibility to go up to INR10,000 crores.
Manas : So it is like a conserv ative mark or like the higher side?

Neeraj Jain: No, because there is no capacity expansion happening in this particular year, so it has to be only through the value addition or better utilization only. So our first quarte r is close to about INR2,300 crore s. So if I becomes INR 9,200, so to that extent, it's an optimistic number only.
Manas : Okay. And you just mentioned that 15% margin would be like challenging to sustain. So even if we sustain or eve n if we improve, so that would be predominantly due to vol ume growth or price change?
Neeraj Jain: So the -- whatever is happening today, any increase happens, definitely, there will be an improvement in the margin because most of the are already covered by the company. So more and more volume in case, we can do a spinning, we're running already running at the full capacity fabric, full capacity. So it's only addition of margins by better products or within that if we do some debottlenecking and we can increase the production that's going to give us the advantage.
Manas : Okay. Understood. Thank you, sir. Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Neeraj Jain: Yes. Thank you, Roshan. So really, thank s very all the investors to be with the part to be a part of the company and attending these calls. I'm sure as I mentioned earlier also in terms of the various opportunities both in terms of customer or the cost optimization, the company is looking at it very, very and is open to all the new ideas. And I think our management is -- all of us are working very hard to achieve to that as well.
The prices or the global phenomenon, we have to give that, but I'm sure we are on the right track in terms of cost or in terms of the efficiencies, those opportunities will also be available to us from time to time. And in the meantime, the advantage to the company today is even though the cotton higher or the spinning margins are lower, but to that extent, I think our p ublic business has been too good. So the overall company that is still the margins are okay.
I'm sure as the time passes as the business becomes more and more normal, things will be better only from these levels in the times to come. Two, also with all th ese modernization debottlenecking and expansion, which we are doing, it will definitely reduce our cost in big way,

which will be available to us partially in the next financial year. I'm sure 6 -month advantage would come in the next year and the full adva ntage in the next year after that. It will definitely give us a huge advantage compared to the rest of the players in the country.

So I'm sure -- and so whatever our thought process, we've been sharing it very well transparent, even the times are good, ba d, or whatever we feel we have shared it. Let's wait and watch how the things go and what kind of wrong data changes happen, what kind of young changes or the fabric, both in terms of the prices and demand changes. But I'm sure whatever happens, we're looking at it, watching it very carefully, very vigilantly and wherever, whenever there is any

opportunity and catching on to that. So thank you very much, once again, to all of you. Good day.

Moderator: On behalf of Batlivala & Karani Securities, that conclud es this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q2 FY25
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule II of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
4th November, 2024 to discuss Q2 FY25 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
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"Vardhman Textiles Limited Q2 FY25 Post Results
Earnings Conference Call "

November 04 , 202 4

MANAGEMENT : MR. NEERAJ JAIN - JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN - EXECUTIVE DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB - DIRECTOR (RAW MATERIALS),
VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CFO , VARDHMAN TEXTILES
LIMITED
MR. MUKESH BANSAL - HEAD (FABRIC MARKETING),
VARDHMAN TEXTILE S LIMITED
MR. VARUN MALHOTRA - HEAD (FINANCE),
VARDHMAN TEXTILES LIMITED
MODERATOR : MR. ROSHAN NAIR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Vardhman Textiles Limited Q 2 FY 25 Post

Results Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference call is being recorded.
I now hand the conference over to Mr. Roshan Nair from Batliv ala & Karani Securities India Private Limited. Thank you and over to you, sir.
Roshan Nair: Thank you. Good evening, everyone and welcome to Q2 FY25 Earnings Conference Call of Vardh man Textiles Limited.
On behalf of B&K Securities, I welcome all the participants and Management of Vardhman Textile Limited to the call.
We have with us today Mr. Neeraj Jain – Joint Managing Director; Ms. Sag rika Jain – Executive Director ; Mr. Sushil Jhamb – Director (Raw Materials); Mr. Rajeev Thapar – CFO ; Mr. Mukesh Bansal – Head (Fabric Marketing); and Mr. Varun Malhotra – Head of Finance.
Without further ado, I would like to hand over the floor to Mr. Neeraj Jain for his opening remarks, post which we can have a Q&A session. Thank you and over to you, sir.
Neeraj Jain: Good afternoon everyone.
First of all, welcome to the September end call. The period under review continues to be challenging for the Company .
We started the quarter where the New York Future was much better, almost in the range of 85 cents and slowly it came down to 67, 68 US cents also. And today also it's hovering about 70, 72 US cents. Whenever the New York Future is higher, generally the international yarn prices will get adjusted to that and accordingly the Indian spinner s will also be selling their products both internationally as well as domestically. But the New York Future kept coming down, as a result of that, yarn prices also came down over a period of last three to four months and I think today are definitely much lower th an when we started the quarter.
The Indian spinning industry continuously passing through two difficult issues. On one hand, we have a resolution of minimum support price by which the government of India is to suppo rt the farmers and the CCI did big operations last year. They were selling cotton after buying it from the market later on to the spinners.

Going by the minimum support price and today's prices and the realizations , etc., the Indian prices will not be less than 84 -85 US cents in India. Whereas with the New York Future of about 71-72 US cents, even the American cotton which is far better in terms of quality will be available to the Vietnamese or to the Indonesians in the ran ge of about 84 -85 US cents only.
Just on one hand, the Indian cotton is comparable to the international cotton, which is definitely the Indian cotton is definitely because of contamination is much inferior. Second, we can't import also cotton because there is a duty of 11% on the import of cotton. As a result of that, we got to buy it even under advanced license, the cost will be about 4%-4.5% and you want to use it for the domestic consumption, it will be 11% duty. As a result of that, the import possibili ty is much less or is much extensive, and MSP also is a concern in terms of the availability of cotton in the international competitive prices . So, in terms of the operation, in terms of sales, I think Company is doing reasonably well. At the same time, I think raw material cost is almost 60% of our tool cost is definitely one of the big concerns for us.
The fabric side, the Company continued to do good because all the

changes which have happened
where more and more brands are coming in, and the Company strategy for better products, for new range etc., Company 's done very well in this period on the fabric sales side and the margins also. And we are now running at almost full capacity utilization for most of the products, which include printing, which include s yarn dye d, which includes -------------- (inaudible) etc. And probably the results which you have seen, I think major contribution is coming from the fabric side as of now. And as a result of that, the overall results are quite good in this period.
Coming back again to spinning to some extent, I think this has been a period because of these challenges, we understand lots of spinning in India has got stopped also in the last two years ’ time. As per the industry estimates, it is estimated almost 6 mill ion spindles have stopped permanently, more than 6 million, and maybe another 3 million spindles are running on job or on a marginal basis, which may or may not continue for a long period of time unless the situation improves.
In terms of overall demand in the world, I think by and large the demand is okay now. Of course, since there are some issues and the third challenge which has started coming in from the sustainable fibers. Most of the Western world started talking of some amount of recycling or the uses of the used garments. So, I think to some extent, it's very difficult to estimate as of now the numbers, but it can be believed recently there will be some demand which will get reduced

because the older garments are being resold at most of the stores i n Europe and the USA rather than sustainability. So, to that extent, I think the growth which was earlier coming in may not continue as of now. Take the time, the first recycling cycle gets completely.
On the expansion and modernization side, companies, wh atever the plans that they have taken, I think so by and large, all those plans in terms of implementation, both on the spinning as well as the fabric side, we are by and large in track. In terms of our cost optimization, lots of initiatives

have been take n by the companies. They are all on track. In terms of customer, new products, value added products, whatever we can do , there is a great effort which is going on and the customer definitely is improving both the business of the Company . So, the next season of cotton has started. The arrival has just star ted as of now. The arrival pick up will happen maybe next week and so and then we will have to look at how does the CCI operates and what kind of challenges or what kind of difficulties they find in procuring the cotton at trade price. But I think it's only next 1-1.5 months is going to be more critical in terms of the strategy to be decided by CCI, the amount of procurement they do and what kind of arrival starts in the market so that whether they are in a position to buy cotton or they will continue to buy hand -to-mouth and they will rely more on CCI. And next 1.5-2 months is more critical from that perspective. It is one of the major component s of our cost and it definitely determines the profitability of the business for the next couple of months. I will initially stop my discussions on this.
I think we can start with the Q &A and then the remaining queries can be addressed in Q &A also.
Moderato r: Thank you very much sir. We will now begin the question -and-answer session. O ur first question is from the line of Falguni Dutta from Mansarovar Financial. Please go ahead.
Falguni Dutta: And sir, I had a question. Why is the consolidated number lower t han standalone this quarter?
Neeraj Jain: We got dividend from some of our associated companies and subsidiaries which got knocked off while calculating the consolidated figures.
Falguni Dutta: And sir, if you could, because

the voice wasn't coming clear, I didn't clearly understand how the cotton situation when you were explaining vis-à-vis the international cotton prices?
Neeraj Jain: So, I'll cover that part once again. So, international prices today are, New York F uture, is at about 71-72 US cents and generally American cotton is available to the s pinner in the range of about 1,2 00 to 1,300 business for the New York Future . So, that means the cotton will be available to any spinner in the world in the range of about 83, 84 US cents per pound. The Indian cotton as of now whatever is the price available in India is almost 84, 85 US cents Indian cotton. Indian cotton definitely is inferior to US cotton in terms of contamination , etc., and generally it is at a discount of 6 to 7 US cents compared to the American cotton. Since our costs are equal with the interior cotton , that's why we have this disadvantage of 6, 7 US cents per pound in Indi a. And also, since there is 11 % duty on import of cotton also from outside, as a result of that, our raw material costs or prices are today much higher than most part of the world as of now.
Falguni Dutta: And then how are the cotton yarns spread? I don't know if you covered that . How are they in Q2 versus Q1 and how are they now and if any outlook you c an provide ?
Neeraj Jain: The first quarter, almost the stress was in the range of about 75 -80 US cents, which now has come down to about 60 US cents.

Falguni Dutta: And outlook would be difficult to give right given that we will have to see how the cotton arrivals are and all ?
Neeraj Jain: There are only two ----------- (inaudible) available in this. One, the New York Future goes up so that our cotton is comparable to the world market. In that scenario, the spread can increase. Or else, government takes any decision either in terms of remo ving the duty or allowing the CC I to preserve cotton and sell it at the normal markup over New York F uture which has been historic prices in India. If these two things doesn't happen, then in that case, there doesn't seem t o be any reason where the market will improve as of now. Unless the yarn demand improves in a big way, which also is not looking possible as of now.
Moderator: Thank you. Our next question is from line of Rajesh Jain from RK Capit al. Please go ahead.
Rajes h Jain: If I look at your financials 7-8 years ago, even 10 years ago, you used to operate at 20% margins and the profitability that you are touching now is the same profitability that you were at 10 years ago. So, while your revenue has grown over the last 10 years, but the net profit of the PA T is at the same level because of the lower margins of 13 % to 14% in the last 4-5 years. So, is this the new normal, the 13 % to 14% EBITDA margin, is it the new normal margin now?
Neeraj Jain: Considering the limi tations th at the industry has been given is what the two major factors of the cotton type, I think this is going to be new norm only. Because earlier, as I mentioned, our cotton

prices will, if you look at last 20 years, history will always be about 4 cent s, 5 cents over New York F uture which used to give us the right margins. Today , we are 1,200 to 1,400 basis over New York future. So, our constant increase is big way in India whereas the yarn rates will get adjusted, will get determined only by way of wha tever Vietnamese or Indonesian is selling today or Uzbekistan is selling in the market today. As a result of that, the yarn business has got a big hit in this period and your observation is right till the time there is any fundamental change done by the go vernment, I mean this industry will be, the margins will not improve .

Rajesh Jain: Can you throw some light on the Bangladesh situation because my understanding is that you do a lot of exports to Bangladesh. So, how was the demand impacted and

for the brie f time that the demand was impacted, did you get replacement demand from India yarn buyers? Can you throw some light on that?

Neeraj Jain: Bangladesh is one of the biggest exporters after China as of now to the world markets. There has been some disruption for a small period of time, but at the same time, from our Company 's perspective, there was no reduction in the demand and we continue to sell in Bangladesh almost same volume which we were doing earlier also. I understand the situation now is far better and except for a small number of mills , everyone is running at a full capacity once again, so there is also no concern. In between, when this situation was a little disturbed there, there were some orders which got diverted to the Indian garmenters . But unfortunately, India doesn't have that kind of a capacity which Bangladesh is opting today. Bangladesh is doing almost $35 billion of

exports as of now in the garmenting w hereas India is doing only $14 or $15 billion. So, even if the orders are diver ted to India, it has not been a decision to take those orders, for sure, as of now. But in any case, I think the situation as of now looks quite normal from the spinning and fabric which we are supplying to them and there doesn't seem to be any major issue as of now.

Rajesh Jain: Okay, so considering the cotton inventory that you have now, and you said that the yarn prices have trended down even lower now compared to the beginning of the quarter, do you foresee the upcoming quarters to be lower co mpared to this Q2?

Neeraj Jain: Very difficult, just the starting of the quarter is very difficult for me to comment on that. But whatever inventory of cotton we have, first of all, that inventory is also exhausted and we have to start buying the new cotton or we ha ve already started buying the new cotton. So, it all depends upon the yarn, even if the New York F uture increases over 500 basis points, immediately the yarn demand starts coming in at a better price also. So, it is very, very speculative as of now to say the margins will be lower or higher. But definitely, considering the yarn prices which were there in the first quarter or even in the first part of the second quarter, the prices today are definitely lower. As I mentioned, today the spread will not be more than 60 US cents for the Indian spinners .

Moderator: Thank you. Our next question is from the line of Anik Mitra from Finnomics. Please go ahead.

Anik Mitra: Sir, due to poor audio quality , I could not get a few points . I wanted to listen to it once again . Sir, this question is repetitive in nature. So, sir, can you tell me what is the spread you mentioned, yarn and cotto n spread at this point in time?

Neeraj Jain: 60 US cents.

Anik Mitra: US cotton and Indian cotton trade at this point in time.

Neeraj Jain: US cotton is available at about 1200 on or 1300 on over New York future. Indian cotton is also available at 1300 on over New York future as of now. So, the price of Indian cotton and US cotton is almost comparable as of now.

Anik Mitra: Almost compar able. And sir, what is the yarn per Kg at this point in time? If it is 30 count?

Neeraj Jain: So, it will be in t he range of about $3 as of now.

Moderator: Thank you. Our next question is from the line of Awanish Chandra from SMIFS. Please go ahead.

Awanis h Chandra: Congratulations management on good profitability numbers. Sir, my questions are already connected with what we have discussed. So, first thing, sir, cotton season already has started.

So, I just wanted to have a complete picture. How do you see arrival happening and what is your view on overall this season? What will be the expected pricing and what amount of cotton inventory you want to create considering all the situation y

ou have talked about ?

Neeraj Jain: So, the season has just started a few days back. And in fact, during the Diwali period, most of the yarns are stopped or closed. So, it will start in the next 2 to 3 days only. The arrival today is

in the range of about 60,000 to 80,000 bales per day. And we expect it to go to 100,000 bales in the next 2-3 days itself. It is just starting of the season, the overall drop seems to be in the range of about 30 million bales because there is some drop in the area and maybe there is some reduction of overall quantity because of the excessive rain w hich happened towards the fag end of the cotton harvesting period. Having said that , what will be the crisis or what could be the stopping policies, very very difficult for me to say as of now. It all depends upon the commercial as well as the pricing. So, we have just started buying the cotton and it may not be possible for me to give an indication as of now because it all depends upon our thoughts about what will be the future prices and the international pricing of cotton, the demand side. We will keep t aking that view. That's why I mentioned that the next 2 months are going to be very, very critical or important for us to decide. And we are debating it on a daily basis. But I think soon the season has just started. We may not be in a position to give you any indication or idea of what will be our talking policy as of now. By the time we will be discussing, the next quarter ly call will be more clear on how the season is going as of now.
Awanish Chandra: Sure, sir. And sir, second point, you also highlighte d and most of the management so far in the conference highlighted the Bangladesh situation has improved a lot, things are normal. Even many management highlighted domestic demand is improving and already improved and export data whatever we see , garment ex ports numbers are good, rather they are growing for the last three months. Considering all those things, positive point, still you are thinking that margins will not be improved or we don't have much on the margin improvement clarity.
Neeraj Jain: No, we a re very clear on the margins as of now. It's not that we don't have clarity. I'm saying the margins will not improve till the time our raw material cost is higher than the world. In terms of demand, I also mentioned both domestic and export, we are running full capacities in both the businesses. So, our issue of margin is only because of raw material prices are higher. So, there is no change in that unless th e prices of every product starts going up, that's a separate situation which is not a case as of now. But on the normal demand side with our expensive raw material, our margin s in India may not improve.
Awanish Chandra: Okay, got the point. And the last co nference call we have talked about even before that, our CAPEX plan and everything in detail. So, just wanted to have the follow up that what is the status of all the CAPEX we have talked about during last two conference call ?
Neeraj Jain: So, we announced a total CAPEX of close to about Rs. 2500 crore to be done in this financial year as well as the next financial year for 2 years. I think by and large all our CAPEX plans,

whatever is our plan is going as per the plan only and I hope that this financial ye ar, the next financial year we will complete all those CAPEX plans.
Neeraj Jain: Okay, so everything is working on time , on schedule .
Moderator: Thank you. The next question is from line of Hemang Kotadia from Anvil. Please go ahead.
Hemang Kotadia: Sir, w hat is the ratio of cotton and manmade fiber yarn in last two years? So, how we had improved the set of manmade fiber yarn in last two year s, if you can throw some light?
Neeraj Jain: India is predominantly cotton fiber consumption friendly . I think the change which is happening on the ma

nmade is very slow as of now because on the manmade side also , our fiber price both for polyester and viscose is much higher than the world markets. The regulations in India where the import cannot happen unle ss it is approved by the BIS. Unfortunately, not many companies internationally got registered in that. As a result of that, the import of fiber is not happening in India. And the prices of both polyester fiber as well as viscose fiber is much higher than the world price as of now. As a result of that, we are not competitive on the manmade fiber also. So, all our three major raw materials, which is cotton, viscose and polyester today is one of the highest and as a result of that , the competitiveness on the export side overall are definitely lesser for the downstream industry.
Hemang Kotadia: And sir on the Indian spinning capacity side and utilization, if you can throw some light, how things are moving up and you rightly mentioned the 6 million spindles have been stopped working since last few quarters. So, if you can throw some more light on the Indian spinning industries, that will be my question.
Neeraj Jain: These are the estimates done by the industry itself. There is no official data available there . We know that these are spindles which have been stopped or not. But going by the different surveys, different organizations keep doing, these are the estimates that more than 6 million spindles have been stopped in the last 2 years' time. And as I mentio ned, we understand almost another about 2.5-3 million spindles are running on the job of basis , etc., And if things do not improve, I think there can be a question mark on that also. Other than that, our rated capacity was in the range of about 54 million spindles . And if I reduce 6 million, we are today at about 47, 48. And out of that, I think the capacity utilization will not be more than 8 0%-85% as of now. So, as a result of that, even after that, the shortage of demand, there is no excess demand of yar n, which itself

shows because of the margin pressures, spinners are not interested to run fully because they are looking at wherever they can save money or wherever they can optimize the result, they are producing that. Other than that, they have stopped r educing the capacity utilization also. Whether it is cotton side or manmade side, so that's on the spinning utilization. On the fabric side, I think most of the organized players are doing well. So, whether it's Vardhman , Arvind or Nitin or some other , they are doing pretty well. Whereas the independent processors or the smaller business, there is definitely some concerns over there because most of the brands which are

coming from outside, they're looking at more on the organized players. So, there's def initely a difference in the working today of an organized player as well as the unorganized player. Most of the organized players as of now are doing pretty well on the fabric side, whether that's knitted or woven.

Moderator: Thank you sir. Our next questi on is from line of Surya Narayan Nayak from Sunidhi Securities. Please go ahead.

Surya Narayan Nayak: Sir, just my question is on the macro side . We have been present majorly into yarn side, that is over the years is not changing because our focus more on yarn rather than the fabric or garments or maybe beyond, at least on garment side, we are very much falling s hort of. So, my call is that now because we have enough surplus of yarn in India, and in fact India gets mileage only when the Vietnam or Banglades h or China, the yarn scenario improves, then we don't get mileage in the margin side. So, keeping this macro things into account, so what the management think of taking the Company into an area where at least the margins will be improving overall and even the ROCE and ROE will be also improving ?

Neeraj Jain: Your f

irst point may be right that historically we are a spinning Company , but if you look at last many years, there has been a greater emphasis on the fabric and the fabric continuously the capacities are inc reasing. If you look at the top line today, it's almost 65 -35 in favor of spinning and fabric. And I think in the times to come if the situation on the spinning side doesn't improve, the expansion on the spinning side may be low and we may continue to grow on the fabric side. Also, t here's a new initiative Company taken on the fabric side with a manmade fabric also, which will definitely increase the share of fabric compared to the spinning side only. On the garmenting side, there are still no plans to expand it in a big way. It's a small unit we have. We continue to grow it slowly. But I think there's no clear plan as of now that we want to increase it in a big way. So, it's still, we are running it profitably, but I think considering the overall lab or component, we are still to make up our minds whether we really want to expand it or not. So, definitely going forward, next couple of years, fabric will continue to grow definitely both cotton side as well as man -made. And I think personally, the share of fabric in the over all top line will continue to grow from today's level as well.

Moderator: Thank you. Our next question is from line of Sandeep Baid , who is an indivi dual investor. Please go ahead.

Sandeep Baid: I just wanted to understand how does CCI price its cotton? What is the basis of that and do they also sell it at a loss when you compare it with your procurement price?

Neeraj Jain: So, first of all, it depends upon all the demand and supply. If the demand is higher, they continue to increase the ir prices, or if the demand is not there, then reduce the prices. Primarily, we understand last year's CC I policy was whatever is the import parity of cotton, including the duty they were trying to solidate those prices. But since because most of these smaller spinners, they

didn't have a choice to import the cotton, so they were forced to buy it from the CCI those sizes. But when the losses started increasing, the spinners stopped buying from the CCI and CCI kept reducing their prices. So, it's basically I got to understand they look at it that whatever is the import parity of a cotton, based upon that they generally decide their pricing. At the same time, the industry has been talking to them that if we have to pay the 11 % duty , then how will we be competitive. But I think the second part is more on the demand supply because if you add 11% duty and the spinner is not in a position to make money, the demand will keep coming down only. And that's practically or partially hap pened towards the last 2 to 3 months. And if we look at the CCI spinner , almost about 1 million days available to them from the last stoc k. And if we also look at the s ale for the last almost one and a half months will not more than 10,000 -20,000 bales, ma ybe not more than 20,000 bales for them for the last 45 days. So, I think they will try to fetch the maximum prices so that losses could be reduced, but at the same time to that extent they are flexible because they want to dispose of the stocks also. But the new season has started, they are still carrying a stock of 1 million bales , so I don't know what policy will they make

taking it forward and how do they price the product going forward.
Sandeep Baid: So, you are saying that if the demand is not good en ough, they are willing to sell it at a pri ce lower than your procurement?
Neeraj Jain: Yes. So, last year also, I think whatever prices they preserved and later on when they were selling there, it was definitely they are taking some loss also.
Sandeep Baid : Right. And given that today they already hold 1 million bales in stock, they may not be very agg

ressive in terms of buying from the market at domestic?
Neeraj Jain: No. That choice is not with them because that's a mandate given to them by the government of India that whatever is the minimum support price the government has committed to the farmers, the CC I is obliged to buy the cotton at those prices. I don't think t hat's a choice available to CCI . They will continue to buy. Now what price do they sell? I think that 's a separately 32:35__ they will have to decide, but it's not that since they already are carrying one million bales, so they will not buy. That choice is not there with them.
Sandeep Baid: And secondly, can you comment on how the demand from the home textile players for yarn?
Neeraj Jain: Home textile players are doing reasonably well in India. So, if I look at most of them are running full capacity especially on the sheeting side is doing pretty well, even on the yarn side is doing well. So, most of our customers, we supply lots of products to home textile players. I think they're doing reasonably well.
Moderator: Thank you. Our next question is from line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: Sir, I wanted to understand the garmenting part which you basically talked about that you are not sure about scaling up the labor in that division. So, firstly sir, has the government has a fixed term employment already imple mented in the textile industry?
Neeraj Jain: Yes.
Keshav Garg: So, then in that case, what is the apprehension about the scale up, I mean hiring more labor? Should that resolve t he labor issue in the industry?
Neeraj Jain : No, it doesn't resolve the issue. So, there were two issues. One was the fixed term; one was the permanent labor which by the fixed term the issue was just resolved. Second is the cost part. If you look at the Indian cost today, the worker availability is a big challenge in most part of the country except in Bihar and West Bengal where most of the industries either in the down South or in the North India or Central India. The cost of labo r in India is not less than $230 to $240 per person as of now. As the Bangladesh cost is still about 11,000 -12,000 Taka which is equiv alent to about $120. In the garmenting industry, the overall labor cost is always in the range of about 22% to 25% and the cost is double. We are talking about the Bangladesh cost are in the range of about maybe 10% to 11% of garmenting , we will be at (+20%). So, we will never be competitive even on the debt cost also, because our labor cost is going to be very, very expensive. Either the industries start thinking they go to UP, they are there, the labor availability would be there. But wherever the migra nt labor is coming in, the availability and the stability of labor is a huge challenge as of now. So, it's neither available nor stable. The attrition in industry is almost in range of about 5%, 6% per month, even with a cost of $250 also. And the concern for us is the way the Indian social economic factors are moving where people do not want to come to the cities to work. They got some support under MGNREGA , they got some support under Ayushman Bharat, they got some support under different schemes. They ar e happy staying in their places. So, either the entire industry moves to those areas which has its own challenges or if the labor doesn't come here, how the labor intensive industry will work. I think this is a major challenge for the next , which will be m ore clear in next 1 to 2 years. How does it work on? So, till the time we are clear on the availability and the cost part, there is no plan for us to expand it in a really big, big, big way.
Keshav Garg: And also, many state governments, I understand, they are giving around Rs. 5,000 per month per head labor subsidy. That is, the government will pay those wages on be

half of the industry.
And plus, the central government is also, I think, giving some PF for 2 years or something like that. So, altogether, eve n after including all these basically incentives and subsidy to the industry also does not make sense ?
Neeraj Jain: It doesn't make sense because most of the states which are giving are for the local laborers. Local labor is not available, it's not trained, and you want to take the people from outside, you will not get the subsidy. Two, I think more than the subsidy, you first have to look at whether that state in terms of the overall ecosystem is a workable state or not. So, though many states have given

these incentives, so example now is the Gujarat is given. The local Gujarat is not ready to work in a government Company . So, even if there are subsidies available, what will you do with that? I think there are different challenges. I'm not saying th e opportunity is not there, the opportunity is there, but looking at the cost and the historic ways because wherever there are clusters, now there are lots of good clusters in Tirupur and down South . There are good clusters in North India. There's no subsi dy available in these areas. Now going to a new cluster altogether and start creating those capacities, I think it's going to take some time. I understand the good initiative of the government on the PM Mitra Scheme is there, but I think still none of the parties is implemented as of now. Maybe next one year, there are lots of development I understand is happening on those parts and they start allocating or allotting the land maybe next one year or so. So, it's only after that that will we be in a position to know whether we can make any business case for this. Only on the basis of virtually putting up a surprise to you, probably we are a little hesitant to do that.

Keshav Garg: And also, sir what about the domestic garment market which is constantly increas ing in size . Sir what is the import duty on garment imports and sir like can't we do garmenting for the domestic market in case there is a good protection available in terms of tariff ?

Neeraj Jain: No, there is not enough protection available. So, there is already a good amount of garmenting which is happening in Bangladesh. And also for most of the brands which are operating in India, they have started importing the garment also. So, both in terms of garments, even on the fabric trade also, especia lly the knitted fabrics, I think if you look at most of the manmade based fabrics, looking at import about 50 -70 tons per day, about 3 years back, today it's more than 1000 tons per day because our raw materials are expensive, all our fibers are expensive, as a result of that yarn will be expensive. So, it's much cheaper for the fabric to get imported.

Keshav Garg: So, lastly, sir, you alluded to the raw material , cotton, polyester and viscose being expensive, more expensive in India. So, can't the industry at least for the exports under advanced authorization scheme, they can import viscose and polyester and export the end fabric or the garment. So, does that not still make sense? Then what's the problem in that case?

Neeraj Jain: So, there are two problems in that . One, even if you want to import viscose or polyester, the freight component will be there. So, we are competing with China or Vietnam or Korea. We're talking of the raw material available there and the raw material which will be available even under advanced authorization will have a component of freight onto that, which will be one additional cost , two . I think for the yarn export , we can still do it. But if I have to sell the yarn to the domestic market for the fab ric or for the garment ing, t hen the advanced authorization cannot work because there are different duty structures and there are different incentives available on thos

e segments. So, if I have to export yarn, I can do that. But again, my cost will be highe r because my raw material will add the component of freight onto that. And if I want to sell to the domestic market for the further export of either fabric or garment, it does not make

sense at all. That will take time to be done under advanced authorizati on. So, actually going by all the policies today, I think it's definitely a concern how do we export the end product.

Moderator: Thank you. Next is a follow up question from the line of Surya Narayan Nayak from Sunid hi Securities. Please go ahead.

Surya Na rayan Nayak: So, just my basic concern is that you have been very much showing a lot of concerns towards the readymade garment area because of the labor issues. But in the yarn side also, you see the government in successive years , they have been raising the MSPs and rising MSPs, Suo Moto doesn't rise in our spread. We are also at that problem also that is not actually accessible and resultantly at least the leading garment players from the South are able to earn recent return ratios and returns than us. So, even the lowest margin happens to be around 11 %, that is 10 % to 11%, that is consistent. But in our case that is not. So, any sense you will be thinking on the garment side because we are hardly present there?

Neeraj Jain: I have mentioned to you the reason of garmenting that because of the non -availability of labo ur and a very high cost, we haven't made up our mind as of now. So, because we are basically a textile material producer and garmenting, and textile are two different wo rlds. They are two different businesses. So, we have to look at it on an independent basis. And I'm not saying that we have not, we have rejected it also. So, whatever small capacity we are doing, we are marginally increasing that capacity from 6,000 tons of shirts per day to about 10,000 shirts or so. And maybe we may take another 1 or 2 years to make up our mind finally, whether we should go big way into the garmenting or not.

Surya Narayan Nayak: So, in the case when the successive years we will be seein g at least 5% rise in the MSP that is basically given because the government wish to placate the farming community for that matter.

So, in that case , we are actually not getting that kind of mileage because cotton happens to be an international commodity. So, what is the recourse to pure yarn players like us?

Neeraj Jain: So, there could be 2-3 possibilities. One, your first point is very valid. The MSP will keep increasing 4% to 5% every year, which has been great. And it may continue to do the same. But at the same time, the industry is talking on two issues to the government. One, you allow the import of cotton duty -free. So, even if our cotton is expensive , at least we can import as the rest of the world will also be doing. So, we will be competitive. Two, the industry is also talking to the government in case you want to support the MSP, which is important because if the government doesn't agree the MSP , then the farmer will not be growing the cotton at all. So, if you want to support the farmers better we keep their procure s but their marketing strategy or the pricing should be aligned to the international market. So, that's the industry's request or suggestion to the government. Let's see whether the government agrees to that or not.

Moderator: Thank yo u. Our next question is from the line of Rajesh Jain from RK Capital. Pl ease go ahead.

Rajesh Jain: I have 2-3 short follow up questions. So, your blended margins are like today 13 % to 14 %. What would be the margins on the fabric side?

Neeraj Jain: Definitely much better than this. We don't share the margins separately, but it's definitel y much better than the average.

Ra

jesh Jain: And I think in the last con call, you mentioned about venturing into technical textiles. So, what would be the projected margins? And can you throw some light on how the CAPEX is going on there?

Neeraj Jain: So, the technical textiles, we are going in for a 100% man -made fabric project. It is only on the apparel side. I request Sagrika to answer this question.

Sagrika Jain: So, first about the capital expenditure, it's progressing well, and we have been ordering our machine ry as planned, as scheduled. So, we are aiming for next year around September -October, it should be operational. So, we are dividing it into two phases. The first phase we are aiming for a capacity of 15 lakh meters per month. And our profitability of PBDIT to sales would be in the range of about 25 %-30%.

Rajesh Jain: Sorry, can you repeat the last sentence? I missed, ju st the last sentence .

Sagrika Jain: Yes, the PBDIT to sales that we are projecting are in the range of 25 %-30%.

Rajesh Jain: And sir, you have mentioned in your opening remarks about the reuse or the recycling of old garments which has taken away a bit of demand. So, just can you explain this trend a little bit more? Is it a big trend that is catching up and can it signifi cantly impact long term demand?

Neeraj Jain: So, definitely in terms of thought process, most of the Western world is looking at this. The Europe has passed a law starting next year 25, which will be landfilling through the garmenting is not possible or will not be allowed. So, it has to be recycled, or it has to be resold. So, most of the stores in Europe and USA , they started putting up a counter for the sale of old garments . As well as if you look at the number of recycling lines in the entire world, they are increasing exponentially where both post -consumer as well as the pre -consumer fabrics are getting recycle d into the fiber and the demand and the yarn is again made out of that, partially. So, this trend definitely in the Western world is catching up. In the Eastern world, which are the poor countries like India, China, this trend is not there at all. But both Europe and the USA , there is some change happen, and the next generation definitely is looking at it with a more concern because they want to look at sustainability in a better way. So, it's just a starting trend. We will have to look at how does the dema nd improve but going by all the regulations and laws which most of the governments are considering, this will be taking definitely a part of share of virgin fiber .

Rajesh Jain: So, can there be an opportunity in us? I mean, is this something that we can al so explore doing the recycling?

Neeraj Jain: Yes, we are already doing so. We have one recycling line with a capacity of about 6 tons per day which is running full. We have already ordered the second line of another 6 tons per day. And most of the time the recycling percentage in a garment is between 20 % to 30 %. So, if I have a 6-ton line practically , I can do close to about 25 tons of total yarn. So, we have, and our product is well established, well accepted by lots of good brands. And we are definitely looking at this as one of the growth areas for us.

Rajesh Jain: In the recycling segment, the margins would be better than the yarn manufa cturing or it will be inferior?

Neeraj Jain: Generally, a little better.

Moderator: Thank you. O ur next question is from line of Resham Jain from DSP Asset Managers. Please go

ahead.
Resham Jain: So, I have just two questions. First is on technical textile. I heard that margins are going to be 25% to 30%. I went back and saw the quarter four conferen ce call where we actually mentioned that the margins will be similar to Company average. Has there been any change in the initial plan versus now?
Neeraj Jain: There is no change in that plan.

So, what we are saying, there could be tw o segments within that 100% man made fabric. One is purely on a 100% polyester base, where the margins could be the average. But definitely, within that, there are some segments which are kind of a replacement of a technical textile , where the margins could be better. Two, I thi nk our knowledge in India today on this fabric or in this product is relatively less. And it's only slowly as we implement the project , there could be a possibility for us to improve the margins because as of now there is a demand in whatever estimate we h ave done, it could be in the range of from average to a little better. And in many cases, we said the average of fabric. The average of fabric in any case today also is better than the Company 's average.
Resham Jain: Understood. Clear, sir. Sir, the second question is on green energy. And you can correct me if I'm wrong. I was just looking at the numbers. Our green energy contribution to the overall energy consumption is close to 5% odd. Is that correct?
Neeraj Jain: Yes, that's correct.
Resham Jain: When I look at some of the top 5 -7 companies in India, it seems like our number and now these days in the last 3 -4 years, the green power has become much cheaper than the traditional power

source. Is there any reason why we are a little slow on this front versus others? And are there more accelerated plans to increase the green energ y source?
Neeraj Jain: Definitely , we are slower or we are behind most of the today comparison to lots of good players. There is no doubt about it. But having said that, we have already accepted this and we are working very aggressively on this. And your idea is correct. In the next 2 years, we are trying to reach from 4 %-5% to at least 25% of the green energy in next 2 years. And maybe there could be a possibility that we will b e crossing this 25% to even 40% also. So, there is definitely a very aggressive plan for next 2 to 3 years. And whatever delays happen, we're trying to catch it up as fast as we can .
Resham Jain: And sir what will be the benefit when you do the ROI or the overall energy cost you have in terms of rupees crores versus this change, what will be the total benefit you are envisagi ng in next three to four years?
Neeraj Jain: First of all, all these thoughts which we are having is not purely from the ROCE perspect ive. I think most of the customers or most of the brands are talking to us about the green energy where they do not want us to consume coal, they do not want us to use the conventional electricity, , etc., So, these issues basically coming from the brands where they are pushing or they are suggesting us to do this. Having said that, every project will be looked at in terms of the commercial and I expect every project will give us at least 15 % to 20% return on the capi tal employe d, at least 15 % to 20% if not more or maybe most of the cases it will be more than that. So, I think because there are different combinations where we are looking at the solar so as we are looking at the biomass boilers, we are looking at the pr oject where the power to be taken both wind as well as solar from the outside. So, there are many projects which are going on and we are evaluating every one of that. I hope we should be in a position to get whatever investment we do at least 20% return on that.
Resham Jain: Understood sir. And sir, the last one is on fabrics. Overall, where are we seeing the higher kind of traction in the fabric business more from domestic or from export business and the expansion which you have announced , out of that, how much is for fabric if you can just guide on that. I think 175 million meters to 200 million meters. Is that correct? And by when it will get completed ?
Sagrika Jain: Right, so on the fabric, I can talk on the capacity expansion. So, our

major is solid dye d. So, we are expanding solid dyed by 20% and this capacity should also be operational in the next 14 months. So, that is first. In yarn dyed also, we're expanding a bit, say around 20%. Print, as mentioned earlier, we have just added a machine of digital print, so we are okay in print as of now. So, as of now, regarding demand, definitely there is a demand full, especially from the export market. We would say that this is mainly driven by the drying up of inventories by maj or customers. So, for example, the US has a good demand full as of now. We are running at 100% capacity utilization. So, that is the first indicator. And the second indicator is also that we have

visibility of good orders up to Jan, and even further than t hat. And as for the domestic market, as we know, we just passed through festive season. So, we're just waiting for some customers to also give feedback on how they have performed. But as of now, it looks okay.
Moderator: Thank you. Next is a follow up ques tion from the line of Hemang Kotadia from Anvil. Please go ahead.
Hemang Kotadia: I just have one bookkeeping question. What is the net cash on the balance sheet right now? Net cash?
Neeraj Jain : It is almost Rs. 2300 crores. And the debt is about Rs. 1000 crores.
Moderator: Thank you. Our next question is from the line of Rajesh Jain from RK Capital. Please go ahead.
Rajesh Jain: So, considering that there is a good demand from Europe which you have mentioned in various calls and that you are undertaking modernization of machinery to have faster turnaround times because as you mentioned in the last call, the customer needs faster response and quick turnaround time. So, considering that, what could be the trajectory of our sales volume growth for the next 1 2 months?
Neeraj Jain: Definitely, we are moving more and more towards the brand business. So, whether, I mean, the brand business, when we say the brand business, that will not be coming directly from Europe. The end product will go to Europe or to the US A, and the garmenting will happen in the different parts of the world, which may include the Asian countries where the garmenting would happen. So, more and more brand business can definitely give us a better margin, and for that we require to make our sho p load more robust so that the deliveries could be given to them in a shorter period of time.
Rajesh Jain: Yes, so considering that because you will be able to cater to your customers' demand in a quicker time, do you anticipate a good sales volume growth? And also considering the CAPEX , the upcoming CAPEX , over the next 12 months, what could be the potential sales volume growth do you foresee? Do you have any numbers?
Neeraj Jain: As of now, we will not be in a position to give as numbers because the deman d is coming every day, is increasing every month, every day. So, I think we are only expecting that we require to create that capacity so that further demand could come. Today, whatever is the capability we can give them in a shorter period of time, we are already exhausted. Now we are further enhancing or increasing it in a big way so that that volume could come.
Rajesh Jain: So, in other way, like by when that capacity is coming up and how much more firepower it could give you in terms of 100% capacity ut ilization, how much volume it can add?

Neeraj Jain: Most of this CAPEX will be completed by June next year, March to June quarter will be completing most of this CAPEX.
Rajesh Jain: And at 100% utilization , how much would it be able to add? Considering not only the CAPEX, but also the faster turnaround times wh ich this will enable you to do?
Neeraj Jain: Our efforts are for the same. Let's see how the market goes.
Moderator: Thank you. As there ar

e no further questions from the participants, I now hand the conference over to the mana gement for closing comments.
Neeraj Jain: So, thank you very much for this conference call and I think it's been a wonderful journey. Though in challenging times the business becomes more difficult, but at the same time, I can assure you all the efforts being done by the management in terms of passing through this time successfully. And with the decent margin s, all efforts are on. And as well as, fortunately for us, as of now, since the fabric has been pretty well, so the Company doesn't have any issues in terms of the overall margin growth happening. But at the same time as the challenges are increasing, we are agile to look at those challenges and we are internally looking at all our cost structures very carefully and lots of initiatives the Company has taken. And I'm sure by the time the good times come in, we will be ready to take full advantage of good times also. Thank you very much for all the patience and your continuity of holding with us. And I'm sure these things definitely will improve maybe next couple of quarters once the government takes some decision. And we will definitely look at a much better result in the times to come. So, thank you to al l the participants as well as B& K to hold this conference.
Moderator: On behalf of Batliv ala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED — 3QFY25
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
22" January, 2025 to discuss 3QFY25 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
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"Vardhman Textiles Limited Q3 FY'25 Post Results Earning
Conference Call"
January 22, 2025

MANAGEMENT : M R. NEERAJ JAIN - JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN - EXECUTIVE DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB - DIRECTOR (RAW MATERIALS),
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MR. RAJEEV THAPAR – CFO, VARDHMAN TEXTILES
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MR. MUKESH BANSAL - HEAD (FABRIC MARKETING),
VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA - HEAD (FINANCE),
VARDHMAN TEXTILES LIMITED
MODERATOR : M R. ROSHAN NAIR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Vardhman Textiles Limited
January 22, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Vardhman Textiles Limited Q3 FY'25 Post Results Earning Conference Call hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone

phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Roshan Nair from Batliv ala & Karani Securities India Private Limited. Thank you. And over to you, sir.
Roshan Nair: Thank you. Good evening, everyone, and welcome to Q3 F Y'25 Earnings Conference Call of Vardhman Textiles Limited.
On behalf of B &K Securities, I welcome all participants and management of Vardhma n Textiles to the call.
We have with us today, Mr. N eeraj Jain, Joint Managing Director, M s. Sagrika Jain, Executive Director, Mr. Sushil J hamb, Director, Raw Materials, Mr. Raj eev Thapar, CFO, Mr. Mukesh Bansal, Head, Fabric Marketing, and Mr. Varun Malhotra, Head of Finance.
Without further ado, I would like to hand over the flo or to "Mr. Neeraj Jain for his Opening Remarks," post which we can have a "Q&A Session. " Thank you. And over to you, Sir.
Neeraj Jain: Thank you. Good afternoon, everyone. Welcome for Q 3 Conference Call on the Quarterly Numbers.
We had a board meeting today and I am sure the numbers you w ould have seen by this time.
So, the business continues to be there are all ups and downs wit h the business, on one hand, spinning business is still struggling with the higher raw material compared to the international prices, whereas the fabric business is doing better. So, as a result, the overall results of the company compared to Q2 are a little low, but if we compare it with the corresponding quarter, they're definitely far better than the corresponding numbers.
So, in terms of the utilization, I think both businesses we are doing goo d, both the businesses in terms of the customer base, product base, or the utilization, co mpany is doing pretty good. We have announced lots of capital expenditure in the last two qu arters. That's all in place and I think that's all going as per the plan only. So, there are a few fresh CAPEX which have been announced for the modernization as well as for some sustainability, etc .,
So, we can straight come to the Q& A, and we can deliberate and we can discuss all the issues which comes by way of a viewer one-by-one. Thank you very much.

Moderator: We will now begin with the question-and-answer session. The first q uestion is from the line of Avanish Chandra from SMIFS. Please go ahead.
Avanish Chandra: Sir, my first question is on the margin front. I mean, I understand that spot spread and the company performance cannot be related to one-on-one, but cotton prices has gone down in Q3 and yarn prices. Whatever industry data we look for, there was a go od spread versus Q2, there was a good improvement in the spread, but that is not getting reflecte d at all in sequential margin improvement. Could you just highlight this thing that whether we will have better improvement in Q4 with some delay or any other reason?
Neeraj Jain: So, if we look at Q2 versus Q3, when the Q2 started, the New York Futures was also far better and the international prices were also better. Over a period of the last two, three, four months, the New York Futures continue to come down and it is now rulin g in the range of about 67 , 68 US cents per pound. About the India prices, the point is right that Indian prices have come down because if you look at two, three, four months back, it wa s almost in the range of about Rs.58,000, Rs.60,000 a

candy, which has now come down to Rs.54, 000. So, from that perspective definitely there is an improvement in the Indian cotton p rices. But as far as our company is concerned, that was not the case because we had bough t the cotton last year and the cotton which we were using in the 2nd Quarter was bought almost about a year back a nd our average, cost was in the same range of Rs. 53,000, 54,000 only. So, though the market price of cotton was higher, so people got losing money w hosoever was buying cotton at that stage, w e were not losing money, but at the same time the margins improve ment did not happen for us because our actual cost was almost same in the 2nd Quarter versus 3rd Quarter. So, that's why this is not showing improvement. Two, the overall yarn prices also tum bled to some extent because of the New York Futures . So, I think since the yarn prices did not increase, cotton prices remain same so I think that's the reason the numbers could not be i mproved.
Avanish Chandra: But we can go for Q4, right, because the lower cotton prices, which is now that will get reflected somewhere in our number, right?
Neeraj Jain: Not really. Not really. Because if we go by let's say last six months versus next three months going by today's cotton po sition, there is no change in our cost of raw materials. So, we bou ght the cotton as I mentioned in the last season at the average cost of Rs.53,000 , Rs.54,000 a candy which we have been using for the last six months. The current prices are also same . So, whatever we are buying today, even if we continue to use in next three to four months ' time, there is not likely to be any major improvement in the margin unless New York Futures increases or the ya rn prices improves.
Avanish Chandra: And last thing on this front. How much cotton inventory we are ca rrying?
Neeraj Jain: So, the season in India starts somewhere in October, November onl y. So, I think it's only about

last two months, two and a half months where the cotton is coming to the market. So, to that

extent, I think we have started buying it slowly and typically we ha ve a six month stocks or seven month sto cks by the end of 31st March. So, it looks like going by today 's pace, we may be close to that figure zone by 31st March.

Avanish Chandra: You have talked about CAPEX in various conference calls and va rious phases also you have highlighted all the CAPEX in bits and pieces . Just for clarity purpose, if you can just talk about this much CAPEX in yarn, fabric and modernization and at what stage all the projects are that will be very helpful?

Sagrika Jain: So, the total CAPEX announced by the company is in the range o f about Rs.3,400 crores. And out of that all the schemes we are working in, except one of the project where the government approvals are still not there, that's close to about Rs.400 crores or Rs.500 crores. So, the work which is going on as of now is almost close to about Rs.2,800 crore s. That's all going as per schedule only and we expect that within this calendar year, maybe by November, December, this CAPEX will get completed.

Moderator: The next question is from the line of Keshav Garg from Countercy clical PMS. Please go ahead.

Keshav Garg: Sir, I am trying to understand that you alluded to the fact tha t yarn prices also declined quarter-on-quarter. So, if you could quantify that on a per Kg basis, what was the average yarn realization in the 3rd Quarter and what is the average yarn realization at pres ent and what is our cost of cotton? I think you already answered that it's around Rs.54 K g if I understood it correctly.

Neeraj Jain: So, if we look at six months back, the yarn prices were almost in the range of $3.25 US cents or so per Kg and slowly depending upon the position of the compa ny, it kept coming down. And as of now, the current prices of yarn are in the range of about

$3 pe r Kg.

Keshav Garg: This changed quarter- on-quarter?

Neeraj Jain: Second to 3rd Quarter.

Keshav Garg: So, from 3rd Quarter till today that is fourth quarter.

Neeraj Jain: No, no, this price is third to fourth is only 15 , 20 days has gone, so prices are almost same today also.

Keshav Garg: And sir, how is the demand/supply situation for yarn globally a nd as well as in India? And sir, by how long you think that the demand will take care of the exc ess supply so that our yarn spreads can go back to the pre-COVID level and where we used to do around 16% to 20% EBITDA margin which has now come down to 13%?

Neeraj Jain: I don't know. Where have you seen this 13%?

Keshav Garg: No, sir. I am saying that right now our standalone EBITDA margin is a round 13% and pre-COVID if we look at FY' 16, '17, so it used to be around 20% operating margin, even in FY'19 it was 18% and then this margin shot up during FY'22, which wa s an aberration and now it has come down to low to mid teens. What I am trying to understand is tha t when will our yarn spread normalize?

Neeraj Jain: So, first question is on the demand and supply. Overall demand is okay. There is not much of a concern on the demand side. So, I think in terms of international d emand or domestic demand , it's reasonably okay. On the supply side because of the very ba d margins in last two years I think there's lots of small capacity which we understand as the industry e stimation has already stopped. As per the estimation done by one of the large esteemed players, i t is understood that almost 6, 6.5 spindles have already stopped in India on a permanent basis, which is a lmost like 15% of India's capacity, and to that extent also, I think demand/supply is getting adjusted. So, from the demand side, I don't think there's really a big issue as of now. Coming to the margin, while margins are lower for Indian textiles players . Our raw material cost today is much higher than the international prices. If you look at the cotton cost in India for the last 15 , 20 years will always be on an average, 4 cents to 5 cents higher than the New York F utures. But this is the time, even today, India Futures is at 67 , 68 cents, Indian cotton is available at 80 US cents . So, we are 12 cents higher than the New York Futures. Yarn prices get established base d on the New York Futures that anyone who is getting a cotton that's in Vietnam or in Bangladesh or in Indonesia what is the cost of cotton for them and how do the pricing happen. So, to that extent, Vietnamese spinner is still making money. But when it comes to India, we have two issues which we have explained or discussed earlier also; the one issue is our cotton price s have become higher because of the minimum support price, where the CCI is buying the cotton at a minimum support price from the market. As a result of that, our market size of cotton today is Rs.54,000, which is equivalent to 80 US cents. So, these situations once in a while they c ome earlier also, but at that stage we used to import cotton in India and which will neutralize all the e xcess cost over here. Unfortunately, we have import duty and import of cotton, almost 11 %, which was imposed by the government in the budget 2021. As a result of that, the impor t in the cotton in India is still going to be 11% higher. These are the two reasons. The Indian cost today is much higher compared to the world markets. So, the situation will not improve by demand and supply only till the time our raw material prices comes down to normal. And this is th e reason our margins are low. The moment our raw material price comes in line with internati onal market s, I think the margins would improve immediately after that. So, it's nothing to d o with the demand/supply. It's more to do with the raw material cost, which is much more expensive in India compared to any other pa

rt of the world today.
Keshav Garg: If we see pre-COVID, then what's the situation different like, I mean then what is today because I am I understand the MSP to be then also and cotton corpo ration used to buy cotton then also. So, what has changed from pre-COVID to now?

Neeraj Jain: So, there are three things which have changed. One, New York Fu tures used to be in the range of about 75 , 80 US cents . So, even if the MSP was increasing over here, the Indian MSP was still lower than the international parity. So, as a result, it was not imp acting us. Today, New York Futures is at 68 cents, whereas the Indian cotton or the MSP of Indian cotton is almost equivalent to 80 cents today. So, our cost has become higher. So, one, New York Futures has come down, two, India is increasing the MSP every year from 5% to 7%. So, t hree years we have increased it almost by 18% , 20% and with the international prices not going up we have beco me costlier compared to the world markets. And the only corrective course fo r the India spinning industry was to import cotton so that our cost is not higher than the wor ld market even though the MSP could be higher. But unfortunately, in 2021 there was an import duty which was imposed by the government in the budget. So, we can't import also. So, in the last three years, our situation of raw materials actually gone against us. So, all three factors are for cing spinning players not to do good in India.
Moderator: The next question is from the line of Pankaj Bo bade from Affluent Assets . Please go ahead.
Pankaj Bobade: Sir, how is the situation in Bangladesh? Is Indian textile industry benefiting o ut there?
Neeraj Jain: So, Bangladesh condition is okay. There has been some instances where there are some distresses in different parts of the country. But if you look at their core figure s, their overall production or our sales, the Indian yarn going to Bangladesh, there is no reductio n in that and we understand from our India customers, we are running full capacities. So, as such, there doesn't seem to be any major concern from the Bangladesh perspective.
Moderator: The next question is from the line of Vikram Suryavanshi from Phil lipCapital. Please go ahea d.
V Suryavanshi: We understand the impact of a very high cost of raw material for co tton. How it has affected our yarn export which you used to give on monthly basis? How is our exp ort volume if you can share? I think that will be helpful.
Neeraj Jain: So, Indian yarn export we used to do almost 100 million Kg of expo rt from India as a country. So, in this period also, if you look at last 10 months, 15 months, o ur average export from India is in the range of about 100 million Kg only. There is no reduc tion as far as the export is concerned from India.
V Suryavanshi: So, basically, volume has remained, but margin is under pressure?
Neeraj Jain: Correct.
V Suryavanshi: And in terms of capacity utilization in fabric, how much it is and h ow we can look at our export opportunities in fabric going forward?

Sagrika Jain: So, currently our fabric utilization is at almost 100% and as you rightl y know that we have already planned for another production line expansion in our plant and the expansion should be coming at around September this calendar year.
V Suryavanshi: Would it be possible to share what would be the mix within fabric in terms of raw material between cotton and say synthetic?
Sagrika Jain: Our expansion the one that I just spoke about would be more cott on.
V Suryavanshi: Within our spindle, is there an ability to convert some of the spindle into synthetic blend the way we are seeing demand is growing particularly some of the blends and all?
Neeraj Jain: We are already doing that, but unfortunately even on the blended yarn, there is a problem because we

have a law in India now there any import of polyester or viscose , we require to get approval from (BIS) Bureau of Indian Standards, and which has to be certified by the g overnment or BI S even for the factories which are situated outside. There is no registration the government is doing. As a result of that, there is no import of polyester or viscos e is coming to India . So, today, the Indian prices of polyester or viscose are almost costlier by about 10% to 15% compared to

any spinner which is getting it either in Vietnam or in China. So, u nfortunately, the tariff that which has been imposed and as a result of that, they are not really very, very competitive on those products also in the world markets.
V Suryavanshi: But sir, I think while listening to you then if we look at when we are talking about increasing the export for India and we have disadvantage of almost 11% in a quarter, again 10% to 15% disadvantage in synthetic, won't you think it will be major bottleneck for our target for export and how industry is looking to address this issue?
Neeraj Jain: It's a big concern because exports can happen only if the manuf acturing sector keeps improving . So, on the spi nning side, we are very clearly looking at there's no expansion hap pening. And if you look at the machinery manufacturers today, they are all runnin g at an average utilization of 40%, 50% only. So, one, there is no expansion happening, two, as I mentioned earlier as per the industry estimate only, almost six, six and a half million spindl es has stopped and remaining also still not making money, for most of this spinning sector, the mod ernization are also not happening. So, I think as of now, there seems to be a concern till the time the government decides on the basic raw materials.
V Suryavanshi: And last question is how is the cotton production outlook?
Neeraj Jain: Cotton cultivation came down by about 7-8% last year, but at th e same time I think the weather has been favorable. So, it looks like last year the total crop was a lmost 31 million bales in India. CAI has given an estimation of 29.8 million bales, but there co uld be a possibility that's going

to almost 31 million ba les as well. So, in terms of crop size, we can be comparable to the las t year. It looks like as of now.
V Suryavanshi: But because the prices are below MSP, is there any divergent to other crop next season?
Neeraj Jain: Not really, because the prices are lower than MSP. The farmer doesn' t have any impact on the same because CCI is buying. So, example today this season the tota l 17 million bales have come to the market till now and 45% has been procur ed by the CCI only. So, no issue or a concern to the farmer because they are in a position to get the MSP whethe r the market buys or C CI buys. CCI buy has been buying and today they'll have one of the b iggest stock available to them, almost 7.5 million bales or so. So, out of 17 million bales which h ave come, CCI have procured 7.5 million bales and they're all holding it into their stock a s of now. That itself shows the market is not ready to buy at these prices.
Moderator: The next question is from the line of Rupam from Investw ell Private Limited. Please go ahead.
Rupam: Actually, I missed the part regarding the CAPEX plan. So, could you just provide in detail what kind of CAPEX and what is the ongoing CAPEX and upcoming CAPEX pla n with the timeline?
Neeraj Jain: So, we announced a normal CAPEX of Rs.850 crores in one of th e schemes which is going on as per schedule and we expect it to be completed by maybe June this year. In addition to that, we announced 100% synthetic filament-based product. That's a bout 350 crores. That's also as per the schedule and we expect it to be commissioned within this ca lendar year itself. In addition to that, we have announced almost Rs.600 crores for the sustainab le f

or the green power. All that
CAPEX is also likely to be completed within this calendar year. In additio n to that, we announced a fourth line of our fabric processing with the cost of almost about Rs.400 crores, but that'll also get completed within this calendar year itself. In addition to that, today we have announced another CAPEX of almost Rs.400 crores and that also we a re expecting it to be completed within this calendar year. So, except one open end project of almost about Rs.450 crores we ha ve to get the approval from the government. I think remaining Rs.2,800 crores is going as per schedule and within next 8 to 9 months ' time or 10 months time most of this will be completed.
Moderator: The next question is from the line of Ni rav Savai from Abakkus. Please go ahead.
Nirav Savai: So, my question was the total CAPEX you said is about 2,400 crore s, right? And of that 850 crores is…can you just break up? I think you said green power is a bout 600 crores. And filament yarn you said about 400 crores, right?
Neeraj Jain: So, the normal CAPEX of yarn and fabric is almost about 1,200 crores , 600 crores is the green power , 400 crores for the fabric expansion of weaving existing line s, another 400 crores for the

100% synthetic fabric business and another about 500 crores on t he open end project, which I said as of now it's on hold.
Nirav Savai: So, if I look at this ongoing 1,200 crores CAPEX, which is the end of fabric and yarn, what kind of capacity do we see this post completion or is it replacement of existing m achines?
Neeraj Jain: So, on the spinning side, it's all replacement of the existing mac hines, except some marginal improvements can come into that. On the fabric side, the weaving capacity of 400 crores will add about 30 , 31 million meters per annum capacity and the 100% synthetic p roduct will have

15mm per annum capacity.
Nirav Savai: So, synthetic is about 15mm, right?
Neeraj Jain: Synthetic is 31 million cotton line.
Nirav Savai: In this fabric expansion, which you said separately 400, how different is this?
Neeraj Jain: No, that same existing line of business.
Nirav Savai: Part of the 1,200 crores only.
Neeraj Jain: Yes, but it is only modernization CAPEX.
Moderator: The next question is from the line of Mohammed Patel from Care Portf olio Managers Private Limited. Please go ahead.
Mohammed Patel: So, I just wanted a clarity. You said the procurement cost of cotto n for current year is almost similar to last year at 53,000, 54,000.
Neeraj Jain: Yes.
Mohammed Patel: My next question is related to margins . So, with the ongoing CAPEX, which is focused on modernization and green energy, which is going to lead to cost b enefits, so can this lead to the margins improving from current 13% to 15% by FY' 27?
Neeraj Jain: We're hoping because all these CAPEX, which is being done, definit ely there should be an improvement in the margins on two accounts. There will be cost redu ction because of the modernization and also we will be more flexible and there could be a possibility for us to do more value added products as well. So, hope is this only that wit h this kind of modernization ou r EBITDA should improve by 2%, 3%. Let's look at that.
Mohammed Patel: It should happen starting FY' 27?

Neeraj Jain: Yes, yes, yes, sure.
Moderator: The next question is from the line of Ritwik Sheth from One Up Financial Consultants Private Limited. Please go ahead.
Ritwik Sheth: So, what is the cotton yarn spread in Q3 versus Q2?
Neeraj Jain: The spread if you look at the Indian cotton is almost in the range of about 70 US cents per Kg of yarn.
Ritwik Sheth: In Q3?
Neeraj Jain: Yes.
Ritwik Sheth: And Q2 would be closer to 60?
Neeraj Jain: So, Q2 was almost, I mean, a little better or I'll say almost compatib le.
Ritwik Sheth:

So, around $0.70 only?
Neeraj Jain: Yes, yes.
Ritwik Sheth: And sir, earlier you had mentioned that at $1 -
Neeraj Jain: So, if you look at 321, the benchmark always used to be about $1.
Ritwik Sheth: So, basically at $1, you would make enough money to expan d in spinning capacity like and that would get corrected if the cotton prices are in line with the New York F utures as you were earlier?
Neeraj Jain: Correct, correct.
Moderator: The next question is from the line of Monish Ghodke from HDFC Mu tual Fund. Please go ahead.
Monish Ghodke: Sir, in the opening remarks, you highlighted that polyester prices in India are expensive by 10% to 15% as compared to global prices. Since we are doing CAPEX in man-made fabric, so how do you plan to price this product, will it be at par with global pr ices or it will be higher and what kind of a segment are we targeting here?
Sagrika Jain: So, regarding raw material for our synthetic project, so yes, as c ompared to the rest of the world, prices in India can be higher. So, we do plan to have a local b ase and an import base as well. So, we are currently exploring what options are like, Taiwan is there, China is there, Korea is also there, Japan is there. That exploration is happening. At the same ti me, we will be working

alongside the domestic players and developing certain products which may not be available.
What was your second question?
Monish Ghodke: So, what kind of a segment are we targeting? Is it for export? I m ean garment, so you'll be exporting, or will it be for domestic? And many times, when we speak with garment they say that good quality processed fabric is not available in India, which is a t par with global standards.
So, are we striving for that kind of a segment maybe at leisure w ear or something like that?
Sagrika Jain: So, woven synt hetics would more be outerwear. So, the jackets that we have wing she eters that would be the segment, and it will be a mix of domestic and ex port both.
Monish Ghodke: But the pricing will be at par with? global prices, right?
Sagrika Jain: 30% is out of BI S. So, we should be okay. And also apart from that there is weavin g and there is processing. So, we will be selling high value-added products. So , we will try to counteract and mitigate the impact of raw material prices.

Monish Ghodke: Pardon me if you have answered these questions before, this modernization CAPEX of 330 crores we are doing , are there any spind les addition which is happening?
Neeraj Jain: Not really. So, some small changes were more of a modernization where the existing machines are being replaced with the newer one to take advantage of utilit y cost or maybe automation, reduction of power, etc .,
Monish Ghodke: But sir, this will be a part of your regular maintenance CAPEX, right, I mean -
Neeraj Jain: Normally our regular maintenance CAPEX do about 150 crores per year. Th is time since it was much larger than our normal CAPEX that's why we have disclosed this t o the stock market.
Monish Ghodke: So, this is like our maintenance 250 plus this is 330, right? I am saying will this continue to be there, I mean is it expected to be like could you throw some like what is the average age of our spindles and how much maintenance CAPEX now we have to do go ing forward due to modernization?
Neeraj Jain: Average age of a spinning machine part would be in the rang e of about 10 years now. So, I think going forward the normal CAPEX or the replacement for CAPEX to my m ind should not be more than 150, 200 crores per year.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
P Jhunjhunwala: Just wanted to understand what will be the revenue addition and pro fit addition that you're looking from this entire CAPEX of around Rs.3,400 crores?

Neeraj Jain: So, on the spinning side, I don't think there's any revenue a ddition which is likely to happen. Even the green power I don't think there's any top line increase will happen. The top line increase will happen only with the 45 , 46mm capacity which will be pro rata to our existing capacity. So, Rs.150 per meter versus 45 milli on meters.
P Jhunjhunwala: So, 45 million meters is the processing capacity that we are addi ng? 31 was the number right. What it is?
Neeraj Jain: No, 31 + 15 of synthetic.
P Jhunjhunwala: And sir with this replacement, what kind of efficiency improvement o r margin improvement? 200 bps margin improvement that you mentioned earlier in the call. Is it global or eventually because of market forces it can be passed on to the customers?
Neeraj Jain: Prerna, that's a guess. I can't really comment on that what would happen with the market forces and showing it the today's circumstances whatever we are doing had tha t been available today or just our margins would have been better by 200 , 300 basis points. 200 is surely possible. But what will happen to the market? We can't really comment on th at. It can be better; it can be worse also. So, that's beyond our control.
P Jhunjhunwala: In the synthetic business, what kind of margins are we looking at because this is a specialized product that we're doing for outerwear, jackets and all, is the m argin better than the existing fabric business or is it in line with that?
Neeraj Jain: What I understand, there are two segments to that. One is the basic rep lacement of apparel fabric . Second is specialized products. If we are going to be the new entrant in this and we have to learn this business as well. So, my feeling is as we keep understanding th e business, we'll start moving towards more and more value-added products and. On the technical textiles, definitely margins can be 25%, 30%, 35% as well, but it will take us some time to learn it, develo p it, create the market for that and it's only beyond that. On the basic products, it could be in line with our existing margins of the fabric apparel business.
Moderator: The next question is from the line of Mohammed Patel from Care Portf olio Managers Private Limited. Please go ahead.
Mohammed Patel: Do you expect cotton yarn spread to improve in near term? So, are there any factors which can turn favorable?
Neeraj Jain: So, basically there are only two, three factors which can help us : One, if the New York Futures goes to about 74 , 75 cents, things start improving in India. That could be one. Sec ond is rupee to less than Rs.90 and in US cents cotton prices comes down. That co uld be another trigger. Government of India's view on allowing the import of cotton duty- free. Even then, our margins

would be better. If overall demand improves much better than the existing demand. So, these are all macro level issues. Two are macro level and two are related with the G overnment of India. It's really, really very difficult for me to comment. I think the on ly doable or a possible thing looks like if the New York Futures improves by about 500, 600 basis points, definitely things will start improving in India also.
Moderator: The next question is from the line of Anik Mitra from Finnomics. Please go ahead.
Anik Mitra: Sir, what is the current yarn and cotton spread in Indian currency term?
Neeraj Jain: So, even in the Indian cotton or the yarn spread is what I mentione d is 70, 72 cents. If you

calculate it with the rupee of 85 , it will be close to about Rs. 60.
Anik Mitra: Considering the current Bangladesh situation, the Bangladesh is a major playe r in the garmenting, so is there any opportunity if Bangladesh loses marke t share in US, Indian companies can capture that market share?
Neeraj Jain: First of all, as I mentioned earlier also if we go by the Bangladeshi numbe

rs of exports there,
there is no reduction and rather they are improving it only. So, it looks like there doesn't seems to be any concern on a macro level basis. Maybe some area some companies issue could be there. But if you go by their numbers, I think it's not reducing at all. Two, Bangladesh has become a very big player and their exporters already touching almost $40, $4 2 billion as of now, whereas the Indian g armenting export is only about $15 billion. It looks like Bangladesh in t he next five to six years can touch maybe about $ 75, $80 billion also because of two major reasons. One, they have an advantage of GBP where Europe allows them for the duty-free exports. Two, in garmenting the labor cost plays a very, very important role and it is almost about 25% in the garmenting, 20% to 25% is the labor cost only. Indian labor cost today is close to abou t US$200 per person per month, whereas the Bangladesh is still ranging about US$1 00 or so. So, there were huge advantage of much less labor cost. As a result, they are competitive compared to India. Thi rd, for any business to create capacity, one is opportunity, second is the margins. I think we do not have those capacities which are required by the world ma rkets as of now. So, if there is a major concern happens in Bangladesh, probably that opportuni ty can come to India. But as of now, they are continuing to grow big way because of the two advantages which I mentioned to you. But yes, if the situation goes out of control or goes very ba d over there so the bran ds starts looking at a different country and amongst those countries, Ind ia could also be one of the participant to take advantage of that. But that's not visible as of now a t least.
Moderator: The next question is from the line of Avanish Chandra from SMIFS . Please go ahead.
Avanish Chandra: Sir, we are hearing lot of good sound noise for textile industry in the budget. People are talking about 10% , 15% higher budget for textiles and then government may reduce som e duties on

man-made side raw materials. So, any assessment on those budgeting and any benefit that Vardhman can draw from the budget?
Neeraj Jain: I think it'll be too premature for me to comment on what the go vernment is going to do in the budget. We are left with only less than two weeks as of now. So, let's wait and watch please.
Moderator: Ladies and gentlemen, as there are no further questions for today, I would now like to hand the conference over to the management for the closing comments.
Neeraj Jain: So, thanks all the investing community which has shown confiden ce in us and being a part of the company for a long period of time. Though there is conce rn on the overall spinning industry specifically, but at the same time our fabric division is doing very , very good, both in terms of utilization and the profitability also. We are also hopeful going by the industry situation, government will take some decision sooner or later, and in the m eantime, whatever best can be done in terms of the internal efficiencies, operational efficiencies or the customer base of the industry, the company is really, really working very hard to ac hieve that so that even in these kind of difficult times, we can pass through this time profitably o r with better margins compared to the industry peers . I am sure as the situation improves or as any favorable decision come s in certainly we'll look at a better improvement in the margins also. But in the meantime, we're preparing ourselves notwithstanding with a difficult situation. Our CAPEX is one of the highest this year because we believe that sooner or later things will be better and definitely going by the patronage of our customers, products we are surely much more hopef ul for the future, and we believe we can add lots of value for the overall textiles chain in I ndia. So, tha nks once again or
y

our patience as well as your stability in the company with you r shareholding and I am sure as management we will not leave any stone unturned to pass through this difficult time also. Thank you very much.
Moderator: Thank you, ladies and gentlemen. On behalf of Batl ivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnec t your lines.

Call: May 2025

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED — Q4 FY'25
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
5) May, 2025 to discuss Q4 FY'25 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
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MR. NEERAJ JAIN - JOINT MANAGING DIRECTOR,
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN - EXECUTIVE DIRECTOR, VARDHMAN
TEXTILES LIMITED
MR. SUSHIL JHAMB - DIRECTOR (RAW MATERIALS),
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL - HEAD (FABRIC MARKETING),
VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA - HEAD (FINANCE), VARDHMAN
TEXTILES LIMITED
MR. ROSHAN NAIR — BATLIVALA & KARANI SECURITIES
INDIA PRIVATE LIMITED
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Moderator:
Roshan Nair:
Neeraj Jain: Vardhman Textiles Limited
May 05, 2025
Ladies and gentlemen, good day and welcome to the Q4 & FY'25 Post Results Earnings Conference
Call of Vardhman Textiles Limited hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Roshan Nair. Thank you and over to you, sir.
Thank you. Good Evening, Everyone, and Welcome to 4Q FY25 Earmings Conference Call of Vardhman Textiles Limited.
On behalf of B&K Securities, I welcome all participants and the Management of Vardhman Textiles Limited to the call. We have with us today, Mr. Neeraj Jain — Joint Managing Director, Ms. Sagrika Jain — Executive Director, Mr. Sushil Jnamb — Director (Raw Materials), Mr. Mukesh Bansal — Head (Fabric Marketing) and Mr. Varun Malhotra — Head of Finance.
Without further ado, I would like to hand over the floor to "Mr. Neeraj Jain and Ms. Sagrika Jain for their Opening Remarks," post which we can have "Q&A Session." Thank you and over to you.
Good afternoon, everyone. We have declared the Results. So it's a little better compared to the third quarter and the corresponding quarter. At the same time, I think the challenges continue both for the world textile markets as well as Indian textile markets.
The earlier concerns were only because of the two wars. But now considering the tariff war, which was started by USA, there's definitely a more uncertainty as of now for next couple of weeks or couple of quarters till the time there is a negotiation or there is an understanding on the tariff to be put on the various countries.
On the business front, definitely this has been a very, very challenging period for the spinning business because our cotton in India continues to be on a very, very high basis, almost in the range of about $0.81, $0.82, b

ecause of the minimum support price over here and not possibility to get the cotton imported duty-free in India.
With the most of this period, cotton in the range of about US$0.66, US$0.67 per pound on a New York Futures, which means the landed cost of cotton to Vietnam or to Indonesia would be in the range of about US$0.78, US$0.79 compared to that the Indian cotton in this period, continue to be
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almost at US$0.82, US$0.83 which means putting us at a disadvantage of $0.3 to $0.4 in addition to the quality variation differentiation because of the contamination and so on and so on. So the industry in India continues to struggle.
The second aspect of the same is, the quality control standard put in by the domain where the import of any kind where any material to be sold in India or any fiber that would be sold in India, man-made fiber has to be approved. This basically has prevented the import of synthetic, polyester or viscose in India. And our raw material both polyester and viscose are almost as of now expensive by about 18% to 20% compared to the material which is there in Vietnam or Taiwan, Thailand or China. So as a result of that, Indian spinning industry is little lesser in comparison to as of now on the man-made fibers as well. These are the two big concern points. Of course, on the silver lining side, definitely, the brands are coming to India, the business is available and we have done the delivery and the time schedule they require, we serve and manage their lead times as well as their peaking requirements with the new product development innovation that business is surely there, which is ----- (Inaudible). So that's the direction the company has taken where we are trying to look at more of these products where you can enhance your margin, and to that extent, we are modernizing our machine part also, so that it is the shop, there is more robust working whole actively on the margin and new products so that we could capture to these kind of businesses where the competition is a little bit better and the loyalty of the customer is surely better. So that's what is happening in the Indian crop. Almost it was estimated to be about 30 million bales and almost 9 to 10 million bales with minimum support price this year, Cotton Corporation of India procured almost 10 million bales. Now we have started selling it. Of course the prices in India again are higher because virtually as of now the entire quantity is available with the Futures only and we have to buy day day-to-day but at a much, much expensive basis.
The next year expense is about to start. The US intentions are already there, which is lower between 10% to 14% considering the weather and the low remunerative crop over there. So that's going to be one concern where the overall shortage could be there, but at the same time if the USA puts in any kind of duty, that means there could be a possibility of some reduction in the consumption also over there. So to that extent there could be a possibility of consumption also being lower in the USA, which is one of the biggest countries in the entire world.
So as of now, the atmosphere has become very, very challenging, very, very uncertain. Most of the shipments which have happened in the last 3-4 months, the customer expectation is or the brand expectation is whatever is the 10% duty that has to be absorbed by the supply chain, including the brand, but whereas because of a very low margin, it's not in a position to take that. In many cases is being between the between the brand and the government as of now in most of the cases.
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Two, I think since this facility of 10% is only available for 90-days, so there's more uncertainty how things will happen in next because any order which comes in today will be delivered in three months down the line only. So those are all uncer

tain periods, times as of now, which are posing a big
concerns to most of not only the textiles, but I think other non-textiles products as well.
Another piece of information that there has been some issue between India and Bangladesh where they were not allowing the shipment by road to Bangladesh, which used to happen through the border earlier. So which means the cost may not increase, but at the same time the lead time surely will increase from about 10 days to three weeks, which is again a concern as industry is moving more and more on the value-added side. So this is definitely most or a very uncertain period, but I'm sure it looks like there's seems to be some silver lining also because if the USA puts in all kinds of duties, as of now, India would have one of the lowest duty, as per the previous understanding, it was 24% whereas most other comparative countries were between 45% to 50%, which includes Japan, Bangladesh was also higher, China was much higher. So, there could be a possibility even in the uncertain times. There could be a possibility of India getting some advantage by the relatively lower duty so that we could enhance our exports to USA. That's my starting comments on the yarn side. I request Sagrika to give her opening remarks on the fabric side as well.
Thank you, sir.
As for fabric, there was good demand from the markets all around. There was good retail sales during the festive season of Christmas and New Year. As a result, import numbers in Jan and Feb were quite good for US, UK and EU markets. So we had a very good Quarter 4. In fact, this has been one of the best quarters that we have ever had. We ran on full capacity and we also had a good financial year.
Adding to what Mr. Neeraj then had said on US tariffs, some of our US-based customers are referring to this situation as short-term pain for long-term-gain and we share the same optimism. So as a response, we are actively engaging with customers to understand what their evolving needs are and we are positioning ourselves as a strategic and reliable partner. Our proactive approach, combined with India's subsequent tariff advantage places us in a strong position to not only navigate the current disruption, but also to achieve sustainable growth over the next quarters.
As far as capacity expansion goes, by the end of our current Calendar Year 2025, our production capacity will increase by 38%. So this expansion will enable us to shift to other products including synthetic, so increase our product basket and also reduce the sale of grey fabrics. So we will be converting our gray fabric proportion to dyed processed fabric. We have seen strong demand from both existing and new customers, which is encouraging. While the fear of US market slowdown could potentially impact short-term demand, we are committed to utilizing this expanded capacity
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immediately. Our aim is to fully absorb this capacity enhancement and optimize our production by fiscal year 2028. We are confident that with strategic planning, agility and the right customer engagement, we will maximize this capacity expansion and drive growth.
Thank you very much. We will now begin the question-and answer session. The first question is from the line of Rajesh Jain from RK Capital. Please proceed.
Hello, sir. Good afternoon. Can you tell me why is there a sharp jump in other income and other expenses in this quarter?
The other income increase is due to land purchase for one of our plants, which is about Rs.25 crores, Rs.26 crores. Other than that I think it's all normal and the remaining is we do mark-to-market on the dollar rupee also. So whatever the foreign exchange gain is, that also gets captured into other income as per the accounting standard.
Why is

there a sharp jump in the other expenses, what does that comprise of?
No, that's the general because there is a huge amount of monetization going on in all the factories. So that's all related with the repair, maintenance and the building expense.
Okay. So going forward, this will be the trajectory of the other expenses in the next few quarters?
It will come down for sure. I think most of the modernizations are getting completed in 1st Quarter itself. After that it would normalize.

Okay, sir. And sir, which are the countries to which you export, can you give the country wise bifurcation in terms of percentage of your revenue?
That keeps changing, but I can just give you an idea. I think as a country, whatever yarn we export, 50% goes to Bangladesh and remaining goes to most of the Asian countries or the Central America, maybe some part of this goes to Mexico and so on and so forth. And this is the trend for the country. Our trend is almost in line with the country exports. That is true even for the fabric also.
Okay. So, is the Bangladesh export seeing any continued impact because of the stand that Bangladesh has taken?
No, as of now, no. But it's only the serviceability will be a little different because we'll have to ship it through the water route only. So maybe the number of days to reach the product will increase in
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some of the products. For Vardhman, let's say 70% of products were already going by the ship, so I think 20%, 30% will have some impact on profitability, but cost wise it may not have any impact.
Just can you provide any update on your foray into technical fibers, how is the capacity expansion going on that front?
So the progress is as anticipated, and we should be operational in Quarter 3.
Okay. Okay, fine. Yes, thank you.
Thank you. The next question is from the line of Avinash Chandra from SMIFS. Please proceed.
Thank you for taking my question and congratulations management on good performance. Sir, first thing, in the historical, if I look at the number of EBITDA margin and textile EBIT which you report, all the time textile EBIT was lower than the overall EBIT kind of 1.5%, 2% difference, but this is the first time our EBITDA margin is 11.4% whereas textile EBIT is 12.5%... I understand this is due to an unallocated cost and all. So could you describe what are the huge unallocated cost which is there in the number which is not related to textiles business?
No, all our business is textiles only, there is hardly anything other than that.
Then in that sense EBITDA margin should be higher than the EBIT margin, correct? If you look at your number, your textile EBIT margin is 12.5%, which is reported and reported EBITDA margin is 11.4%. And historically, the whole trend was 1.5%, 2% higher EBITDA margin than the textile EBIT, this is the first time it is a reverse.
Sorry, I will come back to your question in a little while. Let me just look at. In the meantime, can we move forward?
Sure, sir. The second question is you have already talked about in detail the problem the sector is facing uncertainty and everything. In the few of the other calls, also many management highlighted that due to this lower international cotton prices even for some of the spinners business is not viable. So did we reach to that situation even in India that lot of small players are not able to manage any EBITDA margin?
Can you repeat your question?
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So in the start, sir already talked about that international cotton prices is lower and that is making an issue as far as our competitiveness against other countries. So I

mean has it started impacting our
EBITDA margin already compared to the historical, because our EBITDA margin is far lower than the historical. That's where my question is.
No, there are two issues. Definitely as of now, since our raw material expenses are higher, our

EBITDA margin surely is lower, and it is impacting all the Indian players. Two, EBITDA margins have always been in the range of about 17%, 18%, 19%. But if you look at the change of rates of raw materials the Indian cotton used to be about Rs.34,000, Rs.35,000 a candy four years back. Today, the bales have become 55,000. So the raw material cost has increased by 70% in this period. Whatever the raw material cost is, to that extent, yarn prices have increased. But if you look at the percentage of EBITDA per se that's not grown by 70%, 60%. So whatever increase in the raw material prices have happened, our EBITDA per se may be same, but definitely in terms of percentage will never be comparable unless the margins improve significantly.
Sure. I mean a lot of few companies have shown some expansion in EBITDA quarter-on-quarter, yes, that's what. But when you answer the first question, maybe that will give more clarity. My last
Yes. On the other business I just looked at, there is an acrylic fiber business also which is added into the consolidated numbers.
Yes, I have done this math also, but acrylic is just Rs.2 crores, Rs.3 crores, that's a very small contribution so that will not change number from 12.5 to 11.4, so it's a kind of difference of 100 crores to match the whole number.
Let me just look at it.
While you do the math, you can come back during the call on that answer. The last question, I mean on the tariff, you explained everything, so I am not repeating anything. Let's say the tariff remains as it is 10% and then some more tariffs comes and if US retailer keeps pushing to Indian supplier to give discount, do you think it will also some bit of negativity come on the spinners as well, I mean garment manufacturer will also ask us to share the cost?
Whenever anyone in the supply chain is being asked to share the cost, they will definitely try to come back to this spinner also. But if the spinner margin is so poor then spinner may not be in a position to help at all, because there is hardly any margin available. So to me that doesn't look like that the spinners will have to bear the cost. Up to fabric stage for us it can come to some extent, though we
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are resisting, but at the same time I think it's a temporary period of one or two months. Let's see how things go. Because if this continues, then we will have to increase the price of the retail side, but since it is now uncertainty, and the people are not sure how much duty has to be. So brands will take little time and by the time once the duties are finalized we will take a final call how do we want to go on with that.
Okay. I will wait for that EBITDA and EBIT thing.
The next question is from the line of Anil Kumar Sharma, an individual investor. Please proceed.
Thanks, sir. Good set of numbers. Congratulations for that. Madam, Sagrika, you have mentioned that our capacity is running at the full capacity regarding garmenting, but in the sales side, you have mentioned 15 lakhs you have sold in this quarter vis-a-vis it is 5,54,000, it has come down by almost 76%. So can you explain that?
Hi. So are you talking about garment or textile fabric?
Grey fabric, sales, production and sales figures you have given, it is less than the YoY in volume.
You are talking about grey number or fabric number?
Grey fabric number particularly it has come down. Volume you have given. day before yesterday. It has come down from 15 lakh to 5,54,000.
Okay. It

could be quarter-to-quarter difference, but what I was saying is in now in FY26, we are expanding our capacity, so the grey fabric will be converted into processed fabric.
But that is okay, but my question is actually overall also grey if you combine both even then this quarter volume wise is less than the YoY last quarter, is it so? It should not be because earlier we were running at 90%, now we are running at 100% capacity, so volume wise it should not be less than that?
It may not be the case; there's also other factors like change in the product mix. So like if the product mix changes, then the price will be different. So the revenue also is different.
But the volume should not be less than -

Sorry to interrupt. Hello sir. We may request you to return to the question queue for the follow-up questions as there are several participants waiting for their turn.
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Okay.
Thank you. The next question. Thank you. The next question is from Prerna Jhunjhunwala from Elara Capital. Please proceed.
Thank you and congratulations around good set of numbers on improvement on margin sequentially. Sir, I just wanted to understand the cotton, yarn spread position today and how do you foresee for the coming period, though I understand that uncertainties continue but do you think there is some trend in the yarn business now given that our margins have been improving every quarter?
If you go by the international cotton, it's almost in the range of about $US0.85 to $0.90, which is still reasonably okay, but if you go by the Indian spread, it is almost a little lower than US$0.70 in this period also. Of course there's some improvement happened, but at the same time it's not enough. And if we look at the capacity utilization, country as a whole, there seems definitely almost 15% to 18% capacity has been stocked in the last two years because of the lower margins. So of course, though there has been some respite in this period because when the cotton period started at that stage we were buying cotton at about US$0.78, US$0.79 in India, but it's slowly has increased to now US$0.81, US$0.82 and the New York Futures has been coming down steadily to US$0.67, US$0.68 only. So Indian spread is not more than $0.70 as of now.
Okay. So what is leading to margin improvement for us, is it improvement in fabric margin?
For Vardhman, major improvement is coming from the fabric margin, though there is an improvement in the yarn in this quarter, but I think substantial increase is on account of the fabric.
Okay. And do we see that there is further potential of improvement in margins given the uncertainty and the challenges at the global economic level or given the uncertainty we would stay away from giving any comment on that?
No, I think it's very difficult for anyone to guess what will happen. But as I mentioned earlier also, even if the duties are put in, India surely looks like would be one of the countries with the lowest duties on it. So the one or two months uncertainty would be there, but if we are at the lower end of the duty amongst other competitive countries, this will be an opportunity for the Indian textile mills, be it spinning, be it fabric, be it garmenting.
Second question is on exports to Bangladesh. Given that land route is now closed by Bangladesh, could you help us understand the impact of it in terms of the cost increase that we'll have to incur for the supply there?.
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So as I mentioned earlier also, in terms of cost, there's not much of a difference whether material goes thr

ough the road way or it goes through the ship. So the cost is not really very expensive, but more impact is on the serviceability because it takes almost three weeks if we send the material through ship and whereas by road it takes only about 10 days. So there is a gap of about 10 days, 12 days on the delivery side. But other than that, direct cost really is not very big difference as of now rather it may be advantages on road but disadvantages through the ship as on date.
Okay. Okay. So cost-wise, there's no material difference?
Yes.

And sir, just wanted to ask you on other expenses. This quarter other expenses has seen a jump. Any line item that you would like to highlight?
No, not really. There were basically two things happening, one in this period, there has been an increase in the ocean rates because of the various uncertainties and our export also destination wise. So that's one increase. Two, there are lots of repairs and maintenance going on in all the factories where we are trying to modernize those factories. So since lots of work has happened in the last six months, there's some increase on account of that. Other than that I think it's all normal.
Okay. And sir, my last question is on the timeline of capacity that comes in the next one year. Could you help us understand which quarter we can expect some capacities coming in?
So on this spinning side, there is only one expansion which was announced, we are yet to start that project, we are still waiting for the government to give couple of approvals and also we are evaluating the overall business circumstances. All modernization of spinning is going on as per the plan and I expect most of the modernization will be completed by September. So it will be helping us both in terms of reduction of cost as well as some increase in the production on the existing setup only. The fabric expansions and repairs, we have already given the schedule. If you want again, Sagrika, can you just repeat when the fabric expansions are coming in for the various products?
Sure. So, our fabric capacity expansion should be operational by Quarter 3. So we would be able to see an impact in them.
Okay. But we had two capacities, one is existing product, and one is synthetic fabric coming?
Yes. This answers for both.
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Okay. For both it will be coming in the fourth quarter? Okay.
Yes.
And it will be coming in full or in phases?
So the one expansion of the existing capacity would come in full. And as for synthetics so we have two phases. So phase-I is 15,00,000 meters per month, that would be coming now and then bases how quickly we are able to establish our product and our brand name in this segment, we will expand according to that.
Understood. Thank you, Sagrika, and thank you, sir. I will back to the question queue.
Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please proceed.
Yes. Hi, good evening. So I have two, three questions and a clarification as well. So last time you mentioned you are currently incurring almost CAPEX plus OPEX because modernization is also there, close to Rs.3,000-odd crores. And if I'm not wrong, fabric modernization and yarn modernization is almost like Rs.900 crores and Rs.330 crores. Is that number correct, almost Rs. 1,200 crores of modernization related capacity?
Yes, that's true.
And almost all of this Rs. 1,200 odd crores will be rooted through P&L because you mentioned some while back that some of this repair and maintenance and modernization related work is a part of other expenses?
No, no, no, sorry. So whatever is repair, maintenance, which is required as a building repair, and those things that goes as the P&L expense, all ne

w machines because major expenditure in this would
be machinery. So all that machinery is capitalized, whereas the earlier machinery will be written off or will be sold, and whatever the difference in the depreciated value of those machines or sale price that can come to P&L be in form of a profit or loss. So all new machines will be deployed, only repair, maintenance, etc.,, building repairs go to the P&L.
So, this Rs.1,200 crores is the capitalization related number. The P&L related number is separate?
No, no. This includes the P&L number. But P&L will be only 30, 40, 50 crores, not more than that.
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Understood. Okay. Clear, clear. So for the full year FY25, if I look at your trend of repair and maintenance as a percentage of sales, this number would have gone up by what number on an average this year FY25 as a whole?
Half a percent.
Will it be Rs.100 crores on a full year basis?
No, no, no. Over and above normal it would not be more than half a percent.
Okay, okay. Rs.50-odd crores. Got it. And the second question is, with all these measures like you will have renewable energy coming in, modernization happening, some of the new machineries will also whatever new CAPEX you are doing are all automated machines. So presume this all will lead to slightly better margins than our historical trends and these are all internal measures which we have taken. So how much on an aggregate basis, how much improvement you expect because of all the internal improvement measures you have undertaken over the next one or two years?
If you look at the nature of these expenditures, one, couple of things are done to ensure the proper quality of the products, which may or may not give you any direct advantages. Two, some of the machines we are replacing because saving in the electricity cost or saving in the number of people, over there that would be an advantage for sure on account of the same. So the third is creating more flexibility in the system so that we can produce the differentiated products, which sometimes on the existing infrastructure may not be done. So depending upon how much those products we are in a position to sell or that kind of business is set to the India we are all buyers, the advantage would come in, but in any case, whatever expenditure we do, our expectation is always at least 15% EBITDA margin should come over and above the existing costs.
Understood. Okay. The second question is with respect to the technical textiles business. So obviously our project will get completed in the third quarter as I understood. But from the business development perspective, where are we and what kind of enquiries and what kind of customers we are seeing in the technical textiles business?
Currently, we have received a good response from our existing customers. So our existing customers in their portfolio also have these synthetic products, for example theyll have a jacket which will be a windsheeter or which will protect against the rain. So we have gathered quite a few samples and we are building our knowhow and other things to how to develop products. So from existing customers the demand is decent, and we have already reached out to some new customers who we
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were not catering to, for example, there would be mainly sports brands. So it will be a mix of both existing and new customers. That has been the progress.
Okay. And just one clarification here, because in the initial comments, sir mentioned that there has been import duties on polyester as well as viscose and several other synthetic fibers. So because these are all export

-led products, the import duty will not have a bearing on our competitiveness. Is that a correct understanding?
No, no, no, no, no. So, these are not the import duties, this is basically a quality control order which has been issued there, any fiber which is sold in India has to be approved by the BIS. So all the companies which are sitting outside, if they have to sell their fiber in India, they have to get it registered with the government for that, which most of the companies sitting outside Chinese, Taiwanese, they are not doing it. If they are not registered with the Indian authorities, in that scenario, that import cannot be done in India. So practically the import of all fibers, they were vanished in India and as a result of that the local players, they increased the prices and have become expensive, not the import duties, it is the non-tariff barrier which is put into the system.

But will it impact our technical textiles business because I presume that a lot of this material will be imported only to begin with?
Polyester, I think majority we will be relying on the domestic market as it is available and quality is also okay. Nylon, we will have to import. Now of course our first preference would be to go to those suppliers who have BIS. So it will depend on product-to-product.
Okay, got it. Okay, thanks. I will come back with more questions. I have a few more. Thanks. All the best.
Thank you. The next question is from the line of Falguni Dutta from Mansura Financials. You may proceed.
Good evening, sir. Sir, how are the cotton yarn spreads now versus Q4?
So Q4 for the Indian mills was about $0.68, $0.70 and it continues to be the same.
And sir, these spreads, are we making something at the PAT level for yarn?
On the basic products, probably not.
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I missed. You said on the basic products, no?
Yes.
Okay. And sir, I just missed your comment on the tariff. If it's not a problem, can you just repeat that part, meaning what is the situation as regards the US tariff and it is on fabric, right?
No, no, the tariff will be there on all the products, but we don't export yarn to that country and even the fabric will go to the different countries depending upon where the garmenting happens. Tariff is all across all products and it looks like if they're going by their earlier days, India had one of the lowest tariffs. Indirectly, there could be an advantage of exporting garment from this country. So our feeling is even if the tariffs are on and if India gets the lower tariffs, there could be some indirect advantage to India that we will be more competitive.
Currently, it is 10%, right?
It is 10% as of now for everyone.
Okay. And sir, as of now, is it being passed on to the customers there or is it being absorbed by other suppliers?
Yes, as of now it is being taken by the brand itself, but though they have started requesting a part of that to be borne by the fabric producers or the spinners, but spinners as of now clearly said not possible with their margins. So they are requesting the fabric business also. Though we have not agreed on anything, but yes that request is there. So let us see how things goes.
How do you see the spreads directionally for this year?
The industry has already requested the government to reduce the import duty on cotton. So I think if they are in a position to do that, our margins or spreads would improve, but in case they don't do that, in that scenario, CCI will continue to be the sole supplier of cotton and cotton is almost on 1,500, 1,600 basis on, then I don't think that's improving for spinning industry even next year also. So unless we have a raw material aligned to the international markets, it looks a little difficult that margins would improve on the spinn

ing side. Fabric definitely with the kind of customer base we
have, the cost reduction taken by the business and all the expansions are coming in the overall capacity enhancement, there would definitely be an advantage for the company but purely on the spinning side, that advantage may not be available till the time our raw materials are expensive.
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Okay, sir. Thank you so much. That's all from my side.
Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. You may proceed.
Thanks for taking my question again. Sir, two questions. First is on the cotton, given that one-third of the cotton is with CCI and probable import duty cuts may also come in, which means that in both cases possibly the cotton prices may actually come down. I don't know. This is my hypothesis. But when I look at the balance sheet, it seems that we maintain our cotton procurement policy this year as well. So, is there any other view which you are carrying given that so much of inventories already with CCI, in history we have seen that typically those inventory then land up in the market at a slightly lower price?
So there are two considerations for us when we buy cotton. One is the commercial, which is the prices, second is the quality. So since most of our customer base or the product base is based on high quality products for the export markets, we never compromise on the quality of cotton. In the season we definitely try to buy the good quality cotton because that's available practically in about three and a half months' time irrespective of the prices. We do not want our customers to get suffered for a smaller period of time. So that's one where we will have to buy the cotton. Two, your observation can be correct that in case the import duties cut, then definitely CCI may have to reduce the price and the prices of cotton impact can come down. So to that extent in balance sheet I think this year even cotton inventory is much less than what we normally have.
Okay. So typically you have till September, October, so possibly one or two months lower, is that a right way to understand?
Yes, that's true. Because beyond that, it's difficult for a company like Vardhman because we don't get quality at a later stage. Then the customer definitely will start with that issue. So we generally don't take that call. Maybe one, two, three months we can take here and there. But we don't keep ourselves open to the not-so-good quality of cotton.
Understood. Clear. The second question, sir, is with respect to the overall CAPEX which you have undertaken and assuming all this CAPEX get consummated, what will be the peak revenue at the current price which you are looking at?
So on the spinning side, as I mentioned, it's only modernization and about 3%, 4%, 5% of production increase may happen because of the modernization. So that's not likely to give any top line increase.
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Monish Ghodke:

On fabric side, keeping the prices constant, we can expect the revenue increase in FY26 by 10% and the year after that we can expect about 30%.
Okay. What is that absolute number, ma'am?
So absolute number on the fabric side it's about Rs.4,000 crores turnover there, so 10% that is about Rs.500 crores for the year and a year after that maybe about Rs.1,000 crores or so.
Total Rs.1,500-odd crores of top line increase? Okay.
Yes, in two years' time
Thank you.
Thank you. The next question is from the line of Monish Ghodke from HDFC Mutual Funds. You may proceed.
Yes. Thank you for the opportunity. The kind of tariffs which US has put on China and Vietnam and given the fact

that India might be entering into an FTA with US as well as EU by year-end, I mean, have you given any thought to enter into garmenting space?
So again, there are two ways of looking at it, whether the advantage will come only to the garmenters or if India starts exporting garment to these countries, then whatever textile we are producing that will be supplied to the Indian garmenters. So our major business as of now is textiles material and we want to remain to continue to be a stronger player in that. Though we have a small setting division which we are expanding also, but I think there is still no clear cut decision to expand the garment division in a big way. We have to be comparative. Definitely that advantage would come to suppliers. If they want really to increase to 10 times, that's not a decision I don't know.
Okay. And sir, another question. You said that MMF raw material in India is approximately 20%

expensive than China. So the MMF fabric which we will be making, are we catering to end domestic user demand or is it to the export demand?
It will be a mix of both. So initially we could start with more domestic market and then as we establish our product then we will move to both domestic and export. And it will be difficult right now to commit to that how much the percentage will be domestic and how much exports will be. I think we can say that once we actually start production and build double.
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Sagrika Jain: Vardhman Textiles Limited
May 05, 2025
Okay. Thank you.
Thank you. The next question is from the line of Rajesh Jain from RK Capital. You may proceed.
You mentioned that your more than 50% of revenue comes from Bangladesh and the tariffs on Bangladesh are on the higher side compared to India. But you mentioned that India tends to gain because of comparatively lower tariffs, but in particular how will Vardhman gain because Vardhman supplies mainly to Bangladesh. Are you seeing any negative impact on demand from Bangladesh buyers or how do you see the situation unfolding?
Going by today consideration, the China will be the most expensive in terms of the duties, etc. China has a huge export to USA. In case China is not competitive, that business will go to all other countries which will include Japan, which will include Bangladesh, which will include Pakistan or India, many of us. So to that extent, till the time all other countries they will be getting a share from China, every country will have some advantage. And in any case, wherever we are exporting to these countries other than China, I think that advantage can be shared between the various suppliers because of the duty advantage. So it's only whatever business which will be derived, or which will be shifted from China going to any country that country is going to get advantage only including Bangladesh.
No, but I'm still not able to get one part of it. So you are supplying yarn to Bangladesh, right, and Bangladesh is going to be impacted, right? So just help me understand that how you stand to gain in this scenario?
Because once China is out of the system, ultimately the business come into Bangladesh, they will be in a position to announce their prices of garment because they will be replacing China. So even if whatever we are supplying to them, they should also be in a position to enhance our prices.
Okay. Okay. Sir, on the fabric side, you mentioned that we can expect 10% revenue increase in FY26 to around Rs.4,500 crores and to around Rs.5,500 crores in FY27, right?
Yes.
On this increased revenue, with the new capacity, how much margin expansion do you anticipate, how many bps or percentage?
Sorry, I will just correct you. So currently about 30%, 35% of our revenue is fabric. So from that there will be an increase of 10% in this financial year. And as for margin, I think one,

it would depend
on how the US tariff war plays out. So it is very difficult to say. I think we should wait for the dust
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Lakshmi Narayan:
Moderator: Vardhman Textiles Limited
May 05, 2025
to settle down where we will find the relative advantage and disadvantage and what different brand strategies will be and then we can let you know what the margin we can expect.
But on a very ballpark number, can we expect 1-2 percentage point gains on the fabric side or even that is tough?

Again, it depends on the strategies that brands take.
Okay. Alright. Thanks. Yes. Thank you.
The next question is from the line of Lakshmi Narayan from Tunga Investments. You may proceed.
Yes, I have one question. If you look at the entire continuum of cotton producers, yarn producers, fabric makers and garmenters, right, so current situation is benefits who in a in a relative sense -
Voice is not clear, sir. Can you repeat your question?
So my question is if you look at the entire continuum from the cotton producer to the yarn producers to the fabric makers and garmenters, in this challenging phase who will actually benefit the most and who will actually suffer the most?
Uncertainty as of now. It is very difficult to comment what duties will be there on ours, what duties will be there on the other countries? My only belief is the country as a whole we gain, then the entire supply chain will get advantage of that. How much? Who is going to get? It will depend upon your own negotiation. As a country we have the advantage of a lower duty, that advantage comes to the garmental part, part of that will be going to the fabric region, part of that may go to the yarn region also. This will be shared at a later stage, provided that gain comes to us. Who is going to get work? It's very difficult in this scenario. We don't know how much duty we will have. How much capacity the garmenters will be in a position to take advantage of that? So it will be totally theoretical if you try to make a model that this is a big advantage and who is going to get. Not possible to put any numbers as of now.
Thank you.
In the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you and over to the management.
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Sagrika Jain:
Moderator: Vardhman Textiles Limited
May 05, 2025
So thank you very much for your participation and being invested into the company. We have been sharing the challenges continuously. Last two years have been a very, very difficult time, but at the same time considering whatever is controllable by the management in terms of modernization, product mix, new products, costs or the other efficiencies, we are really, really working very hard and whatever results we are seeing, a part of that is into the same. Though these are all the issues and difficulties at this point of time, but as a curious player of textile, we still believe good future for this industry and that's the reason we are investing heavily both on the spinning and on the fabric side. Our idea is that sooner or later these policies will get corrected. That's what we believe. So at least we should be prepared and that we could take full advantage of the same.
Two, it looks like there is some consolidation happening in the industry. There are lots of smaller players. Unfortunately, they're going out of the system because they're not in the position to sustain the business. So indirectly, there is some consolidation happening and eventually as the brand business is moving to India from China more and more brands are coming, we are looking at the companies which are more diversified in terms of portfolio, which are financially strong and which has the technical capabilities and the machine part. So Vardhman gets fit into all

these strategies very,
very well and also with the quality of management where we score quite good in these areas of brands, etc., in overall textiles chain. With good side, good technical knowhow, good management, good financial and recently good machine part and a good product portfolio we feel definitely that even in these odd circumstances we will do better which we have shown also in the last couple of years and whenever there are small changes happen in the government policies, definitely that advantage will come up. So in this period, because of the tough time we are looking at all cost advantages or cost cutting and whatever could be done internally. Thank you very much for your participation, your patience, and I'm sure good times will be back soon.
Just adding to that, I think we remain vigilant in tracking global development. I see around tariffs and the demand cycle. So our focus will continue to be on building resilience and driving long-term value for our stakeholders. And I'm sure that with our strong fundamentals, customer alignment and operational agility, we are well-positioned to navigate the near-term challenges and deliver sustainable growth. Thank you for joining us and we look forward to the next call.
Thank you. On behalf of Vardhman Textiles Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

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Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, MUMBAI-40000 1. MUMBAI-400 051
Scrip Code: 502986 Scrip Code: VTL
SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED — 1Q FY26
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
224 July, 2025 to discuss 1Q FY26 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
YARNS | FABRICS | GARMENTS | THREADS | FIBRES | STEELS
CIN: L171 11PBI973PLC003345
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“Vardhman Textiles Limited
Q1 FY '26 Post Results Earnings Conference Call ”
July 22, 2025

MANAGEMENT : M R. NEERAJ JAIN – JOINT MANAGING DIRECTOR –
VARDHMAN TEXTILES LIMITED
MS. SAGRIKA JAIN – EXECUTIVE DIRECTOR –
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR FOR RAW
MATERIALS – VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER --
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL – HEAD OF FABRIC MARKETING
– VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA – HEAD OF FINANCE --
VARDHMAN TEXTILES LIMITED

MODERATOR : M R. ROSHAN NAIR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Vardhman Textiles Limited
July 22, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Vardhman Textiles Limited Q1 FY '26 Post Results Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-o nly mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch-

tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Roshan Nair from Batlival a & Karani Securities India Private Limited. Thank you, and over to you, sir.
Roshan Nair: Thank you, Palak. Good evening, everyone, and welcome to Q1 FY '26 Earnings Conference Call of Vardhman Textiles Limited. On behalf of B&K Securities, I w elcome all participants and the management of Vardhman Textiles Limited to the call .
We have with us today Mr. Neeraj Jain, Joint Managing Director; Ms. Sag rika Jain, Executive Director; Mr. Sushil Jhamb, Director, Raw Materials; Mr. Rajeev Thapar, CFO; Mr. Mu kesh Bansal, Head, Fabric Marketing; and Mr. Varun Malhotra, Head of Finan ce.
Without further ado, I would like to hand over the floor to Mr. Neeraj Jain and Ms. Sagrika Jain for their opening remarks, post which we can have a Q&A session. Th ank you, and over to you, sir.
Sagrika Jain: Good afternoon, everyone. Welcome to the quarter 1 earnings call of Vardhman Textiles. We have declared the results for this quarter, and I'm pleased to share with you that the operational performance has been at par or slightly better than the previous qu arter, of course, excluding some extraordinary items.
It continues to be a very challenging period for the spinning industry. Indian cotton is still trading at a premium to international cotton. So it ranged between $0.80 to $0.82 per pound during this quarter and it has further increased to around $0.85 in July 2025 due to a higher MSP.
And the MSP for the upcoming cotton season has already been announced with an increase of nearly 8%, making Indian cotton even more expensive in the future . The CCI has been the largest buyer of Indian cotton. They have bought about 30% of total co tton produced this season.
While this definitely improves availability of cotton, price remains a challenge. So CCI has increased cotton prices by about INR2,500 to INR3,000 per candy in the past month alone. So this has made Indian cotton amongst the most expensive cotton in the world for -- if we compare it to other equivalent qualities.
As a result, Indian mills have more than doubled their cotton imports. Imports are expected to reach about 35 lakh to 40 lakh bales in the current cotton season c ompared to the typical 15 lakh to 18 lakh bales annually. However, unlike competing countries li ke Bangladesh, Vietnam, Indian spinners on top of this, face an 11% import duty, which puts th em at a further disadvantage.

During this period, cotton traded in the range of $0.66 to $0.68 per pound on the New York Futures. And the landed cost of this is about $0.78 to $0.80 for mills in Vietnam and Indonesia. If we compare this to our Indian situation, that is about $0.82 to $ 0.83, highlighting a cost disadvantage of about $0.03 to $0.04 per pound.
And if we put on top of this some quality variation and quality distinctions between Indian and international cotton, this disadvantage further increases. So these are som e structural challenges that we are facing in the Indian spinning industry.
This quarter also began with what is arguably the biggest global trade disruption in the recent times, which is the imposition of new U.S. tariffs on textile imports. Initially, India appe ared to be relatively better positioned com

pared to China, Bangladesh and Vietn am. However, the
policy continues to shift, and we are still waiting for the dust to sett le and some clarity to prevail. This has led to a lot of volatility and confusion. As a result, U.S. buyers adopted a more cautious stance, delaying new orders while working on tariff mitigation strategies an d adjusting inventory levels amidst softening retail demand due to inflationary pressures. So this has led to a visible slowdown in new order placements from the US market during this quarter.
That said, because we are a diversified company with a diversified geographic exposure, so this acted as a strong buffer for us. Markets such as UK, EU, Japan, South America, Egypt, Australia and our domestic Indian market remained relatively stable, enabling us to maintain healthy capacity utilization.
I'm also pleased to report that our yarn and fabric sales during the quarter remained broadly in line with the corresponding quarter last year, which is an achievemen t well worth noting amid global headwinds. While external headwinds continue to persist, we rem ain a long-term believer of growth and of the growth potential of this industry. That's precisely why we're making significant investments both in spinning and fabric.
Our fabric expansion is progressing as per schedule and we can expect it to begin contributing meaningfully to our top line and bottom line from quarter three o nwards. Additionally, our capacity expansion in our mechanical recycling plant, ReNova, ha s successfully begun operations in July. And also the expanded capacity of 14,000 spindles in Melange yarn is now operational. Thank you and we now open the floor for questio ns.

Moderator: The first question is from the line of Vaishnavi from Craving Alpha Wealt h Fund.
Vaishnavi: Good afternoon, ma'am. My first question is regarding the Bangladesh and yarn exports. So considering VTL accounts for approximately 50% of India's total yarn e xports to Bangladesh and Bangladesh currently shifting its yarn imports from India to China, wh at can be the potential impact of the same and how are we planning to mitigate it?
Neeraj Jain: Yes. From India, there's lots of export of yarn to Bangladesh. But for us, V ardhman, it's about 30%, 35% instead of 50%. To whatever customer base we have, wh atever products we have, we are not finding any shifting of that happening from China or other places. Rather, there's a challenge and a concern every year that since there is a Chinese cotton is under question mark,

especially from the Europe and USA. So there's no -- apparently, there's no direct shifting of the yarn sourcing from India to China as of now.
I think everyone is looking at what the eventually this duty structure would be; one, directly to the USA; two, for the material to be shifted from one country to the othe r. I think as of now, there is no -- not much of difference happened as of now in the China – in the Bangladeshi imports. But yes, we are looking at it carefully. And once these thi ngs are announced, only then we could look at what could be our next course of action. Bu t as of now, for Vardhman, I don't find any difference or any issues as of now.
Vaishnavi: Sure. My second question is regarding the tariffs that are – that has been imposed on Bangladesh by US. Hello?
Neeraj Jain: Again, it's not the tariff which has been imposed. They have only given a statement that the tariff is likely to be -- earlier, they said 37%, then they said 35%. But I think still the o fficial announcements, whether this is applicable -- is made applicable or not is yet to be done. But yes…
Vaishnavi: Right.
Neeraj Jain: In case it is 35% plus whatever custom duties were there earlier, in case it becomes 50%, definitely, the other countries wherever the tariff would be lower, wo uld be in a position to take advantage. But I think we'll ha

ve to wait for maybe another some more days before all this -- the entire world situation gets cleared on the tariffs.
Vaishnavi: Right. If I can follow up on that question, sir. If the tariff takes place, so by any chance VTL is planning to take -- anticipate any medium-term opportunity for VTL by exporting to USA?
Neeraj Jain: The USA buys final product, which is either garments or home textiles . We are not into that business as of now.
Vaishnavi: Right.
Neeraj Jain: Our business is the yarn and the fabric. So we will be supplying the material to all the players who would be doing the garment export or the home textiles exp ort. So for example, the Indian garmenters if they get the opportunity and they want to export to the USA, we will become supplier to these garmenters.
For Vardhman directly, nothing can be exported to the USA, becau se USA doesn't do much of garmenting or home textile, they buy the final product only, which is not our line. But yes, if the business increased in India, Vardhman will have the great opportunity to sell to the Indian players so that the final products could go to USA.
Vaishnavi: Okay.
Neeraj Jain: Yes.
Moderator: The next question is from the line of Riddhesh Gandhi from Discovery Capital.

Riddhesh Gandhi: Sir, there's -- the difference between Indian cotton and the American cotton, o bviously, has been continuing for a number of quarters now. And we've been lik e cautiously optimistic that it's going to turn around. And obviously, it isn't in our control. Ju st wanted to understand from your perspective, how -- are there any triggers which you potentially see that can help to rec tify this and bring us back to our normalized margins?
Neeraj Jain: Yes. So the industry has been requesting the government to allow the duty-free import of cotton. And we understand the Textile Ministry is trying for the same. So that se ems to be the only option as of now if they allow the duty-free import, probably, then we will also be in a position to import the cotton at an international parity, too.
I think that will also bring down some parity for the domestic selling p rices also. So government has -- government -- Textile Ministry has written to the Finance Ministry, but we are not sure,

it's been almost two months now. And that's the only way where th e raw material cost could come to the -- could be normalized in India and the industry may start looking at the normal margins again.
Riddhesh Gandhi: Got it. But are there any potential implications on the Indian -- the farmers if they reduce the duty and also in case of we do reach a trade agreement and the duties are removed, would it help us? Just wanted to understand. But these are two separate questions, sorry.
Neeraj Jain: Two different -- both aspects are absolutely different.
Riddhesh Gandhi: Yes.
Neeraj Jain: So, one, the government has to support the farmers, that process is through the minimum support price. That's in any case, and it's not only for cotton, wherever the government has committed the minimum support price, they'll keep buying those products from the farmers at the minimum support price and they'll keep selling in the market at the market- related prices. So that's one mechanism. Be it wheat, be it rice, be it cotton, that mechanism is on.
The second is the import of raw cotton duty-free, which was im plemented only in 20 -- budget February '21, this was imposed. It was never there before. So we a re asking the government to -- it's important for everyone to support the farmers so that the cotto n crop is there.
At the same time, industry should be given an opportunity or sho uld be allowed to import if the local prices are higher. So both the mechanisms are separate. Farmer is 1 00% secured by a minimum support price, which is what the government is doing through th e CCI and there's not any impact on them wi

th the duty-free cotton crop.
Riddhesh Gandhi: Got it. So what will -- okay, I will come back in queue.
Moderator: The next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead.
Vansh Solanki: Hello, sir. Very good set of numbers. So first of all, my question is o n the yarn demand and pricing, like our GP margin is increased a little bit from March quarter. So does this mean that the demand has also started going up? And is there on ground deman d for yarn shipping? And

also I want to understand the prices of the yarn, are they stable or g oing up? What kind of scenario is there on ground?
Neeraj Jain: So on the demand side, there is not any improvement, but at the same time, not any deterioration also, so it's almost stable. On the prices also last almost 6 months, the price band has been going up plus/minus 5 from either on the demand side or on the yarn pricing side.
Our only concern is since the margins is not very good, with the pricin g going up in India, the situation can actually deteriorate in the third quarter, which will written to the government under the duty-free import of cotton, the raw material price to us is compa rable to international prices, margins can actually come under more pressure.
Vansh Solanki: Okay, sir. And the second one is that our margin also improved very much from the March quarter because the international issues of the Red Sea and all may be going to stable. So can we assume that the 14% these margins will now range and this can come thro ugh the full year '26?
Neeraj Jain: It's very difficult because today the market is absolutely very dynamic wh at happens to the duty structure, what happens ------ (inaudible),what happens whether they -- our cotton will continue to be expensive or not. So anything on the spending side today is a must. Since the strategy was to move, and stability is relatively good. In fact, if the trade is not very good, there are different major things based.
So I think we'll have to wait for some more time. One, unce rtainty of tariff, if it is clear we can do more. And stock, as I told you the concern, look at how do they want to have the raw material parity in India concern. But yes, going by today's situation I'd say , we have much more volatility and uncertainty as of now for maybe a couple of weeks.
Vansh Solanki: Okay, okay. Thank you, sir. I will come for a follow-up questi on if needed. Thank you.
Moderator: Thank you, sir. The next question is from the line of Prerna from Elara Capital. Plea se go ahead.
Prerna: Hello. Congratulations, sir, on improvement in margins. Sir, just wanted to un derstand what -- how much cotton would you have in inventory now? And wha t would be the average cost? And how much of it would be imported?
Neeraj Jain: Prerna, numbers I can't share the numbers, but I can only say norma lly our season starts in the month of October or November. And generally, we have the cott on up to that period. But this time, definitely, we have a little longer cotton compared to that, both Indian and imported together.
Prerna: Okay. And sir, how much of this will be imported and if you have hedged any? I just wanted to understand that.
Neeraj Jain: We will have the same amount of both.
Prerna: Okay. Okay. And sir, in this Q- on-Q improvement in gross margins, what really helped actually? Is it better cotton price in the system or yarn -- better mix of yarn, like more value-added yarn

being sold? I mean just trying to understand what helped improvement in gross margins on a Q-on-Q basis.
Neeraj Jain: In the first quarter, the prices of cotton were lower, so that was an adva ntage. It is possible that for some companies that have cotton in the second quarter, that may continue. But at the same time, in any case second quarter we'll have to buy c

otton from the market also because for the future requirements.
Now that's a concern that even though the margin was a little bette r in the first quarter company as a whole. But if this continues the way prices have moved in last 3 we eks in India, I'm sure unless the yarn prices improves, the margins cannot sustain at these levels.
Prerna: Okay. Okay. Understood. And sir, if I just want to understand the trade right now, you've spoken that there is a lot of -- there's not much clarity. But what we hear from the trade community is that these tariffs are being asked to be shared by the supply chain partners. Has any of sharing being done by you for your partners or any such thing has come to you, which could also strain margins in future?
Neeraj Jain: So on the spinning side, we've got a couple of requests, but co nsidering our margins, we could be -- we could explain to the partners that it's really not possible for us to share in the spinning. Fabric side, some specific customers, we have done some small adjustme nts. But that's really very, very insignificant compared to the overall size of the organ ization.
It was a onetime request, we have accepted that since our customer wa s in trouble. But I can surely say that amount was so small that it's not likely to impact -- that particular part is not likely to impact the overall margins going forward.
Prerna: Okay. Okay. Understood, sir. And sir, last question from my side on pow er. Has our power cost started coming down because of green investments being done in the last 1 year? And what would be the -- what kind of benefit would have been occurred in this quarter for the same?
Neeraj Jain: So there are a couple of aspects of the power. One, we have put in some small capacities on our roofs in the factories. That capacity by and large, is operationa l, but that's a very miniscule capacity. So that advantage has started coming in. We also entered i nto an agreement for -- with a third party where we created the STV and that power has to be sup plied to us.
That advantage will start coming in maybe next 1 or 2 months it w ill start. And I think we'll keep building it up in the next 1 year. But as of now, that advantag e is not coming. Third is we are also looking at the possibilities for some initiatives within -- for our energy conservation within the operation both spinning and on the fabric side. So we've take n lots of initiatives on their side also, which I think we'll complete in next 6 months' time. And fourth is we are going in for the biomass-based boilers where the cost of steam and the cost of power sh ould come down.
Those things will be applicable only once we complete the project, which will be close to about a year from today. So the major benefit is not coming, though th e investment has started happening. But the major benefit, I think will start during the next 3 , 4 months, and it will take us about a year or so to start taking the full benefit of that.

Prerna: Okay. Understood, understood. And any capex that you see, any cost -- incremental cost that has come in P&L instead of balance sheet in this quarter?
Neeraj Jain: No, no, not really.
Prerna: Not really. Okay, sir. Thank you, sir. I'll come back to the question queue again. Thank you.
Moderator: Thank you, ma'am. The next question is from the line of Falguni Dutta from Mansarova r Financials. Please go ahead.
Falguni Dutta: Yes, good evening, sir. Sir, I missed your answer on the cotton y arn spread, in absolute terms, what are they now? And what kind of a decline do you see in the coming quarters?
Neeraj Jain: So the yarn prices are almost USD3 as of now. And it was the same earlier also. So considering this price, considering the near future of $0.67, $0.68, the interna tional spread for cotton yarn is in the range of about USD0.85 to USD0.90. But since the Indian co st is higher

, so the Indian spinner margin as of now is close to about $0.70.
But the way Indian cotton prices have increased last 3 weeks, we have seen the price increasing by almost INR2,500 to INR3,000 a candy. So I'm sure unless the ya rn prices improve, this will come down by another $0.08 to $0.10 for the yarn spread.

Falguni Dutta: Okay. And sir, I have one more question, which is on what is the landed cost of cotton now for us in India from U.S.?
Neeraj Jain: So the landed cost normally U.S. cotton is available on a basis of 1,200 to 1,300 -- 1,200 to 1,400 basis points over New York Futures. But India is importing vegan cotton, which is spread at about 800 to 900 basis points over New York Futures.
Falguni Dutta: And sir, we would be importing cotton from U.S.?
Neeraj Jain: No, we are importing from U.S. We are importing from Australia. We a re importing from Brazil also. So, we are importing from all 3 countries.
Falguni Dutta: Okay. Sir, could you just clarify what was that you said it's 1,200 basis poi nts higher versus...
Neeraj Jain: So, the New York Futures is at USD0.68 as of now. So, the cotto n which we buy from -- anyone buys, it covers the freight cost, it covers the cost -- the local transportation. It also covers the commission and the trade partners' cost. So, U.S. cost generally is ava ilable in India on a basis of 1,200 to 1,400 basis points over and above the New York Fu tures. So, if the New York Futures today is USD0.68, and that the cotton will be available in India at about USD0.80, USD0.81 or so.
Falguni Dutta: Okay.
Neeraj Jain: The Brazilian cotton is available on a basis of about 800 basis points . So, if USD0.68 is the New York Futures, it will be available in India at USD0.76.

Moderator: The next question is from the line of Prerna from Elara Capital. Plea se go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity. Just wanted to understand the order book position and the demands in both yarn and fabric businesses given the uncertainty in our c ustomer today?
Neeraj Jain: A little lower, I'll say not significantly lower, but definitely a little lowe r because all the brands they are talking to us for the business. At the same time, they wan t to place the business only once the tariff flat rate is there because there are still -- nobody knows that which country will have what kind of tariffs.
So though everyone is talking about the business because the retail sales in U.S. is good and the pipelines are not being filled up. So, there could be a possibilit y of a sudden demand rising. But again, since the tariff is not clear which country will have what. So, t hey are -- the brands are trying to go only hand to mouth. So, to that extent, the future o rder position is a little lower compared to what it used to be.
Prerna Jhunjhunwala: Okay. And the same goes for fabric. I mean, any...
Neeraj Jain: Yes, yes, yes, both businesses. Both businesses.
Prerna Jhunjhunwala: Both. Okay. And sir, how much would be our exposure for U.S., Eu rope and U.K., I mean, in terms of customer to whom we are supplying -- the product that is going to U.S., Europe and U.K. so that at least we know that if Europe is -- if U.S. is uncertain, at least U.K. or Europe could still be better off from our...
Neeraj Jain: So, there are 2 parts of the business. One is the direct business wit h the U.S. brand. Second is the -- our business in India or other countries where we are supplying yarn or fabric and they would be doing the U.S., which we would not be doing.
So, I can have data only of the -- our direct sales to the U.S. brands, which we know where the material could be going to Vietnam or Bangladesh or wherever where the b usiness has been done by us directly with the brand and then the garmenting would be happening anywhere they want, be it India, be it other countries, be it Sri Lanka, be it Ban gladesh or

Vietnam.
So, I think on the spinning side, whatever export we do, almost 3 0%, 35% is to the U.S. brands finally. Of course, if I'm supplying -- I mean, a lots of that material will be going to Vietnam or to Bangladesh. And now the -- in the trade tariffs, eventually, whatever tariff is for those countries, that will be applicable on them, not on us.
Prerna Jhunjhunwala: Correct.
Neeraj Jain: On the...
Sagrika Jain: One the fabric side, our sales to U.S. is about 40%, 45% of total fabric busine ss.
Prerna Jhunjhunwala: Okay. And what would be Europe and U.K.? Will it be a balance or -- balance of exports?

Sagrika Jain: So, like I can tell you that it's in the single digits as of now. But gi ven the situation, I think we are now making significant -- we are taking significant steps to more diversification so that we have a more well-balanced portfolio.
So, U.S. historically has been the largest consumer economy. It's also b een one of the most

profitable markets, which is why, of course, our -- we were -- we had a lot of opportunity there.
That being said, our domestic sales continues to be about 30%. So t hat is our geographical makeup as of now.

Prerna Jhunjhunwala: Okay. And how has been the demand in India, whether that also facing some hindrances or it's still stable?

Neeraj Jain: The Indian demand, I don't think there's any impact. The local demand is normalized. There's no issue on that.

Prerna Jhunjhunwala: Okay. Is it improving, sir? Just to see whether it's offsetting some of the imp act from U.S.

Neeraj Jain: It is neither improving nor deteriorating so it's just going as normal.

Prerna Jhunjhunwala: As normal, okay.

Moderator: The next question is from the line of Veena Kashyap, an Individua l Investor.

Veena Kashyap: Yes, hi. Thank you for taking my question. I actually have a co uple of questions. I wanted to ask, can you help me understand what is the spindle capacity for '25? Does the 17,000 spindles being completed, the expansion of that included in FY '25? And how do we see it -- like what do we see the capacity to be like in FY '26 and '27?

The second question, sorry, I missed earlier because of the audio quality. You -- an earlier participant asked about margin expansion, like is it likely to con tinue? Could you just repeat that or help me understand that do we see that trend to continue going forward? Thank you.

Neeraj Jain: So, on the spinning side, our capacity today is close to about 1.3 million spindles, and there's not much of expansion happening, except some 2 small projects of 17 ,000, 18,000 spindles each. So -- but at the same time, we are doing some debottlenecking on th e business side also. So, I hope our overall production, which used to be about 710, 720 ton nes would increase to about 750 tonnes or so. So that means a total of about 6% to 7% growth on t he production side on the sales side. On the fabric side, Sagrika?

Sagrika Jain: On the fabric side, we are currently at 145 lakh meters per month proce ss capacity. And in the next 3 to 4 years, this will go up to about 210 lakh meters per month. So, this will include expansion of existing lines and also addition of our new synthe tic line, which is coming up.

Veena Kashyap: Okay. Thank you. Just approximate an number on FY '26, '27 capa city?

Sagrika Jain: It will be a little difficult to comment on this right now because there a re different time lines. Also, it will take some time for us to achieve 100% capacity -- like 90% plus capacity utilization.

So, it will be difficult for us to give the exact breakup. I think next 3 to 4 years is the horizon we are seeing.

Veena Kashyap: Okay. Understood. And on the margin front, do you see the trend t o continue?

Neeraj Jain: See, I mentioned on the margin side that going by the normal situ ation, probably the margin

s

can continue. So, we have 2 uncertainties as of now in our ha nds. One is the trade barriers or the trade tariffs, which we are not sure of what's likely to happen. And then the -- so we'll have to wait till the time the U.S. decides finally which countries has what -- which kind of a tariff and then accordingly, the margins could be differentiated.

Two, in India, on the spinning side, the margins could actually co me down as our cotton prices have started increasing in last 2, 3 weeks. And the next year -- going by the next year MSP, the prices are likely to increase only.

So, unless the government looks at allowing the cotton to be impo rted duty free, I think the margins are likely to come down only in this situation or the CCI w ants to preserve the cotton and sell it at -- on the international parity, which they are not doing as of now. So, we are not very sure how they are -- what their policy will be the next year.

As of now, they are selling cotton at a much higher price than th e international prices. So, which is the reason the Indian spinners are not in a position to make money. So, I think on the spinning side, going by the today's situation, it will be more challenging to maintain the margins unless the government comes to the rescue where they have to decide tha t the local spinners should get the cotton at the international parity, which is not the case as on tod ay.

Sagrika Jain: But company overall, as we increase investments in the textile part of the business, the margin of the company will certainly improve from our current margin.

Moderator: The next question is from the line of Lakshminarayanan from Tung a Investments. Please go ahead.

Lakshminarayanan: Thank you. You mentioned that there is import and local cotton prices are different. Now in case you import and if you have any -- get any setup benefit in case you actually export. So is it -- I think you import around what, 20% of your total yarn -- I mean, cotton requirement. And in case you actually -- is there a benefit you get in case if you export more?

Neeraj Jain: So, in case the normal duty in case of import of cotton is 11% in India, we can import the cotton under advanced license where -- but at the -- for export of yarn, but it has two disadvantages.

One, we lose on the duty drawback, which is about 1.9% and also the RoDTEP amount is lower than the normal RoDTEP. So, in totality, the effective duty in case o f advanced license will be about 4.5%. But that's only in case of you want to export the ya rn.
So, our yarn export is 1/3 of the total production we do. The rem aining 2/3 is sold in India, both to the market as well as to the fabric division. So over there, for the d omestic consumption, we can't import cotton under advanced license. So practically, b est case scenario for us to import cotton with a concessional duty of 4%, 4.5% would be about 25%, 30% is the best-case scenario.

Lakshminarayanan: Got it. Got it. Got it. This is helpful. And you're actually add ing capacity and you also talked about capacity utilization. Question is that are you seeing enou gh demand for the yarn? And usually, what is the organic -- what kind of growth you're actually expecting from a yarn ou tput, which you can actually sell in the market?
Neeraj Jain: So, there's absolutely no issues in terms of the demand of the yarn. It' s reasonably good. And we never had the issue for selling of material in the yarn market. So, t here's enough demand to that extent.
Lakshminarayanan: Because what I also hear is that there are – suboptimal units are willing to close down or they are unable to run it because of power cost/availability of manpow er/availability of raw material.
Is that -- are you taking market share from smaller players who are the top 2 lakh spindles, et cetera?
Neeraj Jain: So, there are different reports which are compiled by the indu

stry, different organizations,
different associations. We understand as of now that the total last 2, 2.5 years, almost 9 million, 9.5 million spindles have been stopped permanently, especially the smaller ones.
So, the effective spindle available in India today is estimated -- it was earlier about 54 million, 55 million spindles, which now is estimated close to about 44 million, 45 million spindles. But these are all industry estimates. There is no accounting or a governme nt data, which supports this.
But yes, the studies done by the private players or by the different assoc iations, I think the information seems to be quite reliable and good that in India, alm ost 9.5 million, 10 million spindles have stopped permanently in last 2, 3 years. As of now, the demand in India is not increasing because the export viability because of the cost, etcetera , is not increasing. But at the same time, there is definitely indirect consolidation happening in India.
And I think the long-term players may get an advantage in the l ong-term if the capacities ----- (inaudible) indirect amount of consolidation surely is happening.
Lakshminarayanan: Got it. Sir, and one question is related to the yarn profitability. Ho w you are actually optimizing on yarn profitability? Have your mix of counts have actually core count, fine count has actually changed? And if you can just throw a light on in the last 3 yea rs, how your yarn mix has changed towards higher profitable yarn versus lower profitable yarn?
Neeraj Jain: So in terms of count, etcetera, I don't think there's any major chang e happened. Our average count used to be about 28. It is still 27, 28 only. So there's n ot much of change in last 2, 3 years.
But definitely, our customer profile has changed significantly in last 4, 5 years. So just to give you an idea, we used to have about 8% to 10% business, wh ich was the direct brand business, which today is increased in the -- on the yarn export side, which today has increased to maybe about 35%, 40%.
So I think on the customer profile, definitely, there's an improve ment. And all those customers which are coming in, they are bringing in the more value-added p roducts also. So that's the onl y way -- that's the only area where the margin could still be managed eve n in this kind of a difficult

times. But yes, on the overall, the count-wise or the yarn count, etce tera, there's not really much of change.
Lakshminarayanan: Sir, that's an interesting thing that you talked about brands directly solicitin g from you. So in general, when you actually sell through the agents versus selling direc tly to the brands, what is the margin difference you actually get?
Neeraj Jain: So 2, 3 things. One is the margin. Second is the stability of the business. So first, I'll say the stability of the business remains far better because these brands gene rally will not change the vendor base only for $0.02, $0.03, $0.05, whereas for the trad er, every $0.01 is important and whosoever supplies them $0.01, $0.005 cheaper, they will mov e on to that. These brands there are lots of issues, concerns, audits, ESG and their compliance issues.

So normally, these brands will never change the vendor base f or $0.02, $0.03, $0.05 or so and so on. So one is the stability of the business. Two, when these b rands come in, definitely, most of the time, the margin will be a little better compared to -- on the basic products, a little better compared to the trade business.

But more important, third, which is more important is that they bring in lo ts of specialized products, be it a particular cotton, be it a particular value-added p roduct where the margins can be significantly higher. So I think looking at all these 3 aspects, w e try to move more and more towards brand business, the stability of the business, profitability an d the overall reliability of the syst

em definitely improves in a big way compared to a trade bu siness.

Moderator: The next question is from the line of Falguni Dutta from Mansarovar Financials.

Falguni Dutta: Sir, I just wanted to check on this, what is our total export of yarn yo u said?

Neeraj Jain: Our total export is almost 30% of our total capacity.

Falguni Dutta: 30%. And export of fabrics to U.S. was how much, was also mentio ned?

Sagrika Jain: Around 40%, 45%.

Falguni Dutta: Okay. And sir, just wanted -- just a request, this audio quality since a few quarters is not that great. So if you could just do a bit about it, then these ma ny repetitive questions can be avoided.

Neeraj Jain: Sure. We'll ask the organizers to relook at that because I think it's o rganized by B&K. I'll definitely -- B&K is also -- and kindly look at it for the future calls.

Moderator: The next question is from the line of Vaishnavi from Craving Alpha We alth Fund.

Vaishnavi: My question was regarding the capacity utilization. What was the capacity utilization for this quarter? And any ballpark figure you can give for the estimated c apacity utilization for FY '26?

Neeraj Jain: On the spinning side, we were running full capacity and even on the fabric side, we were practically running the full capacity. So there's not much of expansion except some small

expansion on the spinning stage where we feel as and when it c omes in, we should be in a position to utilize it 100% the market comes in.

On the fabric side, Sagrika mentioned whenever we add a new ca pacity, because in the fabric side, we do only make- to-order kind of products. So it may take us maximum 2 to 3 quarters before the 100% capacity utilization comes in. And especially this is a period where we will be adding the synthetic fabric also, which is a new product line for us. So we are hopeful that we should be in a position to utilize it very fast.

But at the same time, there's always some learning curve. We have to u nderstand the business. We have to understand the customers, their requirement and needs. S o generally, our experience is on the fabric side, whenever we add marginal capacity, we are in a position to fully utilize it in about 3 quarters maximum.

Vaishnavi: Sorry to interrupt, sir. I did not get your answer due to audio quality issue. Can you please repeat the ------ (inaudible) yarn and fabric capacity is full.

Neeraj Jain: So the yarn -- as of now, both the businesses, the capacity utilization is fu ll. I'm saying future going forward, whatever is on the spinning increase, we will be in a position to utilize in the first month itself. On the fabric side, normally it takes 2 to 3 quarters befo re we are in a position to utilize full capacity. So generally, fabric requires 2 to 3 quarters.

Vaishnavi: Okay. And what was the current capacity for this quarter?

Neeraj Jain: It was all 100% utilized.

Vaishnavi: For both yarn and fabric?

Neeraj Jain: Yes.

Moderator: The next question is from the line of Nagraj Chandrasekar from------ (ina udible).

Nagraj Chandrasekar: Could you give me a sense of global trade...?

Moderator: Sorry to interrupt you, sir. Sir, can you please use your handset?

Nagraj Chandrasekar: Hello?

Moderator: Yes, sir, you are loud and clear now.

Nagraj Chandrasekar: Could you give me a sense of global cotton prices and your view on how they might be likely to move given global acreage changes, yields in the major cotton expo rting countries? And given this view that you would make in the next few months or so before November, how would that make your cotton buying decision? Are you likely to buy a lot of inventory from what is available or are you likely to buy through the year?

Neeraj Jain: So the overall area in the world, there's not really much of c hange. And we are likely to look at addition of stock in the next financial year -- in the next cotton season also by 0.5 m

illion tons

to about 1 million tons. So which means the possibility of increasin g the cotton price in a big
way doesn't look like possible because there will be net-net addit ion of cotton in the world stocks
unless some dramatic change happens on the consumption side.
So going by the today's situation, all 3 agencies, USDA or the other 2 agencies are showing an
increase in the -- projected increase in the cotton stocks next year. Now on the procure ment for
us, we are looking at the international markets, we are looking at the domestic markets also. And
depending upon whichever makes us more sense commercially, we'll b e buying that.
But just for the information for all of you, normally, we used to import about 3% to 4% of our
total consumption of cotton from outside India, which this year, I think we have already done
close to about 20% or so. And unless the Indian prices comes down, we may continue to buy
more imported cotton.
Nagraj Chandrasekar: Understood. Thank you.
Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments.
Please go ahead.
Lakshminarayanan: Just wanted to understand , how do you look at profitability on various segments, yarn, fabric
and others? Because some of them look at cash profit, some of the m look at EBITDA, some of
them look at EBITDA per spindle for yarn. So just wanted to understand h ow as an organization
do you look at -- how do you define the unit of profitability in these things?
Neeraj Jain: So for us, we look at EBITDA per spindle per shift. And we also look at EBITDA to sales as a
percentage and EBITDA to capital employed. These are the three terms w hich is used for the
spinning business. For the fabric business, it is EBITDA per meter. EBITDA pe rcentage to sales
and EBITDA percentage to the capital employed.
Lakshminarayanan: Got it. And if you look at EBITDA per spindle, how it has actually move d in the last 5 years?
Neeraj Jain: So it used to be in the range of about INR5 a spindle shift as a benc hmark. It is still in the range
of about -- INR5 per spindle per shift. It is still in the range of about INR3 to INR4 for the value-
added or INR5 for the value-added products for the basic products, de finitely, it is much lower.
But EBITDA as a percentage to sales used to be about 14%, 15% in th e spinning business, which
as of now is in the range of about 10% or so.
Lakshminarayanan: Got it. Got it. And the EBITDA per spindle for the branded business wo uld be much higher than
the INR5?
Neeraj Jain: No, not from the INR5 from the normal -- from the trade-related business.
Lakshminarayanan: Sorry, from the? I didn't hear it.
Neeraj Jain: From the normal trade-related business, it will be higher. So INR5 is includ ing the brand
businesses, etcetera, etcetera. But otherwise, if you go by the basic products t oday, there would
be hardly any EBITDA per spindle per shift on the basic products.

Lakshminarayanan: Got it. This is very helpful, sir. Thank you so much.
Moderator: Thank you, sir. The next question is from the line of Zaid from Value Quest. Please go ahead.
Zaid: I just wanted to ask ------ (inaudible) for the business and how has this changed over the past
couple of years. So it is a rather large ----- (inaudible) I just wanted to understand a bit more
about that.
Moderator: Sorry to interrupt you, sir. Your voice is very low. Can you please use yo ur handset?
Zaid: Sure, I am on my handset. Sir, I just wanted to ask a bit around on the power and fuel expenses
for the business in FY '25 and how it has been for this last quarter itself?
Neeraj Jain: Sorry, I'm not clear on the question.
Zaid: Yes, I just wanted to understand more on the power and fuel expenses f or the business for the
quarter and for FY '25 as well?
Neeraj Jain: So power, I already menti

oned that there is some small advantage wh ich has come to us by the
internal solar power we had on our rooftops. But the major advantages of p ower will be available
-- it will start coming in next 1 quarter or so. And it will take us ma ybe about 1, 1.5 years to have
the full advantage of whatever initiatives have been taken till now.
We are further looking at some more arrangements and agreements to be done so that our power
cost keeps coming down. So I think every quarter, you will find so me improvement on the power
cost for next 1, 1.5 years.
Zaid: Got it. Thank you, sir.
Moderator: Thank you. The next question is from the line of Monish Ghodk e from HDFC Mutual Fund.
Please go ahead.
Monish Ghodke : Sir, could you share average realization per kg for yarn and for fabric per meter in Q1?

Neeraj Jain: Normally, international parity is $3 for a 30 count as the average reali zation in this period.
Monish Ghodke: Okay. And sir, you said the…
Neeraj Jain: Yes.
Monish Ghodke: Yarn margins were faint in Q1. So what were the fabric margins?
Sagrika Jain: 17% to 18%, usually around 17% to 18%.
Moderator: Ladies and gentlemen, due to interest of time, that was the last questio n. I now hand the conference over to the management for closing comments.
Sagrika Jain: Thank you all for your participation and continued trust in the company. We've been very transparent about the challenges that we are facing, especially over the last two years, which has

been extremely difficult for the textile industry globally. However, within what is controllable, we are fully focused on driving modernization, refining our produ ct mix, launching new product lines, optimizing costs and improving operational efficiencies.
And the improvements we are seeing in our results are a reflection o f these efforts. We believe that policy anomalies and trade barriers will eventually correct. So our goal continues to be well prepared so that we can fully capitalize on the opportunities once the external environment improves.
Looking ahead, we remain cautiously optimistic. Despite certainties in the US market, we are strategically well placed and we will continue to diversify geographically f urther. And we also are excited and enthusiastic for our new synthetic line, which will b e upcoming in quarter three.
We will continue to focus on profitable growth, agile customer se rvicing and innovation-led offerings. Our strong market presence, emphasis on operational efficiency and unwavering commitment to quality will remain the pillars of our business and f uture growth. Thank you for joining us. See you next time.
Moderator: Thank you, ma'am. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may n ow disconnect your lines.

Call: Oct 2025

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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - 2QFY26
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
23" October, 2025 to discuss 2QFY26 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
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“Vardhman Textiles Limited
Q2 FY '26 Earnings Conference Call ”
October 23, 2025

“E&OE - This transcript is edited for factual errors. In case of discrepan cy, the audio recordings uploaded on the stock exchange on 23rd October 2025 will prevail.”

MANAGEMENT : M R. NEERAJ JAIN – JOINT MANAGING DIRECTOR –
VARDHMAN TEXTILES LIMITED
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MODERATOR : M S. ARADHANA JAIN – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Vardhman Textiles Limited Q2 FY '26 Earnings Conference Call hosted by Batlivala & Karani Securities India Private L imited. As a reminder, all participant lines will remain in the listen-only mode an d there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Ms. Aradhana Jain from B atlivala & Karani Securities India Private Limited for opening remarks. Thank you, and over to y ou.

Aradhana Jain: Thank you, Ryan. Good evening, everyone, and welcome to Q2 FY '26 Earnings Conference Call of Vardhman Textiles Limited. On behalf of B&K Securities, I w elcome all participants and the management of Vardhman Textiles to the call.

From the management, we have Mr. Neeraj Jain, Joint Managing Dire ctor; Ms. Sagrika Jain, Executive Director; Mr. Sushil Jhamb, Director, Raw Materials; Mr. Rajeev Thapar, CFO; Mr. Mukesh Bansal, Head of Fabric Marketing; and Mr. Varun Malhotra, Head of Finance.

Without further ado, I would like to hand over the call to th e management for their opening remarks, post which we can open the floor for the Q&A session. Thank you, and over to you.

Sagrika Jain: Good afternoon, everyone, and thank you for joining Vardhma n Textiles Limited Quarter 2 FY '26 Earnings Call. We are pleased to report a resilient quarter despite signif icant global headwinds from elevated US tariffs to excess spinning capacity, our yarn and fabric business have sustained robust performance.

Overall, quarter 2 sales have remained stable at INR2,468 crores against INR2,565 crores last year. Despite marginally higher operating costs, the overall profitab ility is moderated with EBITDA margin at 15.5%. The US 50% import duty has prompted brands to explore lower tariff sourcing destinations such as Bangladesh, Vietnam, Cambodia and Sri Lanka.

Consequently, exporters face order postponements and diversions, whil e spinners contend with higher inventories and margin compression. In response, we have a ctivated a comprehensive mitigation framework, prioritizing diversification, innovation, deep cu stomer engagement, strategic partnerships and operational agility.

On the raw material front, Indian spinning industry is facing significant c hallenges due to persistently high domestic cotton prices compared to global levels. This is driven large ly by the elevated minimum support price. With MSP announced for 2025-'26 showing a further 8% increase, it is likely that CCI will need to purchase even more cotto n as private ginners will struggle to buy at these higher prices.

Global cotton prices on the New York futures range from $0.65 to $0.68 per pound, resulting in landed costs of about US$0.76, US$0.78 for mills in regions like Vietnam or Indonesia, whereas for Indian mills, they faced US$0.80 to US$0.84 per pound, which is a cost disadvantage. This cost disadvantage is now eased by the government relaxing the 11% imp ort duty for the time being. We welcome this supporting gesture from the Government of IND IA. This year, overall cotton production level has been estimated to be around similar levels compared to last year at about 310 lakh bales.

Yarn prices declined by 2% to 3% in the past month with import duty relaxation, and it's also -- it also reflects surplus spinning capacity. This widening gap between raw material cost and realized prices has compressed margins across the sector. Indian export vo lume is maintained in the range o

f 100 million to 120 million kgs per month.

Now we hope and we anticipate further market stabilization by quarter 4 FY '26. Our diversified portfolio spanning domestic and non- US export markets has provided critical stability with utilizations in the range of 90% to 95% for spinning.

Strategic focus on high-value segments such as melange, cellulosic, co mpact, sustainable and performance yarns have helped protect reasonable margins. We have also introduced functional performance and circular yarns for evolving activewear and lifestyle segment.

US-based customers have been very cautious in placing their orders a nd the orders are delayed by about 30 to 45 days and also the quantity has been lower by about 20% to 25%. Despite these market disruptions, the Fabrics division has delivered performance at par with previous year.

The resilience and financial performance is backed by closer cu stomer partnership and engagement, operational agility and innovation. Indian exporters have, in fact, managed this disruption with great strategic maturity, viewing the environment as temporary . For us, our multidimensional response includes targeted diversification to EU, UK, Australia, Canada, Bangladesh and Sri Lanka. And also accelerated delivery timelines to differentiate our value proposition.

However, we are anticipating some impact in quarter 3 and quar ter 4, which are historically export-heavy months. Despite substantial market disruption, fabric has sustained 90% capacity utilization, validating our strategic positioning and operational agil ity. Selective price adjustments to strategic customers have been carefully calibrated and have not materially impacted profitability.

On the expansion front, our expansion road map is progressing w ell with the Vardhman
performance fabric plant currently under erection and expected to b e commissioned within this
quarter. Once operational, the plant will begin sample development and eventually bulk order
processing, initiating production in quarter 3 with capacity utiliz ation anticipated to reach about
20% to 30% during quarter 4.
In addition, the line expansion at our MP location is also und erway. Together, these expansion
initiatives are projected to increase our overall production capacity by about 30%. Of course,
this will depend on market conditions.

With this, we will now leave the floor open for question-and-answers. T hank you.
Moderator: The first question comes from the line of Riddhesh Gandhi from Discovery Capital.
Riddhesh Gandhi: I just want to understand; you had indicated that you expect a norma lization of spreads to
potentially start from Q4 this year. Just wanted to understand the drivers th at's leading us to
believe that that's going to happen?
Sagrika Jain: Neeraj, sir?
Neeraj Jain: Hello.
Sagrika Jain: Can you answer the question?
Neeraj Jain: Can you please repeat the question?
Riddhesh Gandhi: Sure. See, in your initial remarks, you had indicated that you expec t normalization of spreads to
happen by Q4 of this year. Just wanted to understand what's leading us to believe that Q4 stuff
should hopefully normalize in terms of spreads?
Neeraj Jain: No. Basically, I think we are still banking upon that the US trade deals should happen by
November or so, which is the expectation going by the media reports a nd our various interaction
at various government levels. So first, we require -- so there are two factors we require to look
at. One is the impact because of the tariffs, which is giving us a big conce rn today.
And second is the raw material pricing. Fortunately, there has been a period of about a few
months where the government allowed duty-free import of cotton. So most of the mills have
imported cotton. As a result of that, the closing stock of cotton is -- the country. Of course, we
require to look at and understand what strategy will the C

CI be following in terms of the pricing.
So our basic feeling is that -- so two factors. One, all our expansion modernizations will be
completed by December, January. So we expect the impact of that will start happening in the
fourth quarter. Two, we are also banking upon once the US deal is through, probably the
normalization will start happening on that front also.
And third, which is still a question mark or a concern is more related w ith the raw material
prices, which is all depending upon the government policies. And over there, the question mark
is still there. So hopefully, if the -- I mean, one is controllable in terms of modernization and
expansion, which is surely we are sure about that. Second is the e xpectation in terms of the US
tariff. Third is still a concern.
Riddhesh Gandhi: Sir, and just wanted to understand, is there anything you guys are hearing with regards to
extension of the import free of the cotton from the US. Is that expected to continue or be
extended?
Neeraj Jain: It's not only the US, I think the industry is talking of the import should be allowed duty- free
irrespective of whether it's US or Brazil or Australia or Africa. So we are saying if the right price
parity is required in country because otherwise, CCI will become the mon opoly supplier and

maybe the price parity, if the Indian spinners have to pay a higher p rice will not be competitive
at all.
So, our request to the government is that to have the right price discov ery, if the import is
allowed, automatically, the domestic prices being offered by the CCI wil l be aligned to so that
the import doesn't happen in India. So, the automatic price stabilizatio n or equalization will keep
happening. So that's what we are requesting or suggesting to the government. It is up to the
government; how do they want to take a view on that.
Moderator: We take the next question from the line of Raman KV from Sequen t Investments.
Raman KV: Sir, I have a few questions. One is with respect to the yarn and co tton prices. What was the prices
for yarn and cotton during the quarter 2?
Neeraj Jain: So, the yarn prices have been hovering in the range of about $2.70 to I'll say $3 for 30s count.
Raman KV: Per...

Neeraj Jain: $2.75 to about $3.
Raman KV: This is per kg, right?
Neeraj Jain: Per kg. And the cotton prices if we convert, I mean, if you loo k at the New York Future, most of the time, the New York Future was in the range of about US$0 .65, US$0.66 and taking a spread of $0.10 to $0.12 for the international market, which were -- the prices were about US$0.74, US$0.75 per pound.
Whereas in India, the prices have been a little higher because in this pe riod, majority of the cotton was supplied only by CCI. So normally, our formula is that New York Future plus 800 to 900 basis points for the cotton, whereas most of this period, CCI sold the cotton at New York Future plus almost US$0.13 to US$0.14.
So, to that extent, the Indian cost was expensive, but the yarn prices get determined by the international prices. So going by $0.74, $0.75 per pound prices and almost $2.80, $2.90, I think internationally, spread was available to the extent of US$0.70 to US $0.80 per kg of yarn, which in Indian...
Raman KV: $0.70 to $0.80 per kg.
Neeraj Jain: Per kg of yarn, which in Indian context was much less because our raw material prices were much higher.
Raman KV: Okay. This is with respect to the US cotton spread?
Neeraj Jain: No. The US cotton spread is not -- I'm saying the international cotton spread, be it US, be it...
Raman KV: Okay. And sir, my second question is, sir, with the recent export re striction to Bangladesh, is there an excess inventory building up among the industry with resp ect to cotton?

Neeraj Jain: No. I think the cotton inventory definitely has increased in a

big way. Nothing to do with that
the export of cotton not happening to Bangladesh is more of -- lots of import of cotton has happened in this period. As I mentioned to you earlier, since the CCI was selling cotton at a much more expensive prices, so lots of cotton had come in India aga inst the export obligation even before the duty exemption was not there.
And after that, once the government allowed the duty exemption, still more cotton is coming to India before 31st of December. As a result of that, there's more than sufficient stock of raw cotton in India, be it imported or be it Indian cotton.
Raman KV: Okay. And sir, are we seeing any -- with respect to the supply of yarn in the market, are we seeing any excess inventory building up? Because my understanding is majority of the yarn, which we export, or Indian manufacturers export are to Bangladesh. So, is there any supply disruption?
Neeraj Jain: No, not really . So, the Bangladesh, if you look at the last 2 months, 3 months ya rn export figures also, it's been ranging in the -- almost in the range of about 50 million kg or so. So India is exporting close to about 100 million kg, 110 million kg now. So practically, about 50% has been going to Bangladesh and that trend continues. So, there's no disruptio n to that account.
Raman KV: Okay, sir. And sir, last question is with respect to the capex, can you elaborate your capex plans and when will they commence?
Neeraj Jain: So Sagrikaji will you first tell about fabric and then I will tell about spinning.
Sagrika Jain: So in fabric, we had the following capex plan. One was the synth etics plant, and it is currently under -- it has been erected, and it is under commissioning. So, we should be expecting capitalization in quarter 3. So that is -- about 15 lakh meters. Another line we were putting up in Madhya Pradesh. So that is -- that will be operational by again mid-November. So again, same as the earlier, it will be capitalized in Q3.
Raman KV: And how much revenue will this add?
Sagrika Jain: So, it depends on market conditions. So as of now, the new line expansion, we are not expecting it to be utilized till market improves. It is very difficult -- whereas for the synthetic plant because it is a new project -- we are anticipating by March … the capacity.
Raman KV: And with respect to the synthetic plant and new line in Madhya Pradesh, what's the capex spend?
Sagrika Jain: Can you repeat again? What is the capex ...
Raman KV: Capex spend on the synthetic plant and the new line in MP.
Sagrika Jain: So, the synthetics plant is up to about INR300 crores and the new line -- the additional line is about INR200 crores.
Moderator: We take the next question from the line of Keshav Garg from Counter Cyc lical Investments.

Keshav Garg: Sir my first question was regarding our subsidiary, Vardhman Acrylics. Sir, I can see that this subsidiary used to do around INR30 crores to INR50 crores EBITDA in a norma l year. But since the past 2 financial years, this company is practically just breaking even on EBITDA level. So, what is the reason?
And I am comparing it with our competitor, Pasupati Acrylon. S o their profitability is intact. They are still doing the INR50 crore EBITDA annually, which they used to do. Sir, so what exactly is happening with Vardhman Acrylics?
Sagrika Jain: Neeraj, sir?
Neeraj Jain: The acrylic demand in India has been coming down only. And I mean, if you look at the -- there are only now three players left in India. So one is Indian Acrylics, secon d is Pasupati and third is Vardhman Acrylics. Now let's look at the overall business scenario be cause the other three plants over the last 15, 20 years have been stopped one by one.
Indian Acrylics today is running at only about -- I understand from the market, only about 30% to 40% capacity utilization, which is the biggest plant in India. As far

as Vardhman Acrylics is
concerned, we are running 100%, but of course, there is a pressu re on the margins.
Second, Pasupati, I can't comment upon their profitability, bu t yes, they are running the full capacity. So, our capacity is close to about 22,000 tons. Pa supati is close to about 32,000, 33,000 tons and Indian Acrylics capacity, retail capacity is about 38,000 tons or so. Now India, there are lots of imports happening from Thai and other industries. So, the re are two factors.
One, the overall acrylic demand has been coming down becau se the price gap between acrylic and polyester is -- has been kept increasing in the last couple of years. I look at ev en the pricing today, practically acrylic fibre is almost double the price compared t o, if not double, at least 70% higher than the prices of polyester.
So as a result of that, there's been a lot of substitution, which has happened over a period of last one decade where the more and more demand of acrylic is moving to the polyester. So that there are pressures on companies like Thai Acrylic, which is where our tec hnology and their technology is same. We are all excellent technology. So, they have been exporting -- India has been importing lots of fibres from Thai.
To avoid that, we have been looking at how do the pricing shou ld happen so at least we can continue to run our full operation, and we don't require -- we don't allow the imports to happen to the India. So that's the reason this industry is under pressure.
And in any case, going by the Indian Acrylics or the other on e, I think the overall industry situation is not very positive as of now. And I think that's what th e situation is on this front as of now.
Keshav Garg: Okay, sir. Understood. Sir, regarding the yarn spread, sir, is the -- sir, what you alluded to in the beginning that by fourth quarter, you expect the historical spreads to com e back. Sir, so is that

contingent upon, firstly, some favourable deal happening with US and continued duty exemption for cotton?
Neeraj Jain: Of course, yes. Unless these two things are resolved to, we'll never be in a position to reach the historic margin. So these are the two preconditions that there -- we should not have any duty disadvantage. And also the cotton should be -- the raw material should be available to us at the international parity basis. Unless one of them is not there, it's not goin g to be possible to restore the margin.
Keshav Garg: Right, sir. Sir, also that -- now that we are expanding in MP, sir, some peers are expandin g in Odisha. So, I just wanted to understand that what kind of subsidiary packa ge the MP government is giving as compared to Od isha government?
Neeraj Jain: So, both these statements, we have studied both the governments. And of course, I can tell you on a policy matter, they can give higher subsidies to any compa nies on a case- to-case basis. But on a policy matter, the Madhya Pradesh, where we have applie d for the land in PM MITRA Park, where the electricity duty -- electricity rate is fixed about INR4.5, whereas the -- for Odisha also, the electricity is almost in the range of about INR4, INR4.5, all in clusive cost.
Two, the Odisha government is giving subsidy or capital subsidy, wh ich is a little higher in the range of about 30% or so compared to 18% to 20%, which Mad hya Pradesh government offers.
Also, the Odisha government gives you INR5,000 per person per month subsidy for 5 years for all the workers who are engaging.
Primarily, it is on the garmenting, but they are extending it to the textile producers also. This subsidy is not there in Madhya Pradesh. Rather this subsidy is available in Madhya Pradesh only on account of garmenting, on the textile products, we are not givin g the subsidy.
At the same time, the fourth big difference is that Madhya Pradesh government is giving the interest subsidy

on the loans, whereas the same is not available in Odisha. So, if I look at the
overall scenario in both the states, I think there will -- maybe there can be some small difference
where Odisha could be a little more favourable in terms of subsidy, but not really any big
difference.
Keshav Garg: Sir, and finally, sir, now if assuming that both these things happe n that favourable duty from US
and continued duty exemption for cotton, sir so, something like 15% to 20% of the yarn capacity
domestically is shut. So, will that capacity not again come back o n stream? And if it does, then
still do you expect the spreads to, I mean, stay at elevated levels desp ite so much capacity coming
on stream?
Neeraj Jain: Yes. So, one, I think all the capacities, which has been shut do wn, they are very, very small
units. So, the industry estimation is about 11 million spindles ha ve got stopped. And if you look
at the number of units which have got stopped are almost 1,000 un its. So practically, all this
capacity is with an average capacity of about 10,000 spindles . There will be a few more -- few
which can be bigger, but the average is 10,000 spindles.

But that industry to come back or to revise is practically very, v ery -- I mean, a small quantity
can still -- small numbers can still be back. But I think our feeling is more than 80%, 90% may
not come back even if the scenario becomes better. That's one.
Two, Today, what is happening because of the disadvantage India has. India is not expanding at
all. And wherever these opportunities are there, the other countri es are expanded. But one -
[Inaudible]- as well as the raw materials. Practically, it looks like that Indian spinne rs may be
in a position to expand the capacity a little bit, which will be ex portable in a bigger way.
So even once our raw material is in place and we don't have a duty disadvantage, we already
have a UK FTA available to us. We are likely to have the EU FTA a lso. I don't think really that
then will be a big issue. And in any case, if you look at last -- before these 2, 3 years, we've been
competing with the world, and I don't think that's really any big concern.
Unfortunately, last 4 years because of the duty and our policies, w e are suffering more. But if it
is an open market, anyone competing, anyone expanding, I do n't think that's really a big issue.
Moderator: The next question comes from the line of Awanish Chandra from SMIF S Limited.
Awanish Chandra: Congratulations management team on good set of performance, esp ecially on the margin side.
So, sir, my first question on the margin. I mean, when we look at the spread and all quarter- on-
quarter for last 2 quarters, it has been declining, but great to see on quarter- on-quarter basis, our
margin was very resilient ex of other income. So what went into this and our margin remained
at the same level as last quarter? Can you explain this?
Neeraj Jain: No, I think it's only the raw material management because this was a period where we imported
lots of cotton and as a result - [Inaudible] - and two, I think there are some of the businesses
where it is the brand businesses, which was doing a little better compare d to the commodities.
Third, in this period, we also got a little advantage in terms of the deprec iation of rupee, where
a part of the cost could get compensated -- part of the disadvantages could get compensated with
a better dollar rupee margin. So, I think it's nothing special for us only, but my feeling is anyone
who is been importing cotton probably could manage their cost reason ably well in this period.
But of course, I mean, now that period is over and the CCI will be b uying the cotton -- majority
of the cotton this year. So, it all depends upon how do they want to put the pricing of the cotton
which they buy to the market or to the spinners. And that will be more meaningful

for us to look
at whether we can really be competitive or we have a huge d isadvantage compared to the rest of
the world, especially against Vietnam, Bangladesh, Indonesia.
Awanish Chandra: Okay, sir. And second, sir, related question, now since our cotton seaso n will start and still duty
exemption is there till 31st December and other things are uncerta in, but these two things are
certain. So, what will be our cotton procurement strategy because tha t strategy worked and our
margin remain resilient. So, we will procure more cotton at whatever c ost we are getting today.
Neeraj Jain: We have tried to cover whatever best could have been possible be cause the window was 31st
December arrival has to be there for cotton in India. And unfortun ately, there are lots of

bottlenecks in Brazil and other countries in terms of the shipment, etce tera. So, it's not only the
-- as a country we expect almost 3 million bales will be coming in this period of October,
November, December, which will be almost 10% of our total consumptio n of India.
So, it's not only Vardhman. I think there are lots of trade, lots of spin ners are trying to buy cotton
so that the shipment could reach India before 31st of December. So , let's see how much can it

come and what does this pricing strategy be. But of course, as Vardhm an, we have tried whatever best we could get, we have also tried to cover it.
Awanish Chandra: Okay. And my last question on the size of the cotton crop you a re expecting this year, whether it will be similar to last year? And second, on the capex side, y ou have explained and you are already executing your capex. But over next 2, 3 years, will we be adding spindles and all because in our capex plan, most of the things are either modernizatio n or capex in the fabric segment. So, on the spindle side, anything new will happen or a ny new plan?
Moderator: Ladies and gentlemen, we have lost the line of Neeraj Jain. Please stay connected while I rejoin Neeraj sir. Ladies and gentlemen, we have the line of Mr. Neeraj Ja in connected. Awanish, you can please repeat your question.
Awanish Chandra: Okay. So sir, my last question on two parts. One, on the capex side, you have explained in the presentation and you are executing well. But most of the things are on the spindle side, it is modernization and other capex are related to fabric. So, any meanin gful addition on a spindle you are planning or you will be announcing in near future first an d your view on cotton crop bales in India for this year versus next year?
Neeraj Jain: First, let me complete the question on the cotton crop. Our expectation o f cotton crop is likely to be in the range of about 31 million bales or so, which will be a normal cotton. Of course, there's been a very heavy rains in the country as of now, an d there's some crop damage expected in maybe Haryana or North India.
But having said that, the range by and large has been good. So , the crop has delayed a little bit, but it looks like as of now, not major concern in the crop numbe rs. So, we still expect maybe 31 million bales could be available in India.
And in any case, as I mentioned earlier, since India has imported lo ts of cotton in the last 6 months, including the last 3 months and the next 3 months up to 31 st December. So, in terms of cotton availability of crop, there should not be a concern in the India.
Two, on the capex, we have lots of ideas in our mind, which is on the drawing board. But first, we have to look at our concerns getting sorted out as a country or as an industry, one, the US tariff; two, on the raw material pricing. But we still believe that those thing s will get sorted soon.
And in Madhya Pradesh PM MITRA Park, we have taken almost 2 00 acres of land there. There are lots of ideas in our mind. It may not be appropriate for me to disclo se it as of now, but modernizatio

n has been only part that during this period, we keep lo oking at our cost and we keep creating more flexibility and robust off late so that we can talk to the market.

But that's not the only thing we are looking at. Of course, there are lots of plans, but I think that can be rolled over only once our basic issues get resorted. And onc e that's there, I think we'll start announcing because this piece of land which has been taken, a gain, with the idea of expanding our company in the next one decade or so.
Moderator: We take the next question from the line of Rajesh Jain from RK Capital.
Rajesh Jain: I have five , six, short questions. Sir, in the context of the new capex that is already on live and some of which is going to go live in a few months, how much dep reciation should we factor in per quarter going forward?
Rajeev Thapar: So, depreciation is normally at the rate of 10% per year. So c apex for these two new projects so far as the technical textile project is around INR350 crores and process line 4 is INR395 crores, around INR400 crores. So we can just get the estimated depreciation at the rate of 10% per year.
Rajesh Jain: Yes. So, for example, this quarter, your depreciation was INR114 crores this quarter in the September quarter. So, on a monthly run rate, now if I take that 75 -- or on a quarterly run rate, are we saying that the depreciation is going to increase to INR125 crores, INR130 crores per quarter, something like that?
Rajeev Thapar: When the projects will become operational, apart there from -- there is the modernization program also going on, which is yet to be completed, some additiona l depreciation may come on that account also.
Rajesh Jain: Okay. So, a little north of INR130 crores.
Rajeev Thapar: Exact amount, I cannot calculate right now. It's just estimated.
Rajesh Jain: Okay, fine. And sir, my next question is on the UK FTA, when can we see the ground impact and any significant business triggers so far as our business is concerned?
Sagrika Jain: Yes. So UK FTA has definitely happened, and we are also -- we seeing the news that EU FTA also there are positive signs. Now realistically, it will take a few months fo r on-ground impact. However, like we have already started engaging with our customers an d other additional potential customers.
We also have to see that both UK and EU markets are not booming as of now. They are also depressed due to the Russia war and exorbitant prices. So, the econo my there is also not doing

too well. So, there are a whole host of factors which are impactin g market. But that being said, we want to and we are very keen on entering these markets. So, let' s hope that maybe in the next financial year, we should be able to see more traction there.
Rajesh Jain: Okay. And what has been the reason for the sharp drop in other i ncome in this quarter?
Rajeev Thapar: Actually, we just compare this quarter 2 with quarter 1. In quarter 1, t here was a f orex gain to the extent of INR14 crores, INR15 crores, which has got reversed in this qu arter. So, impact is reflected to the extent of INR25 crores, INR26 crores in this quarter because income has got

reversed because the depreciation in the rupee -- dollar rupee by INR3 during this quarter and if you see the 30th June dollar rupee rate versus 30th September dollar rupe e rate.
That is the main impact, if we compare other income with Q1 vers us Q2. And also, investment income has also come down because in Q1, we see the yields had c ome down from March level.
So, the LTM gains were booked in Q1, which is not there in Q2 . So that is the cumulative effect.
Rajesh Jain: Okay. But going forward, because I think for the last few quarters, yo u have been consistently clocking INR70 crores, INR80 crores on the other income. So, can w e expect that to ha

ppen
going forward?
Rajeev Thapar: It largely depends upon the dollar rupee and also investment book, which will carry -- right now, we are having investments of INR1,000 crores sometimes in cotton stock is not there, we are having higher book of investment. So, income could vary to t hat count. Normally, if you say INR70 crores, INR80 crores, that is I think normalized amount we can alw ays say.
Rajesh Jain: My next question is to Neeraj, sir. So, I think you made a comm ent that Q3, Q4 are export heavy quarters and they may see some slight impact. But we are still exporting to Bangladesh, right?
Because my understanding was that only the mode of transport got cha nged, right? We are still exporting to Bangladesh, right? So why should Q3, Q4 get impacted?
Neeraj Jain: No. So in terms -- I mean, when we say the Q3 and Q4 are more export oriented, it's m ore for the fabric. On the spinning side, it's a full year almost same, but th e fabric seasonality favours in terms of the export for the third and fourth quarter always.
Rajesh Jain: Okay. So, with...
Moderator: Rajesh, I would request you to please join back the queue, as th ere are others waiting for their chance. We take the next question from the line of Prerna Jhunjh unwala from Elara Securities.
Prerna Jhunjhunwala: Congratulations on good set of numbers. So, first question is to understan d the impact of cotton.
How is the profitability in yarn and fabric, whether we should allocate the entire profitability increase to yarn because this is largely improvement of cotton? Or is the re any difference in opinion?
Neeraj Jain: Rajeev, can you reply on this?
Prerna Jhunjhunwala: Hello. Am I audible?
Neeraj Jain: Rajeev, can you reply on the other income part?
Prerna Jhunjhunwala: No, no. Without other income, I'm talking about. Gross margin, you can say.
Neeraj Jain: Sorry?
Prerna Jhunjhunwala: Without other income, we are asking.
Neeraj Jain: Prerna, can you repeat your question without other income?

Prerna Jhunjhunwala: Sir, without other income, basically your cotton prices have come do wn, which has led to gross margin expansion. So, should we allocate this entire increase in profitab ility to yarn segment or fabric will also be positively impacted with this? And what should b e the extent of this increase?
Industry-wide, things should be good.
Neeraj Jain: It will be in both the businesses. The impact of cotton improvement will go directly 100% to the spinning business only. But at the same time, the -- since this US issue has come and the prices of yarn has been coming down onl y.
So to that extent, some benefit will go to the fabric division because the raw material prices comes down. And whenever the raw material prices comes down, ev eryone will try to utilize the full capacity. And to some extent, then the yarn prices comes down. So indirect advantage always go to the fabric also.
So of course, any raw material movement, it will be primarily imp acting the spinning business only, but a part of that will go either way to the fabric also. So, my -- generally historic experience is, you can say 70% will always good or bad, will go to the first business, 30% will go to the second business. That's the historic perspective.

Prerna Jhunjhunwala: Okay. Understood. And sir, how are the tariffs impacting our business, in the sense, are we sharing any cost with the customers, any tariffs with the customers? Or if there is a reduction in demand, I mean I'm just trying to understand how is it impacting? And how is it likely to impact in future till the tariffs are there?
Neeraj Jain: So there are a couple of factors as it can be, one, the US-based customers, most of the garmenters or the home textile players, they have to retain the customer. They ha ve tried to pass on the margins so that at least they can sustain the customers because everyo ne has a belie

f that this
seems to be a temporary arrangement, ultimately, things will be sorted out.
And -- but otherwise, if you lose the customer from the country, then p robably they'll never come back. So, all the garmenters or all the home textile players, the y are trying to readjust their pricing so that at least they retain the customer for 3 to 6 months' time. If things doesn't work out, then they'll have to look at whether it makes sense for them to continue with them or not.
Two, they have also requested the vendors to support them bec ause they are passing on their entire margins or they are sometimes taking the hit also. So, we hav e also, as a company, decided that we should support our customers. And to that extent, our fabric division definitely has supported all their customers wherever they are directly based upon the USA. So that at least as a country, we don't lose the business.
That's the second part. Third part is with the -- every country has now at least some duty, 20% being the lowest in USA. So, the prices of retail in USA. has increased definitely. And to that extent, there is always will be some reduction in the demand because of the elasticity of demand.
So, to that extent, every country is going to suffer, India being the more.
So that's the third part, which will be slowly come to know in th e next 2, 3, 4, 6 months. But definitely, there seems to be some lesser demand even if they are -- all the garmenters and all

the home textile players, they passed on the entire benefit of 25% to the customer, still the demand is there because of the elasticity of demand.
So, it's impacting us in all the ways. And wherever it is possib le, depending upon our margins, we are definitely trying to support. Probably Sagrika can throw more light on this because it's more of a fabric business, which is passing on this to the customer to support them. Sagrika, can you add on to what I suggested.
Sagrika Jain: So, adding to what has already been said, when we look at t he US customers' buying pattern, one, there is a delay in order flow. So, if somebody was placing ord er in September, they have delayed it by -- they have pushed it to mid-October. So that is a delay of about 45 days. In addition, the quantum, which was there last year, that quantum h as also reduced by 20% to 25%.
So there, we can see that the US customers are taking a very wait-and-watch approach. They do not -- they are also doing buying more hand- to-mouth. They are not going for long orders. They are going for small and more frequent orders, so that in case there is any change in policies, then they can respond appropriately to that. So that is also another impact.
And as mentioned, we are trying to -- we have assessed the situation, and we have tried our best to support our strategic customers because we believe that the situation is temporary. And we want to retain business. We don't want the business to go away. In so me areas, some of our Indian garmenters have factories outside.
So, in that case, business has been impacted to a lesser degree. But in some cases, we have had to ship the fabric to garmenters outside, maybe Vietnam, Indonesia, Bangladesh, Sri Lanka, again, for the same US customer.
Prerna Jhunjhunwala: Okay. And what will be the impact of this tariff sharing on our curren t quarter numbers? Or going forward, how should we see the impact on profitability of our company?
Sagrika Jain: So there is -- it depends from customer- to-customer.
Prerna Jhunjhunwala: On an average basis...
Rajeev Thapar: It was having minimal effect actually we have given a note also b elow our quarterly results that you see. And we are not having any, I would say, major impac t on our financials for the quarter.
And for times to come also, the situation is evolving. And like US tariff is again under negotiation. So we cannot say what kind of

impact will be there on the results in the times to
come.
Prerna Jhunjhunwala: Okay, sir. And sir, the last question is on other expenses. Our other expe nses have increased meaningfully in this quarter. What would be the primary reason behind this increase? And should we assume that this cost will continue to increase going forward or rem ain the same?
Rajeev Thapar: Expenses, actually having composition of manufacturing expenses, a dministration expenses, selling expenses and power cost also. So, if you just compare it w ith Q1, it has increased by

about INR30 crores, I would say. And it is having by components, some plant and machinery have increased by close to INR10 crores.

Forex as I explained that some part was in the reversal of other income and around INR7 crores, INR8 crores is a part of administration expenses, which is coming in the oth er expenses. And some selling expenses INR4 crores, INR5 crores has increased. So, it's 4, 5 components under that. Not a big amount, I would say.

Prerna Jhunjhunwala: Okay. There is no component of any hedging or anything like tha t in...

Rajeev Thapar: Forex is INR7 crores and some part i s of -- cotton hedging also about INR4 crores, INR5 crores.

Moderator: The next question comes from the line of Tanishk from Antique S tock Broking Limited.

Tanishk: My first question is on the yarn demand, whether we have seen any significant decline in the demand of yarn post the higher tariffs in the domestic market?

Neeraj Jain: No, the domestic demand continues to be normal. So, there's no issue o n that.

Tanishk: Okay. And my second question is, can we see any impact on th e margins going forward in the third and fourth quarter?

Neeraj Jain: I've already said -- in case the duty doesn't get resolved, this is definitely going to im pact more and more every quarter. And also, if your raw materials are expensive because now the new season of cotton is starting, CCI is going to prefer practically 70%, 80% from the market.

And it all will depend upon how do they price the product or i n case they want to keep it with the import parity, including duty, then the industry will not be in a position to bear that. So we have two uncertainties both on tariff as well as the cotton policy.

And we are only hoping that the CCI, we are talking to the gov ernment that what should be the strategy and policy. But again, the final call has to be taken by the government only. We can -- the industry can only suggest what do they feel about it.

Moderator: We take the next question from the line of Cheragh Sidhwa from Bajaj AMC.

Cheragh Sidhwa: So sir, as you indicated before that yarn industry where we saw nearly 1 1 million spindles going out of the market. Just ballpark or just if you could highlight the similar for the garmenting industry. Have you seen kind of units go out of the market? Just b allpark quantum, how much would that be in Tirupur clusters?

Neeraj Jain: The expectation of US customer is that 25% will still bear with you. Of course, the com peting countries are at 19% or so. So most of the US customers have said 25%, they will be up to 25%, they'll bear that. And the remaining 25%, which is there only on I ndia has to be borne by the Indian garmenters.

Now if you convert this 25% to the duty, so the garmenter has to redu ce the price by 17%, 18% to nullify this 25% because on 100%, if you reduce 17%, the du ty will be on 83%, this 25%, which becomes about 17%, 18%.

So practically, today, if you look at most of the garmenters, th e margins are in the range of about 13% to 14% -- rather 10% to 14% only. So to that extent, they are passing on 100%. And in any case, we are taking some support from their fabric or from their vendors also so that this difficult time in case we can pass through this, as I mentioned by

retaining -- a few months, we still hope by that time the duty impact or the deal will happen between US and India and things should be normalized.

Cheragh Sidhwa: Sure. So just as there has been closures in spindles, at the moment, we have not seen much of closures in the garment business currently.

Neeraj Jain: Yes. So, to that extent, I think nobody is going to expand till the time we find the final solution to these issues.

Cheragh Sidhwa: Got it. And sir, despite these challenges, it's really credit that we have operated at 90% utilizations. In the current quarter, have we seen any of the large fabric players sort of delaying the orders or cancelling the orders on the yarn side?

Neeraj Jain: Sagrika, please.

Sagrika Jain: So far, no cancellation of orders, but yes, there are some postpone ments and some delays.

Cheragh Sidhwa: This is on the yarn segment, right?

Sagrika Jain: I meant on the fabric side.

Cheragh Sidhwa: And on the yarn segment, yarn segment, the order book continu es to remain strong, similar utilization.

Neeraj Jain: No cancellation on the yarn side in any way.

Cheragh Sidhwa: Got it. And sir, just finally, the current, say, yarn or spreads at curre nt spot trends versus Q2, have we seen a decline in the yarn prices or it's similar to the Q2 lev els at the moment?
Neeraj Jain: No, the prices have come down surely. Of course, it's been coming down as the cotton prices came down. So, lots of Indian spinners, they bought the cotton and we also started supplying to the China also, which earlier we were not in a position to do that b ecause of the higher cotton prices. So practically, if you look at cotton -- the yarn export numbers, that's maintained in spite of all these issues and difficulties. But to maintain that, of course, prices h ave come down.
Moderator: We take the next question from the line of Krunal Shah from Enam Holdings.
Krunal Shah: This is Krunal from Enam Investments. So I have one question. In the annual report, you mentioned that we are doubling the garment manufacturing cap acity that we currently have. So

I understand that it is on a very small base, but does that indica te any change in our stance towards garment manufacturing in the longer run?
Sagrika Jain: Neeraj, sir?
Neeraj Jain: Sorry, I couldn't hear the question. Can you repeat the question, please?
Krunal Shah: Yes. My question is on the garment business. So, in the annual rep ort, you mentioned that we are doubling our capacity. I know that is...
Neeraj Jain: No, no, we are going ahead with that. We are not rethinking on that. But that's -- US is very small part of the business. And in any case, to make this busine ss viable, we have to have a decent size. So as of now, our capacity is close to about 6,000 , 7,000 shirts per day. So, we are doubling it in any case.
Krunal Shah: Okay. No, the point is that, does that indicate -- we had a stance that we didn't want to go too much into garmenting because of the labour issues involved around it. So does this indicate you that...
Neeraj Jain: I'll say the business has definitely done better. And we feel still no t very sure whether we can take it up as a full business or not. But definitely, if we try it -- but 6,000 is too small capacity and almost INR35, INR40 is a fixed cost per shirt, which is almost like 6 %, 7%, 8% of their capacity.
And in case we are to double that capacity, the fixed cost wil l be practically 0 additional will be practically zero per shirt basis. So I think it makes sense to make viab le this unit at least and then final call we'll take …
Moderator: We take the next question from the line of Rajakumar Vaidyanathan from RK Invest.
Rajakumar Vaidyanathan: Sir, the first question is this rupee depreciation against US dollar. So, we have not seen the full impact in this quarter because in your other income and I also see in yo ur cash flow

there were
some derivative losses there. So, I just want to know, should we assu me that there will be some upside in the coming quarter, if the rupee depreciation stays.
Rajeev Thapar: We have closed at around INR88.75 or INR88.80 as of 30th Septe mber. So if you just see rupee today, it's I think, INR 1 -- INR87.80, so it has appreciated by INR1 from 30th September. So, it depends what kind of situation will be at the end of, say, 31st December or subsequent quarters.
On that basis, it will be worked out kind of gains or losses are there.
Rajakumar Vaidyanathan: Okay. Got it, sir. Sir, just one more housekeeping question. So, sir, t his is with reference to your associate Vardhman Yarns and Threads. I just want to know whether that ass ociate is also able to maintain the margin compared to June and September.
Rajeev Thapar: Can you repeat it, please?

Rajakumar Vaidyanathan: Sir, this is with reference to the associate company, Vardhman Yarns a nd Threads Limited. I just want to know whether the profitability of this associate is also kind of resilient between June and September or it has seen deterioration in next quarter?
Rajeev Thapar: I think it will be maintaining almost the kind of profitability they we re having in June quarter, September quarter. It's in the same range, not much deterioration. Having o nly 11% stake in that company. So, to that extent, the profitability is coming in consolida tion.
Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.
Sagrika Jain: Thank you for your participation and continued trust in Vardhma n Textiles. The past 2 quarters have, in fact, tested the global textile industry. We remain committed to driving innovation and modernization, broadening our customer and product base and enhancing operational efficiency.
The resilience in our results stems from these focused efforts.

Looking ahead, we are still cautiously optimistic. Encouraging signa ls from the Indian
government regarding US trade negotiations reinforce our belief that India's competitiveness
will strengthen. Despite near-term uncertainties, our strategic positioning remains strong,
supported by initial orders from diverse geographies across existing and valu e-added segments.
The festive season and its translation to actual demand, along with GST rationalization has
brought a positive sentiment in the domestic Indian market. Our market pre sence, operational
efficiency and unwavering commitment to quality will remain the pil lars of our resilience and
future growth. Thank you once again for your partnership and y our support.
Moderator: Thank you. On behalf of Batlivala & Karani Securities India Private Lim ited, that concludes this
conference call. Thank you for joining us, and you may no w disconnect your lines.

Call: Jan 2026

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Scrip Code: 502986 Scrip Code: VTL

SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED — 3Q FY26
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
215t January, 2026 to discuss 3Q FY26 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY
YARNS | FABRICS | GARMENTS | THREADS | FIBRES | STEELS
CIN: LI7111PB1973PLC003345
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"Vardhman Textiles Limited Q3 FY-26 Earnings
Conference Call"

January 21, 2026

MANAGEMENT : M R. NEERAJ JAIN – JOINT MANAGING DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MRS. SAGRIKA VIR – EXECUTIVE DIRECTOR ,
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR (RAW MATERIALS),
VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER ,
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL – HEAD (FABRIC MARKETING),
VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA – HEAD (FINANCE),
VARDHMAN TEXTILES LIMITED
MODERATOR : M S. ARADHANA JAIN –BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Vardhman Tex tiles Q3 FY '26 Earnings
Conference Call, hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participants' lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Sh ould you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aradhana Jain from Batliv ala & Karani Securities India Private Limited. Thank you, and over to you, ma'am.

Aradhana Jain: Thank you, Ikra. Good evening, everyone. On behalf of B&K Securities, I welcome all participants and the Management of Vardhman Textiles to the call.

From the Management, we have Mr. Neeraj Jain – Joint Managing Director; Mrs. Sagrika Vir – Executive Director; Mr. Sushil Jhamb – Director (Raw Materials); Mr. Rajeev Thapar – CFO; Mr. Mukesh Bansal – Head of Fabric Marketing; and Mr. Varun Malhotra – Head of Finance.

Without further ado, I would like to hand over the call to the M anagement for their opening remarks, post which we can open the floor for the Q&A session. Thank you, and over to you.

Sagrika Vir: Good afternoon, everyone. Thank you for joining the Quarter 3 ea rnings call for Vardhman Textiles. Our overall performance for the quarter remained broadly in line with the corresponding period last year and similar to year- to-date basis.

The EBITDA margin for the quarter was at about 15% compared to 16% quarter- on-quarter. On a year- to-date basis, EBITDA margin was around 15% versus 17% last year. The ope rating environment during the quarter was marked by cost volatility, demand disruptions and global trade uncertainties. However, disciplined execution and operational fo cus helped us maintain overall business stability.

At the capacity utilization front, yarn utilization was at around 95% and fabric utilization was at about 89%, 90%. This is regarding cotton. The quarter continued to be impacted by elevated Indian cotton prices.

During Quarter 3, cotton traded at about $0.75, $0.78 per pound, ri sing further to around $0.79 per pound in Jan '26. This has been driven primarily by 8% increa se in MSP. This has made Indian cotton structurally more expensive if we compare to global b enchmarks.

In the current cotton season, CCI has procured approximately 85 lakh bales out of total arrivals of 175 lakh bales. This accounts to 50% of arrivals. And in the prese nt scenario, CCI is absorbing

about 75%, 80% of daily arrivals. This has constrained open mark et availability and supports higher prices. The absence of a transparent selling framework by CCI conti nues to add uncertainty for mills.

The duty-free import window from August to 31st December 2025, resulted in higher cotton imports because imported cotton was relatively cheaper. However, from 1 st Jan, the 11% import duty has been reinstated. This puts us at a relative disadvantage to comp eting countries like Bangladesh and Vietnam, which continue to enjoy duty-free impo rts.

During the quarter, New York Futures traded at about $0.63 to $0.65 per pound, translating to a landed cost of about $0.72 to $0.75 per pound for mills in Vietn am and Indonesia. If we compare this to Indian mills, they are at $0.75 to $0.78, creating a $0. 03 to $0.04 per pound cost disadvantage even before accounting for quality and contaminatio n differences.

Additionally, this year, cotton crop is estimated at 292 lakh bales. Th is is below last year's 297 lakh bales and significantly lower than domestic consumption of around 322 lakh bales. This implies a supply deficit of nearly 30 lakh bales, which will need to b e met through imp

orts.

The Yarn business experienced a mixed environment during the qua rter. While the first half of the year was relatively stable, Quarter 3 saw pressure due to tariff-related disrupt ions, both in garment exports and home textiles. There was also excess global capa city and cautious buying behavior. Domestic demand remains soft, while exports showed selective improvement, largely driven by specific product categories.

Indian yarn exports improved in December to around 115 million kgs. If we compare this to an average of 100 million kgs, we can see an improvement. This is d riven primarily by contamination-free yarns.

Yarn prices, therefore, have improved by approximately $0.15 per kg, especially over the last 30 days. However, this has not fully offset elevated cotton costs. As a resu lt, margins remain under pressure despite stable utilization. Our focus continues to be o n disciplined capacity utilization, selective price recovery and increasing value-added yarn s.

On the Fabric business front, we operated in a challenging external env ironment during Quarter 3. Expectations of an early resolution of the tariff war have not materia lized and U.S. buyers continue to adopt cautious and selective sourcing approach. This has increased competitive intensity and elongated decision cycles. Despite these headwinds, Fabric business delivered a resilient performance, supported by ongoing new product developm ent, customer diversification and strong operational execution.

A key strategic milestone during the period was the commissioning of V ardhman Performance Fabrics, which is focused on performance wear. We will start building scale from Quarter 1 of next financial year. We have already begun servicing select domestic orders and our focus remains on development for international customers.
In parallel, the fabric expansion at Budhni on our existing cotton blend lines has also been commissioned, and it is expected to gain momentum from Quarter 1 ne xt year. This enhances our ability to service larger programs, improve responsiveness and suppo rt premium fabric categories.
We continue to diversify in non-U.S. markets to mitigate tariff risk. So, we are focusing on countries like EU, U.K., Australia, Canada, and we are confident that o ur efforts will bear fruit in time.
A quick update on our green initiatives. 9% of our total demand is gre en power. And in FY '27, we are in line to increase this to about 49%, 50%.
We now open the floor to questions.
Moderator: Thank you very much. We will now begin the question-and-answ er session. The first question is from the line of Awanish Chandra from SMIFS. Please go ahead.
Awanish Chandra: Thanks for this opportunity, and congratulations to the Managem ent team on a moderate performance, despite difficult situation. In the opening remarks, yo u have already talked about the pressure on the margin and structurally, we are having higher c otton price. But sir, my question is, if I look at average cotton price in Quarter 2 in Ind ia and Quarter 3, there was a quite substantial decline on the average basis between Quarter 3 and Quarter 2. So, I understand the point you have talked about structurally thing, but was there any in ventory loss because of this decline in the cotton price versus Quarter 2 in India?
Neeraj Jain: No, for us, fortunately, it was not there because Quarter 2 and we did n't have much of a cotton available to us. And whatever we bought, I think we bought at the right prices. So, for us, there was no inventory loss to that extent.
Awanish Chandra: Okay. And we never had this advantage of declining cotton price on an average basis in India in Quarter 3, because on a spot, if I look at the spread, it looks like margins would be improving, but that did not happen in the numbers.
Neeraj Jain: No, that's true because in India, we had a different situation. The U. S

. tariff, this was applicable from 27th of August. So, though our cotton prices to some extent c ame down, but at the same time, the advantage could not be realized, because the yarn p rices or the fabric prices came down

because there was relatively lesser demand in India from our customers w ho were ultimately sending goods to U.S.A. in terms of home textiles or the garments. So, t hat advantage could not be realized by the Indian spinners or the Indian fabric producers.
Awanish Chandra: Okay. And sir, in the opening remarks, ma'am talked about capaci ty management in fabric. So, what is the current capacity after expansion on a yearly basis, our new capacity will move on fabric?
Sagrika Vir: So, our earlier capacity used to be about 145 lakh meters per mon th, and I am talking about processed capacity. And so now this has increased to 185 lakh meters p er month and additional 15 lakh meters in the performance there, in technical textile. So, total 200 lakh meters per month.
Awanish Chandra: Okay. On the processed side. On the gray basis, what the number wou ld be?
Sagrika Vir: On the gray, we have not increased any capacity. So, whatev er processed capacity we have, we keep some additional for servicing. It's more than the processed ca pacity.
Awanish Chandra: Okay. So, on a yearly basis, the gray, we used to talk about 2,3 00, 2,400 lakh meters that remains as it is?
Sagrika Vir: No change.
Awanish Chandra: Okay, ma'am. And sir, last thing, a lot of people were expecting that this import duty will be continued, but it never happened. So, any indication from the government whether this import duty exemption will be reinstated? Any talk from the government side?
Neeraj Jain: So, yes, we have been talking to the government, both the Texti le Ministry as well as Agricultur e Ministry also. So, therefore, yesterday also CITI had a conference w ith the Ministry of Textile, Secretary Textiles. They listened to our issues and concerns, but let's see what happens.
Awanish Chandra: Okay, sir. Okay, I will come back in the queue. Thank you ve ry much.
Moderator: Thank you. The next question is from the line of Monish Ghodke from HDFC Mutual Funds. Please go ahead.
Monish Ghodke: Sir, thank you for the opportunity. Sir, you said that your cott on inventory at the end of Q2 was minimal. But if I see the half yearly balance sheet disclosure, the i nventory is around INR 3,700

crores as on September '25. And if I compare it to the previous y ear, September '24, it's INR
2,700 crores. So, it was higher than the normal. So, what were th e key reasons for the same?

Neeraj Jain: The inventory we were talking of on the cotton basis. Was there a ny loss on the cotton? So, there was no loss on the raw cotton, whatever was available to us, bec ause that inventory was relatively lower 30th of September. Since our capacity utilizations have inc reased, our overall business levels has improved, so the total inventory includes the finished good s, WIP, everything together.

Monish Ghodke: Okay. So, there was no larger than normal cotton inventory as on Sep tember end?

Neeraj Jain: No, it was slightly higher because on 30th September, we had started importing cotton. It was duty-free regime by that time. Though the inventory could be a little more than the last year, but there was no inventory where the losses would have happened, b ecause the higher cost inventory was relatively lower to us.

Monish Ghodke: Okay. And sir, could you share EBITDA margin for Yarn and Fabric b usiness separately?

Neeraj Jain: As a company, we share the textile, we consider it as a Textile divisio n only. Generally, we don't share that number.

Monish Ghodke: Okay. And sir, now this EU FTA is in final stages. so 6 months back, no one was expecting that it will happen so soon. So, is there any retho

ught about getting into garmenting now?

Neeraj Jain: Of course, there are thoughts going on what should be done on the garmenting division. And earlier this time was whether we really want to continue with the b usiness or not. But I think there's one instance which has changed that we are likely to enh ance the capacity of Garment division. We intend to make it to the double from the current capacity.

But again, there will be very, very miniscule looking at the total com pany size. So, once we are in a position to do this, I think it's only beyond that, we will look at whether we should really expand it in a big way or not. But the earlier stance is surely chan ged today, where we are enhancing the capacity. We are doubling the capacity at lea st whatever we have today.

Monish Ghodke: And sir, if I see your pre-COVID margins, at an aggregate level, it used to be around 18%, 19%. And as you have rightly said, multiple times that Indian cotton used to be cheaper as compared to NY Futures, and now it has become expensive. So, what is the way out here for the industry to improve margins? I am talking about Spinning side or it will c ontinue like this in the medium term?

Neeraj Jain: No. It looks like in today's situation, the improvement may not hap pen in a bigger way. But of course, we are also looking at the repercussions of these are already seen in the country, where last 2, 3 years, we have seen almost 12 million, 13 million spindles have been closed permanently. There's no expansion happening. So, ultimately, th e demand supply will take care

of it. And eventually if another 5 million, 7 million spindles g ets stopped into the country, I think then the demand would start improving and then again, the margins w ill start improving.

Two, in any case, unless our raw materials are available to us at the in ternational parity. I do no t think on a basic commodity, anyone can really make money if your raw materials are expensive. So, that decision government will have to do sooner or later.

Third part is your cost initiatives and the product mix of the customer m ix, which is in our control. There's lots of work going on both in the yarn and the fa bric division to that extent, and I am sure that has given us these kind of results also, and we are still working very aggressively on these ideas. Fortunately, the EU FTA will happen. So, there wil l be more opportunities for the Indian garmenters to do better over there. So, I think there are so me pockets which are available, which are controllable, and we are trying to look at what b est could be done out of that.

Monish Ghodke: Okay. Sir, last question, how much cotton did we import in Q3?

Neeraj Jain: Yes, we have imported lots of cotton. Quantity, I think let's not share that.

Monish Ghodke: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Prerna Jhunjh unwala from Elara Securities. Please go ahead.

Prerna Jhunjhunwala: Thank you. So, just wanted to get some clarity on how tariffs has impact ed this quarter? And in terms of revenue, EBITDA, if you could share something for both Yarn and Fabric businesses? And how you are dealing with the pressure coming in from custom ers in the current scenario?

Sagrika Vir: Yes. So, tariffs have definitely had a negative impact on our business. First, let's talk about the overall picture. So, when it comes to our customers, especially in the U.S., the sentiment is poor. And most of our customers, they are not willing to take long bets. So, some are delaying the

decision-making cycles. Some are recalibrating prices, some are recalibra ting supply chains.
And of course, now with the current geopolitical risks, which have been added, they definitely
make the situation worse. So, that's on the macro front.
Now it will be very difficult for us to share exactly how much the impact it has had on EBITDA.

But on a case- to-case basis, we have supported some of our customers, because we have prioritized securing long-term relationships with them. It has a marginal impact, not a big impact. But in fabric if you compare last year this quarter, we had 100% capacit y utilization. And this year, we are at 10% capacity utilization less. So, you can see the impact on volumes from that.

Prerna Jhunjhunwala: Okay. And how has been the domestic market in both Yarn and Fa bric businesses for us, apart from the U.S., leaving aside U.S. business?

Sagrika Vir: The domestic market has been stable. Some pockets are doing well, som e large format retailers have had some inventory optimization that they have conducted. But overall, domestic has remained stable. And as for Yarn, domestic prices have remained soft. So , we have seen export market improve more on the Yarn front, domestic has remained a bit so ft.

Prerna Jhunjhunwala: Okay. And in exports, where are we seeing some green shoots? Bec ause anyways U.S. is not that positive. So, which markets are seeing some traction, which is helpin g you say that exports is doing better?

Sagrika Vir: You are talking about Yarn?

Prerna Jhunjhunwala: Both the markets, Yarn and Fabric. Fabric, you mentioned that expo rts is doing much better, but with Yarn it has been soft.

Sagrika Vir: No, no, that was for Yarn.

Neeraj Jain: So, on the Yarn side, I think it's the Indian garmenter where the co ncern is more, but when it comes to Bangladesh, Vietnam or Sri Lanka or China, they are doing pre tty good. In fact, last 1 month, there's been a lot of demand from China for the yarn ag ain, because of maybe some concerns on the Bangladesh, etc . We are finding the yarn prices have started improving since last 1 month, and there's at least improvement of $0.10 to $0.15 pe r kg of yarn, thanks to the fresh demand from China.

Prerna Jhunjhunwala: That's interesting. So, sir, do we see profitability improve going for ward, given that there was a decent period for us to import cotton and the prices were lower. S o, near term looks somewhat stable than in the past?

Neeraj Jain: So, I can talk of the industry average only. So, whosoever has the imported cotton, maybe there could be some gain coming to them in maybe next 2, 3, 4 mo nths, whatever cotton stocks you have. But unfortunately, the Indian cotton prices are again very hig h. In this period, CCI has been buying most of the cotton. They are virtually today the m onopolistic stockist as of now. And the new sale policy, which they have decided day before y esterday, they have come up with a price range of INR 56,900 for Shankar, and if I convert it into U.S. cents, it's almost $0.80 per pound. And with the New York Future of $0.64, $0.65, the Braz ilian is available at $0.72, $0.73 to most part of the world. So, we are again higher by about $0.0 8 per pound. So, to that extent, I think on the incremental basis, I do not see the margins improving unles s the yarn prices increases further.

But if I look at it from the New York Future or a Brazilian cotton availa ble to a Vietnamese , today, as on today, they would be touching almost $0.90 to $ 1 conversion margin today, which is seen after a long time. But India, since our cotton is almost $0.07, $0 .08 per pound expensive, so I convert it on a per kg basis, we still have a disadvantage of ab out $0.20 per pound to that extent. So, our margin will be in the range of about $0.70, $0 .80; whereas, for the other countries, it would be touching almost close to $1 today.

Prerna Jhunjhunwala: That's a big difference.

Neeraj Jain: Yes.

Prerna Jhunjhunwala: So, sir, are you seeing further capacity closures in the industry in the Yarn business?

Neeraj Jain: Yes, it will continue to happen. Lots of capacity in India is very o ld and their costs are also hi

gh
because they are not modernized. So, when we are talking of $0. 70, $0.75, we are talking of a good efficient mills. But all these capacities, which is relatively in the semi -organized sector or with a higher cost, nonautomatic technologies available to them, th eir cost will be surely higher than this.

For them to survive in these circumstances, it continues to be very, very difficult. So, I think

personally, if you ask me, when 11 million, 11.5 million spin dles are already closed, so figure
reaching to 15 million spindles in the next 1 year, unless the raw m aterial prices are corrected,
it can happen. It will be unfortunate, but it can happen.
Prerna Jhunjhunwala: Yes, makes sense. So, sir, a few questions on CAPEX. You mentioned about garment capacity
to double. By when do you expect it to double?
Neeraj Jain: Yes, we are working on it. I think it's a small capacity, 6,000, 7,000 shirts. And whenever we
start the project, it will take us about 8 months- or-so to complete that. But it's not really a major
CAPEX . So, the major CAPEX was in the Spinning business on modernization , and one of our
small expansions at --- (Inaudible) , but the bigger capital expenditure was planned on the Fabric
side. That's going on as per schedule only, all the expenditures, wha tever was planned last year,
that's almost on line.
Prerna Jhunjhunwala: So, that will get commissioned by the end of this quarter, so...
Neeraj Jain: Yes.
Prerna Jhunjhunwala: Okay. How do we expect it to get utilized over a period of ti me? Because given the current
geopolitical situations that are there, especially for the new business, the Synthetic Fiber

business. I just wanted to know the efforts that you have taken to sell it when it gets
operationalized? Any tie- up?
Sagrika Vir: So, in next financial year for the performance wear, we are targe ting capacity utilization upwards
of around 60% for the full year.
Prerna Jhunjhunwala: Okay. And any tie-ups and all being done to ensure this number gets achieved?
Sagrika Vir: So, we want to maintain a healthy balance between domestic and exp ort, especially given
geopolitical dynamics. So, we like to have a strong domestic base, and also well-diversified
export base. So, current focus is on development . So, some developments are coming from our
existing customers. And because they also have this product portfolio a nd a lot of new customers,
which are focused on sports and outerwear, they are also being adde d. No long-term tie-up, bu t
we have had partnerships with these customers over the years. So, you ca n expect strong
collaboration with those customers.
Prerna Jhunjhunwala: That's fantastic, Sagrika. Thank you, and all the best.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to
the Management for closing comments.
Sagrika Vir: So, to conclude, the operating environment remains demanding, with persistent cost pressures,
trade disruptions and evolving global sourcing patterns. However, actions taken over the past
few years have strengthened the foundation of our business. So , we continue to focus on
controllable levers like portfolio premiumization, operational efficiency , cost discipline,
customer-centric approach.
Strategic investments in fabric capacity, performance textiles and yarn mo dernization position
us well for the next phase of growth. While near-term visibility rem ains limited, we hope and
pray that global trade conditions will stabilize. Our integrated capabilities, and a diversified
customer base should create meaningful differentiation.
Thank you so much for your faith in our organization, and hav e a good day.
Moderator: On behalf of Batlivala & Karani Securities India Private Limited, that conc ludes this conference.
Thank you for joining us, and you may now disconnect your lin es.

Call: May 2026

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Dalal Street, MUMBAI-40000 1. MUMBAI-400 051
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SUB: TRANSCRIPT OF EARNINGS CONFERENCE CALL OF VARDHMAN
TEXTILES LIMITED - Q4 FY'26
Sir,
Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find
enclosed herewith transcript of the earnings conference call of the Company held on
8th May, 2026 to discuss Q4 FY'26 results.
Kindly take the same on record.
Thanking you,
Yours faithfully,
FOR VARDHMAN TEXTILES LIMITED
(SANJAY GUPTA)
COMPANY SECRETARY

"Vardhman Textiles Limited
Q4 FY '26 Earnings Conference Call "
May 08, 2026

MANAGEMENT : M R. NEERAJ JAIN –MANAGING DIRECTOR –
VARDHMAN TEXTILES LIMITED
MR. SUSHIL JHAMB – DIRECTOR , RAW MATERIALS –
VARDHMAN TEXTILES LIMITED
MR. RAJEEV THAPAR – CHIEF FINANCIAL OFFICER --
VARDHMAN TEXTILES LIMITED
MR. MUKESH BANSAL – HEAD OF FABRIC MARKETING
– VARDHMAN TEXTILES LIMITED
MR. VARUN MALHOTRA – HEAD OF FINANCE --
VARDHMAN TEXTILES LIMITED

MODERATOR : M S. ARADHANA JAIN – 360 ONE CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Vardhman Textiles Limited 4Q FY '26
Earnings Conference Call hosted by 360 ONE Capital. As a reminder, all p articipant lines will
be in the listen-only mode and there will be an opportunity fo r you to ask questions after the
presentation concludes. Should you need assistance during this confe rence call, please signal an
operator by pressing star and then zero on your touchtone phon e. I now hand the conference over
to Ms. Aradhana Jain from 360 ONE Capital. Thank you, and over to you, ma'am.
Aradhana Jain: Thank you, Shailendra. Good evening, everyone. On behalf of 360 ONE Capital, I welcome all
participants and the management of Vardhman Textiles to the 4Q FY '2 6 con call. From the
management, we have Mr. Neeraj Jain, Joint Managing Director; Mr. Sushil Jhamb, Director,

Raw Materials; Mr. Rajeev Thapar, CFO; Mr. Mukesh Bansal, Head of Fabric Marke ting; and Mr. Varun Malhotra, Head of Finance.
Without further ado, I would like to hand over the call to th e management for their opening remarks, post which we can open the floor for the Q&A session. Tha nk you, and over to you, sir.
Neeraj Jain: Good evening, everyone. Thank you for joining the fourth quarter call. The results are available to you. This period, last 6 months have been -- there are some good and some bad news. The good news is, one, the U.S. tariffs were over. As a result of that, India became more competitive. So the kind of desperation which was there for our garment exporters of the home textile, that's over and things have started moving back to the right direction.
Also, this was a period where we started looking at a new geopolit ical concern, starting with the Iran and U.S. war, which created some of the disadvantages or some of the disruptions in the system, be it logistics, be it crude, which has an impact on the variou s businesses, including the textile business, which I'll come to a little later. Also, this was a period wh ere the cotton prices started going up internationally. In New York future from $0.61, $0.6 2, $0.63 went to as high as $0.82, $0.83. And as a consequence of that, the Indian c otton also moved from INR52,000, INR53,000 a candy to about INR67,000, INR68,000 a candy.
So which means the cost of raw material increased in a big way in t his period. There has also been improvement in the yarn prices both on account of the raw material push as well as the better demand also, which I will come again a little later. And in b etween the dollar rupee also moved, so which was also beneficial as most of the textile is based on the exporting community. So some advantage came because of that also. So these have be en the macro level events.
Now we can look at it one by one. Clearly, the U.S. tariffs have g iven an advantage. I understand the export -- the utilization of exporters who were directly exporting to U.S.A. from India, the home textile or be it the garment exporter has come down to about 50% to 60% in this period. Also, they were giving heavy discounts to the U.S. brands to the extent to compensate 25% as the duty was 50%. So as a result of that, the margins were affected and many products they were losing money. As a result of that, they were shy of taking those ord ers.
And as a result of again that there have been major issues and concerns for those exporting community. Since we are the textile producer and we provide the ma terial to them, they were

not doing good, there was a pressure on the back process also. So all the people who are supplying either yarn or fabric to the garment exporter, they were also u nder a difficult situation, either on account of lower -- both on account of the lower realization as well as the lower utilization.
As soon as the U.S. tariffs were away, slowly t

he business started comin g back. And I understand as of now, both home textiles and the garment exporter to the U.S.A ., they are running almost 90%, 100% capacity utilization, and as a results of that from th e country, the overall export is better. And also since the utilization is better, the overall dema nd of the yarn is also better.
So there's been a favorable factor in this period to start with. Th e second major event was the prices of raw material. Now if you look at the last 2 years, the New York near future was continuously coming down. It came down to one of the histor ic low levels of $0.62, $0.63. And I think this was a level where the farmers are not actually earning a lot internationally, so there was a fear whether the cotton crop will come down or will increase. So it was all concerns and issues which were there in our mind.
In between, there was a weather , bad weather condition which was announced by USA in the Texas areas where it is as of now, it is projected that 91% drought conditions are there and it is likely the overall crop size in USA will come down. Also, the Australian crop size got reduced from 55 million bales, it was expected to be about 41 million bales.
The Indian crop also came down against the last year figure of about 31 million, 31.5 million bales, this year it is projected to be about 29 million bales only. And the Brazil also was not increasing, there was a possibility either the same or small reduction in that also.
As a result of that, the overall cotton stocks which we saw increase in the closing stocks of cotton worldwide last two, three years, that got balanced or rather it was projected that we will be -- the world will be reducing the closing stock of cotton maybe to the extent of 0.5 million ton to 1 million ton . And the moment it was realized, there was -- this was one of the factor where the prices of cotton started going up in the international market.
Two, as the tension started in Iran and USA, the crude prices started increasing, which has a direct impact on manmade fibers, especially polyester. And the polyester prices increase d in this period in a big way and as the cost increased because of the crude, all the synthetic fiber prices started increasing.

If you look at acrylic fiber, the prices increased almost by about 80, 85 rupees a kg in this period, polyester fiber prices increased by INR 25, INR 30 a kg and all other cellulosic also started increasing. So somewhere, it looks like the cotton fiber also got a sympathetic increase on account of that also since the synthetic prices were increasing, somewhere I thin k that was a support given which was -- which the cotton fiber got and the prices were also standard to that extent.

Since the demand in this period started improving. So there are two factors how the demand started improving. Pre-war, I'm talking of, starting with the month of October or so. The two factors on the spinning side which had happened in last some time, one since the industry was

not doing well, so we understand as per the industry data estimate, that total of about 11, 11.5 million spindles have stopped permanently into the system.

I shared earlier also, our rated capacity in India was 53 million spindles. Normally we add about 2 to 2.5 million spindles every year. And if we go by the normal years, our capacity this year should have been about 59, 60 million spindles. Against that, last three years there was hardly any expansion happening, but contrary to that, 11, 12 million spindles got permanently stopped into the system, so practically the working capacity today in India will not be more than 41, 42 million spindles as per the industry estimate.

There is no government data available, but this is the industry estimate. Which means there was some balancing of the spinning availability or the yarn availability came into the system wher

e

the overall production came down. This was one factor where the surplus capacity got vanished. Two, we saw geopolitical tensions, issues, concerns in Bangladesh six months before. So because of that, I think some of the brands or some of the orders got transferred to China also. So there was local Chinese demand, there was export Chinese deman d and some orders shifting from Bangladesh to China. And China, if you look at the Chinese cotton total, they have about 80% of their consumption they are the Indian they are their internal cotto n and 20% they import from outside.

And out of the 80% , which is their internal production, 80% of that comes from Xinjiang…. area, which is banned by the USA as of now. So it looks like either the brand suggestion or the local Chinese manufacturers, they decided rather than buying the local yarn, they started importing cotton yarn from India. From different countries, including India.

The prices were low, so they started buying big quantities of yarn from India and suddenly, starting October, November, we found the yarn demand to be very good in the export market and the prices started going up for the yarn also. India, we normally export about 100 million kg of yarn every month. It is the average for last two, three, four years. And out of that, China used to be about 7 or 8 million kg only.

But if we look at the last four, five months' data, China is consistently buying about 30 million kg. So practically another 20 million kg demand came to India and Indian export started reaching or touching almost about 120 million kg plus. So this became the yet another factor where the yarn prices started improving in a far better way, not only to compensate the cotton prices, but definitely beyond that and suddenly spinning margins started improving into the system.

So this demand of China continues even today also , and I think most of the spinners, they are sold for about two to three months in forward as of now as far as the export is concerned and to that extent they try to cover their cotton also.

Two, since on the Indian side, the Indian crop size is not likely to be more than 29 million bales. And going by this increased activity of yarn, it is expected our full year consumption can be in the range of about 33 million or 34 million bales. Now suddenly there was a realization that the cotton is not available in India and there was the various industries including or the various industries association, they started going to the government to allow the duty-free import of

cotton so that by the time we finish our existing cotton, there should not be a shortage of cotton into country.

The Ministry of Textiles could understand and they took a total view with the industry and they wrote it to the Finance Ministry and the Agriculture Ministry that this is likely to be a shortage of cotton going by the better activity and the better profitability of the spinning sector, so the cotton should be allowed duty-free coming to India so that there is no shortage of cotton in the month of August, September, October or so and so on.

This information also spreaded into the system that India is likely to open the cotton whether full-time or a maybe the six months. I do not know what government decision could be, whether they'll take a decision or not we are not sure, but definitely the market perceived the Indians will buy to buy more cotton internationally, so which also gave some strengthening to the New York future in this period.
The third factor was as the cotton started going up, I understand the hedge money or the speculative money also started coming to this spread and today, the last two, three years where the speculators as per the data which is available in the system, they were negative or they were short on the New York future, they started going long on the New York future, so which means

the cotton in the $0. 80, $0.82 level got stabilized in this period.
Now this got -- this has a big advantage if New York future remains at $0.80, $0. 82 for the Indian market. India had a peculiar situation where our cotton prices were very high because of the minimum support price. Though CCI was acquiring cotton, but they were buying cotton and they were selling in the market, but at the same time there was a loss which was coming to the CCI in this period.
As soon as the cotton started going to about $0.80, $0. 82 New York future, the Indian cotton prices became aligned to the world market . And as of now, even going by our MSP, our cotton is not expensive compared to the world market. Rather, it is aligned to the long-term average we which we used to look at it always in last 15, 20 years, that we are New York future plus $0.05 to $0.08 cotton , which is prevailing as of now.
So suddenly our all the spinners which were losing money on account of a very high cotton prices, that factor also was -- that also got aligned into this system last couple of months and as a result of that, the spinning margins were normal, which earlier was not sufficient or were not normal because we were very, very expensive on the cotton.
The New York future whether it sustain or not I'm not very sure, but definitely if you look at the other countries. So India today our cotton prices are $0.87, $0.88, New York future with a $0.84 -- $0.82, $0.83, $0.84, the Brazilian cotton is available at $0.94, $0.95, which is aligned to it. The Pakistani cotton which is inferior to Indian cotton is again aligned to $0.85, $0.86, so which is in line with the normal relativity.
And also, the Chinese cotton today are in the range of about $1.03-$1.04, which normally they are always higher to India by about $0.15 or so, which is also today as of now aligning to that

also. So today there is hardly any disruption as far as the long-term cotton prices have been in this relative to each other.
So in this period , the cotton to Indian spinner was available at a right price, yarn demand was okay, the prices started improving just to give you an idea. The lowest prices of yarn in the month of November, December were ranging about $2.65 to $2.7 0 for 30s combed. Today the same price is in range between $3.30 to $3.35.
Same way, the another advantage which came to India that with t he rupee moving from 90 to about 94, 95, the our cotton cost in terms of US cents came down and also the conversion was better available to the Indian textile producers, not only spinner, to the everyone who is exporting. So the operation to some extent was viable as far as the spin ning is concerned, which we saw after 2, 3 years.
Going forward with the next upstream products, the fabric margins were ve ry good before the increase in the yarn prices and I think now slowly because the overall demand is good, even for the fabric also the demand is not bad, so everyone is trying to incre ase the prices. There is always a resistance whenever the prices goes up to increase on the upstream produ cts and vice versa of that, whenever the yarn prices goes down, the garment or the fabri c prices doesn't go down in the same fashion.
So the fabric also they've increased the prices, so but there is always a lag o f 2 to 3 months and I hope going by our position today or most of the other fabric prod ucers be it knitting or the woven, it looks like that we are trying to push the system and w e would be in a position to get that increase hopefully in the times to come.
Same is situation with the garmenter where they are now trying to in crease the prices, so one they've got an advantage because of the dollar -rupee. Also, they are trying to push with the brands to increase the prices and it's always a power of negotiation w e have to see, but definitely going by the total increase, it looks

like the brands have started talkin g to increase the prices,
few brands have started giving small increases, but I think it's a time wh ere we have to look at maybe next 1, 2 months a more clarity comes on this issue.

So second on our capacities in between we have taken or Vard hman has taken a very big capex plans. On the spinning side, it was more of a modernization. I'm ha ppy to share almost 90% of the modernization got completed in this period and whatever is left, I thin k this current financial year next 6, 8 months we'll complete and as a result of that, we're much more strong on the shop floor both in terms of flexibility, quality and also the cost factors.
And I'm sure that advantage would come to us in the future times, b oth in terms of the cost as well as because of flexibility the better products which we can pro duce and give it to the various customers.
The fabric side, there were two major expansions we've taken. One was the performance fabrics, which plant was commissioned during the last financial year. So I think norma lly it takes about 6 to 9 months' time for the orders to come in as it's a new ventu re for us, so I hope next 6 to 9 months we should be in a position to utilize it fully or better uti lization will happen where and

we hope that this will be a new line for us where the lots of expansion or major expansions can come in as there are hardly any players for 100% synthetic into in India.
The second factor was the fourth line which was of cotton and no rmal fabric production, which was also commissioned during the year, but as far as -- as soon as the commissioned that line, there was this issue of US tariff. So practically we couldn't utilize that c apacity, but slowly we started building on that also.
In terms of our volumes, we would be doing one of the highest to day, but still we have unutilized capacity which I expect maybe next 6 to 9 months time we shou ld be in a position to complete that. In addition to that, there was there's a huge expenditure w e wanted to or we are doing on green power, be it biomass boilers etc.
All those projects are likely to be commissioned in next 1 to 2 mo nths and after that I think June or July onwards, we should start getting advantage of that also both in terms of green power, as well as from cost reduction possibility going by the raw material diffe rences as of now. So these are -- this is what is in this period major changes which have happened.
So now I think remaining parts we can cover in the Q&A session. Th ank you.
Moderato r: Thank you, sir. Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Saransh Gupta from Swan Investments. Please go ahead.
Saransh Gupta Hi, thank you for the opportunity, sir, and congratulations on a decent set of numbers. So, I just had a few queries regarding the industry and the business. So firstly, as you said that the cotton prices earlier our Indian cotton prices used to trade at a premium to US cotton, but right now it is trading at par. So how has this impacted the demand for yarn? I know you mentioned that the demand for yarn is better, though it is also visible in the realization that if we see the realization for yarn has increased, but are we able to pass it on to the customers?
Neeraj Jain: So, the yarn prices are determined by the international cotton. Whatever even if our cotton is expensive, we can't pass it on because that's a Indian phenomena only. So, one, the in any case, the yarn prices, whatever is the cotton internationally, that is determined by the international market and even if our cotton is expensive, that has to be borne by us, that's first point. Two, since the overall demand was better. So, both on account of the demand as well as increase in cotton prices, that could be passed on comfortably to the customer as of

now.
Saransh Gupta: Understood, sir. And on the demand side, sir, like how is the dema nd shaping up with US has opened up, right? The demand is, as of now ...
Neeraj Jain: The demand of yarn is very good. If you look at most of the US, brands, the first quarter numbers there's increase of the retail size increased from 4% to 10% of the various brands. The demand from USA is really good and as a result of that, I think the overall textile demand as of now seems to be pretty good.

Saransh Gupta : Understood, sir. Sir, if we move on to the fabric segment, like how is the industry situation panning up right now? Like you said that there was a there is a lag, price have increased, but there is a lag, so how is the customer conversations shaping up?
Neeraj Jain: No, the customer is very clear they don't want to give any increase, but I think since the raw material prices are increasing, the intermediate product, they don't have a choice because they will not nobody would like to take the losses. So, everyone is trying to push the prices and some increases are happening selectively. It's not that the increases are not happening. But as I mentioned, there's always a lag and whenever you want to do a new business, there's always a

resistance. But with the -- every week, every month, every order, there’s some price increase which we are pushing to the customers.
Saransh Gupta: Okay, sir. And on the spreads side, sir, like have the spreads also improved post tariff, pre tariff on the yarn segment?
Neeraj Jain: Yes, spreads definitely has improved as I mentioned because our spreads was lost was less because our cotton was very expensive. So, since our cotton is aligned to the international market, our spreads are definitely improving.
Saransh Gupta: So, like, if you can quantify that in some number?
Neeraj Jain: If you if you look at the Indian prices today, the cost of Indian prices is about $0.85, $0. 87, $0.88 US cents. So, if I convert $0. 87 cents, it comes to about $2.35, $0. 38 or so. And with the price of 3.30 today, with this kind of a rupee, I mean $0.90, $0.95 spread is available, which four months back was only about $0.60, $0. 65 US cents.
Saransh Gupta: Okay, so there is a 50% jump in the spreads that we can say.
Neeraj Jain: From the worst to the best, because this happened slowly. The impact will come in the times to come, but yes, 40, 50% spread improvement is there as of now.
Saransh Gupta: Right. Is this sustainable, like can we go ahead with this number or will there be some correction in these spreads if the prices of yarn comes down?
Neeraj Jain: So, as I mentioned, there are two issues which are beyond our control. One, New York future will come down or not, I’m not very sure, but if New York future remains at these levels, practically the Indian MSP issue or the -- our cotton prices going beyond a point, that issue can be taken care of.
But New York future will go up or not is something I can’t really, really predict. Second, on the demand side, as I mentioned since the demand from the China has been good in this period because they are full of orders from the various brands. If you look at -- so I think to that extent it looks like , it can sustain for some period of time.
Moderator: Thank you, Mr. Saransh Gupta. We request you to join back in the queue, sir.
Saransh Gupta: I will join the queue.

Moderator: The next question is from Cheragh Sidhwa from Bajaj AMC. Please go ahead.
Cheragh Sidhwa: Sir, for the opportunity. My first question pertains to the industry dynamics. Sir, as you indicated close to around 11, 11 and a half million spindles are off the market. So sir, as per your experience, let’s assume that these healthy spreads sustained for a longer period of time . How much period would it take for these capacities

to come back into the market or is it more structural in nature, people are right now not investing and it might take couple of years to again come back to that 50, 53 million spindle capacity?
Neeraj Jain: There are two things which have changed in this time. One, as per the industry estimates only again, the total number of spindles in India was 53 million. At the same time, the number of mills were close to about 3,000. We understand the 11 million spindles which are off the system, almost 1,000 factories have gone shut down.
So which means the overall indirectly, there’s some consolidation of the industry happened. So all these small spinning capacity 4,000, 6,000, 8,000 spindles w hich in any case was very, very difficult to manage in today’s time, I think that’s one segment which is going off to the system.
Two, the industry has passed through a very, very difficult time las t two, three years, so nobody is looking at a very big expansions to start immediately. I think everyone is looking at more clarity on the import policy of government and what happens , and my feeling is in case these margins or this kind of a cotton prices sustain for next three to six months.
The people will start looking at more projects to come in into this system. If you go about to the machinery manufactures, which are one of the best way to measure what is happening on the industry side, especially on the expansion side, their utilizations have improved, but more from the modernization orders rather than the expansion orders as of now.
So people have started talking on the expansion side. As of now there are not really very big projects which have started working on it and I feel maybe next six months, nine months’ time people will wait before they can start up or they start taking up the new projects.
Two, industry definitely will be more consolidated. So those 4,000, 6,000, 8,000 plants will never come back into the system and it’s better the organized player comes back to the system, which are more concern sustainable in terms of their profitability extract. The overall structure in my personal view is will keep improving only from here onwards.
Moderator: The next question is from Falguni Dutta from Mansarovar Financials. Please go ahead.
Falguni Dutta: Yes, good evening, sir. Sir, I have two questions. The first one, ou r operating profits are not -- look as good as maybe people like Nitin Spinners or GHCL Textiles, is it because the fabric price increase will happen with a lag and hence Q1 numbers would show more of it?

Neeraj Jain: Yes, that's likely to happen.
Falguni Dutta: Okay. And sir, and what was the export percentage for the qua rter, export as a percentage of revenue for this quarter versus Y-o-Y same time last year?

Neeraj Jain: Our direct export company as a whole has always been in the range of about 44%, 45% plus minus 1%, 2%.
Falguni Dutta: Okay. So this is as a percentage of revenue, right?
Neeraj Jain: Yes.
Falguni Dutta: So this has been maintained. I mean there has been no issue on -- okay. So sir then it is fair to say that we would do -- like since exports have not been impacted so with the fabric doing better, we'll do much better in Q1?
Can we say that, meaning what I mean to say in short, our performance in Q4 was it not as much as it could have been just because of the fabric part which takes a lag effect?
Neeraj Jain: I mean , going by the going by the spread improvements which is looking like as of now, I think most of the most of the textile companies should do far better in the first quarter, including our company -- Vardhman.
Falguni Dutta: Sir and what with these higher cotton costs which have come in, even then it should be okay as you said the current the current cost and current yarn prices, the spreads are okay. So one can assume even Q2, Q3, assuming the current status remains, even

Q2, Q3 could be better,
assuming the current spreads remain.
Neeraj Jain: That's true. So assuming the current prices of yarn, current dollar-rupee and the current prices of cotton, it will be better compared to the last year. And anyone or if they have cotton available to them, which is at a cheaper price, that advantage would be -- should be additional available to them.
Falguni Dutta: Okay. And sir, year-end this time , we are having what three months' inventory or bit more for cotton?
Neeraj Jain: Normally, our normal coverage is 6 to 8 months. Year-end.
Falguni Dutta: Okay. 6 to 8 months' cotton you have at your end? I was asking that in March we will have six months of cotton will be there?
Neeraj Jain: I am trying to explain you, the cotton in India comes in the month of October, most of this gets vanished by March. So most of the companies on March numbers will have six to seven months' inventory, most of the companies.
Falguni Dutta: Okay sir. Thank you sir.
Moderator The next question is from Prashant Rishi from Cascade Capital. Please go ahead.
Prashant Rishi: Hi, good afternoon, sir. Sir, I just wanted to expand on the last point that you made, since bulk of our procurement has happened by the financial year-end types, so what would be the average cost of cotton that you procured because that will be the base for the cotton for the rest of the financial year?

Neeraj Jain: I will not be I will not like to give the numbers at what cost I bought, but I can give you how the market has behaved in this period. If we look at today's price of CCI selling, it is INR67,000 a candy. And they increased this price almost by INR5,000 in last one week only. So practically the CCI price one month before was INR 57, INR 58,000. So eventually anyone who has a inventory available in the system will be definitely much lower than the today's price, which includes us.
Prashant Rishi: Understood. And sir, any not a very speculative question, but any viewpoint on how US New York Future cottons would look considering the drought situatio n in the US? Will it will it sustain at 82, 83 historically? I mean how do you look at it?
Neeraj Jain: As I mentioned, the drought is not the only reason. I mentioned earlier also drought is one of the reason. Also, the crop in India and Australia was also lower, so the demand supply got readjusted.
For the first time after three years, there will be a reduction in the closing stock of cotton. So all these factors and then the synthetic other prices increasing during the possibility of some consumption change or replacement from polyester to the cotton.
All those factors have played into this role. So it's not only the drought condition of USA, but the many factors could have played a role where suddenly people are more optimized or optimism is there on the New York Future.

Moderator: The next question is from Awanish Chandra from SMIFS. Please go ahead.
Awanish Chandra: Congratulations, management team, on decent performance with gross margin expansion. My first question is related to this one only. If you look at the number, our gross margin was higher quarter on quarter 300 basis point, but due to other expenses, margin expansion was not reflective at EBITDA level. So sir, could you just give a high highlight on what led to great increase in other expense and when it will get normalized if there is something one-off?
Neeraj Jain: Okay. So you know, there has been one item which has been charged to the revenue in this period and the other expenses. Whatever is the foreign exchange position we have taken, that gets mark- to-market on every month-end. So in this period the rupee had moved very sharply. So whatever we have been selling because our policy is whenever we book the export orders, most of the time we like to cover the rupee at the same day. Rupee moved suddenly to INR 94.

80
or so on 31st March. So whatever we had sold that was required to be making to be normalized on the mark- to-market basis and we provided a loss of about INR 57 crores, INR 58 crores in this quarter on that.
But then the advantage will come to us in the next quarter. Now all our exports will be moving at INR 94.80 or, whatever is the market rate going forward. So on that one-time hit it is definitely impacted our margin in the fourth quarter.
Awanish Chandra: Okay so roughly the number was, the hit was exact number?

Neeraj Jain: INR57 crores, INR 58 crores is provided as mark- to-market.
Awanish Chandra: So that will not be there going forward or there will be some reversal of that?
Neeraj Jain: Depending upon at what the dollar-rupee finishes. I can't say tomorrow it goes to INR97, we might have to provide, it goes to INR98 then that advantage comes in. So I can't speculate on that, but yes, whatever was 31st March, we have provided for that.
Awanish Chandra: Okay, sir. Sir, second question, you have already highlighted that at March-end everybody 's inventory is at 6 to 8 month. As a strategy, what would be the number at the September-end? General number?
Neeraj Jain: No, one, I'm not saying everyone had an inventory of 6 to 8 month. I said most of the good textile mills, since it's a seasonal product, they try to cover their cotton normally 6 to 8 months' time, but the company to company, it could be very, very different.
Two, our cotton , new cotton will start somewhere in October only. So by September, we have to exhaust most of our stock and we have to start preparing for the buying once the once the new arrival comes in. Because we can't the new arrival will come somewhere in the month of October. And if we have a six to eight months and any factory has a n inventory of six to eight months' time, they'll be they'll be finishing in this period and then eventually they'll have to buy new cotton starting September, October, November.
Awanish Chandra: Okay, fair enough. And sir, one quick question on the capex side. You talked about increasing your garment capacity which is still a very small part of our overall business. So are we thinking seriously to have major expansion in garment segment and broaden our product profile the way you have mentioned in your press release?
Neeraj Jain: So earlier we were not very sure we really want to expand the garment capacity or not. But definitely the business, whatever small capacity we have doing, we have, they are doing good. So but our costs are very high because the size of the [….] is small. So the first step is let's make it a little viable unit and in case we can make money on the expanded capacity also, then we'll look at it differently.
As of now, the only idea is it's a good business where we are dealing with the some of the brands, we are supplying the material to them or we are giving them the final product. So just to serve to that, we've decided to expand this capacity so that we are more viable. Whether we'll do it in a full-fledged basis in the future or not, there's no decision as of now on that.
So it's the first step where we are looking at whether we can make the business viable. If yes, a fresh view has to be taken by the management. As of now there's no decision that we'll be looking at it in a very, very big way. Neither yes, nor. So we'll look at it or we'll evaluate it later.
Awanish Chandra: Sure, sir. And sir, what is our average realization per shirt? Ballpark number?
Neeraj Jain: Normally $5.

Awanish Chandra: Okay sir. Okay sir thank you very much for answering my question a ll the best.

Neeraj Jain: Sorry it is $7. 5.
Awanish Chandra: Okay sir. Thank you and all the best.
Moderator: Thank you, sir. The next question is from Yash Jhunjhunwala, as Retail

Investor. Please go
ahead.
Yash Jhunjhunwala: Hi, thank you for the opportunity. Sir, can you tell me what was the average spread earned by us in FY26?
Neeraj Jain: I can't say what was Vardhman spread, but the industry spread for th e year average will not be more than $0.65 .
Yash Jhunjhunwala: $0.65 cents. And the current market conditions, you were saying tha t the spread has increased to about $0. 90 to $0.95?
Neeraj Jain: Correct.
Yash Jhunjhunwala: Okay. And sir, my second question is that when the in the last two years when cotton globally was cheaper than cotton in India, because of which and our cotton yarn realization is linked to cotton globally, I'm sure the industry must have made representations to the ministries regarding this disadvantage that Indian spinners had. So what , what like , anything structural that has happened to address this gap, that disadvantage that Indian spinners had?
Neeraj Jain: So India , most of the industry, we've been going to the government and we've only one request made to them, that you allow the duty-free import of cotton in India. That will have a balancing effort automatically. Because if CCI buys all the cotton or majority of the cotton, then whatever is there, so there are two ways of looking at it. One, the CCI sells it at a normal basis so that there is no disadvantage to the Indian spinners, that could be one. Two, to have a price right price discovery, you allow the duty-free cotton to happen in India.
So that automatically will happen in the times to come. So the industry issue is only and only we're not talking of MSP, we are not talking of increasing or we are not talking of not supporting the farmer. The industry viewpoint is simple that the cotton should be allowed in India duty-free so that the price discovery happens automatically. And Textile Minister is total ly aligned to that, they've already written couple of times to the Agriculture and to the Finance. No decision is happened, but I'm sure at least our ministry is aligned to our thoughts.
Yash Jhunjhunwala: Okay. And my final question is on the all the FTAs that have been signed with the US, with UK, with EU. Let's say that the demand for this for all the , all the textile industry from India it improves, but because of this cost disadvantage will we be able to compete in case cotton again like there is duty-free access, duty-free import is not allowed of cotton and then again you all fall back into that same problem of high cotton prices?
Neeraj Jain: You know, there are two things we are talking to the government. One, as the demand would increase on account of the FTAs, definitely we will be requiring more raw material, be it

synthetic, be it cotton. So whatever cotton we have, it may not be sufficient for us to supply it in case the garment exports or the home textile exports increase a big way from India.
So both the logic we've been giving, one is on the cost pricing that are we should be competitive. Second, on the availability of raw material. Because any , any industry if they are putting the capex, the raw material should be available at the international competitive price. So these are the both the issues can be taken care of if they allow the duty-free cotton to India. So let's see what happens.
But government , but one good thing in between what is happened is that the CCI pricing policy this year has been good and they've been selling the cotton based upon whatever has been the long-term alignment of Indian cotton with the New York future. So to that extent there was no disadvantage for most period last six months to nine months, that's why the industry is in a better condition. I should give that credit to CCI for that.
Yash Jhunjhunwala: Okay understood, thank you. Those were my questions.
Moderator: Thank you, sir. The next question is from Resham Jain from VVD Asset

Managers. Please go
ahead.
Resham Jain: Hi, Neeraj. Good afternoon and thanks for giving us a very detailed update. I have one question mainly with respect to the announcement which government has made yesterday, Missio n for Cotton Productivity. But what I could see in that is that it is not talking about the introduction of the new variety of seeds, but it is largely talking about all the farm improvement practices and stuff like that, high-density planting and all. Do you think that if India has to move from 450 kg per acre to let's say even to US level of 700 to 800 levels, will this suffice or what is your thoughts around this?
Neeraj Jain: Look my personal views can be a little different than what you are thinking. So one is, if we

look at the overall lesser crop in India, one is the seed quality, second is the practices and third is the land holding because our land holdings are also very sm all in India and any kind of automation may not be possible there also.
Looking at the total crop in India, it’s 30 million bales and almost 6 million farms farmers are producing that, so that means average per farmer we have only 5 bales. Whereas you go to the US or to Brazil or to Australia, the number is in in thousands of bales, not less than that or maybe in lakhs of bales. So eventually even if so we are looking at seed, we are looking at productivity, we we are looking at processes, but the holding is also playing an important role in terms of the overall optimization.
So going to a US level of 700 or the Brazilian level of 2,000 I don’t know, but definitely we can improve upon it from where we are. But again going to I mean today Brazil is at 2,000 and they’re still optimizing, they’re still looking at more experimentation, they’re still looking at what more can be done.
Our cost will definitely be expensive going by our land holdings also. Having said that, we have to start somewhere. It’s a good initiative which the government has taken and I’m sure if we are

taking we can take this 450 to even 550, we can increase our productivity by 20% which will give a relief to the overall cost, as the MSP is dependent is dependent upon the cost to the farmer plus 50% remuneration. So if their cost come down, definitely it will have an impact into better realization and a better cost for the industry as well.
Resham Jain: Understood, sir. Sir, the second question is given that now the expectatio n for next year overall for the industry is looking quite positive and we have already done modernization capex largely in the last two, three years, which will bode well for us. But beyond this, are you looking for , because you need to plan from now to utilize that incremental ca sh generation. So from a capex perspective, are you planning anything?
Neeraj Jain: So two things. I think you're right and not only us, most of the industry is waiting because the situation is a little better after a long time, so everyone is trying to look at whether it's sustainable or not. But in between, one, we have taken up one open-end project which was hold on, so we are likely to restart that.
Also, we have taken a new piece of land in PM MITRA Park in Madh ya Pradesh. That land is likely to be given to us as per the government promise as of now by December or January this year. So once the land is available to us, we'll start working. We a re already on the drawing boards, we are putting up some ideas and maybe next two, three months we'll finalize those ideas also and by that time we look at a sustainability of the system also.
And not only we, there are many players we are looking at because this FTA demand will start happening somewhere 15 months down the line. And India, if we have to prepare within next two to four months, we'll have to start looking at what all is required in the country and all the good players have to pr

epare themselves so that those capacities could be put in.
We are also gearing up ourselves and I'm sure next two, three months we 'll finalize our plans as well. On the spinning side. On the fabric side, we in any case hav e a surplus capacity, so we'd like to utilize it next six months and by the time we utilize it, w e'll definitely there are some ideas in our mind what to do next in the next financial year or so.
Resham Jain: Okay. But in the existing set of verticals only like yarn, fabric, you'v e ventured into a little bit of synthetic?
Neeraj Jain: Yeah, as of now, we are restricting ourselves to this only as of now.
Resham Jain: Okay, sir. Thank you. All the best.
Moderator: Thank you, sir. The next question is from Rudraksh Gupta from Navneet Investment Trust. Please go ahead.
Rudraksh Gupta: Hi. Very good afternoon and thanks again for the detailed explanation . Sir, I have two questions. One related to what you explained that India should have had a spinning capacity of 58, 59 million versus operational today at 41, 42. Given the environmen t where spreads are expanding, the cotton prices have actually aligned of India and international, which actually solves a big problem, a potential FTA with Europe and UK which is an incremental positi ve to play out like

you're suggesting over 12 to 18 months, and an incremental develo pment in terms of, you know, if the import prices or the import duties are actually dealt with correctly by the government.
This is the most promising commentary, if I may say so, that I've hea rd in a long time, along

with a very wide gap of required capacity versus available capa city at play. Would this really mean that a very large expansion of capacities can come through over the next three, four years if the cycle sustains, the import duties are taken out and the FTAs actuall y start to bring in benefits? And I will bring in my second question after once I hear from you.

Neeraj Jain: Okay. So I would like to make one correction. All the data and facts you've given is correct except one. When I said the capacity should have been 60 mil lion, it should have been going by the tradition or the conventional increase which happens every yea r. Whether we require 60 or not is a separate question.

So we were at 53, normally we were adding 2.5 million spindles eve ry year, so we should have reached 59, 60 against that, we are at 41. Two, the Indian spin ning capacity, lots of spinning capacity was very, very unviable, inefficient, which is going out of the system. So if we look at the total demand in India today, 41, 42 million spindles are sufficie nt as of now for the country and that's why our margins have become better.

Now going forward, as the expansion will happen by the way of more FTAs and the demand coming in, we definitely require more spinning capacity. Whether it is 60 million or 45 or 50, that, depends , that will depend upon how much new business we can generate w ith these FTAs. But definitely there is a scope for this India, for the country, if with all these FTAs coming in, if the demand on the garmenting and home textile increases, definitely on the spinning side we will be requiring a much bigger capacity as a country.

And the good part is all these smaller players have gone out of the system, so now the new expansion hopefully will come more in the organized hand, which means there will be a better competition compared to the very, very unorganized competition .

Rudraksh Gupta: This sustains profitability for the industry and helps capex build ing as well. Fair. Sir, the second question is more related to this situation where geopolitics is what you re ferred to where, you know, some countries who are also manufacturers and exporters have been having issues and those issues in my understanding have worsened in the current West Asia w ar, if I may say so

.

Is that correct as an understanding and is there a further weakening o f other Asian competitors which will give a sustained advantage to India? Is that a fair assumptio n or an understanding or that is something where we can see a comeback from them very quick ly?

Neeraj Jain: You know, if we look at the spinning sector, the four countries are or a five countries are taking 90% share in the spinning. China, India, P akistan, Bangladesh …and… Vietnam. These are the five countries which are taking care of almost 80%, 85% of the world spinning capacity.

Let's look at it one by one. China, they started reducing their spi nning capacity almost 15 years back. From a peak of 112 million spindles, they are today do wn to 84 million spindles only. Though they've announced some capex in the Xinjiang area where there are lots of cotton, but

at the same time, the government of China this year has officially an nounced that we want to reduce the cotton in the Xinjiang area and we want to move m ore on the food articles as the country will be requiring more food grains for their consumption.

So which means the cotton will come there also and if we look a t last 10, 15 years as I mentioned, their peak capacity from 112 million spindles have c ome down to 84. So which means they will not be expanding , which means we can , the inference could be that they'll not be expanding in a big way.

Second country is the Pakistan. Now Pakistan again if you look at t heir own issues and concerns, be it political, be it power availability, be it or any other factor, I think there is the limitation, so they will also not be expanding their business in a big way to ca ter to the international demand.

Third is the Vietnam. Now Vietnam already is a very small country, sm all population and they've done fantastic job in the textile starting from spinning to the garmen ting. As their per capita income has started moving up, there is more interest of the people to go in for the electronics and the service industry there also. So with a small population, we d on't feel that Vietnam will be increasing further on the spinning side, rather whatever is there they can at best utilize that, not likely that they'll be expanding the spinning business to that extent.

Fourth is the Bangladesh. Bangladesh is very strong on the garmentin g after China they are number two players, almost $ 54 billion to $55 billion worth of exports they are doing on the garmenting side. The spinning capacity today is about 14 to 15 million spindles and the utilization is not more than 55%, 60% even as of now. Becau se of , they are very strong at the garmenting, some groups have gone back- to-back where they've put in a spinning capacity, but spinning is a very, very large capex required, you require , and they don't have cotton, they'll have to import everything.

So eventually it looks like the major spinning expansion may not happen in Bangladesh also. But on the garmenting side, they may continue to grow. As a resu lt of that, they'll be requiring

good quality yarn as well as the fabric from out , they may require, so to that extent they'll have to depend upon someone else.
And the last out of these five is the India, which is today the best plac e because we are number two spinning capacity in the world. Even with the 41, 42 million spindles, we are second largest in the world today in terms of technology, in terms of cotton availab ility and in terms of the overall clusters in the geopolitical, I think we are definitely bett er placed. Now I can only hope that India should be in a position to take full advantage of this situat ion.
The only caveat I have in mind is that the raw material availability a t international competitive prices, which we have been talking to the government and we are hopeful that the government looking at the overall potential will definite

ly understand and look at something like this.
Rudraksh Gupta: Thank you, sir. That's very, very helpful once again.
Moderator: Thank you. The next question is from Sudhir Kedia from ValueWise. Please go ahead.

Sudhir Kedia: Yes, good evening sir and thanks for the opportunity. Sir, you have outlined lots of reasons for the tailwinds for the industry. My question is more from the next season perspective, do you think that next season cotton also gets impacted because of the weather conditions in the […..]?
Neeraj Jain: Yeah, so there are two factors. One is a physical cotton, second is a future cotton. So whatever is the weather conditions announced today, it's already captured in the future prices. And going , going by the situation if things goes , worsen, it can increase, if things become better or the more rain happen, it can soften also. But cotton is one product where based upon the future events which are likely to happen, it's already capturing into the market very, very well.
Sudhir Kedia: So from cotton prices perspective, you think that the […..] is already captured in the cotton prices from international perspective, right?
Neeraj Jain : As of now yes, but definitely there are , so one is the more news coming in based upon that whatever condition can happen. Second is the possibility for the hedge fund or the speculative funds which is beyond control of any one of us.
Sudhir Kedia: Right. Sir, second question is that while the spreads have increased almost by 40%, 50% from their lows, what has been the spreads at the peak in the past and do you think that the spreads can rise further from the current levels as you move ahead to the next season?
Neeraj Jain: Most of the times if you last look at last 20 years except the , the years which could be very good were very good, that the $1 spread is always considered to be good for the spinning industry.
Sudhir Kedia: Okay. So with rupee depreciation, that will add extra to the earnings of the spinners for the industry, correct?
Neeraj Jain: It should normally because our cotton is about 50% to 55% of the total finished product. So whatever with the rupee changes happening, the cotton will align to in US cents very, the cotton gets aligned to US cents very fast because anyone who is buying here will always look at New York Future and the landed cost in India based upon the US cents, but whatever is the value addition that advantage comes in with the with the weaker rupee.
Sudhir Kedia: And sir, my next question is do you , up to what time do you expect this spreads to sustain, meaning do you think this to sustain from one to two quarter persp ective or, or maybe four to five quarter perspective? How should we look at that?
Neeraj Jain: Today things are good, it's really, really difficult for me to say w hether New York Future will remain at these prices or what will happen to the China or the war, so it's very difficult. But I can say as of now things are looking nice and there doesn't seems t o be any big concern. Rest, it's very difficult for me to predict whether it can be for five q uarters or one quarter or two quarters, but as of now and I can tell you most of the spinners from India in export market are sold for three months as of now.
Sudhir Kedia: No, my reason, the reason of my question was because some of th ese reasons which you highlighted, like on the spinning capacity, these are structural rea sons and th ey, they are not seasonal. So from that perspective?

Neeraj Jain: From that perspective, definitely seems to be a better place. Yea h, from that perspective, it's a better place. But then the cotton prices or the demand structure or a nything happening on the war side, there are so many factors today that anything can play anyth ing.
But yes, in Indian context, with the ,

with the closed down of part of the capacity, it can be be tter
placed and also we have a better situation going forward because of the FTAs and next 12, 15 months definitely things are likely to be better only for India, Indi an garmenters and the home textile. So to that extent, we are optimized or we have a optimism t o that extent as well.

Moderator: Thank you, sir. Due to time constraint, we will take this as a last question. I now hand the conference over to management for the closing comments.

Neeraj Jain: So I think we've tried to give based upon our judgment our thought process we've tried to give whatever best knowledge we have, rest the events occurring in the across the world are so fast, so many that it's impossible for anyone to understand and know the impact of that on the overall industries.

But definitely as I mentioned, after long after two, three years, there seems to be some respite to the industry, again for the reason as I mentioned that our raw material became more competitive. And with the better and with the better demand and the les ser capacity, we are definitely better balanced as of now.

I hope the next year should be better year for most of the textile companies including Vardhman and in the meantime, most of the industry very, very opti, has a optimism based upon all the FTAs which the government has done which is which could be a major growth engine for our garmenters and the home textile.

And we being the textile producer or textile material supplier to them, if they do well, definitely our company can also do well. So thank you very much for your confidence and your supp ort always. Let's hope things will be better in the next times to come.

Moderator: Thank you, sir. On behalf of 360 ONE Capital, that concludes this conference. Thank you fo r joining us and you may now disconnect your lines. Thank you.